United Nations Development Programme

Project title: Transitioning to an urban green economy and delivering global environmental benefits

Country: Costa Rica

Implementing Partner (GEF Executing Entity): Organization for Tropical Studies (OTS)
Execution Modality: Non-Governmental Organization (NGO) implementation

Contributing Outcome (UNDAF/CPD): Strategic Priority 1 - Strengthened capacities of public institutions, private organizations and civil society to facilitate and forge national, innovative, transformative and dialogue-based pacts and agreements, in order to accelerate the fulfillment of the SDGs for a sustainable development with equality.

UNDP Social and Environmental Screening Category: Moderate

UNDP Gender Marker: 2

Atlas Award ID: 00127219

Atlas Project/Output ID: 00121145
UNDP-GEF PIMS ID number: 6270

GEF Project ID number: 10467

LPAC meeting date: 3 February 2022

Last possible date to submit to GEF: June 2021

Latest possible CEO endorsement date: December 2021

Project duration in months: 60

Planned start date: 01/03/2022

Planned end date: 28/02/2027

Expected date of Mid-Term Review: 01/09/2024

Expected date of Terminal evaluation: 01/11/2026

Brief project description:

The project objective is to achieve decarbonization in the Great Metropolitan Area (GAM) through fiscal and policy reform and sustainable integrated urban planning. This will be achieved through five interrelated components that will allow an evidence-based policy reform for a green economy and sustainable integrated urban planning, investments in sustainable integrated low-carbon, resilience, conservation, and land restoration, innovative financing and scaling-up, promote knowledge sharing, capacity building, and partnerships in line with the Sustainable Cities Impact Program of the Global Environment Facility (GEF 7), and the monitoring and evaluation of project outcomes. This strategy will reduce the loss of habitat for urban biodiversity, the contamination of bodies of water, sedimentation and erosion, and the emission of greenhouse gases (GHG) in the GAM, generating global environmental benefits including 2,000 ha of restored land, 17,402 ha of urban landscapes urban under improved practices, and 1,947,539 tCO_2-eq of GHG mitigated in 20 years. In addition, it will benefit 2,134,932 people directly (1,067,466 women, 1,067,466 men). The project will have a duration of 5 years with a total investment of USD $109,449,464, USD $10,317,970 of which will be provided by the GEF.

FINANCING PLAN

GEF Trust Fund grant

USD 10,317,970

Total Budget administered by UNDP

USD 10,317,970

CO-FINANCIERS THAT WILL DELIVER PROJECT RESULTS INCLUDED IN THE PROJECT RESULTS FRAMEWORK (FUNDS NOT ADMINISTERED THROUGH UNDP ACCOUNTS)

Ministry of the Environment and Energy (MINAE)

USD 250,000

National Institute of Aqueducts and Sewers (AyA)

USD 28,000,000

Municipality of San Jose

USD 52,657,601

UNDP-BIOFIN

USD 900,000

UNDP-NDC Support

USD 1,000,000

Costa Rican Railroad Institute (INCOFER)

USD 14,140,893

Organization of Tropical Studies (OTS)

USD 2,183,000

Total confirmed co-financing
USD 99,131,494

Grand-Total Project Financing (1)+(2)
USD 109,449,464

SIGNATURES:

NOTE: IF THE PROJECT DOCUMENT IS IN FRENCH OR SPANISH, THE FINAL PROJECT DOCUMENT MUST BE CLEARED BY THE RTA BEFORE SIGNATURE.

Signature: print name below

Agreed by Government Development Coordination Authority[1]

Date/Month/Year: *within 6 months of GEF CEO endorsement*

Signature: print name below

Agreed by Implementing Partner[2]

Date/Month/Year: *within 6 months of GEF CEO endorsement*

Signature: print name below

Agreed by UNDP[3]

Date/Month/Year: *within 6 months of GEF CEO endorsement*

Key GEF Project Cycle Milestones:

Project document signature: benchmark date for completion no later than 6 months from GEF CEO endorsement

[1] *Other evidence of government agreement may be accepted in lieu of a signature, unless the programme country government requires a signature.*

[2] *Not required when UNDP is the implementing partner (i.e. DIM implementation modality). If a UN Agency is the implementing partner, and has signed a SBEAA with UNDP, then the Government Development Coordination Authority, UNDP and UN Agency sign the project document. If an IGO is the implementing partner, and has signed a SBEAA with UNDP, then the Government Development Coordination Authority, UNDP and IGO sign the project document. If a CSO/NGO is the implementing partner, the Government Development Coordination Authority and UNDP sign the project document and attached it to the Project Cooperation Agreement to be signed by the CSO/NGO and UNDP.*

[3] *For NIM projects this is the Resident Representative. For DIM projects in a single country this is the Resident Representative. For global, regional DIM projects this is BPPS.*

First disbursement date: To be achieved by no later than 18 months from GEF CEO endorsement, provided that the RR shall make all efforts to achieve this by a benchmark date of 8 months from GEF CEO endorsement.
Inception workshop date: to be held by a benchmark date of 2 months from the date of first disbursement
Operational closure: Operational closure must happen at the end date calculated by the approved duration after the Project Document signature or at the revised operational closure date as approved in the project extension.
Financial closure: within 6 months of operational closure or after the date of cancellation

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II. LIST OF ABBREVIATIONS

ANAI	National Association of Mayors and Intendants
AWP	Annual work plans
AyA	National Institute of Aqueducts and Sewers (Spanish acronym)
BIOFIN	Biodiversity Financing Initiative
BMU	Federal Ministry for the Environment, Nature Conservation and Nuclear Safety
BMWP	Biological Monitoring Working Party
BPPS	Bureau for Policy and Programme Support
CBD	Convention on Biological Diversity
CBIMA	Rio María Aguilar Interurban Biological Corridor (Spanish acronym)
CBTorres	Local Committee of the Inter-urban Biological Corridor of Torres River
CCD	Climate Change Directorate (Spanish acronym)
CCPI	Indigenous Peoples Consultative Commission (Spanish acronym)
CMCRGT	Comprehensive Management Commission of the Río Grande de Tárcoles Watershed (Spanish acronym)
CNFL	National Company of Power and Light (Spanish acronym)
COVID-19	Coronavirus Disease 2019
CSO	Civil society organization
ENCC	National Climate Change Strategy (Spanish acronym)
ENREDD+	National REDD+ Strategy of Costa Rica
ERC	Evaluation Resource Centre
ESIA	Social and Environmental Assessment
ESMF	Environmental and Social Management Framework
ESMP	Environmental and Social Management Plan
ETC	Executive Technical Committee
FPIC	Free, prior and informed consent
GAM	Great Metropolitan Area (Spanish acronym)
GEB	Global Environmental Benefits
GEF	Global Environment Facility
GHG	Greenhouse gas
GIZ	German Agency for International Cooperation
IADB	Inter-American Development Bank
IEO	Independent Evaluation Office
IFAM	Institute of Development and Municipal Advisory (Spanish acronym)
IFI	International Financial Institutions
INCOFER	Costa Rican Institute of Railways (Spanish acronym)
INDC	Intended Nationally Determined Contribution
INVU	National Institute of Housing and Urban Development (Spanish acronym)
IPP	Indigenous Peoples Plan
IPPF	Indigenous Peoples Plan Framework
IUBC	Interurban biological corridor
KM	Knowledge Management
km^2	Square kilometers
LAC	Latin American and the Caribbean
LMT	Landscape management tool
M&E	Monitoring and evaluation
MET	Metropolitan Electric Train
MIDEPLAN	Ministry of National Planning and Economic Policy (Spanish acronym)
MINAE	Ministry of the Environment and Energy (Spanish acronym)
MiPyMEs	Micro-, small- and medium-enterprises (Spanish acronym)

MIVAH	Ministry of Housing and Human Settlements (Spanish acronym)
MOPT	Ministry of Public Works and Transportation (Spanish acronym)
MTR	Mid-term review
MTR	Multilevel Technical Roundtable
MUEVE	Sustainable mobility, Urban Planning, Equipment and Assessment of Public Space Project (Spanish acronym)
NBSAP	National Biodiversity Strategy and Action Plan
NDC	Nationally Determined Contribution
NGO	Non-governmental organization
NUDP	National Urban Development Policy
OTS	Organization for Tropical Studies
PANU	Urban Natural Parks (Spanish acronym)
PAPS	Potable Water and Sanitation Program (Spanish acronym)
PIR	Project Implementation Report
PMAAMSJ	Environmental Improvement Project in the San José Metropolitan Area (Spanish acronym)
PMU	Project Management Unit
POPP	Programme and Operations Policies and Procedures
PPG	Project Preparation Grant
PRF	Project Results Framework
PRONAMEC	National Ecological Monitoring Program (Spanish acronym)
RCU	Regional Coordination Unit
RDB	Regional Development Banks
ROAM	Restoration Opportunities Assessment Methodology
RTA	Regional Technical Advisor
SBAA	Standard Basic Assistance Agreement
SCIP	Sustainable Cities Impact Program
SDG	Sustainable Development Goal
SENARA	National Service of Groundwater, Irrigation, and Drainage
SES	Social and Environmental Standards
SESA	Strategic Environmental and Social Assessment
SESP	Social and Environmental Screening Procedure
SINAC	National System of Conservation Areas (Spanish acronym)
STAP	Scientific Technical Advisory Panel
STAR	Species Threat Abatement and Recovery
TE	Terminal evaluation
TOD	Transit-Oriented Development
ToR	Terms of Reference
UNDAF	UNDP Development Assistance Framework
UNDP	United Nations Development Programme
UNGL	National Union of Local Governments (Spanish acronym)
UTCI	Indigenous Consultation Technical Unit (Spanish acronym)
WRI	World Resources Institute

III. DEVELOPMENT CHALLENGE

Costa Rica is a global leader in environmental protection and biodiversity conservation. Twenty-five percent of its territory is protected, deforestation has been reversed, and forests currently cover 52% of its land area;[4] this has been achieved while maintaining economic growth and keeping an energy matrix that is over 90% renewable. These advances are supported by a fiscal policy that relies on hydrocarbon sales and the import of vehicles. The higher these are, the higher the tax collection, which creates a significant contradiction between fiscal and environmental objectives. Currently, 21% of all government income is derived from taxing hydrocarbons, which means that if Costa Rica is to maintain its environmental achievements and become decarbonized by 2050, it must transition to a green economy. This transition must be aligned with an urban transformation of the GAM where 40% of its emissions are generated mostly from urban transport.

Costa Rica has gone from being a predominantly rural to an urban society. The country's success in promoting forest recovery, protection of natural forests and biodiversity is in direct contrast to the rapid urban expansion, which has seen inadequate planning and a negative impact on residents' quality of life and the environment. Urban areas now constitute the second-most significant threat to Costa Rica's natural capital, as forests and agroecological areas are eliminated to make way for urban development. Between 1987 and 2013 the urban footprint in Costa Rica expanded by 112%, resulting in a loss of forested riparian buffer zones, ecosystem connectivity, poor water quality, and soil and air pollution.[5] This reality is framed within a context of unsustainable fiscal deficit and the persistence of social inequalities, which are aggravated by the Coronavirus Disease 2019 (COVID-19/SARS-CoV-2) pandemic that has hit Costa Rica hard.

Costa Rica has a total population of 5,008,007,[6] 80% of whom is urban. The capital city of San José is the largest city of Costa Rica and is part of the Greater Metropolitan Area (referred to as GAM), which also includes the provinces of Alajuela, Cartago, and Heredia. The GAM has a total area of 196,700 hectares (ha) covering 31 municipalities in four provinces and is home to 53% of the country's population.[7] Recently, the four cities that form the GAM have grown together, resulting in a large-scale low-density suburban sprawl, which is continuously encroaching on the agricultural landscape and natural areas that used to characterize Costa Rica's central valley and its surrounding mountain ranges.

The GAM faces multiple environmental challenges. Loss of habitat (forest ecosystems, and wetlands) and agro landscapes due to uncontrolled urban growth: An increased urban footprint between 2003 and 2015 in the GAM (22.3%) contributed significantly to the loss and fragmentation of forest and loss of habitat for biodiversity. In that period, approximately 8 of every 10-ha deforested in the GAM were converted to urban settlements, infrastructure, or crops. Illegal encroachment by urban developers and households has limited conservation efforts and has resulted in landscape fragmentation, affecting nearby Key Biodiversity Areas (KBAs). In addition, most of the existing urban green spaces in the GAM contribute little to the regeneration of the physical environmental system and are frequently planted with exotic and essentially decorative species, which provide limited habitat for biodiversity, and which require large quantities of water and economic resources for their maintenance. Contamination by urban wastewater and improper disposal of solid waste. Rivers, streams, and aquifers are being impacted by the lack of treatment of urban wastewater in the GAM; untreated wastewater and fecal sludge is commonly discharged directly into rivers and streams contaminating them with nutrients, pathogens, organic matter, and solids. According to the National Institute of Aqueducts and Sewers (AyA), in 2019 the coverage of the wastewater treatment network was only 15%, while 70% of country`s total population owns a septic tank, which generally presents construction problems, poor maintenance, and deficient sludge management. In addition, approximately 60% of the solid waste generated in cities is disposed of into open-air dumps and landfills without control or appropriate management,

[4] https://www.cbd.int/countries/profile/default.shtml?country=cr

[5] Patrones y factores de cambio de la cobertura forestal natural de Costa Rica, 1987-2013, Rodrigo Sierra et al.

[6] Población estimada para el 2019 según el Instituto Nacional de Estadística y Censo (INEC). Disponible en INEC, 2020. https://www.inec.cr/poblacion/temas-especiales-de-poblacion.

[7] http://ougam.ucr.ac.cr/index.php/la-gam

polluting the environment and affecting the quality of surface and groundwater sources, and impacting the health of the population.[8] The municipality of San José extracts between 3,000 and 4,000 kg of waste per day from the sewers; in 2015 1,102 metric tons of solid waste were removed from the rainwater system.[9] Ten percent of the total solid waste is comprised of plastics that can remain and accumulate in landfills and other disposal sites for long periods generating fragments and toxins that contaminate soil and water resources. In 2017, plastic waste from construction activities in the GAM amounted to 5,089,647 square meters (m^2). The improper management of solid waste also results in untreated leachate contributing to the contamination of the surrounding water bodies. Sedimentation, erosion, and chemical contamination. Soil degradation associated with urban activities in Costa Roca has been traditionally neglected, even though when land is under construction, soil erosion can be significant, often many times greater than on other land uses. The extended paving of the soil surface, in combination with the lack of green areas for infiltration, and a high rainfall regime increase the environmental risk of flooding. The resulting sediment damages surface water resources, obstructs roads, and degrades habitat for biodiversity. Erosion and sedimentation are particularly problematic in the undulating or sloped lands of the GAM, and where the boom of residential, commercial, and public infrastructure projects have led to construction along riverbanks and forested buffer zones. In addition, impervious surfaces (e.g., roofs, roads, parking lots, and compacted turf) from residential, commercial, and public infrastructure areas increase runoff, which impairs water quality by delivering nutrients, hydrocarbons, heavy metals, and other pollutants impacting freshwater biodiversity. Presence of exotic species: in Costa Rica there are around 1,500 species of exotic plants. Although there is no available information for the GAM area regarding the presence of exotic species, particularly on their impacts, a study carried out for the province of Heredia (Costa Rica) indicated that of the more than 600 species planted in private urban home gardens, 60% of the species are exotic.[10]

CO_2 greenhouse gas (GHG) emissions by the transportation and energy sectors. Costa Rica is highly vulnerable to climate change. According to National Meteorological Institute projections, temperatures by 2070 will increase 3-6 ºC compared to average temperatures recorded between 1961-1990. Costa Rica has made an international commitment to become carbon neutral. According to the Second Biennial Update Report (BUR II) to the United Nations Framework Convention on Climate Change (UNFCCC),[11] emissions in Costa Rica are distributed as: energy, 67%; industrial processes, 12%; Agriculture, Forestry and Other Land Use (AFOLU), 2%; and waste sector, 19%. If Costa Rica's decarbonization goals are to be met, the GAM needs to be transformed, as most of the transport, waste and industrial emissions take place in this urban area. The transportation sector is responsible for 54% of the country's CO_2 emissions and 66% of hydrocarbon consumption. Over 43% of total emissions are generated by transport system of a congested city of oil consuming vehicles, mostly servicing the GAM. The energy sector shows an increase of 3.1% year-on-year in the emissions attributable to hydrocarbons. In 2015, the energy sector released 7.297 Gg of CO_2 to the atmosphere, 5.394 Gg of CO_2 of which were attributed to the transportation sector, and 2,203.7 Gg of CO_2 of which correspond to passenger cars. It is estimated that in 2014 the transportation sector in the GAM generated 2.5 megatons (Mt) of CO_2-eq (1 tCO_2-eq per inhabitant per year), and that by 2030 the GAM's contribution will amount to 3.9 Mt of CO_2-eq.[12] Costs associated with traffic congestion in the GAM amount to 3.8% of the country's GDP. Half of the national GHG emissions associated to the waste sector may be attributable to the GAM, and most of emissions from industrial processes and product use take place in GAM.

The drivers of environmental degradation in the GAM are facilitated by the following: a) unsound and ineffective urban planning; b) limited capacities to enforce environmental impact assessments of economic activity; c) insufficient enforcement of environmental law compliance in urban areas; d) poor solid waste and wastewater management; and e) limited alternatives to fossil fuel transformation options.

The long-term solution consists of Costa Rica transitioning to an urban green economy and achieves decarbonization in the GAM through fiscal and policy reform and sustainable integrated urban planning. It is urgent that Costa Rica

[8] MIDEPLAN, 2010.

[9] State of the Nation Report (2017).

[10] González-Ball, R., Bermúdez-Rojas, T., & Romero-Vargas, M. (2017). Floristic composition and richness of urban domestic gardens in three urban socioeconomic stratifications in the city Heredia, Costa Rica. Urban Ecosyst , 20:51–63.

[11] Costa Rica 2019: 2do. Informe Bienal de Actualización ante la Convención Marco de Naciones Unidas sobre el Cambio Climático. Primera Edición.

[12] Fifth National GHG Inventory, 2012.

aligns both environmental and economic policies and transforms the GAM from a city that generates the largest amount of GHG emissions in the country and threatens urban biodiversity and nearby KBAs, into an innovative urban center that harbors inclusive growth and generates global environmental benefits (GEBs) and improves the quality of life of its inhabitants. However, there are currently multiple barriers that prevent the achievement of this goal.

Lack of integration in urban planning and multilevel institutional coordination	Costa Rica's urban centers, including the GAM, lack the financial, political, and / or technical resources to adequately address the pressures of urban growth and multiple competing priorities. Despite attempts to address the challenges faced by cities, institutional, financial, and legal limitations persist as well as deficient structural conditions that result in uncoordinated efforts and that fail to involve the different urban stakeholders in the design of sustainable cities. Traditionally, urban planning has been based on isolated efforts through land use plans at the municipal level, without a comprehensive or regional approach, which in the case of GAM is a great challenge since it is made up of 31 municipalities. Platforms are needed to bring together key municipal-and national-level stakeholders, the private sector and civil society with an interest in urban planning to foster a technical and political dialogue to solve the environmental challenges that cities face, including the need to reduce GHG emissions and the conservation of urban biodiversity. Furthermore, urban planners lack the training necessary to promote sustainable integrated urban planning, including urban decarbonization and greening, as well as to monitor land use changes and manage information for decision-making.
Limited investments for the conservation, restoration of land and the development of resilient and inclusive cities	The Biodiversity Financing Initiative (BIOFIN) Costa Rica project identified an annual gap (pre COVID) of USD 50 million in investment in biodiversity conservation. Given that investments for the conservation of biodiversity at the national level have traditionally prioritized rural areas over urban areas and the existing financial gap, within a context of a high national fiscal debt and the COVID pandemic 19, municipal governments face difficulties in investing in the development and expansion of interurban biological corridors (CBI) and for restoring lands in urban areas that are highly susceptible to climate change and variability, as is the case with the GAM. Additionally, efforts for participatory planning for the management of the “green” infrastructure and IUBCs using a gender perspective are lacking. Likewise, there are few investment opportunities to promote sustainable mobility and the improvement of the water quality of the rivers that cross the urban centers and that are affected by uncontrolled discharges of wastewater and solid waste.
Insufficient financing and participation of the production and service sectors to implement sustainable urban solutions	According to the National Decarbonization Plan, more than half of the investments needed for its implementation (sustainable mobility, wastewater management, and energy) must be made between the years 2020 and 2030; by 2025, at least 20% of the investments planned to reach the Plan's goals should have been completed. Cities in Costa Rica, including the GAM, are having difficulty to secure the financing necessary to meet the demand for sustainable low-carbon infrastructure; business models under different business figures and innovative financing are required to achieve decarbonization goals. In addition, municipalities lack new financing instruments and the necessary information to promote the conservation and restoration of urban ecosystem services, which would allow the implementation of circular economy models and develop initiatives for solid waste management, among others needs. The investment of the private sector in bio-businesses for the maintenance of urban ecosystem services and the restoration of IUBCs, in the sound management of solid waste and sewage and fecal sludge, and in sustainable mobility is limited; there is a need to establish public-private partnerships and the participation of micro and small businesses to promote sustainable urban solutions.
Lack of learning opportunities at the national level based on experiences from other cities around the world,	There is little participation of decision makers and planners in global platforms that promote sustainable cities and it is necessary to establish synergies with the Global Platform of the Sustainable Cities Impact Program (SCIP-GP) to exchange knowledge and learn about solutions and good practices in other cities outside of Costa Rica so that results can be replicated and the impact of sustainable integrated urban planning can be scaled-up. Most of the training available is based on a limited supply and does not necessarily meet local

exacerbated by the COVID-19 pandemic	needs. At the national level, there are few mechanisms to systematize and disseminate knowledge and lessons learned in such a way that successful experiences can be replicated and expanded in other cities in the country. This barrier could be exacerbated by the COVID-19 pandemic given the existing limitations for travel between cities and countries. This implies that there may be limited participation of project stakeholder in some of the knowledge exchange and learning activities that that could only be carried out remotely.

Costa Rica is strategically positioned to advance sustainable urban planning. The proposed response to this challenge is consistent with the National Urban Development Policy (NUDP) 2018-2030 and Action Plan 2018-2022, which aim at ensuring that cities implement the sustainable urban development approach of the New Urban Agenda, agreed at the United Nations Conference Habitat III and the Sustainable Development Goals of Agenda 2030. The NUDP has five strategic lines with which the project is aligned: 1. Effective and efficient urban planning; 2. Mobility, transport and urban structure; 3. Universal access to public and recreational services; 4. Governance in the administration of cities; and 5. Education and participation for well being in cities. In addition, the NUDP is articulated with the National Climate Change Strategy, which include actions aimed at reducing emissions and mitigating climate change in urban settings. Costa Rica has made an international commitment to become carbon neutral by 2021; the 2018-2050 National Decarbonization Plan constitute a State-level commitment to strengthen capacities of municipal and city governments on carbon sustainability nationwide. The National Development Plan 2019-2022 includes actions to address unsustainable policies so that they are conducive to greening the economy, to strengthen capacities to reduce emissions from transport, energy, industrial, and waste management sectors, and for transforming the public transportation system into an efficient electric system.

The project is consistent with the National Biodiversity Policy 2015-2030 for Costa Rica, which highlights the need to improve biodiversity by safeguarding ecosystems, species, and genetic diversity; increasing the benefits of biodiversity and ecosystem services for the population; integrating biodiversity in productive seascapes and landscapes; and reducing the urban environmental footprint and improving implementation through participatory planning, knowledge management, and capacity-building. The National Biodiversity Strategy (2016-2025) has prioritized the following themes (four out of eight priorities), which directly relate to the proposed project: a) the need to increase biodiversity resilience through connectivity, restoration of riparian forests, and other threatened ecosystems that provide essential services (in strategic productive landscapes and seascapes as well as urban development); b) integrate biodiversity in landscapes and seascapes and under priority sectors (e.g., industry, water management, and finance); c) strengthen ecosystem services into spatial planning and accumulated impacts, including the reduction of the urban footprint; and d) strengthen biodiversity-related information for decision-making and law enforcement, including the development of land use monitoring systems.

In addition, Costa Rica's National Climate Change Strategy (ENCC-2010) and the Nationally Determined Contribution (NDC 2016) include actions aimed at reducing emissions and mitigating climate change in urban environments The ENCC and its Action Plan has as its main objective to achieve carbon neutrality by 2021. This means working with the transportation, energy, industrial, and solid waste sectors. Both the ENCC and the NDC include emission reduction recommendations focused on the urban transport and energy sectors, which will be addressed in the project. The National Adaptation Policy prioritizes work in cities and favor the development of urban biological corridors and the National Biodiversity Policy 2015-2030 highlights the need to safeguard biodiversity of urban landscapes and to reduce the environmental footprint of cities.

IV. STRATEGY

The project objective is to achieve decarbonization in the GAM through fiscal and policy reform and sustainable integrated urban planning. To achieve the project objective five interrelated components have been defined that will allow evidence-based policy reform for a green economy and sustainable integrated urban planning (Component 1), that will serve as the basis for sustainable integrated low-carbon, resilient, conservation, and land restoration investments (Component 2) and Innovative financing and scaling-up (Component 3) in the GAM (see Annex 12 [1] for a description of the prioritized landscape). Solutions, best practices, and lessons learned that will result from this strategy will be systematized and shared in order to promote knowledge exchange, capacity development, and

partnerships in Costa Rica and globally (Component 4), and to support monitoring and evaluation (M&E) and the adaptive management of the project (Component 5):

Component 1. Evidence-based policy reform for a green economy and sustainable integrated urban planning

Component 2. Sustainable integrated low-carbon, resilient, conservation, and land restoration investments

Component 3. Innovative financing and scaling-up

Component 4. Advocacy, Knowledge Exchange, Capacity Building, and Partnerships

- Component 5. Monitoring and evaluation (M&E)

Component 1 will develop an enabling legal and institutional framework so that local and national governments have strengthened institutions, processes, and capacities to undertake evidence-based policy reform and for sustainable integrated planning in the GAM. Two existing platforms will be strengthened (Multilevel Technical Roundtable [MTR] for Transport-Oriented Development for the Metropolitan Electric Train [MET] and the Comprehensive Management Commission of the Río Grande de Tárcoles Watershed [CMCRGT]) as a space for technical and political dialogue to define plans, milestones, and decision-making mechanisms to transition to an inclusive green economy, sustainable and integrated urban planning, and in line with municipal policies. The MTR-MET will be supported by a digital platform to better coordinate and support evidence based planning; the digital platform will be hosted by the Ministry of Housing and Human Settlement (MIVAH), which is the coordinator of the MTR ensuring its sustainability. This component will also develop and implement the Sustainable Regional Urban Renovation Plan that covers the 20 prioritized municipalities, 15 of them joined together by MET and 5 within its area of influence, designed to consolidate green public spaces, green urban areas, interurban biological corridors (IUBCs), and sustainable mobility in the municipalities of the GAM connected by the MET and the provision of ecosystem services, through the restoration and conservation of public and private green spaces, considering citizen security and inclusion. In addition, Component 1 will develop seven legal reform proposals in a consultative manner so that Costa Rica advances towards a green economy and sustainable integrated urban planning, and which will be presented to the Legislative Assembly for its consideration. This will be complemented with a proposal for reforms/institutional adjustments of the environment, land use, and transportation sectors, and a municipal and institutional training program implemented with a gender perspective, to enable the desired change. Finally, monitoring indicators related to the management of the green areas and IUBCs will be defined in coordination with National System of Conservation Areas (SINAC), responsible for the implementation of the National Ecological Monitoring Program (PRONAMEC), so that indicators and protocols related to the state of biodiversity in urban areas are available.

Component 2 will allow that local and national governments have undertaken sustainable integrated low-carbon, resilient, conservation, and land restoration investments in the GAM y and delver GEBs. Restoration actions in critical urban areas will build resilience of vulnerable urban populations and contribute to the mitigation of climate change. The selection of sites to restore will be done through a multi-criteria spatial analysis at the landscape and site scale; restoration and conservation activities will be implemented through strategic partnerships with key urban stakeholders and will contributing to consolidating green public spaces, green urban areas, and IUBCs. Component 2 will also develop participatory plans for the management of the green urban spaces by municipality, with a gender approach, for the conservation of the existing urban green spaces and the implementation of the management plans of the IUBCs. Through investments in sustainable mobility such as bike-friendly bridges, cycle paths, shared-use paths, pedestrian routes with green areas, and improvements in green sidewalks, and working in coordination with the municipalities prioritized by the project, this component will also contribute to reducing GHG emissions and achieving decarbonization. In addition, partnerships will be established with different stakeholders interested in investing in public infrastructure at the municipal level and that will allow expanding the coverage and the participation in sustainable urban mobility interventions. Finally, a pilot experience to improve water quality in the upper portion of two polluted urban watersheds within the GAM (Torres and Ma. Aguilar rivers) will allow the restoration of river protection areas and the control of irregular wastewater and solid waste discharges and will promote connectivity to the sanitary sewer system of a group of urban dwellings that are part of a community or neighborhood.

Component 3 will allow local and national governments initiate innovative financing and business models for scaling-up sustainable urban solutions. Economic analyzes will be carried out to facilitate the development of business models, under different innovative business and financing schemes, to achieve decarbonization and the delivery of GEBs in the GAM. Analysis of productive models of circular economy will lay the foundations for active mobility and the management of solid waste (e.g., plastics and organic waste), sewage, fecal sludge. The availability of new municipal financing instruments (such as assessment of property value, land value capture, improved mechanisms for charging for parking, adjustments for public works in the real estate tax, financing options for solid waste and wastewater management, charging for vehicular congestion, special contributions for investing in urban renovation and issuing green bonds) and the improvement in the efficiency of implementation of current economic instruments will allow: 1) the maintenance and restoration of urban ecosystem services such as groundwater recharge, restoration of connectivity in IUBCs, reduced heat island effect, food provision, pollination, and reduced water runoff, among others; 2) the implementation of circular economy business models and/or industrial symbiosis with a gender focus for sound solid waste management, fecal sludge management and wastewater, management and reuse; and 3) new ventures that favor micro- and small businesses, as well as community associative arrangements, for the use and transformation of solid (plastic and organic) and liquid waste, 4) and sustainable mobility as well. Innovative funding for the GAM will also include bio-business models formed from public-private partnerships (PPPs), micro and small businesses, and associations at the community level with a gender focus considering the following: a) management of sludge from the San José sanitary sewer system (Los Tajos Plant), through a PPP and with the participation of AyA; b) sustainable urban mobility through bike-train services with emphasis on the north and south lines of the GAM, done by a private operator or as a complementary operation to the MET concession; c) solid waste management (organic) for: i) municipal/industrial composting, and ii) construction of private green urban infrastructure such as green roofs and walls and public urban infrastructure through private enterprises; and d) recovery of plastic (PET / HDPE / PC) for recycling and reuse in consumer goods, or for use in the construction of roofs on boulevards, and public transport stations through community initiatives promoted by local governments in the GAM. A cost-benefit analysis of the implemented instruments and bio-business models will allow determining the impact of the proposed measures on the restoration of ecosystem services, on the environment, and their the economic and social benefits. Finally, the implementation of a technical assistance program for companies that work in bio-businesses will facilitate access to markets and replicability at scale.

Component 4 will share solutions and best practices with the Sustainable Cities Impact Program Global Platform for Sustainable Cities and other global events and communities of practice. An information and knowledge exchange platform will be established at the national level to increase awareness about sustainable integrated urban planning. The national information exchange platform will be coordinated by MINAE with the support of multiple public and private stakeholders with an interest in decarbonization and sustainable integrated urban planning, including women's organizations. Through a public campaign, the platform will be publicized and a user guide will be developed for easy access and exchange information. The national platform will be linked to the SCIP Global Platform to provide its registered users the opportunity to exchange information and experiences on more sustainable and resilient cities worldwide. To share international methods and lessons learned on sustainable cities, Component 4 will implement a learning and communication strategy mainly through the SCIP-GP, which is a global space for dialogue and support. The project will make use of the training and learning products offered by SCIP Global Platform, which will benefit urban professionals in Costa Rica, and municipal technicians and local decision-makers, including women. The project team may request strategic support from the SCIP-GP to implement national activities, the exchange of experiences between key urban stakeholders including through peer-to-peer learning, and to access external financial opportunities. This component will also allow the implementation of the project's Gender Action Plan and the Comprehensive Stakeholder Participation Plan, and the development of other plans associated with UNDP's environmental and social standards and based on an Environmental and Social Management Framework [ESMF]).

Component 5 will allow the implementation of the project's Monitoring and Evaluation (M&E) Plan. Project implementation will be kicked off through a project inception workshop. The M&E plan will allow updating indicators in the project results framework and will also be used to support adaptive management, so that the experiences that result during implementation of the activities may be integrated into the annual project programming

The project strategy, with impact at the national level, will be implemented to allow Costa Rica to achieve decarbonization in the GAM by prioritizing 20 municipalities (see Annex 2) through fiscal and policy reform and

sustainable integrated urban planning that will deliver GEBs. This will be achieved with equal and effective participation by men and women, so that men and women benefit equally from the project and that the concerns and experiences of the women involved are an integral part of the implementation and M&E of the project. The GEBs to be delivered are:

2,000 ha of land restored

17,402 ha of landscapes under improved practices

1,947,539 tCO_2-eq mitigated in 20 years (refer to Annex 12[2] for estimations of avoided GHG emission reductions)

Improved quality of habitat for endemic and threatened urban species

- 2,134,932 direct beneficiaries (1,067,466 women, 1,067,466 men)

The planned transformation of urban systems is aligned with the GEF7 Sustainable Cities Impact Program (SCIP). The project was designed following the guidance of SCIP, it follows its Theory of Change and is aligned with the results framework at the program level and will contribute to the achievement of program indicators.

The project design assumes that there will be the various public and private stakeholders to strengthen governance at the national and local level, as well as inter-institutional and intersectoral coordination to carry out evidence-based policy reform for a green economy and sustainable integrated urban planning for the GAM. A transformation of urban systems is envisaged to mitigate the pressures on the urban environment from the transport, industrial, manufacturing, services, and solid waste and wastewater management sectors, through a legal reform that aligns economic and national and municipal policies with national decarbonization goals, while contributing to the transition to an urban green economy. In addition, it is assumed that financial resources and institutional and local capacity will be available in a timely manner for the implementation of integrated sustainable low-carbon, resilient, conservation and land restoration actions in the GAM, as well for investments in sustainable mobility that will contribute to reduce GHG emissions and achieve decarbonization. In addition, it is expected that there will be interest on the part of the private sector to invest and engage in businesses to expand sustainable urban solutions that will generate environmental and social benefits, as well as increase green growth and social well-being (with equitable economic benefits for men and women) while decoupling resource extraction and use.. Furthermore, climate variability is expected to be within ranges that do not significantly affect the project outcomes. These conditions will facilitate the change necessary to overcome the identified barriers that currently prevent Costa Rica from moving towards a green economy and achieving decarbonization in the GAM through fiscal and policy reform and sustainable integrated urban planning. This project Theory of Change (Figure 1) is aligned with SCIP' Theory of Change along four main pathways of change to: a) strengthen the institutions, processes and capacities of local and national governments to undertake evidence-based sustainable integrated planning and policy reform; b) local and national governments make sustainable integrated low-carbon, resilient, conservation or land restoration investments; c) local and national governments initiate innovative business and financing models to scale up sustainable urban solutions; and d) influence the formulation of policies and actions at the local, regional and national levels to advance the urban sustainability agenda. This project will contribute to each of these outcomes by promoting the desired legal and institutional change and that will allow promoting sustainable urban planning in 20 municipalities of the GAM that are crossed by the MET and where there is high potential for restoration of degraded and vulnerable urban green areas, and to promote ecosystem connectivity through the consolidation of IUBCs.

In addition, the project's strategy includes actions to address objectives of the GEF Biodiversity (BD) Focal Area Strategy and the Climate Change (CC) Focal Area Strategy. More specifically, the project is framed within BD Objective 1-1: Mainstream biodiversity across sectors as well as landscapes and seascapes; Objective 1 of Climate Change Mitigation (CCM-1-2): Promote innovation and technology transfer for sustainable energy breakthroughs for electric drive technologies and electric mobility; and Objective 2 of Climate Change Mitigation (CCM-2-5): Demonstrate mitigation options with systemic impacts for sustainable cities impact program. The project is also part of the UNDP's effort to support Costa Rica's progress towards achieving Sustainable Development Goals (SDGs). Accordingly, the project will contribute towards achievement of the following SDGs: 5 (Gender equality), 6 (Clean water and sanitation), 9 (Industry, innovation and infrastructure), 11 (Sustainable cities and communities), 12 (responsible consumption and production), 13 (Climate action); 15 (Life on land), and 17 (Partnerships for the goals). Finally, the project is aligned with the United Nations Development Assistance Framework (UNDAF) 2018-2022 for Costa Rica, in particular with Strategic Priority 1- Strengthened capacities of public institutions, private organizations

and civil society to facilitate and forge national, innovative, transformative and dialogue-based pacts and agreements, in order to accelerate the fulfillment of the SDGs for a sustainable development with equality.

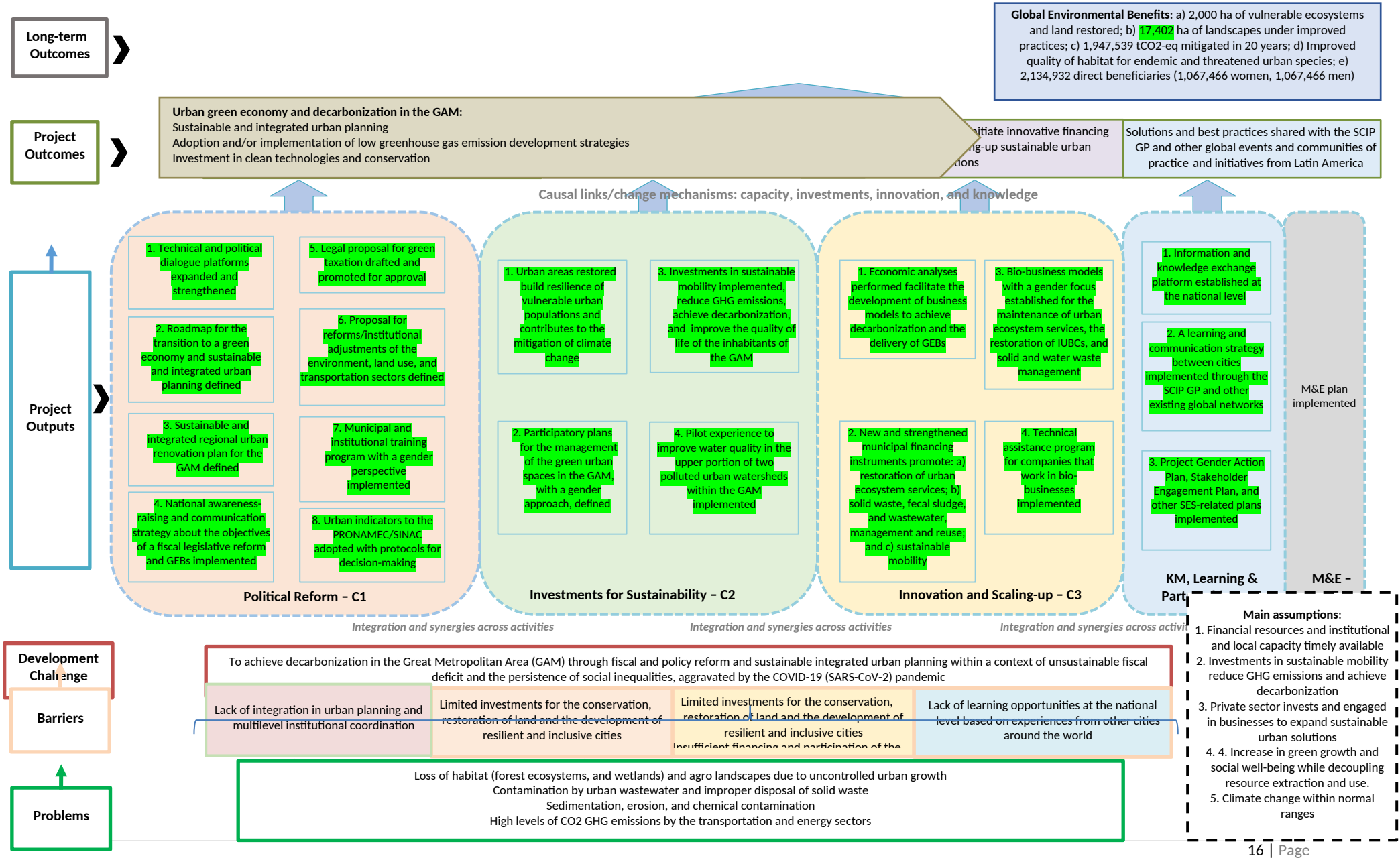


Figure 1. Theory of Change

V. RESULTS AND PARTNERSHIPS

Expected Results:

Component 1: Evidence-based policy reform for a green economy and sustainable integrated urban planning

Outcome 1.1: Local and national governments have strengthened institutions, processes, and capacities to undertake evidence-based policy reform and for sustainable integrated planning in the GAM

Output 1.1.1 Technical and political dialogue platforms, including the Multilevel Technical Roundtable for Transportation-Oriented Development for the Metropolitan Electric Train (MTR-MET) and the Comprehensive Management Commission of the Río Grande de Tárcoles Watershed (CMCRGT), expanded and strengthened with plans and decision-making mechanisms to transition to an inclusive green economy, sustainable and integrated urban planning, decarbonization, and to coordinate actions with other related platforms and supported by a digital platform to better coordinate and support evidence based planning.

The project will strengthen two existing platforms with a regional perspective: MTR operating as a platform in the MET and the CMCRGT area of influence. This will allow coordinating the implementation of actions with technical staff and the institutional, municipal, political, and private sectors, among others, to transition to a green economy including decarbonization in 20 municipalities within the GAM.

First, mechanisms for coordination and working jointly will be defined between the project and the MTR to create work plans, milestones, and steps to fulfill the actions outlined in the MTR 2025 Strategic Plan. As such, the role of MTR will be expanded, technical weaknesses will be resolved, and the gaps mentioned in the Plan will be reduced (e.g., absence of a legal instrument to support it, lack of an organizational structure and reduced capacity of municipal technical staff to make progress, etc.). This will be achieved through the following actions: a) legal support will be provided to the MTR under a resolution or decree (decision or mandate issued by the Executive Power), as well as legal advice for the application of regulations and laws associated with the objectives, activities, and projects; b) the organizational structure of the MTR will be defined to ensure adequate governance and sustainability over time; c) an update of the 2018 Inter-municipal Cooperation Framework Agreement (commitment between mayors of the 15 municipalities in the MET area of influence for the construction of urban-territorial planning guidelines and the development of complementary infrastructure to the MET project)— this is due to the partial renovation of the political structures that occurred in May 2020 within the municipalities; d) socialization of the achievements resulting from executing different plans and outputs (e.g., land use planning instruments that are focused on transport-oriented urban development, as well as development of public and private, local and sub-regional public transportation system projects in the areas of influence, etc.) establish the Strategic Plan through communication campaigns, meetings, and presentations; and e) incremental development and processing of layers of information (e.g., register, land use, statistics, etc.) of the GAM to inform decision-making.

The MTR will be strengthened with technical and communication instruments to become the structure that coordinates actions for sustainable mobility, urban renewal, and biodiversity conservation. In addition, the MTR will be expanded beyond the municipalities associated with the MET (Alajuela, Flores, Belén, Heredia, San Pablo, Santo Domingo, Tibás, San José, Curridabat, Montes de Oca, Goicoechea, La Unión, Cartago, Oreamuno, and Paraíso) to include the five additional municipalities (Desamparados, Alajuelita, San Rafael, Santa Bárbara, and Barva). This process will be achieved by developing regulations for its operation, as well as guidelines for municipal use (e.g., use of public spaces, development of green infrastructure, improvement of ecosystem services and participatory design, etc.). The creation of financial and management instruments for the MTR will be supported. It is expected that the

MTR becomes an actor that generates political influence for decision-making. For this, the MTR will become a link with the political sector and there will be a technical-political approach with the current stakeholders (municipalities and key institutions: Ministry of Housing and Human Settlements [MIVAH], Costa Rican Institute of Railways [INCOFER], National Institute of Housing and Urban Development [INVU], Ministry of Environment and Energy [MINAE], Ministry of Public Works and Transportation [MOPT], Institute of Development and Municipal Advisory [IFAM], National Union of Local Governments [UNGL], among others) to coordinate and standardize criteria in the new role of the MTR

The project will create a digital platform to better coordinate and support evidence-based planning to cover multiple integrated elements of urban sustainability under this project and other initiatives. Currently, this type of platform does not exist. This tool, which will contribute to strengthening the MTR-MET will include, among other things, geospatial information about urban restoration projects, information about recycling and waste management services according to the location of platform users, a central repository of information and guidance documents, and other elements to be defined through the project. The Ministry of Housing and Human Settlement (MIVAH), which coordinates the MTR[13] will host the digital platform and operate the server. The MIVAH will assume the costs of operating and maintaining the platform after project completion, thereby ensuring its sustainability. Multiple institutions and stakeholders participate in the MTR, such as national government agencies linked to urban planning, transportation, land management, and land use (e.g., MIVAH, INVU, IFAM, INCOFER, MOPT, Ministry of Finance, MIDEPLAN, National Registry, MINAE, and CONAPDIS); local government offices represented in the 15 municipalities that are part of the Electric Train project right-of-way; the UNGL and the ANAI; real estate associations and councils; and cooperation agencies and academia. Therefore, the potential impact of the digital tool in promoting better coordination and evidence-based planning is significant.

In addition, assistance and collaboration will be provided to the CMCRGT, created through vote 5894-07 of April 27, 2007 by the Constitutional Chamber. It obliges public institutions around the Río Grande de Tárcoles Watershed to adopt actions in an integrated manner to eliminate the sources of contamination throughout the watershed and restore the resulting environmental damage (e.g., National System of Conservation Areas [SINAC], Ministry of Health, National Company of Power and Light [CNFL], National Service of Groundwater, Irrigation, and Drainage [SENARA], among others, and 37 municipalities [17 of them prioritized by this project: La Unión, Curridabat, Montes de Oca, Goicoechea, Tibás, San José, Desamparados, Alajuelita, San Rafael, Santa Bárbara, Flores, Barva, Santo Domingo, Belén, Heredia, San Pablo, and Alajuela]). The project will systematize the lessons learned from management performed since its creation and will support rethinking a new phase of work that impacts the conditions of the Río Grande de Tárcoles Watershed. This process will include technical assistance and an analysis of the strengths and weaknesses associated with the work that the CMCRGT has performed to date. This will be the basis for initiating a work plan comprising collaborative actions, which include: a) coordination of actions in a comprehensive manner and with a regional vision for the management of natural resources and waste reduction that contributes to decarbonization; b) watershed management and environmental quality management integrated into sustainable development and as part of sustainable and integrated urban planning; c) environmental sustainability as a basis for participatory processes; and d) consideration of the environment to expand socioeconomic articulation, and compatibility with other strategic planning alternatives, integrating regional planning, or municipal land use planning.

The CMCRGT will be strengthened with the development management instruments (i.e., regulations and mechanisms for coordinating actions between municipalities, institutions, and sectors to progress in actions for cleanup and reduction of contamination caused by waste in the Tárcoles River Watershed). These instruments will facilitate the implementation of environmental actions by the CMCRGT and to coordinate efforts for the transitioning

[13] (http://www.mivah.go.cr/Desarrollo-Urbano-Transporte.shtml)

to a green economy and for sustainable integrated urban planning. Likewise, these instruments will document and measure the joint progress of the GAM municipalities prioritized by the project and the CMCRGT towards this goal.

These two strengthened dialogue platforms should monitor compliance with the different public policies on issues addressed by the project. In addition, coordination actions between MTR and CMCRGT will be defined for a decarbonized, ecologically restored GAM that provides better living conditions for its inhabitants. These actions will include periodic coordination mechanisms such as meetings and information exchanges in line with the Comprehensive Stakeholder Participation Plan (refer to Annex 8), so that the MTR and the CMCRGT can provide their perspectives in support of advancing progress through technical and political dialogue to achieve the project's objective. Likewise, mechanisms around gender equity and social issues will be incorporated into both platforms to mainstream the gender approach within the actions carried out by the MTR and the CMCRGT, as established in the project's Gender Action Plan (refer to Annex 10).

1. Coordination will take place with other ongoing initiatives such as: a) the *MUEVE* Project (*Sustainable mobility*, *Urban Planning*, *Equipment and Assessment of Public Space)* that promotes comprehensive urban development oriented to transportation in 15 municipalities in the MET's area of influence (executed by the UNGL from 2020-2025); and b) the *MiTransporte* project that supports the Government of Costa Rica in the implementation of GHG reduction measures in the transport sector in municipalities of the San José Metropolitan Area and the GAM, which is currently being executed by the German Agency for International Cooperation (GIZ), Directorate of Climate Change, MINAE, and MOPT (projected to end in 2021). This coordination processes will be carried out through group presentations and workshops, technical documents, progress reports, meetings, and personal communications, among others. In addition, actions under this output will be connected to the SCIP Global Platform, more specifically through National Dialogues in which the SCIP GP could complement the dialogue platforms proposed by the project by bringing in international experts; and through the SCIP Labs on Strategic Urban Planning, in which the SCIP Lab workshops could be organized around central project themes, for example: land use, IUBCs or Transit-Oriented Development (TOD) in the electric train's area of influence, using the multi-sectoral and multi-agency format that the technical roundtables have.

Finally, the results and lessons learned with the MTR and the CMCRGT will be systematized as inputs for technical and political dialogue to promote the processes for transitioning to an inclusive green economy, sustainable and integrated urban planning, decarbonization, and improvement of ecosystem services within the GAM. An analysis of the results, progress, and lessons learned from the work carried out, will be performed considering aspects such as th management of actions, improvement in capacities, achievement of goals, among others.

Output 1.1.2 Coordinated and participatory roadmap for the transition to an inclusive green economy and sustainable integrated urban planning, including decarbonization and greening is defined based on an analysis of legal, political, institutional, technical, and fiscal barriers, and approved by the government through public policy.

The project will develop a coordinated and participatory roadmap for the GAM for the transition to an inclusive green economy and sustainable and integrated urban planning. It will address the legal, political, institutional, technical, and fiscal barriers identified as part of the GEF Project Preparation Grant (PPG) and that currently limit the transition to a decarbonized economy. The roadmap will acknowledge the structural fiscal crisis in the country and the social and economic context of the COVID-19 pandemic that affects a large part of economically active and vulnerable populations (e.g., women, informal workers, households in poverty and people with a lower educational levels). In addition, it will take advantage of the opportunities that the country presents for economic and social recovery oriented to a green economy and resilience-building strategies, focused on clean energy, ecological recovery, including investments in sustainable, inclusive, resilient, low-carbon pathways, and solutions based on nature and a circular economy.

The roadmap for the GAM will be developed in a participatory manner and will define actions in the short-, medium-, and long-term to move towards a decarbonized economy as an opportunity to reactivate the economy affected by the COVID-19 pandemic with a gender perspective. The roadmap will include in detail the objectives, strategies, actions, schedule, roles, responsibilities, and governance mechanisms for the transition; additionally, it will frame a planning horizon linked and sustained in the National Decarbonization Plan to achieve its goals (2025, 2030, and 2050). The goals include: transformation and development of mobility systems for GHG reduction; integrated waste management system based on the separation, reuse, revaluation, and final disposal of maximum efficiency and low emissions; consolidation of a management model for rural, urban, and coastal territories that facilitates the protection of biodiversity; increase and maintenance of forest cover and ecosystem services based on nature-based solutions; aspects of strategic density, transit oriented development, and circular economy among others. In addition, it will integrate the SDGs of the 2030 Agenda and including the various stakeholders in a participatory manner: political and private sectors, central government, municipalities, and dependents of a carbonized economy (i.e., sectors linked to the transportation and fuel sector, among others). Additionally, the roadmap for the transition towards an inclusive green economy and sustainable and integrated urban planning will be in line with the provisions of the project's Gender Action Plan (refer to Annex 10).

Finally, the roadmap will be socialized and validated with all the identified stakeholders (e.g., political and private sectors, central government, municipalities, citizens, among others) through meetings and personal communications, technical documents, proposals, and group presentations, etc. The implementation of the roadmap will be made possible through the approval of one or more political-legal instruments (based on a ministerial directives or decrees issued by the Executive Power), with the participation of different government institutions such as MINAE, MOPT, Ministry of National Planning and Economic Policy (MIDEPLAN), MIVAH, and INVU.

Output 1.1.3 Sustainable and integrated regional urban renovation plan for the GAM defined, includes: a) Development of a Sustainable Regional Urban Renovation Plan, designed to consolidate green public spaces, green urban areas, IUBCs, and sustainable mobility (by the different modalities) and to be integrated into the Municipal Regulatory Plans, and b) Development of an urban green strategy to restore and conserve public and private green spaces for the provision of ecosystem services in the GAM, which considers citizen security and inclusion, and Urban Natural Parks (PANU) as a new management category proposed by MINAE.

In order to develop and implement a sustainable and integrated regional urban renovation plan for the GAM, a geospatial analysis on the land use and cover for the GAM in the area of the 20 prioritized municipalities should be carried out both at the beginning and the end of the project. The project will coordinate with the SCIP Global Platform/ SCIP Labs to conduct workshops on strategic urban planning and to share information regarding the geospatial baseline that will be developed for participating cities in the SCIP. This will initially be delineated with the urban vegetation line (green line), with infrastructure depicted in gray, and at the end of the project as a tool to measure the project's impact and the changes in coverage of the green area and IUBCs that will be strengthened through Component 2. High-resolution images (30 cm) will be used through World View for this purpose. This analysis will be essential to provide all the planning processes carried out in Component 1 with high-resolution geospatial information. Per UNDP Environmental and Social Standards (SES)[14], the potential social and environmental

[14] UNDP's Social and Environmental Standards (SES) underpin UNDP's commitment to mainstream social and environmental sustainability in its Programmes and Projects to support sustainable development. The SES strengthens UNDP's efforts to attain socially and environmentally beneficial development outcomes and present an integrated framework for achieving a consistent level of quality in UNDP's programming. The SES require that all UNDP Programmes and Projects enhance positive social and environmental opportunities and benefits as well as ensure that adverse social and environmental risks and impacts are avoided, minimized, mitigated and managed (Social and Environmental Standards. UNDP, 2014).

“upstream” impacts of the project proposals should be analyzed. To achieve this, a Strategic Environmental and Social Assessment (SESA) will be required in the line with the ESMF (Annex 9) related to the development of a sustainable and integrated regional urban renovation plan for the GAM.

The areas for urban renovation will be identified through joint action and in an integrated manner with each of the 20 municipalities (*15 of them joined together by MET and 5 within its area of influence)*; the scope urban renovation is the greening of the urban environment through the consolidation of green public spaces, green urban areas, and IUBCs, and by promoting sustainable mobility. This will include mapping the areas with potential for urban renovation and justifying the reasons for the renovation for each of the areas. This activity will be carried out in coordination with the efforts and identification processes that already exist within the municipalities through their Regulatory Plan (e.g., local planning instrument that defines the distribution of the population, land uses, traffic routes, construction, conservation, and rehabilitation of urban areas, among others) or other ongoing efforts to identify areas with potential for urban renovation. In addition, the mapping that has already been made within the MTR will be considered (i.e., maps identifying areas for urban renovation already defined in the municipalities of Curridabat, La Unión, San Pablo, Cartago, San José, Paraíso, Heredia, Flores, and Belén) and that are in process (e.g., Oreamuno, Montes de Oca, Goicoechea, Tibás, Santo Domingo, and Alajuela) that were documented during the PPG phase. In addition to geospatial analysis that will be carried out at the beginning of the project, the justifications already established for urban renovation in the INVU Urban Renovation Regulation will be considered (i.e., risk due to natural hazards, deficient or non-existent infrastructure, deficient or non-existent areas of parks and communal facilities, environmental protection of natural resources, presence of informal settlements, presence of irregular settlements or uninhabitable structures, presence of architectural or intangible heritage, inadequate urban fabric, and urban revitalization).

An analysis of the areas will be performed for urban renovation, which will include general characteristics of the area, a topographic survey, accessibility, security, current conditions, social and demographic characteristics of the resident population, among others, as well as the type of intervention will be performed. This will facilitate the identification of the existing geographic, urban, and social conditions, as well as the definition of the different types of intervention according to that established under the INVU Urban Renovation regulation (rehabilitation, regeneration, remodeling, and conservation). This survey will use qualitative and quantitative tools with a gender perspective such as mapping, topographic and land use surveys, as well as in-depth interviews with citizens and workshops, among others.

The Sustainable Regional Urban Renovation Plan for the 20 municipalities will be developed to include specific actions per municipality, together with all stakeholders involved and through participatory process. The plan will include: a) urban renovation actions identified and proposed within the context of the COVID-19 pandemic effects within each municipality; b) local and regional mapping; c) development of the plan including components, strategies, a description of proposed urban-architectural actions to be implemented. The plan will also integrate the processes established in Output 1.1.1, wherein the coordination mechanisms with other projects currently being executed will be defined, such as the Subregional Plan for Transit-Oriented Development (TOD) in the area of influence of the 15 MET municipalities that are contemplated in the *MUEVE* project.

The strategies and dimensions of the Sustainable Regional Urban Renovation Plan, as well as its land use proposal with the MTR, will be presented and validated before the municipalities, citizens, the private sector, institutions, and community associations, among others. Participatory processes will be employed (group presentations, workshops, among others) to facilitate provision of details about the objectives, strategies, and dimensions proposed for each of the municipalities within the plan. In addition, the prioritization of actions in the short-, medium-, and long-term will be presented, as well as the steps to follow the negotiations for the implementation phase of the plan.

The project will develop an urban green strategy to restore and conserve public and private green spaces for the provision of ecosystem services in the GAM, which will complement the Sustainable Regional Urban Renovation Plan

by defining the approach to be used to ensure that this Plan effectively considers sustainability and the greening of urban spaces. To develop the strategy, firstly it will be necessary to define the responsibilities, actions, and scopes of the different competent officials in the management of the urban green area, in coordination with the municipalities so that the municipalities planning of the urban green area is considered as part of a comprehensive strategy. This will include the municipalities as responsible for urban green areas and parks, the MOPT as responsible for the urban green area in the tree-lined streets and avenues, SINAC as responsible for protected areas (PAs), and INCOFER as responsible for the rail line. As such, this will facilitate the integrated construction process that is desired. In addition, the actions indicated in Output 1.1.1 related to the MTR and the CMCRGT will be considered as platforms to facilitate coordination.

Similarly, actions already carried out within the framework of the UNDP-GEF 6 Project *Conserving biodiversity through sustainable management in production landscapes in Costa Rica* (GEF ID 9416) - such as working in PAs in urban riparian areas, associations with municipalities for improvements and development of urban parks and community and municipal urban gardens in the Rio María Aguilar Interurban Biological Corridor (CBIMA)[15] -that will serve as the basis for s upscaling initiatives within the GAM carried out by the project proposed herein as part of GEF 7.

Second, support will be provided to the creation of a regulation (municipal regulations) for the integral management of the urban green area, including urban forests and trees, so that they are framed within the Green City Concept. This action is in response to the non-existence of a regulation on conservation of urban trees. The progress made by the INVU - Municipality of San José - CNFL (Regulation of Urban Municipalities Tree-Planting and Reforestation of Green Zones and Protection of the Municipality of Belén) will be taken into account to normalize the tree-planting and management of trees in the public urban space. This regulation will be created at the lowest appropriate level (from local governments in coordination with their environmental managers and legal representatives, and institutions: INVU, CNFL, SINAC), so that it may include issues such as the regulation of the use of different species of flora, protocols to integrate sidewalks, power lines, streets, and other urban components to the forest cover, as well as the use of materials that allow infiltration and porosity in the urban surface.

Finally, the urban green strategy will be developed in an integrated and participatory manner with the municipalities to allow the restoration and conservation of public and private green spaces for the sustainable provision of ecosystem services in the GAM and will include the identification of the existing green areas to conserve, as well as areas e in need of restoration. The strategy will be included in an Executive Decree: The creation and regulation of the management category called PANU (Decree N° 42742-MINAE), which has as its objective to preserve public and private geographical areas located within urban areas, which have terrestrial and coastal ecosystems of scenic, biological, recreational, and ecotourism value and whose importance lies in the need to protect and conserve its biodiversity.

The project will support SINAC to establish the first PANUs within the GAM through three main tasks:

Help identify areas that could be declared as PANUs within the GAM and the surrounding areas of biological importance. The project will provide technical support through a GIS expert and other technical staff to review the criteria established in the PANU and suggest viable options using spatial analyses.

Provide technical support to the SINAC commission to operationalize the process of establishing three new PANUs: La Colina (Desamparados-Curridabat) Parque del Este, Montes de Oca, and El Santuario in Belén. This will include writing a technical report containing biogeographical information, land tenure, design and government arrangements. The project will also support a consultation and validation process through participatory means.

[15] CBIMA comprises an area of 39,56 km^2 and represents 3.38% of the total area (1,169.40 km^2) of the 20 municipalities prioritized by the project.

Provide legal support services to draft the decree of creation of the three new PANUs.

The strategy will consider the initiatives and processes underway such as Green City, Ecosystem Services Atlas of the GIZ, and the UNDP-GEF 6 Project *Conserving biodiversity through sustainable management in the landscapes of production in Costa Rica* (GEF ID 9416). It will also be linked to Output 2.1.2, concerning participatory plans for managing the urban green area per municipality using a gender perspective.

Output 1.1.4 National awareness-raising and communication strategy builds awareness among the public and decision-makers about the objectives and desired effects of a reform in fiscal legislation that will make progress towards a green legislation, comply with the National Decarbonization Plan, and generate global environmental benefits.

The project will implement a national awareness-raising and communication strategy to create awareness among the citizens and decision-makers about the importance of legal and institutional reform for a green economy and its associated benefits. As a first step, the barriers that can impede or affect approval of the legal projects promoted by the project will be determined, in order to construct an awareness-building and communication strategy, seeking to provide effective information so that the decision-makers and the influential groups will favor, approve, and implement them. Barriers that could influence or affect legal reform geared towards green legislation and the legal proposals promoted by the project, such as opposition by different sectors, transition of Executive and Legislative Power in February 2022, low interest by the current government and legislative assembly, social and economic context affected by the COVID-19 pandemic, and the structural fiscal crisis, among others, will be analyzed. These will allow the building of a strategy with the objective to communicate the desired effects of green legal reform for all sectors of the population (officials, municipal councils, youth, women, environmental groups, the production sector [business chambers, micro-, small- and medium-enterprises - MiPyMEs], etc.) using various communication channels and mechanisms: traditional mass media (radio, television, and newspapers), printed and digital materials, website and social media, presentations, workshops, meetings, and personal communications. The strategy action plan will be constructed in an adaptive and collaborative way according to the priorities and needs that are identified during project execution. It will be aligned with the presentation of the laws proposed in Output 1.1.5, thus allowing concessions between the different sectors and political will for the implementation, advancement, and discussion of the proposed laws for green legislation (considering the transition period of the presidential elections and the new political representatives in the Legislative Assembly).

Finally, surveys and assessments related to the legal proposals will be carried out, during and after the implementation of the awareness-building and communication strategy. Different methods and mechanisms such as focus groups and surveys will be applied with a gender perspective to different sample groups based on the expected social sectors and populations (officials, municipal councils, youth, women, environmental groups, productive sector [business chambers, MiPyMEs], etc.). This will facilitate knowing the opinions and perception of all stakeholders about the proposed draft laws, as well as their objectives and desired effects. This activity will be carried out at different times during implementation of the strategy and in parallel with the presentation of the projects promoted in Output 1.1.5. A SESA will be required in the line with the ESMF (Annex 9).

Output 1.1.5 Legal proposal for green taxation drafted through consultation, presented and promoted for approval in the Legislative Assembly of Costa Rica.

The project will promote legal reform for Costa Rica to transition towards a green economy and sustainable integrated urban planning. As a first action, drafts of the bills will be prepared for discussion with the technical and legal areas of the corresponding ministries (Ministry of Finance, MINAE, Ministry of Health, among others) to be presented to the Legislative Assembly. Each bill incorporates the necessary studies, including a fiscal impact analysis and a cost-benefit analysis. This process will be carried out in the most participatory, comprehensive, and efficient way possible through meetings and personal communications, technical documents and proposals, and group

presentations. The process will incorporate the leading or governing institutions depending on the subject and the technical and legal departments of the ministries and above all, the Ministry of Finance. The reforms will be discussed with the candidates for president and deputies during the campaign for the elections for the constitutional period 2022-2026. The potential social and environmental "upstream" impacts of the project proposals should be analyzed. To achieve this, a SESA will be required in the line with the ESMF (Annex 9), wherein a range of analytical and participatory methods will be used to integrate social and environmental considerations into policies and to evaluate their interconnections with economic and social considerations. In addition it will identify potential adverse risks to improve sustainability in decision-making and the coordination prior to the execution of the proposed laws. As per requirements of the Social and Environmental Screening Procedure (SESP; Annex 5) developed during the project design phase (PPG), the positive and negative impacts on the different sectors of vulnerable populations (women, the poor, migrants, indigenous peoples, among others) and on non-urban economic activities of the proposed policy changes will be assessed. The following table lists the draft legal proposals that will be promoted by the project.

Name of the Proposed Reform	**Objective of the Reform**	**Law to be Modified**	**Gaps in the Law**	**Expected impact of the reform for a green economy and sustainable integrated planning**
1. Reform of the single fuel tax	Fuels such as diesel, heavy diesel, and bunker fuel will increase their contribution and pay the same amount of tax as regular gasoline or as super gasoline (containing octane)	Law No. 8114. Tax Simplification and Efficiency Law, Article #1	Inequality in the taxation of different fuels such as diesel, heavy diesel, and bunker fuel, benefiting the fuels that have the most polluting effect.	An increase in tax revenues in the short term and a decrease in GHG emissions in the long term due to the disincentive for diesel consumption and bunker fuel.
2. Reform the vehicle ownership tax	Introduce a factor that takes into account the size of the engines as an approximation of their potential polluting impact from vehicles,	Law No. 7088. Tax Readjustment Law (November 30, 1987). Article #9	Absence within the vehicle ownership tax of a consideration of the size of the engines as an approximation of the eventual polluting impact.	Discourages the purchase and use of vehicles with engines with higher GHG emissions and would generate more fiscal resources in the long term.
3. Reform the Law of Rational Energy Use	Modify the possibility of applying a surcharge to the import tax on high-energy-consumption goods and encourage the transition to low-	Law No. 7447. Law of Rational Energy Use. Articles #14 and #10	Problems in applying a disincentive mechanism to the importation of high-energy-consumption goods and lack of incentives for the acquisition of low-	Contribute to reducing the consumption of energy-intensive equipment and reducing actions that contribute to climate change and promoting the energy transition

	energy-consumption equipment and machinery.		energy- consumption machinery and equipment.	process.
4. Correction of incentives for the use of polluting agrochemicals.	Correct the situations within the article that promote the use of agrochemicals that may be polluting, without distinguishing them from those that are not. The tax benefit of non-polluting agricultural inputs will be maintained.	Value Added Tax Law. Number 3 of Article #11	Current tax treatment promotes the use of polluting agrochemicals, such as pesticides and fertilizers.	Contributes to the reduction and use of polluting agricultural inputs and to improved water, air and soil quality in agricultural areas.
5. Proposal to introduce a plastic tax	Charge a tax on plastic products, particularly those that are single-use.	There is no legislation	Absence of legislation that motivates the substitution of single-use plastic products.	Contributes to the reduction of pollution from plastic products and encourages the use of biodegradable and recyclable materials, as well as circular economy processes.
6. Reform the Law of Integrated Solid Waste Management	The possibility of including tax instruments, incentives, or similar mechanisms to make an effective transition to a waste management model and more effectively incorporate the principle that “the polluter pays” at the local level.	Law No. 8839. Integrated Waste Management, Articles #2 and #5	Absence of tax instruments, incentives or, similar mechanisms to make an effective transition to a sustainable solid waste management model.	Contributes to the reduction of solid waste contamination and GHG emissions.
7.Reform to the Law of Creation of the Costa Rican Institute of	Enable within the law the possibility for the ICAA to charge for the sale	Law No. 2726: Constitutive Law of the Costa Rican Institute of	The ICAA has no possibility within its constitutive law to generate income	Contributes to the financing of the wastewater and fecal sludge management

Aqueducts and Sewers (ICAA)	of by-products of the wastewater and fecal sludge management process, as well as for other related products.	Aqueducts and Sewers	from the by-products of wastewater management or from the sale of products related to this line of business; therefore, it loses the possibility of obtaining additional income to finance other investments.	operation

Once the proposed laws have been drafted, a review will be requested from the Indigenous Peoples Consultative Commission (CCPI, Spanish acronym) and the Indigenous Consultation Technical Unit (UTCI, Spanish acronym) to determine if consultation or free and prior informed consent (FPIC) is warranted. Once the proposed reforms are finalized they should be sent to the members of the CCPI and UTCI members and a meeting for discussion and final review should be scheduled. The activity will be carried out according to the guidelines indicated in the Indigenous Peoples Plan Framework (IPPF; refer to Annex 9), including coordination of consultation with the UTCI through territorial indigenous consultation bodies. Specific systems for each territory and financing by the government and the provisions of Decree No. 40932-MP-MJP G*eneral Mechanism for Consultation of Indigenous Peoples* and Standard 6, *Indigenous Peoples*, of the UNDP SES should be applied.

After the indigenous review and consultation, the bills will be presented to the Legislative Assembly. Once the wording of the bills is prepared and there is a high degree of support in place, the legal reforms will be presented to the legislature, and it will be decided whether the bills will be presented by the Executive Power, an official, or a group of such persons. The process must be carried out in parallel with the actions considered under Output 1.1.4. This follow-up process will allow for progress to be made in achieving the proposed legal reforms, in addition to defining the next steps for their respective discussions and approvals in Congress.

Collaboration will be established with National Dialogues organized by SCIP Global Platform; this may include international experts and sharing information regarding reforms in other countries. The National Dialogues propose a vertical dialogue format (between local and national governments) that could be useful for discussions regarding the proposed legal reform under this output and the intuitional reform proposed under Output 1.1.6.

Output 1.1.6 Proposal for reforms/institutional adjustments of the environment, land use, and transportation sectors aligned with the transition to a green economy and the National Decarbonization Plan, analyzed and discussed with the Executive Branch and promoted for implementation.

A proposal for adjustments to the governmental institutions will be constructed in an integrated and collaborative way that facilitates the process of adaptation and transition towards a green urban economy and sustainable and integrated urban planning. As a first step, the institutional adjustments that are required for a robust institutional system will be determined, as well as the political feasibility of these adjustments. The findings established by the application of the UNDP Capacity Development Scorecard during the PPG phase will be considered: a) strengthening the role of MINAE in the national urban planning model, by introduction of environmental variables to influence resilient and sustainable infrastructure and to work promoting permeability of the urban surface and protection of urban green spots; b) incorporating and integrating green economy issues into the technical criteria unit of land use planning developed by INVU; c) articulating sustainable integrated urban planning with actions around urban transportation within the MOPT; d) expanding SINAC's actions in green areas within urban spaces such as city parks

(which have high social and environmental benefits for the city); and e) mainstreaming and expanding the actions of the Climate Change Directorate (CCD)/MINAE with all governmental institutions in such a way that the actions related to climate change are a matter of national development and permeate from different institutional sectors such as agriculture, economic, urban, science and technology. This analysis will be carried out in a collaborative manner with the government institutions involved in the transition and adaptation process: INVU, CCD, SINAC, MIVAH, and MOPT. The analysis will detail the possible institutional adjustments prioritizing according to their political feasibility. Subsequently, a process of consultation and discussion of the proposals for institutional adjustments will be carried out with the various sectors identified (Executive Branch, technical and political representatives of the different institutions involved INVU, SINAC, MIVAH, MOPT, among others). This agreement process will facilitate a joint assessment and discussion about the feasibility and impacts of the proposed institutional adjustments, in addition to defining actions to be promoted and implemented. Meetings, technical documents and group proposals and presentations will be held for this purpose, thus ensuring inclusion and social participation including women and in adherence to project's Gender Action Plan (refer to Annex 10).

In addition, a review will be requested by the ICC and the UTCI. Both instances will define if FPIC is required according to the procedures established in the national mechanisms in force in Decree No. 40932-MP-MJP, *General Mechanism for Consultation with Indigenous Peoples*, and Standard 6, *Indigenous Peoples*, of the UNDP SES, and as defined by the UTCI and indigenous territorial consultation bodies.

Output 1.1.7 Municipal and institutional training program implemented with a gender perspective benefits 1,200 people (managers, technicians and local decision-makers, legislative advisors, officials of public institutions) linked to urban development, environmental management, and land use planning.

The project will implement a training program so that local managers, technicians and decision-makers, legislative advisors and officials of public institutions linked to urban development, environmental management, and land use planning have the knowledge, skills, and tools necessary for developing evidence-based policy reform for a green economy and sustainable integrated urban planning.

As a first action, the general and specific objectives, target group, times, and methodologies will be defined for: modular courses, workshops, talks, field visits and exchange of experiences, as well as those responsible for each of the following modules that were determined as necessary during the PPG phase: a) Strengthening the development and implementation of local urban planning instruments and tools; b) Participation in the design and implementation of urban renovation and sustainable mobility municipal plans; c) Participation in the processes of conservation, restoration of the urban green area and its incorporation into the functioning of the city; d) Strengthening of the design and application of existing and potential municipal and national financial instruments; e) Stimulation of a circular economy of business models for solid waste management, management of fecal sludge, and management and reuse of wastewater; f) Incorporation and promotion of the gender perspective in development and designing environmental and urban initiatives, such as promoting gender equality through institutional policies of contracting and acquisitions within political institution; g) Incorporation of methodologies and tools for monitoring and evaluating the results of local urban and environmental actions, with an emphasis on eliminating solid waste and wastewater; h) Valuation of land and property to calculate capital gains as a financing tool for sustainable urban solutions, including the use of geospatial tools; and i) Land and urban green space management in response to climate change. The training program will benefit at least 1,200 people, considering the directives established in the Gender Action Plan (refer to Annex 10) in such a way that at least 30% of the people trained are women.

The project will establish alliances with different institutions to deliver each of the training modules, including academia, private specialists, and government institutions such as INVU, SINAC, MIVAH, and INCOFER, among others. These trainings will be coordinated with other projects being executed, such as the *MUEVE* project and the UNDP-GEF 6 Project *Conserving biodiversity through sustainable management in production landscapes in Costa Rica* (GEF ID 9416), which is expected to conclude by the end of 2022. Thus, the efforts will be integrated and actions

between the different initiatives will be optimized so that that they are cost-effective. In addition, for the implementation of training program the project will coordinate with the SCIP Global Platform/City Academy Regional Trainings to optimize efforts and avoid duplication of efforts; the City Academy offers training in finance, circular economy, nature-based solutions, and approaches to manage urban growth.

In addition, the baseline obtained through the application of the UNDP Capacity Development Scorecard during the PPG phase details the need for strengthening areas such as: development and implementation of local urban planning instruments and tools; incorporation and promotion of the gender perspective in the formulation and design of environmental and urban initiatives; incorporation of methodologies and tools for monitoring and evaluation of results of urban and local environmental actions; and assistance in the design and implementation of municipal plans for urban renovation and sustainable mobility, among others. Finally, the UNDP Capacity Development Scorecard will be applied at the midpoint and end of the project to evaluate the impact of the training program in the 20 municipalities prioritized by the project and in government institutions (MIVAH, MINAE, INVU, MOPT, AyA, CCD, and SINAC).

Output 1.1.8 Proposals for urban indicators to the National Ecological Monitoring Program (PRONAMEC) of the National System of Conservation Areas (SINAC) adopted, along with the design of protocols for decision-making by local governments and IUBCs.

PRONAMEC was created in 2016 (by Decree No. 39747 MINAE) to generate and disseminate reliable scientific information on the state of conservation of the country's terrestrial, freshwater, and marine biodiversity; SINAC is responsible for the implementation of PRONAMEC. The program currently does not have indicators or protocols related to the status of biodiversity in urban areas, to overcome this gap the project will develop indicators in coordination with SINAC that will allow assessing the status of biodiversity in the urban green areas and IUBCs. Indicators will be defined considering past experiences in the monitoring the impact of restoration activities on the urban green area and IUBCs in the GAM and the results of Output 2.2.1 for the restoration of urban and peri-urban areas. . This will expand the current scope of biological monitoring, which is limited only to the Protected Wild Areas and the Biological Corridors of PRONAMEC.

The indicators defined in Output 2.1.1 will be considered when constructing the indicators under this output. These include the following: a) rate of change in the bird diversity index in the GAM; b) total area in the urban green area with its urban plant diversity and the availability of habitat for biodiversity; and c) biological index of water quality (BMWP-CR)[16], where it is possible to evaluate changes in water quality from the composition of aquatic macroinvertebrate communities in rivers and streams. Furthermore, during the joint work process with SINAC, protocols, methodologies, and guides will be developed for the adoption and operation of the indicators to PRONAMEC, which will also allow them to be used as a tool for decision-making and monitoring and evaluation by local governments and IUBCs within their territories. This process will be carried out in an integrated and collaborative manner between the municipalities prioritized by the project and SINAC-PRONAMEC through meetings, presentations, and group workshops, and the review of technical documents and the validation of the indicators proposed.

Component 2: Sustainable integrated low-carbon, resilient, conservation, and land restoration investments.

Outcome 2.1: Local and national governments have undertaken sustainable integrated low-carbon, resilient, conservation, and land restoration investments.

Output 2.1.1. Critical urban areas restored that build resilience of vulnerable urban populations and contribute to the mitigation of climate change, including the following: a) identification of intervention zones and prioritization of areas to restore with native species; b) strategic alliances with stakeholders that allow the incorporation of

[16] Biological monitoring work group party modified for Costa Rica.

public and private areas into the restoration and conservation process; and c) consolidation of green public spaces, green urban areas, and IUBCs.

The restoration of critical urban areas will begin with the prioritization of sites in the GAM. The areas to be conserved and restored by municipality will be identified and agreed upon with key stakeholders based on the areas already identified by other ongoing initiatives (e.g., CNFL, IUBCS, Bonn Challenge, Agua Tica, municipalities, and MINAE). Areas with importance for connectivity, areas already identified at the municipal level (Curridabat, Montes de Oca, and La Unión), and others will be taken into account.

For the prioritization of sites to be restored, a landscape-scale and site-scale analysis is required. During the PPG phase, the selection of sites was made at the landscape scale based on a geospatial analysis that included the following criteria: a) consolidation of the urban green area, including support for the development of Urban Natural Parks (PANU); b) increase in structural connectivity from the restoration of connectivity routes; and c) support for the implementation of ongoing restoration initiatives (Agua Tica and Bonn Challenge). This activity includes a new baseline determination, expanding the spatial analysis from high-resolution images (World View 3) to be carried out in Component 1, and includes the participatory selection of restoration techniques. The result of this analysis defined a total of 27,567 ha where it is necessary to have some type of natural cover to ensure the consolidation of the urban green area and improve structural connectivity. Of this total, those areas that currently have some type of green coverage were defined as areas with an opportunity for conservation (47%), while those that do not have coverage were classified as areas with an opportunity for restoration and represent 53% of the total (14,838 ha). The results of this analysis are summarized in Figure 2.

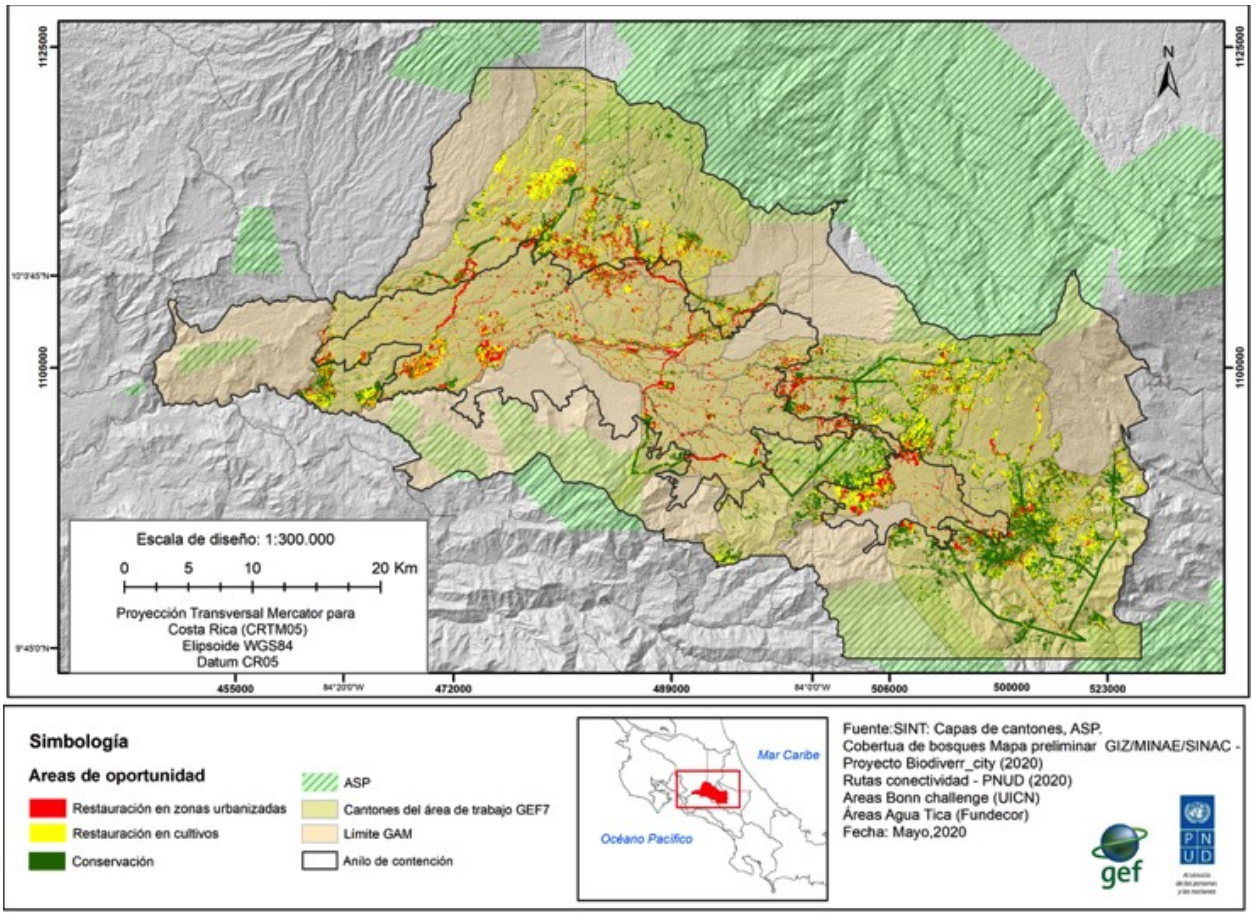


Figure 2. Potential areas for restoration and conservation.

The use of the *Restoration Opportunities Assessment Methodology* (ROAM; IUCN - WRI, 2014) will allow identifying in a participatory and science-based manner, the areas that generate the most environmental (e.g., flood mitigation, heat islands) and social benefits. For the evaluation of the ecosystem services resulting from restoration activities, tools such as Urban INVEST (Natural Capital Project) and the metric of Species Threat Abatement and Recovery (STAR) will be used. The gender and social affairs offices of the municipalities will participate in these activities as part of the participatory planning process under Output 2.1.2.

Subsequently, the reference ecosystems will be identified for restoration and the pertinent arrangements will be made with existing nurseries (during the PPG phase an inventory of the existing nurseries was made and 10 public and private nurseries were identified) and for the creation of at least 5 new nurseries. This intends to define the ideal vegetative material to implement the actions emphasizing the use of native species and avoiding the use of invasive exotic species in line with the SESP analysis (Annex 5). During this process, the protection areas of rivers, springs, and streams will be delineated using the official methodology defined in the National Policy of Protection Areas (Ministry of Environment and Energy, 2020). Public properties in the 20 municipalities will be identified, and a protocol for the restoration of urban and peri-urban areas will be created, which will serve as the basis for continuing efforts to restore urban areas in the country in the future.

The need to have a restoration protocol has been addressed during the development of the 5R National Strategy, which will define the procedures to restore invaded areas, as well as the legal framework on which it is based and subsequent reforms as necessary. Restoration activities will begin the second year of project implementation, which will continue each year during the rainy season. Restoration activities may include forest restoration in protection areas of rivers and springs; restoration of roads, corridors and linear parks or trees; urban agriculture and horticulture; assisted regeneration or active restoration of forests; natural or passive regeneration of forests; agroforestry systems and best agricultural and livestock practices.

In addition, citizen awareness activities will also be developed so that project partners have the necessary knowledge to maintain the restored areas and inform citizens about the importance of urban green areas. Finally, annual follow-up and monitoring of restoration activities among citizens and follow-up and monitoring of the restored urban green areas and consolidation of IUBCs, in line with the Project Results Framework (Section VI) and the Monitoring Plan (refer to Annex 4), will be performed with the goal of restoring 2,000 ha of degraded urban lands by the end of the project. In line with the ESMF (Annex 9), the Environmental and Social Impact Assessment (ESIA) approach may be required to manage potential social and environmental impacts associated with this output. If needed, the ESIA will be implemented before restoration and related consultative activities start.

Output 2.1.2. Participatory plans for the management of green urban spaces by municipality, with a gender approach contribute to the conservation of the existing urban green spaces, the reduction of GHG emissions, and the implementation of the management plans of the IUBCs, to improve the impact of the restoration carried out, and to facilitate the development of an integrated urban green strategy for the GAM under Component 1 (Output 1.1.3).

The site prioritization process (Output 2.1.1) will be carried out in parallel with the development of participatory plans for the management of the green fabric for each municipality, ensuring the participation of women both in the planning process and in the implementation of the restoration and conservation activities that are reflected in these plans. This planning will be articulated at the Inter-municipality level and with the development of the urban green strategy to restore and conserve public and private green spaces for the provision of ecosystem services in the GAM (to be developed in Component 1, Output 1.1.3). This process will take into account that investments in green infrastructure are based on the involvement and commitment of a group of key stakeholders in the GAM, starting with municipal governments and IUBC Local Committees, but integrating non-governmental organizations (NGOs), women's organizations, communities, universities, and representatives of the private sector, whose early and active engagement is critical to the long-term success of the restoration.

To incentivize this integration around planning, the project will support the development of strategic alliances with local stakeholders to implement the restoration actions identified in the Green Network Management Plans by municipality as well as its maintenance. These alliances will evaluate the possible development of incentives in both public and private areas, and their incorporation into the Municipal Development Plans of each municipality will be encouraged. It will be essential to take into account the following considerations: a) Plan the types of intervention in accordance with local users, taking into account their needs, particularly those related to the generation of green spaces that have a productive function, management of risks, and others; b) Include designs at the landscape level in such a way that it stimulates people's presence, ensuring accessibility and security, highlighting that citizen participation from the first stages of design strengthens the appropriation of the restored spaces by the inhabitants, which necessarily results in its adequate maintenance; c) the restoration of wooded spaces must consider the composition and structure of the reference ecosystems to ensure the greater survival of the plant species established during the restoration; and d) carry out an analysis of the institutional capacities of the municipalities, and involve in the restoration process not only the Environmental Management Units but also the municipal aqueducts and sewers, urban planning and construction control units, as well as the waste management, cleaning and ornamental units of public areas.

Finally, interactive platforms will be used to publicize the benefits of the conservation and restoration actions of the urban green area management plans and the IUBCs, including the SCIP Global Platform (Output 4.1.2).

Output 2.1.3. Investments in sustainable mobility such as bike-friendly bridges, cycle paths, shared-use paths, pedestrian routes with green areas, and improvements in green sidewalks implemented reduce GHG emissions, and are integrated into a GAM regional vision that facilitates the interconnection of neighborhoods, municipalities, urban-natural landscapes, and an improved quality of life for their inhabitants.

The project will make strategic investments in sustainable mobility infrastructure, including green sidewalks, bicycle lanes, pedestrian boulevards, and pedestrian interconnection routes. The efforts will be linked to the urban green area restoration processes and the definition of conservation and restoration priorities for each municipality (Output 2.1.2). The mapping of opportunities to improve sustainable mobility and the definition and prioritization of the areas of intervention will be done in conjunction with the municipalities prioritized by the project. The different existing regional mobility plans such as the *Comprehensive Plan of Sustainable Urban Mobility* (PIMUS), *MiTransporte* of GIZ, the *Study of the State of Mobility of the Nation*, and the Inter Municipal Network of Urban Mobility will be considered for the mapping. Actions to be carried out in the area of sustainable mobility within the different municipalities selected by the project are prioritized. The prioritization of areas will be made incorporating a gender perspective including the participation of women, inclusive access, and with the participation of competent institutions such as the MOPT.

The design and construction of sustainable mobility works in the selected areas will be carried out in coordination with platforms such as Rutas Naturbanas and others involved in sustainable municipality mobility. Finally, alliances will be established with different stakeholders interested in investing in public infrastructure at the municipal level and that will expand the coverage and participation of sustainable urban mobility interventions. Mobility solutions by project end will include 8 km of cycle paths, 3 km of shared roads and pedestrian routes, and 20 km of sidewalks with improved access and green sidewalks. The ESIA approach may be required to manage potential social and environmental impacts associated with this output.

Output 2.1.4. Pilot experience to improve water quality in the upper portion of two polluted urban watersheds within the GAM (Torres and Ma. Aguilar rivers) implemented, based on the "Clean Rivers: National Strategy for the Recovery of Urban Watersheds 2020-2030," includes the restoration of river protection areas and the control of irregular wastewater and solid waste discharges and promotes connectivity to the sanitary sewer system.

The project will implement a pilot experience to improve water quality in the upper part of two contaminated urban watersheds of the GAM, based on the implementation of the agreed-upon measures in *Clean Rivers: National Strategy for the Recovery of Urban Watersheds 2020-2030*, which deals with improvement in the management of wastewater and solid waste for the micro-basins of the María Aguilar and Torres rivers. The Clean Rivers Strategy is an initiative that contributes to the improvement of ecosystems and the quality of life of people living around urban watersheds and seeks the sustainability of water resources, development of knowledge, and promotion of a culture of water through social participation and formation of strategic alliances.

2. An agreement will be made with AyA to maintain the existing sampling points, with additional sites added, which provide information to the design and implementation of investments that improve water quality in the upper and middle parts of both micro-watersheds. Among these investments, the following is highlighted: inventory of sources of discharges directly from the stormwater network and illegal dumps; necessary support provided to the municipalities to properly manage illegal dumping in the pilot sites; support to existing initiatives for the management of organic waste at home with composting bins; establishment of filters to collect waste in sewers; and filters for wastewater at key discharge points.

Partnerships will be established for wastewater management in the prioritized pilot area, which seek to expand the coverage of wastewater collection and increase the number of intra-household connections in the poorest sectors

and neighborhoods; the project will partially fund 100 connections to the sanitary sewer system. This will be done through low-value grants and in conjunction with co-financing (donations) at the housing level for the connection to the GAM's sanitary sewer system and as part of the "My neighborhood connects" (*Mi barrio se conecta*) initiative; this will be specified through a strategic partnership between AyA, public entities, and the private sector, to reduce the main illegal discharges in the upper part of the María Aguilar and Torres rivers watersheds in the GAM. Low-value grants will follow UNDP Policy on Grants (Terms of Reference [ToR] for the "My neighborhood connects" initiative are included in Annex 18). This activity is also framed around the progress made by the *Environmental Improvement Project in the San José Metropolitan Area* (PMAAMSJ) that AyA is currently executing through its Potable Water and Sanitation Program (PAPS) Executing Unit.

Lastly, the project will support annual monitoring of water quality and macroinvertebrates in the pilot watersheds, which is being carried out by AyA by increasing the sampling points. The monitoring will be carried out every 6 months and will determine the physicochemical, microbiological, and biological parameters defined as environmental control methodology and as established by Decree No. 33903-MINAE-S (Regulation for the Evaluation and Classification of the Quality of Surface Water Bodies) and using the Biological Monitoring Working Party (BMWP-CR) index.

Component 3: Innovative financing and scaling up.

Outcome 3.1: Local and national governments initiate innovative financing and business models to scale up sustainable urban solutions.

Output 3.1.1 Economic analyses performed facilitate the development of business models under different innovative business and financing schemes to achieve decarbonization and the delivery of global environmental benefits in the GAM, including an analysis of the Business-as-Usual Scenario versus the project's reformed scenario for the management of solid waste (e.g., plastics and organic waste), sewage, fecal sludge, and active mobility.

The circular economy is a system for resource use that seeks to minimize production to the bare minimum, relying on the reuse of elements that, due to their properties, cannot return to the environment without damaging it. The circular economy advocates using as much biodegradable materials as possible in manufacturing consumer goods, so that they can return to nature without causing environmental damage and exhaust their useful life. In cases where it is not possible to use eco-friendly materials, or the material used cannot be returned to nature without problems, the objective will be to facilitate the material's reincorporation into the production cycle, including incorporating another good into the production cycle, in what is known as industrial symbiosis. When it is not possible to incorporate waste products back into the production process, these may be recycled in an environmentally friendly manner.

During the PPG phase, it was determined that Costa Rica does not have experience in promoting these forms of production, nor is there this type of regulation as developed as in other countries. Some companies have been practicing this as part of their normal activities, as they find this profitable, or as part of their corporate responsibility policies. However, there has been no evaluation of these practices in terms of the effects they have and what they are achieving *vis a vis* best international practices. Furthermore, it is important to know what interaction they have with local governments on these issues, what experiences they have had, how to improve them, and how/which public policy measures can promote circularity in the economy.

Given the above, the project will perform a study that incorporates the following aspects: First, the policies, indicators, mechanisms, methodologies, and a comparative study (benchmark) of incentives given in other countries to companies that implement productive models of circular economy. The benchmark will include best practices in management of solid waste, fecal sludge, wastewater, agricultural waste, and plastics. This should include experiences on incorporating affirmative actions into gender issues as well. Second, the mapping of existing circular economy initiatives will be carried out, defining their existing requirements, capacities, and limitations and ability to

be replicated. Although there is no legal framework in the country that encourages this, there are some private initiatives that have begun to reprocess plastic containers, as in the case of the FIFCO company[17], which processes more than 100% of the waste it produces; the Coca-Cola FEMSA Costa Rica company, which uses 30% reusable containers and 21% recycled PET[18]; and the Pedregal company, which produces sand and concrete products using discarded plastic containers[19]. There are also companies that process solid waste of another type, such as the company Biofutura, which processes food waste, gardening, and animal manure[20] to produce compost, and the company Soluciones Palermo, which processes waste from agricultural fairs, canteens, and supermarkets to convert them into organic compost[21]. There is no general registry of these companies, or a registry of circular economy experiences of existing companies, that could provide an idea of the scope and state of art of these experiences. Thirdly, recommendations will be prepared for the incorporation of circular economy productive models, including different types of business models: regular companies, cooperative associations, solidarity associations, special investment vehicles, with consideration given to those made up of women. The study must consider the economic and social situation of the country as a result of the COVID-19 pandemic.

The proposed study would fill in the information gaps that the country has on these issues, particularly knowing the scope of waste management practices, to better understand how the circular economy is being promoted in other parts of the world, what measures are being taken regarding regulations, and what results should be expected from the proposed measures. The study should also make recommendations on business models in the circular economy, what activities exist today, how to improve them, and how these experiences can be replicated in different business models where female employment is a priority. Women's access to the labor market should also be facilitated through activities that promote productive models of circular economy; this part of the study should analyze what aspects are to be addressed in the different activities to facilitate women's access to jobs created in circular economy companies, how to efficiently resolve these difficulties, and how these responses should be a regular part of the working conditions of companies. Collaboration will be established with the SCIP Global Platform to participate in the learning module focusing on circular economy that includes examples and case studies from other countries

Output 3.1.2 Improved efficiency of current economic instruments and new municipal financing (assessment of property value, improved mechanisms for charging for parking, adjustments for public works in the real estate tax, financing options for solid waste and wastewater management, charging for vehicular congestion, special contributions for investing in urban renovation and issuing green bonds) implemented with gender awareness, promotes the following: a) Maintenance and restoration of urban ecosystem services (e.g., groundwater recharge, restoration of connectivity in IUBCs, reduced heat island effect, food provision, pollination, and reduced water runoff); b) Circular economy business models and/or industrial symbiosis with a gender focus for sound solid waste management, fecal sludge management and wastewater, management and reuse, includes financing through the banking system under favorable conditions (favorable payment terms, grace periods, lower interest rates); and c) New ventures that favor micro- and small businesses, as well as community associative arrangements, for the use and transformation of solid (plastic and organic) and liquid waste, as well as sustainable mobility.

Municipalities require the application of financing mechanisms to carry out their activities. Municipalities finance most of their spending obligations with their own resources, although in some cases they receive funds from the national government. The transition to an urban green economy will require additional resources to support certain activities from local governments. However, due to the dire fiscal situation of the country caused by the COVID-19

[17] See information about the programs *Cero Desechos* and *Reciclaje Florida Bebidas* in: https://www.fifco.com/

[18] https://coca-colafemsa.com/la-ruta-por-el-medio-ambiente-en-coca-cola-femsa/

[19] http://pedregal.co.cr/web/?cat=62

[20] https://biofuturacr.com/productos/

[21] http://solucionespalermo.com/Tratamientos.html#

crisis, there is no real financing from the national government to local governments, so local financing mechanisms will need to be created. As a result, the project will mainly take advantage of the existing opportunities in Costa Rican legislation to direct more resources for sustainable urban solutions.

Some options that could be applied are value adjustments for infrastructure improvements to collect real estate tax, land value capture, adjustments in the amounts charged for rates, and the creation of special contributions for specific projects. These could be applied based on the current legal framework to create new income in municipalities to finance activities that promote the maintenance and restoration of urban ecosystem services, circular economy models, and solid waste management initiatives, etc.

A review of the existing municipal financing instruments to identify gaps and needs for using them to investment in green infrastructure will be carried out. This will serve as the basis for conducting an assessment of the legal possibilities for introducing new municipal financial instruments, as well as reviewing existing financing mechanisms. It will determine whether it is necessary to resort to legal reforms, based on the preliminary analysis of legal and technical feasibility carried out during the PPG phase. Although the legal instruments that are proposed (e.g., instruments to capture value or capture capital gains, adjustments in real estate for public projects, adjustments in rates, vehicle-based mechanisms such as parking meter collection adjustments, financing for solid waste and wastewater management, the “polluter pays” principle, financing through the issuance of municipal green bonds, and special contributions for restoration projects) are based on the same legal regulations that currently exist to benefit municipalities (i.e., the Municipal Code and the Parking Meter Installation Law), it is important to review all the jurisprudence to be clear if the resources obtained by the proposed instruments can be used for the purposes required for the project. These instruments that are part of municipal regulations, could be used by all municipalities in the country and, also by the 20 municipalities of the GAM prioritized by the project. As some of these instruments establish specific criteria that limit the application of resources (i.e., to what end they can be directed depending on the nature of their implementation), hence the need for legal assessment.

The technical requirements (information for effective collection, specialized human resources, technology) will be determined for the incorporation of these new financial instruments into the different municipalities and a solution will be proposed if some of these requirements are not covered. There are basic conditions that municipalities must have to apply the proposed instruments: personnel with the appropriate knowledge in property valuation methodologies, access to information and adequate processing means, technology necessary for registration, control and monitoring of eventual taxpayers and their respective obligations with the municipal tax administration. Knowing in advance “the state of the art” of these pre-conditions will serve to correct in advance the problems that have been identified, to ensure the most effective use of the proposed instruments. In the process of discussion with stakeholders and during exchanges held during the PPG, it was determined that the lack of an appropriate methodology for the valuation of real estate, as well as an inadequate valuation thereof, constitutes the main flaw that must be covered in the Municipal Training Program.

In addition, the tax recovery/revenue potential in each municipality from the implementation of the new financial instruments will be estimated. With the exception of municipal green bonds (which its amount is defined a priori) the revenue potential of a municipal financing instrument (tribute, rate, or contribution) can be determined based on the level of investment needed for the maintenance and restoration of ecosystem services, the management of solid waste and fecal sludge and reuse of wastewater, and for the use and transformation of solid (plastic and organic) and liquid waste, as well as sustainable mobility, in each of the 20 municipalities prioritized by the project. This will be complemented with the development of methodological guides for the application of the regulations to facilitate the implementation of the municipal financing instruments.

An economic valuation study of the improvements in environmental quality and the social benefits from the use of the new resources obtained will be performed as well. Once it is known which instruments will be applied in each case, how they will be applied, and which specific projects will be financed, it is also important to know what

environmental, social, and economic benefits will be obtained from the application of the proposed measures. This is important to address the reactions that may arise in response to this issue, in addition to assessing whether the implementation of the measures makes sense from a cost-benefit analysis with broad criteria (environmental, social, and economic), which objective is not only the transition to an urban green economy, but also post-COVID-19 economic reactivation.

To promote the use of the municipal financing instruments, which is key for achieving the project's objective, a dialogue process will be carried out with the Municipal Councils of the 20 municipalities participating in the project. Making Municipal Councils aware about the existence of these instruments and their purpose will facilitate their approval and use.

Based on the outcomes of Component 2, each municipality, through a participatory process, will define the areas that will be restored through the expansion of urban green areas in line with the impact it will have on the population. This activity will allow defining and specifying what and how projects and activities will be financed for the maintenance and restoration of ecosystem services, which will be carried out by the municipalities.

Circular economy initiatives imply the incorporation of innovative technologies and production processes, which in the case of new ventures results in a very high investment in cutting-edge technology, and for existing businesses, demands a transformation of their production processes. In both cases, time is required for the activity to be profitable or to repeat the process. These considerations and other particularities, such as the higher risk levels of these businesses, must be taken into account in the design of financing for circular economy initiatives.

Support mechanisms will be generated for new ventures in circular economy, including support for entrepreneurs and people with the interest and availability to enter innovative businesses with: training on how to start a business and how to run it successfully; the best way to access financing and how it should be done; how to develop a business plan in a circular economy and bio-business activities; and what type of production model to use. The support should also include, on the part of local governments, conducting market studies to identify business opportunities in the circular economy that can be maximized as input to be provided to those interested in taking on these activities. The idea is to apply a model similar to that used by the Costa Rican Foreign Trade Promoter with export activities, but in the case of circular economy businesses, assess the most profitable options to sustain the companies over time. In line with the ESMF (Annex 9), the ESIA approach may be required to manage potential social and environmental impacts associated with this output. Collaboration will be established with the SCIP Global Platform/Finance Academy to participate in the learning module focusing on circular economy that includes examples and case studies from other countries.

Output 3.1.3 At least three bio-business models from public-private partnerships (PPPs), micro and small businesses, and associations at the community level with a gender focus established within the GAM support inclusive investments: maintenance of urban ecosystem services and the restoration of IUBCs, the best management of solid waste (identified as part of the Waste Nationally Appropriate Mitigation Action [NAMA]) and wastewater, fecal sludge, and active mobility linked to the Electric Train.

BIOFIN Costa Rica has defined bio-businesses or green businesses as the set of activities for the collection, production, processing, and marketing of goods and services derived from biodiversity, under the criteria of environmental, social, and economic sustainability. Bio-businesses can be developed in biotechnology or industrial reconversion activities, for example. A bio-business could be executed through a primarily private activity using a model of public-private partnership (public works concession with service, works concessions, service concessions, interested management, public works trusts, etc.), associative business models, or a public activity. In this case, business models must be developed in accordance with the type of intervention to be carried out.

The project will define at least three bio-business models, identifying stakeholders and conducting the corresponding market studies to determine the potential business opportunity, and will conduct a feasibility analysis of the

implementation of the proposed businesses and will define which model can be applied in each case (maintenance of ecosystem services, restoration of IUBCS, management of solid waste, fecal sludge, and wastewater and emissions reduction through active mobility) In addition to promoting the inter-institutional arrangements required to promote them it will be identified the conditions to favor the inclusion of women in these businesses. The current situation of economic crisis caused by the COVID-19 pandemic must be taken into account when structuring these businesses.

For each proposed bio-business, a business plan will be designed that includes the objectives of the undertaking, the strategies to achieve them, and the amount of investment required to finance the project, among other aspects. In addition, each business plan will incorporate the definition of the concept, what products or services are offered, to which audience the offer is directed, and who are the competitors and the main players in the market (consumers, suppliers, and eventual competition). Market studies will also be carried out using known methodologies to identify the potential of the activity to enter successfully in certain markets. The business plan and the market study that accompanies it will determine precisely how many resources are needed to start operations, how they will be invested, and what is the profit margin that can be obtained.

Bio-businesses will be consolidated, using different business models (private provision, public-private alliances, public provision), with the following cases as a priority:

Management of fecal sludge from the San José sanitary sewer (Los Tajos Plant), through a public-private alliance (public service concession[22]), in which the AyA grants a concession to operate the plant to a company with international experience in these matters, or a local company that may have a "Joint Venture" with an international company. The concession scheme known as infrastructure asset optimization would be the most appropriate model for this case. The potential for energy generation (biogas) from wastewater treatment may be considered.

Sustainable urban mobility through bike-train services with emphasis on the north and south axes of the GAM, through a private operator or in a complementary operation to the MET concession. There is already an operator in Costa Rica that rents bicycles, called Omni; however, its service is not linked to the train because the train does not yet have the proper conditions for that, although the mechanism could be similar to this case.

Solid waste management (organic) for municipal/industrial composting and for the construction of private green urban infrastructure such as green roofs and walls and public urban infrastructure (parks, roads, etc.) through private enterprises. For the consolidation of this bio-business all stages of the production chain should be considered including the provision of raw materials, production and marketing. A current case study is the experience of the Pedregal Company, which develops concrete products, combining them with plastic waste. This experience can not only be replicated, but also used in the development of public infrastructure (roads, bridges, pedestrian crossings, and bike lanes).

Recovery of plastic (PET/HDPE/PC) for recycling and reuse in consumer goods, or for use in the construction of roofs on boulevards and of public transit stops. This activity would be carried out through the promotion of community initiatives by local governments. The main beverage companies in the country, FIFCO and Coca-Cola FEMSA, are recycling plastic and reusing it in their production processes.

3. The project will also leverage blended finance solutions for nature-based investments in the urban landscape. This may include the creation of private conservation/protection reserves as part of the strategy to establishing PANUs. Private reserves can be created in protected/forest lands that are partially urban developments, such as condominiums, commercial strips, and industrial areas. These are areas that are critical for enhancing ecosystems connectivity; protecting riverbanks and buffer areas to reduce the impacts of floods, landslides, and

[22] This is to take advantage of the experience in the management of these plants and the use of their by-products, which Costa Rica does not currently have.

water pollution; and improving carbon stocks through the restoration of degraded areas. The project will engage private landowners to establish private reserves and encourage them to invest in their management as a biodiversity conservation and nature-based solution.

4. The feasibility of applying one or the other model should be considered based on the impact of the COVID-19 crisis and the opportunity that this situation may create. The focus of these businesses would coincide with activities that are considered essential for the transition to an urban green economy, which are: a) management of fecal sludge, or in general terms, the treatment of human waste connected to a sewage network for its proper handling and use of possible by-products of these waste; b) urban mobility, to improve spaces for non-motorized sustainable mobility, such as pedestrian crossings and bicycle lanes, in addition to promoting low emission motorized mobility, such as the train and electric buses; and c) solid waste management, in different modalities of compostable organic waste, recyclable solid waste, and solid waste that can be reincorporated into other industrial activities, etc. Refer to Annex 19 for more details regarding the potential execution mechanisms for the bio-businesses. The final technical note for bio-business selection will be submitted for clearance to UNDP (CO and BPPS NCE), and then shared with Project Board.

The possibility of promoting these specific bio-businesses will depend on the process carried out in the previous activity; their prioritization should be considered in a broader strategy that also focuses on post-COVID-19 economic recovery. In addition, they must comply with the UNDP SES and SESP (Annex 5), as well as the ESMF (Annex 9). During the implementation phase of the project, it will be determined whether each proposed bio-business would require an Environmental and Social Management Plan (ESMP) and/or an ESIA. Any financial support to private business must be based on a due diligence process according to UNDP rules.

Using the analysis of ecosystem services based on the prioritization and restoration options of Component 2, a cost-benefit analysis of the instruments implemented for the restoration of ecosystem services will be carried out, including an analysis from the environmental, social, legal, and economic points of view of the business activities currently carried out and that are considered bio-businesses. These analyses will make it possible to know with certainty the impact of the proposed measures on the restoration of ecosystem services, as well as the impact on the environment, on economic and social variables, in the implementation of bio-business models. In line with the ESMF (Annex 9), the ESIA approach may be required to manage potential social and environmental impacts associated with this output. Finally, Collaboration will be established with the SCIP Global Platform/Finance Academy to participate in the learning modules focusing on circular economy, solid waste management (e.g., plastics and organic waste), wastewater, fecal sludge, and active mobility that include examples and case studies from other countries.

Output 3.1.4 Implemented technical assistance program for companies that work in bio-businesses facilitates access to markets and replicability at scale.

In order to make the bio-business models that will be established through Output 3.1.3 feasible, the project will implement a technical assistance program. It will ensure that the proposed business models contribute to the solutions of environmental problems that are identified for urban areas. The characteristics of the companies that will receive technical assistance will be defined, assessing the possibility of replicating or expanding existing initiatives, including the definition of what bio-business activity it would be engaged in, whether a new activity will be promoted, if a community business or some associative scheme with neighbors in the area is possible. The replication potential in the GAM will also be assessed -, such as solid waste management companies to produce compost or organic fertilizer- as well as if the economic situation resulting from the COVID 19 crisis will not affect the momentum of this activity. The decision should be based on that which is established under Output 3.1.3.

Technical assistance agreements will be established with the prioritized companies. The agreements will establish the initiation of the business activity, following the development of a business plan, the search for financing, and

initiation of the execution of the technical assistance activities. In addition, technical assistance actions will be monitored, and the results will be systematized and socialized for their replicability. The technical assistance actions will be evaluated during at least two different periods in time to know what problems arose and what opportunities arose from this process. Finally, Collaboration will be established with the SCIP Global Platform/Finance Academy to participate in the learning modules focusing on circular economy, solid waste management (e.g., plastics and organic waste), wastewater, fecal sludge, and active mobility that include examples and case studies from other countries.

Component 4: Advocacy, Knowledge Exchange, Capacity Building, and Partnerships

Outcome 4.1: Solutions and best practices shared with the SCIP Global Platform and other global events and communities of practice (e.g., Natural Neighbors, URBES project, ICLEI initiatives) and initiatives from Latin America (e.g., Integrated Management of biodiversity and ecosystem services action Plan of Medellin, and its "biodiversity roundtable" and others)

4.1.1 Information and knowledge exchange platform established at the national level increases awareness about sustainable integrated urban planning, transitioning to an urban green economy, and gender aspects, among other topics.

The project will put into operation a national platform for exchanging information about issues related to sustainable cities, biodiversity conservation, and climate change mitigation in urban landscapes, so that experiences and best practices can be shared among multiple stakeholders at the national level and in other urban centers of the country. The national information exchange platform will be coordinated by MINAE with support from other institutions interested in decarbonization and integrated sustainable urban planning (e.g., MOPT, AyA, MIVAH, INVU, and SINAC, among others), municipalities, the private sectors (urban mobility, solid waste and wastewater management, industrial and energy), and civil society represented in NGOs and CSOs, including women's organizations. A public campaign will be carried out to publicize the platform and a user guide will be developed to access it and exchange information. In addition, periodic newsletters will be published and disseminated through email and social media (Facebook, WhatsApp, etc.) to inform registered users of new information available.

The national platform for information exchange managed by MINAE will collaborate with the SCIP-GP team[23] to provide its registered users with the opportunity to exchange information and experiences on more sustainable and resilient cities, including more efficient land and resource use, environmental and natural resource protection, low-carbon investments and greener infrastructure, reduced GHG emissions, and better social inclusion and quality of life, among other topics. In addition, the national platform for information exchange could be linked to the SCIP Global Platform so that the content created and curated by the global platform could be modified by this Child Project to serve local interests and priorities. The national platform for information and knowledge exchange will become a stimulating and safe space for technical dialogue, access to best practice materials, exchange of experiences, preparation of project profiles, and learning for stakeholders from other landscapes on direct topics of interest.

4.1.2 A learning and communication strategy between cities implemented through the SCIP GP and other existing global networks, to disseminate international methods and lessons learned regarding sustainable cities.

[23] The SCIP GP brings together global, national and local champions that want to work together towards a common vision of sustainable and integrated development. SCIP-GP is led by a consortium of leading global organizations with extensive experience in sustainable cities: a) are relevant in cities and for sustainable urban development; UNEP has a dedicated cities unit, focusing on decoupling, detoxifying and decarbonizing of cities; b) ICLEI is a network that includes more than 1,750 cities, towns, and regions in 100 countries around the world that use its tools and expertise to promote sustainable development; c) WRI works with around 120 cities on ongoing engagements and another 200 through lighter touches through its international offices to promote innovative work on the ground through demonstration projects and scale up solutions; and d) C40 Cities is a network of 94 of the world's megacities committed to addressing climate change.

Cooperation between cities for the exchange of knowledge on international methods and lessons learned on sustainable cities will be established mainly through the interaction of the project with the SCIP Global Platform, which brings together the other eight countries participating in the program (Argentina, Brazil, China, India, Indonesia, Morocco, Rwanda, and Sierra Leone) and constitutes a global space for dialogue and support. Knowledge sharing and cooperation with other cities around the world will be achieved through various means and with the participation of project team members, government counterparts, private sector stakeholders, and other identified key stakeholders.

The project team, as well as the key stakeholders, will benefit from training actions on sustainable cities to be promoted by the SCIP Global Program through initiatives such as: a) City Academy Regional Trainings, which consist of thematic training and participation in SCIP city laboratories where project stakeholders will have the opportunity to interact with stakeholders from other cities; b) SCIP forums—the Global Program will organize three SCIP forums in Latin America, Africa, and Asia throughout the life of the project; c) SCIP laboratories, where WRI will run nine SCIP laboratories on strategic planning and data, offering one workshop per country where country-specific projects are implemented (Child Projects); d) SCIP strategic planning laboratory, which focuses on how to create intersectoral collaboration in cities; and e) SCIP Data Laboratory, through which information/data on a variety of topics related to the advancement of sustainable development can be obtained.

The project team may request strategic support from the SCIP Global Program to implement national activities, including the use of tools, training, and strategic approaches for each of the four project components. In addition, one will be able to make use of opportunities that the SCIP Global Program facilitates for the exchange of experiences between key urban stakeholders through the development of exchanges between peers. Finally, support may be requested to access new financial opportunities through existing project preparation units, city initiatives of the Regional Development Banks (RDBs), International Financial Institutions (IFI), and matchmaking opportunities sponsored by the SCIP Global Platform.

4.1.3 Project Gender Action Plan, Stakeholder Engagement Plan, and other management plans related to the social and environmental safeguards implemented.

The project will implement the Gender Action Plan (Annex 10) and the Comprehensive Stakeholder Participation Plan (Annex 8) that were developed during the PPG phase. In addition, it will implement an Indigenous Peoples Plan (IPP) that will be developed during project implementation based on an Indigenous Peoples Planning Framework (IPPF) also developed during the PPG and included as part of Annex 9 (Environmental and Social Management Framework [ESMF]). The ESIAs and ESMP, and any other additional stand-alone plan as determined necessary for SES compliance, will also be developed in line with the project's ESMF/IPPF (Annex 10).

Component 5. Monitoring and Evaluation (M&E)

Outcome 5.1. M&E assesses project impact and guides adaptive management.

5.1.1 Monitoring and Evaluation (M&E) plan implemented.

Project implementation will be kicked off through a project inception workshop, in which the identified key stakeholders will participate. The project results, such as those described in the Project Results Framework, will be monitored annually and periodically evaluated during project implementation to ensure that the project achieves these results, including the indicators related to gender. The M&E plan will also be used to support adaptive management, so that the experiences that result during implementation of the activities may be integrated into the annual project programming.

Partnerships:

The project will coordinate actions with the UNDP-GEF 6 project *Conserving biodiversity through sustainable management in production landscapes in Costa Rica* (GEF ID 9416) currently under implementation. Lessons learned

from the UNDP-GEF 6 project will be particularly relevant for outputs of this project that are related to increasing forest cover within urban areas, controlling solid waste and discharge into rivers, and promoting the connectivity of urban green areas, conservation, and rehabilitation of riparian forests of rivers crossing the GAM.

Partnerships will be established with the project *Sustainable mobility*, *Urban Planning*, *Equipment and Assessment of Public Space (MUEVE)* that promotes integral urban development, in the fifteen municipalities of the influence area of the Electric Train, and is implemented by the National Union of Local Governments (UNGL) with financial support from the European Commission. The project objective is to strengthen urban governance, ensure the inclusion of vulnerable groups and the respect of gender equity in the management of urban mobility, improve the economical reactivation and urban innovation, and contribute to environmental quality and resilience in overcrowded urban areas.

Partnerships will be established and lessons learned will be exchanged with the *MiTransporte: Climate change mitigation in Costa Rica's transport sector* project that supports the Government of Costa Rica in the implementation of GHG reduction measures in the transport sector in municipalities of the San José Metropolitan Area and the GAM, by promoting environmentally-friendly and efficient transport, non-motorized modes of transport, and vehicles with alternative propulsion systems, among other measure. The project is currently being executed by GIZ, the Directorate of Climate Change, MINAE, and MOPT and will end in 2021.

In addition, partnerships will be established with the *Biodiver-City* Project financed by the Federal Ministry for the Environment, Nature Conservation and Nuclear Safety (BMU) of Germany, and implemented GIZ-SINAC-MINAE. This project seeks that public institutions (MINAE, SINAC, municipal administrations) and private key stakeholders (private sector, non-governmental organizations, urban initiatives) incorporate urban ecosystem services and the establishment and management of IUBCs in the planning of urban development of the GAM. Through actions to protect, restore and re-naturalize forest and green areas, it will have a positive effect on the carbon balance (CO_2 emissions), contributing to related country goals.

Actions will be coordinated with the PMAAMSJ, which is currently executing AyA/PAPS. The PMAAMSJ includes the rehabilitation, strengthening, and expansion of the network of collectors and secondary networks of sanitary sewers in 11 municipalities (San José, Desamparados, Goicoechea, Alajuelita, Vásquez de Coronado, Tibás, Moravia, Montes de Oca, Curridabat, La Unión and Escazú). The actions carried out through the PMAAMSJ will support the implementation of a pilot experience to improve the water quality of the upper part of two polluted urban watersheds of the GAM (Torres and María Aguilar rivers) and to coordinate actions for water quality monitoring.

Synergies will be established with the *Global Programme to Support Countries with the Shift to Electric Mobility* to be funded by the GEF 7 (GEF ID 10114) implemented by the United Nations Environment Programme and currently under review for approval. The project will support the country to design and implement electric mobility programs as part of an overall shift to sustainable, low carbon transport sector.

In addition, lessons learned and experiences will be exchanged with the Inter-American Development Bank (IADB)-GEF 5 project *Sustainable management of ecosystem services* (GEF ID 4852) currently under execution by SINAC. This project aims to improve biodiversity conservation and sustainable use through management of landscape ecosystem services, by developing and implementing an ecosystem services compensation mechanism. The link with this project herein is related to the lessons stemming from the update of the urban planning law, as well as guidelines for the preparation of municipal and regional land use plans that incorporate an ecosystems-based approach, as well as imparting training modules to introduce the ecosystems-based approach for decision-makers and authorities including staff from government agencies and municipalities.

Lessons learned and experiences can also be exchanged with the regional project (Colombia, Jamaica, Panama) United Nations Environment Programme (UNDP)-GEF 7 project *Reduce marine plastics and plastic pollution in Latin American and Caribbean cities through a circular economy approach* (GEF ID 10547) that has as its objective

reducing regional marine plastics and plastic pollution by facilitating governments and businesses at the city-level, to accelerate the transition to a circular economy thereby responding to national, regional and global marine litter and plastics-related action plans. Resolutions and commitments Latin American and the Caribbean (LAC) lessons and experiences on the strengthening of municipal governance to promote circular economy strategies related to plastic waste and, the development of innovative investments with the participation of the private sector for the development of waste management solutions and the recycling, will be exchanged.

5. The project will facilitate collaboration between city and municipal officials beyond the urban boundaries of the GAM. This will be achieved through vertical and horizontal integration, with one project component focused on central government alignment on urban and green economy policy, and the other component focused on multi-municipal policy alignment in the GAM. As such, the project will implement actions with 20 municipal governments but will strive for nation-wide and economy-wide replication through the approval of policy changes proposed under Component 1.

Finally, coordination and knowledge exchange with the other 8 countries and 24 cities (Child Projects) that are part of the Sustainable Cities Impact Program (SCIP) will be achieved through the project's participation in the SCIP Global Platform.

Risks*:*

The overall project risk categorization is substantial. The project activities are designed to ensure that there is minimal or no risks of adverse social or environmental impacts. During the project design stage, the social and environmental screening (SESP) was updated (see Annex 5) and an ESMF was developed (see Annex 9), which includes an Indigenous Peoples Plan Framework (IPPF). During project implementation, it will be evaluated if an Indigenous Peoples Plan [IPP] will be developed and FPIC will be required for the implementation of some of the project activities); in addition, a Comprehensive Stakeholder Engagement Plan (see Annex 8) was developed. As per standard UNDP requirements, the Project Manager will monitor risks quarterly and report on the status of risks to the UNDP Country Office. The UNDP Country Office will record progress in the UNDP Atlas risk register. Risks will be reported as critical when the impact and probability are high (i.e., when impact is rated as 5, and when impact is rated as 4 and probability is rated at 3 or higher). Management responses to critical risks, as well as environmental and social grievances will also be reported to the GEF in the annual PIR. The detailed risk management strategy for the project is included in **Annex 6.**

6. Climate Risks:

- In accordance with the Third National Communication to the UNFCCC (2015), Costa Rica has two climatic regimes, one in the Pacific and one in the Caribbean, both with dry and rainy seasons. The most frequent and extreme events that produce weather events are tropical depressions, tropical storms, hurricanes, low-pressure systems, troughs, and cold fronts. Any of these phenomena can cause intense flooding. Meanwhile, climate variability in Costa Rica is more related to ENSO (El Niño Southern Oscillation). During El Niño there is a greater likelihood that the Pacific slope and Central regions experience a range of dry to extremely dry conditions, while in the Caribbean there is a greater likelihood of extremely rainy conditions. According to the National Meteorological Institute projections, temperatures by 2070 will increase 3-6 °C compared to average temperatures recorded between 1961-1990. In addition, a National Climate Change Strategy (ENCC) and Action Plan has been developed which prioritize actions around mitigation, adaptation, technology, education, and finance with the goal to integrate climate change policy with the long-term competitiveness of the country as

well as the strategy of sustainable development.[24] In addition, Costa Rica has the goal to achieve a decarbonized economy with net-zero emissions by 2050.[25]

- Vulnerability and exposure. The project's vulnerability to climate change is related primarily to landslides and flooding (extreme hydrometeorological events) (Low Risk), which are becoming more common in the GAM and are associated with poor land use planning and the presence of unstable soils. Severe or local storms are common and frequent in the GAM and are sometimes accompanied by electrical storms. The most common problems are associated with floods that range from urban overflows due to failures in the sewer systems to overflowing rivers, destruction of diverse infrastructure, landslides, and other high-level impacts in the urban and rural areas of the GAM. The exposure of the project to climate change is moderate; in recent years during the rainy season the GAM has experienced floods and landslides, overflowing rivers and creeks, and strong winds.
- Seismic vulnerability (Moderate Risk): Costa Rica's location on the subduction zone of the Coco, Caribe, and Nazca tectonic plates gives rise to its high seismicity profile. There is a large number of local faults within the GAM that have caused destructive earthquakes of intermediate magnitudes (5.0 > Ms > 6.5). Their destructive potential is associated with the region's vulnerability because of its growing population density within a context of extremely irregular topography, urbanization of areas with active fault zones, poor land use planning, progressive degradation of construction quality, and an increase of informal human settlements in urban and peri-urban areas.[26]
- The likelihood of the occurrence of climate-related events has been rated as moderate. This rating considers the vulnerability of the GAM and the impact of extreme climate events on the project, especially due to the likelihood of floods and landslides during the rainy season floods and landslides in the GAM during the rainy season. Accordingly, this risk is rated as moderate.

The mitigation measures considering in the project include:

- The restoration of degraded areas to reducing the risk of flooding and flash floods of rivers. Most of these impacts are due to the problems of improperly maintaining the urban hydraulic infrastructure, construction deficiencies, or the location of infrastructure in high-risk areas, as well as poor land use planning. In general this does not negatively affect the functioning of the project, except for instances of temporary road closures, for example. Nevertheless, because of the project's interaction with a great diversity of planning and decision-making stakeholders, including local governments, there are numerous possibilities to promote actions that can be taken to reduce negative impacts from flooding and heavy precipitation. These must also incorporate the efforts and vision for sustainable development promoted by the project, particularly through the wastewater management initiative "*Mi Barrio Se Conecta*."
- Coordinate actions with the National Risk Prevention System of the National Commission for Risk Prevention and Emergency Management (CNE).
- Sustainable mobility plans to support alternative modes of urban transportation will reduce GHG emissions and build resiliency to climate change in the GAM.
- Because of its interaction with a great diversity of planning and decision-making stakeholders, including local governments, the project has an enormous potential to advocate and promote defined actions aimed at reducing seismic vulnerabilities. These must also incorporate the efforts and vision for sustainable development promoted by the project and the expertise of the hired staff.

[24] Costa Rica. Ministerio de Ambiente, Energía y Telecomunicaciones. 2009. Estrategia Nacional de Cambio Climático.

[25] National Decarbonization Plan. Government of Costa Rica, 2018-2050.

[26] Fernández & Montero, Revista Geológica de América Central, 26: 25-37, 2002.

7. COVID-19 risks:

- The risk of the spread of COVID-19 and other virulent communicable diseases in the project area is substantial. The GAM includes conurbations of the four largest cities in the country and has a population of 3 million inhabitants in an area of 2,044 km², constituting the main urban area of Costa Rica. The capital city, San José, acts as a great employment and services provider attracting people traveling many kilometers in public transport and vulnerable to situations that facilitates the rapid spread of COVID-19. The Pandemic has significantly impacted the country in terms of lives lost; a saturated health service that has reduced attention and treatment for other pathologies; an economic contraction that resulted from the closure of business activity due to social distancing restrictions; and a huge decrease of international tourism arrivals which typically generate close to 8% of GDP. With 21% of government revenues depending on of hydrocarbon consumption taxes, the reduction of oil prices in 2020, substantially impacted fiscal revenues implying in a reduction of future government expenditures. The project will work to promote structural changes that will redesign how fiscal revenues are generated in the country , meaning Costa Rica can recover better and sustainably detaching growth and public expenditure from revenues generated by fossil fuels. The project offers a unique opportunity for national and local government entities and private sector to collaboratively discuss, agree, plan and implement economic policy reforms as one of the key tools for economic transitioning towards a green economy.
- Mitigation measures: Mitigation: Government authorities have adopted sanitary and restricted movement measures and have provided information reduce spaces for spreading contagion. In general, people have learned to abide by these requirements in public places and workplaces, and apply the recommendations in their homes. The network coverage and access to communications technology in the GAM is quite acceptable, and this allows for business continuity for those activities that do not require physical presence. As of September 20, 2021, the Ministry of Health reported that 38.81% of the population was fully vaccinated. Further, the government has begun vaccinating the large number of refugee and regular or irregular resident migrants (source: Ministry of Health 09-17-2021) in the GAM. restrictions when planning all project activities.

Stakeholder engagement and south-south cooperation:

The successful implementation of the project will largely depend on effective communication and coordination with the multiple project stakeholders and the implementation of mechanisms to ensure their participation in project's activities. The key national stakeholders include MINAE, Ministry of Finance, MOPT, MIVAH, SINAC, MIDEPLAN, INCOFER, AyA, IFAM, and INAMU, among others. At the local level, key stakeholders include the municipalities, municipal technical staff, Municipal Boards and Federations, and UNGL. Other key stakeholders include the Office of the First Lady, Presidential House, UN Environment, WRI, and NGOs such as FUNDECOR and Aliarse, as well as multiple CSOs operating in the GAM with an interest in participatory and inclusive urban sustainability. During the project preparation grant (PPG), a stakeholder analysis was developed which served as the basis for the development of the project's Comprehensive Stakeholder Engagement (Annex 8) that includes information summarizing the main PPG workshops convened, stakeholder meetings and consultations conducted, stakeholders' roles in the project, and grievances and monitoring and evaluation mechanisms, among other aspects.

Stakeholder engagement during the PPG included an inception workshop held on February 21, 2020 in San José, Costa Rica, with the aim of providing information about the project's objective and the identification of key stakeholders and their actions in the GAM, as well as to identify various aspects related to the project's baseline. In-depth interviews, focus groups (mainly through virtual platforms because of the restrictions imposed by the COVID-19 pandemic), and online surveys were held from May through July 2020, including a Results Framework

Workshop with over 103 participants (52% were women). A Validation Workshop was held on October 22, 2020, during which the project components, activities, budget, management arrangements, and environmental social safeguards were discussed and validated with over 100 participants. Specific information about the main activities that will be carried out with stakeholder involvement during the PPG phase is included in Annex 8: Comprehensive Stakeholder Engagement Plan.

The project will participate in the SCIP GP, as well as other global platforms on sustainable cities, which will allow sharing experiences and good practices on sustainable cities with other countries and cities, including decarbonization, as a way to scale-up the results of the GEF SCIP 7. In addition, to bring the voice of Cost Rica to global and regional fora, the project will explore opportunities for meaningful participation in specific events where UNDP could support engagement with the global development dialogue on the conservation of urban biodiversity and options to mitigate climate change with systemic impacts for sustainable cities. The project will furthermore provide opportunities for regional cooperation with Latin-American countries that are implementing related initiatives in geopolitical, social and environmental contexts relevant to the proposed project herein.

Gender equality and Women's Empowerment:

According to the UNDP Gender Marker Rating, the project is categorized as GEN2: gender equality as a significant objective; results address differential needs of men or women and equitable distribution of benefits, resources, status, and rights, but do not address root causes of inequalities in their lives. The project will contribute to gender equality by improving women's participation and decision-making for the transition to an inclusive green economy and sustainable and integrated urban planning.

During the PPG, a gender analysis for the GAM and a detailed Gender Action Plan (included as Annex 10) were developed to ensure gender mainstreaming in the project. The Project Results Framework includes gender-sensitive indicators (disaggregated by sex; see Section VI) and specific gender-based indicators will be used for monitoring.

Innovativeness, Sustainability and Potential for Scaling Up:

The project is highly innovative, as for the first time a strategy will be put into place that allows Costa Rica to transition from a traditional market-oriented economy to a green economy, bringing together multiple stakeholders from the public and private sectors, as well as from civil society and academia to develop the regulatory, financial, and institution arrangements needed to effect this change. This strategy, which will be developed through Component 1, will lay the foundations for the implementation of specific actions in 20 municipalities of GAM. Biodiversity conservation objectives will be mainstreamed through Component 2 to address threats both within the GAM and associated KBAs that are being negatively impacted by the transport, industrial, manufacturing, services, and solid waste and waste water management sectors. Through Component 3, innovative municipal financial instruments will be implemented and the establishment of durable PPPs in the GAM will provide the necessary resources to ensure the sustainability of the project's outcomes. This strategy will result in an innovative urban center with inclusive growth and GEBs.

The basis of the project's sustainability relies on its capacity to engage a variety of stakeholders and build agreements to ensure that the conditions needed to transition to a green economy are in place. These include a new environmental legal and regulatory framework, enhanced institutional arrangements and knowledge, market conditions that favor the participation of the private sector (transportation, industrial, manufacturing, services, and solid waste and waste water management sectors), and more environmental, urban land use, and financial information to guide decision-making and sustainable integrated urban planning. The implementation of environmentally friendly production practices by the public and private sectors, along with a stable source of funding from local governments, will provide the necessary resources to generate GEBs beyond project completion. This will translate into improved habitat for biodiversity, the consolidation of IUBCs that serve as areas of connectivity between the KBAs and buffer zones for streams and rivers that flow from the highlands through the GAM,

contributing to a reduction in contamination and long-term urban resilience. The renewal of public spaces and green urban areas (green grid) will contribute to a sustainable supply of improved ecosystem services (for example, clean water and habitat for biodiversity) that will contribute to improving the quality of life of the residents of the GAM. Sustainable mobility plans will contribute significantly to reducing GHG emissions beyond the life of the project. The implementation of innovative municipal financial instruments and the establishment of durable PPPs in the GAM will provide the necessary resources to ensure the sustainability of the project outcomes and generate stable social benefits, such as the increase of green jobs that guarantee gender equality and alleviate the impacts of the COVID 19 pandemic.

The project will generate the necessary political support at the national and local levels to allow the replication and expansion of outcomes within the country. Project outcomes could be replicated in the other 11 municipalities that make up the GAM and that were not prioritized by the project; furthermore, project outcomes could be replicated in other urban centers in the country such as San Isidro de El General, Liberia, Guápiles, and Ciudad Quesada, among others. Although the project is designed to respond to the specific conditions of Costa Rica, this approach has the potential to be replicated to other urban landscapes and cities with similar characteristics within the Latin American and Caribbean region and globally. To this end, the knowledge and lessons learned resulting from the implementation of the project would be systematized and made available through Component 4. The knowledge and lessons learned will be incorporated into guidance documents, capacity-building programs, and platforms for exchange of information and knowledge that promotes local learning and between cities in other countries, taking advantage of the knowledge platforms of OTS, UNDP, and the GEF 7 SCIP-GP. In addition, the project will create a digital platform to better coordinate and support evidence-based planning to cover multiple integrated elements of urban sustainability under this project and other initiatives. Currently, this type of platform does not exist.

VI. PROJECT RESULTS FRAMEWORK

This project will contribute to the following Sustainable Development Goal (s): 5, 6, 9, 11, 12, 13, 15, and 17.				
This project will contribute to the following country outcome (UNDAF): Strategic Priority 1- Strengthened capacities of public institutions, private organizations and civil society to facilitate and forge national, innovative, transformative and dialogue-based pacts and agreements, in order to accelerate the fulfillment of the SDGs for a sustainable development with equality				
	Objective and Outcome Indicators (no more than a total of 20 indicators)	**Baseline**	**Mid-term Target**	**End of Project Target**
Project Objective: To achieve decarbonization in the Great Metropolitan Area (GAM) through fiscal and policy reform and sustainable integrated urban planning	**Mandatory** Indicator 1 (GEF Core Indicator 11): # direct project beneficiaries disaggregated by gender (individual people)	– 0	– 921,342 (460,671 women, 460,671 men)	– 2,134,932 (1,067,466 women, 1,067,466 men) (People residing in 20 municipalities prioritized by the Project that belong to the GAM [urban and rural], population projection based on of the National Institute of Statistics and Censuses [INEC] for 2018)
	Mandatory Indicator 2 (GEF Core Indicator 3): Area of land restored (hectares - ha)	– 0	– 840 ha	– 2,000 ha
	Mandatory Indicator 3 (GEF Core Indicator 4): Area of landscapes under improved practices (ha)	– 0	– 8,700 ha	– 17,402 ha
	Mandatory Indicator 4 (GEF Core Indicator 6): Greenhouse Gas Emissions Mitigated (metric tons of CO_2e)	– 0	– Direct emissions: 20,557 metric tons of CO_2e: a) transport development and sustainable mobility): 3,387 tCO_2e; and b) carbon sequestration as a result of restoration activities: 17,170 tCO_2e	– Direct Emissions: 1,747,539 metric tons of CO2e: a) Transport sector (transport development and sustainable mobility): 193,500 tCO_2e; and b) carbon sequestration as a result of restoration activities: 605,046 tCO_2e c) waste management: 948,992 tCO_2e – Indirect emissions: 200,000 tCO_2e
Component 1:	**Evidence-based policy reform for a green economy and sustainable integrated urban planning**			
Outcome 1.1: Local and national governments have	Indicator 5: Number of multi-sectoral and inter-institutional agreements for	– 0 (Acknowledging the existence of	– 5 a. Multisectoral collaborative	– 5 a. Multisectoral collaborative action

strengthened institutions, processes, and capacities to undertake evidence-based policy reform and for sustainable integrated planning in the GAM	transitioning to a green economy and sustainable and integrated urban planning, including decarbonization, as a result of the project	agreements that will serve as a reference and support for the project, these include: Pacto for the María Aguilar, AIRMA; Rios Limpios Strategy, Ko-Múnitas, Multilevel Technical Table, among others)	action agreement between AyA, Ministry of Health, ESPH and municipalities, for the sanitation of GAM waters to improve water quality in the tributaries of the Tárcoles River b. Agreements between municipalities, MOPT, INVU and the private sector for collaborative action to promote sustainable mobility within the GAM. c. Agreements between municipalities, INVU and the private sector for collaborative action to promote integrated regional sustainable urban planning for the GAM. d. Agreement between the Ministry of Finance and municipalities, for an adequate programming of investments for sustainable mobility using fuel tax resources e. Agreements between municipalities, SINAC and the private sector, for the development and implementation of management plans for biological corridors for the supply of ecosystem services. f) Agreements between MINAE SINAC, municipalities, IUBC committees, and local community groups to develop an urban green strategy to restore and conserve	agreement between AyA, Ministry of Health, ESPH and municipalities, for the sanitation of GAM waters to improve water quality in the tributaries of the Tárcoles River b. Agreements between municipalities, MOPT, INVU and the private sector for collaborative action to promote sustainable mobility within the GAM. c. Agreements between municipalities, INVU and the private sector for collaborative action to promote integrated regional sustainable urban planning for the GAM. d. Agreement between the Ministry of Finance and municipalities, for an adequate programming of investments for sustainable mobility using fuel tax resources e. Agreements between municipalities, SINAC and the private sector, for the development and implementation of management plans for biological corridors for the supply of ecosystem services. f) Agreements between MINAE SINAC, municipalities, IUBC committees, and local community groups to develop an urban green strategy to restore and conserve public and private green spaces for the provision of ecosystem services in the GAM.

			public and private green spaces for the provision of ecosystem services in the GAM.	
	Indicator 6: Number of legislative reforms to reduce emissions and loss of biodiversity in urban landscapes, as a result of the project	– 0	– 7 projects submitted to the Legislative Assembly: a. Plastic taxes to reduce pollution and incentive mechanisms to promote use of plastic waste in the production process. b. Elimination of exemptions for contaminating with chemical inputs, through the amendment to paragraph 3 of article 11 of the Value Added Tax Law. c. Gradual elimination of sources of fiscal revenue from hydrocarbon use: change to the Tax Simplification and Efficiency Law No. 8114. d. Reforms to the Vehicle Property Tax. e. Development of a "polluter pays" principle in Solid Waste Management Law No. 8839 and Discharge and Reuse Wastewater Law No. 33601, and introduction of incentives for the transition to a circular economy and the use of waste in the production process. f. Reform of the Law for the Regulation of the Rational Use of Energy, to improve the collection of surcharges for inefficient energy consumption goods and encourage	– 5 projects approved by the Legislative Assembly among these: a. Plastic taxes to reduce pollution and incentive mechanisms to promote use of plastic waste in the production process. b. Elimination of exemptions for contaminating with chemical inputs, through the amendment to paragraph 3 of article 11 of the Value Added Tax Law. c. Gradual elimination of sources of fiscal revenue from hydrocarbon use: change to the Tax Simplification and Efficiency Law No. 8114. d. Reforms to the Vehicle Property Tax. e. Development of a "polluter pays" principle in Solid Waste Management Law No. 8839 and Discharge and Reuse Wastewater Law No. 33601, and introduction of incentives for the transition to a circular economy and the use of waste in the production process. f. Reform of the Law for the Regulation of the Rational Use of Energy, to improve the collection of surcharges for inefficient energy consumption goods and encourage the transition to clean energy in

			the transition to clean energy in companies. g. Reform of the Law for the Creation of ICAA, to allow charging for the sale of by-products of wastewater and fecal sludge management; Law No. 2726 Constitutive Law of AyA	companies. g. Reform of the Law for the Creation of ICAA, to allow charging for the sale of by-products of wastewater and fecal sludge management; Law No. 2726 Constitutive Law of AyA
	Indicator 7: Change in institutional capacity to implement structural environmental and financial policy reforms, sustainable integrated urban planning, and the delivery of GEBs (measured through the score of UNDP's Capacity Development Scorecard).	– Central government: 28/48 (58%; average for seven agencies[27]) – Municipalities: 34/54 (63%; average for 20 municipalities[28])	– Central government: 29/48 (60%; average for seven agencies) – Municipalities: 35/54 (65%; average for 20 municipalities)	– Central government: 31/48 (65%; average for seven agencies) – Municipalities: 39/54 (72%; average for 20 municipalities)
Outputs to achieve Outcome 1.1	1.1.1 Technical and political dialogue platforms, including the Multilevel Technical Roundtable for Transportation-Oriented Development for the Metropolitan Electric Train ((MTR-MET) and the Comprehensive Management Commission of the Río Grande de Tárcoles Watershed (CMCRGT), expanded and strengthened with plans and decision-making mechanisms to transition to an inclusive green economy, sustainable and integrated urban planning, decarbonization, and to coordinate actions with other related platforms and supported by a digital platform to better coordinate and support evidence based planning. 1.1.2 Coordinated and participatory roadmap for the transition to an inclusive green economy and sustainable and integrated urban planning, including decarbonization and greening is defined based on an analysis of legal, political, institutional, technical, and fiscal barriers, and approved by the government through public policy. 1.1.3 Sustainable and integrated regional urban renovation plan for the GAM defined, includes: a) Development of a Sustainable Regional Urban Renovation Plan that covers the 20 prioritized municipalities, 15 of them joined together by MET and 5 within its area of influence, designed to consolidate green public spaces, green urban areas, IUBCs, and sustainable mobility (by the different modalities), integrated into the Municipal Regulatory Plans. b) Development of an urban green strategy to restore and conserve public and private green spaces for the provision of ecosystem services in the GAM, which considers citizen security and inclusion, and Urban Natural Parks (PANU) as a new management category proposed by MINAE 1.1.4 National awareness-raising and communication strategy implemented builds awareness among the public and decision-makers about the objectives and			

[27] MIVAH, MINAE, INVU, MOPT, AyA, DCC, and SINAC.

[28] San José, Goicoechea, Tibás, Alajuelita, Desamparados, Montes de Oca, Curridabat, Alajuela, Cartago, Paraíso, Oreamuno, La Unión, Heredia, Belén, Flores, Santo Domingo, San Pablo, Barva, Santa Bárbara, and San Rafael.

	desired effects of a reform in fiscal legislation that will make progress towards a green legislation, comply with the National Decarbonization Plan, and generate global environmental benefits. 1.1.5 Legal proposal for green taxation drafted through consultation, presented and promoted for approval in the Legislative Assembly of Costa Rica. 1.1.6 Proposal for reforms/institutional adjustments of the environment, land use, and transportation sectors defined and aligned with the transition to a green economy and the National Decarbonization Plan, analyzed and discussed with the Executive Branch and promoted for implementation. 1.1.7 Municipal and institutional training program implemented with a gender perspective benefits 1,200 people (managers, technicians and local decision-makers, legislative advisors, officials of public institutions linked to urban development, environmental management, and land use planning. 1.1.8 Proposals for urban indicators to the National Ecological Monitoring Program (PRONAMEC) of the National System of Conservation Areas (SINAC) adopted, along with the design of protocols for decision-making by local governments and IUBCs.			
Component 2	**Sustainable integrated low-carbon, resilient, conservation, and land restoration investments**			
Outcome 2.1: Local and national governments have undertaken sustainable integrated low-carbon, resilient, conservation, and land restoration investments	Indicator 8: Condition of urban biodiversity and green urban spaces, measured through: a) Rate of change in the bird diversity index in the GAM b) Total of green urban spaces [29] (ha) in the project area	a) Bird diversity index for the GAM (Shannon Diversity Index [H]): 1.609 decits/individual (the baseline and targets will be validated during the first year of project implementation) b) Total of green urban spaces in the project area: 3,585 ha (including watershed and river protection areas: 2,933 ha; railway line: 483 ha; and urban parks: 168 ha)	a) Bird diversity index for the GAM: 1.609 decits/individual b) Total of green urban spaces in the project area: 4,545 ha	a) Bird diversity index for the GAM: 1.609 decits/individual b) Total of green urban spaces in the project area: 5,585 ha
	Indicator 9: Habitat quality for the aquatic biodiversity of the upper part of the Rio Torres and María Aguilar micro-watersheds measured through: a) Water quality biological index measured through the diversity of benthic macro invertebrates (BMWP-CR,	**a. Biological index** [30] ***Rio Torres (sampling stations)*** A. Puente Calle Asahar 79: Class 2 B. Puente Colegio de Biólogos 49: Class 3 C. Polideportivo Aranjuez 16: Class 4 D. Puente San José Palacio 8: Class 5 E. Aguas Arriba de Los Tajos 6: Class 6 F. Aguas Debajo de Los Tajos 6: Class 6	**Biological index** ***Rio Torres (sampling stations)*** A. Puente Calle Asahar: Class 2 B. Puente Colegio de Biólogos: Class 3 C. Polideportivo Aranjuez: Class 4 D. Puente San José Palacio: Class 5 E. Aguas Arriba de Los Tajos: Class 6 F. Aguas Debajo de Los Tajos: Class 6	**Biological index** ***Rio Torres (sampling stations)*** A. Puente Calle Asahar: Class 1 B. Puente Colegio de Biólogos: Class 2 C. Polideportivo Aranjuez: Class 3 D. Puente San José Palacio: Class 4 E. Aguas Arriba de Los Tajos: Class 5 F. Aguas Debajo de Los Tajos: Class 5

[29] Areas made up of urban parks; green zones; tree-lined streets, avenues, and railway lines; and forests rivers banks and other protected wild areas (or *trama verde*, Decree No. 40043-MINAE, 2017).

[30] Water quality biological index measured through the diversity of benthic macro invertebrates (BMWP-CR, decree 33903 - MINAE): Class 1: Waters of excellent quality; Class 2: Waters of good quality, Class 3: Waters of fair quality, Class 4: Waters of poor quality contaminated, Class 5: Waters of poor quality, highly contaminated, Class 6: Waters of very poor quality.

	according to decree 33903 - MINAE) b. Dutch water quality index (according to decree 33903 MINAE)	***Río María Aguilar (sampling stations)*** A. Finca Hospital Psiquiátrico: N.D. B. Puente Bosques y Fresales 38: Class 3 **b. Dutch index[31]** ***Río Torres (sampling stations)*** A. Puente Calle Asahar 10: Class 4 B. Puente Colegio de Biólogos 12: Class 4 C. Polideportivo Aranjuez 14: Class 5 ***Río María Aguilar (sampling stations)*** A. Finca Hospital Psiquiátrico 8: Class 3 B. Puente Bosques y Fresales 8: Class 3 C. La Periférica Curridabat 11: Class 4 (The baseline will be verified during the first year of project implementation)	***Río María Aguilar (sampling stations)*** A. Finca Hospital Psiquiátrico 2 B. Puente Bosques y Fresales: Class 3 **Dutch index** ***Río Torres (sampling stations)*** A. Puente Calle Asahar: Class 4 B. Puente Colegio de Biólogos: Class 4 C. Polideportivo Aranjuez: Class 5 ***Río María Aguilar (sampling stations)*** A. Finca Hospital Psiquiátrico: Class 3 B. Puente Bosques y Fresales: Class 3 C. La Periférica Curridabat: Class 4	***Río María Aguilar (sampling stations)*** A. Finca Hospital Psiquiátrico 1 B. Puente Bosques y Fresales: Class 2 **Dutch index** ***Río Torres (sampling stations)*** A. Puente Calle Asahar: Class 3 B. Puente Colegio de Biólogos: Class 3 C. Polideportivo Aranjuez: Class 4 ***Río María Aguilar (sampling stations)*** A. Finca Hospital Psiquiátrico: Class 2 B. Puente Bosques y Fresales: Class 2 C. La Periférica Curridabat: Class 3
	Indicator 10: Total length (km) of mobility solutions as a result of the project	0 km	Cycle paths: 3 km; shared roads and pedestrian routes: 1 km; sidewalks with improved access and green sidewalks: 8 km	Cycle paths: 8 km; shared roads and pedestrian routes: 3 km; sidewalks with improved access and green sidewalks: 20 km.
	Indicator 11: Investments (USD) to promote integrated sustainable low-carbon management, biodiversity conservation and restoration in the GAM as a result of the project (financed with the resources obtained with the financial-municipal instruments of Component 3)	USD 0	USD 660,435	USD 1,651,088
	Indicator 12. Investment (USD) in sustainable mobility.	USD 0	USD 8,000,000	USD 20,000,000 (10% of municipal investment in mobility derived from

[31] Dutch water quality index (Decree 33903 MINAE). Class 1: No contamination, Class 2: Incipient contamination, Class 3: Moderate contamination, Class 4: Severe contamination, Class 5: Very severe contamination.

				fuel taxes)
Outputs to achieve Outcome 2.1	2.1.1. Critical urban areas restored that build resilience of vulnerable urban populations and contributes to the mitigation of climate change, including the following: a) identification of intervention zones and prioritization of areas to restore with native species; b) strategic alliances with stakeholders that allow the incorporation of public and private areas into the restoration and conservation process; and c) consolidation of green public spaces, green urban areas, and IUBCs. 2.1.2. Participatory plans for the management of green urban spaces by municipality, with a gender approach contribute to the conservation of the existing urban green spaces, the reduction of GHG emissions, and the implementation of the management plans of the IUBCs, to improve the impact of the restoration carried out, and to facilitate the development of an integrated urban green strategy for the GAM under Component 1 (Output 1.1.3). 2.1.3. Investments in sustainable mobility such as bike-friendly bridges, cycle paths, shared-use paths, pedestrian routes with green areas, and improvements in green sidewalks implemented, reduce GHG emissions and are integrated into a GAM regional vision that facilitates the interconnection of neighborhoods, municipalities, urban-natural landscapes, and an improved quality of life for their inhabitants. 2.1.4. Pilot experience to improve water quality in the upper portion of two polluted urban watersheds within the GAM (Torres and Ma. Aguilar rivers) implemented, based on the "Clean Rivers: National Strategy for the Recovery of Urban Watersheds 2020-2030," includes the restoration of river protection areas and the control of irregular wastewater and solid waste discharges and promotes connectivity to the sanitary sewer system.			
Component 3	**Innovative financing and scaling-up.**			
Outcome 3.1: Local and national governments initiate innovative financing and business models for scaling-up sustainable urban solutions	Indicator 13: Financing (USD / year) for the fulfillment of the goals of the National Decarbonization Plan, obtained from the implementation of the reforms proposed in Component 1 and the municipal financing mechanisms of Component 3	– 0%	– USD 50.27 million	– USD 167.58 million
	Indicator 14: Number of new green jobs with gender equality in the GAM that result from innovative financing and business models for scaling-up sustainable urban solutions.	– 0	– 250 (50% women; 50% men)	– 500 (50% women; 50% men)
	Indicator 15: Number of innovative financial mechanisms and/or business models for scaling-up sustainable urban solutions	– 0	a) Circular economy business models and/or industrial symbiosis: One (1) b) Bio-business models: At least one (1)	a) Circular economy business models and/or industrial symbiosis: Three (3) b) Bio-business models: At least three (3)
Outputs to achieve Outcome 3.1	3.1.1 Economic analyses performed facilitate the development of business models under different innovative business and financing schemes to achieve decarbonization and the delivery of global environmental benefits in the GAM, including an analysis of the Business-as-Usual Scenario versus the project's			

	reformed scenario for the management of solid waste (e.g., plastics and organic waste), sewage, fecal sludge, and active mobility. 3.1.2 Improved efficiency of current economic instruments and new municipal financing instruments (assessment of property value, improved mechanisms for charging for parking, adjustments for public works in the real estate tax, financing options for solid waste and wastewater management, charging for vehicular congestion, special contributions for investing in urban renovation and issuing green bonds) implemented with gender awareness, promotes the following: a) Maintenance and restoration of urban ecosystem services (e.g., groundwater recharge, restoration of connectivity in IUBCs, reduced heat island effect, food provision, pollination, and reduced water runoff) b) Circular economy business models and/or industrial symbiosis with a gender focus for sound solid waste management, fecal sludge management and wastewater, management and reuse, includes financing through the banking system under favorable conditions (favorable payment terms, grace periods, lower interest rates). c) New ventures that favor micro- and small businesses, as well as community associative arrangements, for the use and transformation of solid (plastic and organic) and liquid waste, as well as sustainable mobility. 3.1.3 At least three bio-business models formed from public-private partnerships (PPPs), micro and small businesses, and associations at the community level with a gender focus established within the GAM support inclusive investments: maintenance of urban ecosystem services and the restoration of IUBCs, the best management of solid waste (identified as part of the Waste Nationally Appropriate Mitigation Action [NAMA]) and wastewater, fecal sludge, and active mobility linked to the Electric Train 3.1.4 Implemented technical assistance program for companies that work in bio-businesses facilitates access to markets and replicability at scale.			
Component 4	**Advocacy, Knowledge Exchange, Capacity Building, and Partnerships**			
Outcome 4.1: Solutions and best practices shared SCIP Global Platform and other global events and communities of practice (e.g., Natural Neighbors, URBES project, ICLEI initiatives) and initiatives from Latin America (e.g., Integrated Management of biodiversity and ecosystem services action Plan of Medellin, and its "biodiversity roundtable" and others)	Indicator 16: Number of knowledge products (e.g., publications, in-city knowledge exchanges) about the green economy and urban sustainability with a gender and social inclusion perspective made available locally, nationally, and regionally, including the SCIP web platform, for the replication and scaling-up of successful experiences in other urban landscapes.	– 0	– At least two (2)	– At least four (4)
	Indicator 17: Number of urban professionals in Costa Rica, and municipal technicians and local decision-makers, among others, who use the knowledge acquired from the training or materials from SCIP (gender disaggregated).	– 0	– 175 (50% women, 50% men)	– 500 (50% women, 50% men)

Outputs to achieve Outcome 4.1	4.1.1 Information and knowledge exchange platform established at the national level increases awareness about sustainable integrated urban planning, transitioning to an urban green economy, and gender aspects, among other topics. 4.1.2 A learning and communication strategy between cities implemented through the SCIP GP and other existing global networks, to disseminate international methods and lessons learned regarding sustainable cities. 4.1.3 Project Gender Action Plan, Stakeholder Engagement Plan, and other management plans related to the social and environmental safeguards implemented.			
Component 5	Monitoring and Evaluation (M&E)			
Outcome 5.1. M&E assesses project impact and guides adaptive management.	Indicator 18: Progress in M&E Plan implementation	– 0%	– 50%	– 100%
Outputs to achieve Outcome 5.1	5.1.1 Monitoring and Evaluation (M&E) plan implemented.			

VII. MONITORING AND EVALUATION (M&E) PLAN

The project results, corresponding indicators and mid-term and end-of-project targets in the project results framework will be monitored annually and evaluated periodically during project implementation. If baseline data for some of the results indicators is not yet available, it will be collected during the first year of project implementation. The Monitoring Plan included in Annex details the roles, responsibilities, and frequency of monitoring project results.

Project-level monitoring and evaluation will be undertaken in compliance with UNDP requirements as outlined in the UNDP POPP and UNDP Evaluation Policy. The UNDP Country Office is responsible for ensuring full compliance with all UNDP project monitoring, quality assurance, risk management, and evaluation requirements.

Additional mandatory GEF-specific M&E requirements will be undertaken in accordance with the GEF Monitoring Policy and the GEF Evaluation Policy and other relevant GEF policies[32]. The costed M&E plan included below, and the Monitoring plan in Annex 4, will guide the GEF-specific M&E activities to be undertaken by this project.

In addition to these mandatory UNDP and GEF M&E requirements, other M&E activities deemed necessary to support project-level adaptive management will be agreed during the Project Inception Workshop and will be detailed in the Inception Report.

Additional GEF monitoring and reporting requirements:

Inception Workshop and Report: A project inception workshop will be held within 60 days of project CEO endorsement, with the aim to:

Familiarize key stakeholders with the detailed project strategy and discuss any changes that may have taken place in the overall context since the project idea was initially conceptualized, that may influence its strategy and implementation.

Discuss the roles and responsibilities of the project team, including reporting lines, stakeholder engagement strategies and conflict resolution mechanisms.

Review the results framework and monitoring plan.

Discuss reporting, monitoring and evaluation roles and responsibilities and finalize the M&E budget; identify national/regional institutes to be involved in project-level M&E; discuss the role of the GEF OFP and other stakeholders in project-level M&E.

Update and review responsibilities for monitoring project strategies, including the risk log; SESP report, Social and Environmental Management Framework and other safeguard requirements; project grievance mechanisms; gender strategy; knowledge management strategy, and other relevant management strategies.

Review financial reporting procedures and budget monitoring and other mandatory requirements and agree on the arrangements for the annual audit.

Plan and schedule Project Board meetings and finalize the first-year annual work plan.

Formally launch the Project.

GEF Project Implementation Report (PIR): The annual GEF PIR covering the reporting period July (previous year) to June (current year) will be completed for each year of project implementation. Any environmental and social risks and related management plans will be monitored regularly, and progress will be reported in the PIR. The PIR submitted to the GEF will be shared with the Project Board. The quality rating of the previous year's PIR will be used to inform the preparation of the subsequent PIR.

GEF Core Indicators. The GEF Core indicators included as Annex 14 will be used to monitor global environmental benefits and will be updated for reporting to the GEF prior to MTR and TE. Note that the project team is responsible

[32] See https://www.thegef.org/gef/policies_guidelines

for updating the indicator status. The updated monitoring data should be shared with MTR/TE consultants prior to required evaluation missions, so these can be used for subsequent ground truthing. The methodologies to be used in data collection have been defined by the GEF and are available on the GEF website.

Independent Mid-term Review (MTR): The terms of reference, the review process and the final MTR report will follow the standard templates and guidance for GEF-financed projects available on the UNDP Evaluation Resource Center (ERC).

The evaluation will be 'independent, impartial and rigorous'. The evaluators that will be hired to undertake the assignment will be independent from organizations that were involved in designing, executing or advising on the project to be evaluated. Equally, the evaluators should not be in a position where there may be the possibility of future contracts regarding the project under review.

The GEF Operational Focal Point and other stakeholders will be actively involved and consulted during the evaluation process. Additional quality assurance support is available from the Bureau for Policy and Programme Support (BPPS)/GEF Directorate.

The final MTR report and MTR TOR will be publicly available in English and will be posted on the UNDP ERC by 01/09/2024. A management response to MTR recommendations will be posted in the ERC within six weeks of the MTR report's completion.

Terminal Evaluation (TE): An independent terminal evaluation (TE) will take place upon completion of all major project outputs and activities. The terms of reference, the evaluation process and the final TE report will follow the standard templates and guidance for GEF-financed projects available on the UNDP Evaluation Resource Center.

The evaluation will be 'independent, impartial and rigorous'. The evaluators that will be hired to undertake the assignment will be independent from organizations that were involved in designing, executing or advising on the project to be evaluated. Equally, the evaluators should not be in a position where there may be the possibility of future contracts regarding the project being evaluated.

The GEF Operational Focal Point and other stakeholders will be actively involved and consulted during the terminal evaluation process. Additional quality assurance support is available from the BPPS/GEF Directorate.

The final TE report and TE TOR will be publicly available in English and posted on the UNDP ERC by 01/11/2026. A management response to the TE recommendations will be posted to the ERC within six weeks of the TE report's completion.

Final Report: The project's terminal GEF PIR along with the terminal evaluation (TE) report and corresponding management response will serve as the final project report package. The final project report package shall be discussed with the Project Board during an end-of-project review meeting to discuss lessons learned and opportunities for scaling up.

Agreement on intellectual property rights and use of logo on the project's deliverables and disclosure of information: To accord proper acknowledgement to the GEF for providing grant funding, the GEF logo will appear together with the UNDP logo on all promotional materials, other written materials like publications developed by the project, and project hardware. Any citation on publications regarding projects funded by the GEF will also accord proper acknowledgement to the GEF. Information will be disclosed in accordance with relevant policies notably the UNDP Disclosure Policy[33] and the GEF policy on public involvement[34].

Monitoring and Evaluation Plan and Budget:		
GEF M&E requirements	**Indicative costs (US$)**	**Time frame**
Inception Workshop	4,660	Within 60 days of CEO endorsement of this project.
Inception Report	None	Within 90 days of CEO endorsement of this project.

[33] See http://www.undp.org/content/undp/en/home/operations/transparency/information_disclosurepolicy/

[34] See https://www.thegef.org/gef/policies_guidelines

Monitoring and Evaluation Plan and Budget:		
GEF M&E requirements	**Indicative costs (US$)**	**Time frame**
M&E of GEF core indicators, project results framework, update of UNDP Capacity Assessment Scorecard, monitoring of cofinancing	52,192	Annually and at mid-point and closure.
GEF Project Implementation Report (PIR)	None	Annually typically between June-August
Development of SES management plans and monitoring of IPPF/IPP, Gender Action Plan, Comprehensive Stakeholder Participation Plan, and ESMF, etc.	0	On-going.
Supervision missions	None	Annually
Independent Mid-term Review (MTR)	50,222	10/2023
Independent Terminal Evaluation (TE)	92,156	07/2026
TOTAL indicative COST	**199,230**	

VIII. GOVERNANCE AND MANAGEMENT ARRANGEMENTS

Roles and responsibilities of the project's governance mechanism:

Implementing Partner: The Implementing Partner for this project is the Organization for Tropical Studies (OTS).

The Implementing Partner is the entity to which the UNDP Administrator has entrusted the implementation of UNDP assistance specified in this signed project document along with the assumption of full responsibility and accountability for the effective use of UNDP resources and the delivery of outputs, as set forth in this document.

8. A competitive process was undertaken during PPG to select the IP of the project. OTS presented the higher score among the 4 participants invited to participate and was subjected to an independent micro-assessment in compliance with UNDP HACT policies. OTS presented a low-risk result of the micro-assessment and a no objection declaration was issued by MINAE in agreement to include OTS as IP. The selection form is included as Annex 13: Additional agreements of the UNDP-GEF Project Document. A fee of 6.8% to OTS, originally proposed in OTS' selection, is no longer included in the project budget because GEF resources cannot cover an implementing partner's administrative/overhead costs. OTS' administrative/overhead costs will instead be covered by PMC co-financing. On no account can this originally envisaged 6.8% fee, or any share of it, be paid from GEF resources to OTS during project implementation.

The Implementing Partner is responsible for executing this project. Specific tasks include:

- Project planning, coordination, management, monitoring, evaluation and reporting. This includes providing all required information and data necessary for timely, comprehensive and evidence-based project reporting, including results and financial data, as necessary. The Implementing Partner will strive to ensure project-level M&E is undertaken by national institutes and is aligned with national systems so that the data used and generated by the project supports national systems.

Risk management as outlined in this Project Document;

Procurement of goods and services, including human resources;

Financial management, including overseeing financial expenditures against project budgets;

Approving and signing the multiyear workplan;

Approving and signing the combined delivery report at the end of the year; and,

Signing the financial report or the funding authorization and certificate of expenditures.

Responsible Parties: There are no responsible parties for this project. Two responsible partners were initially included in the Child Project concept note for the execution of technical activities for Component 2 (International Union for the Conservation of Nature – IUCN) and 3 (Conservation International – CI). These organizations participated in the design process of the project throughout the PPG stage. Both organizations withdraw from their roles in the project. The letter of withdrawal from the project from IUCN and CI is included in Annex 13: Additional agreements of the UNDP-GEF Project Document.

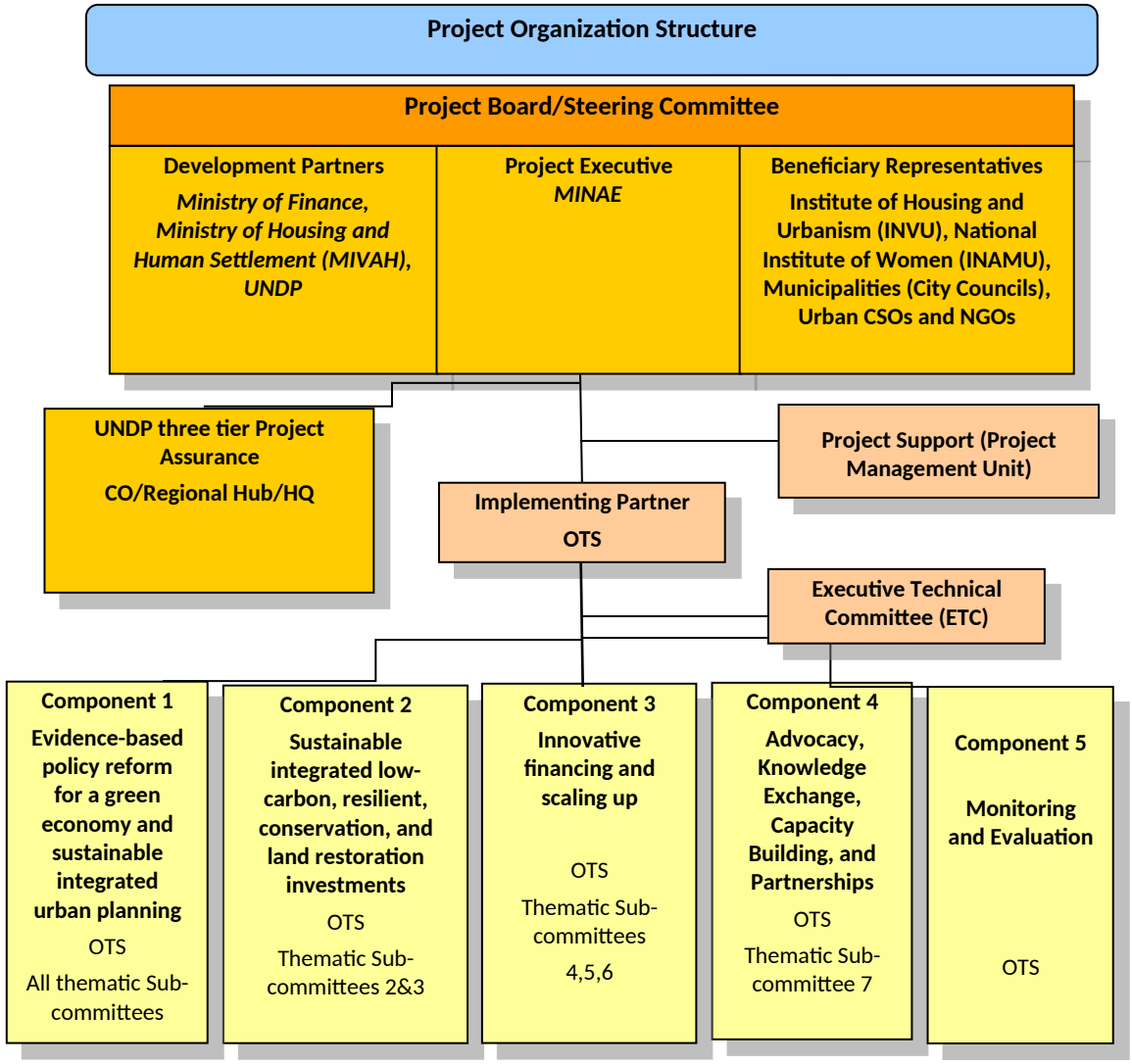
9. During project implementation a further screening of comparative advantages and specialized skills of metropolitan organizations (non-governmental and civil society) will be undertaken to identify possible responsible partners to the project, aiming to mitigate risk and to relieve administrative burdens. The relevant legal instrument of the IP will be used to engage identified responsible parties, which are directly accountable to the implementing partner in accordance with the terms of their agreement or contract.

Project stakeholders and target groups: The project partners are the central government institutions with national level mandates over finance, urban planning and urbanization, environment and biodiversity conversation, housing, transport, infrastructure, and waste management, as well as 22 municipal governments from the GAM and municipal support institutions. Project stakeholders and target groups will be engaged as described in the Stakeholder Engagement Plan (Annex 8).

Representatives of Ministry of Finance (Hacienda), Ministry of Housing and Human Settlement (MIVAH), Institute of Housing and Urbanism (INVU) will be part of the project board. In addition, to ensure that gender issues are properly addressed delegates of National Institute for Women (INAMU) will be part of the technical committee and have direct involvement in all components of the project.

UNDP: UNDP is accountable to the GEF for the implementation of this project. This includes oversight of project execution to ensure that the project is being carried out in accordance with agreed standards and provisions. UNDP is responsible for delivering GEF project cycle management services comprising project approval and start-up, project supervision and oversight, and project completion and evaluation. UNDP is also responsible for the Project Assurance role of the Project Board/Steering Committee.

Project organization structure:



The Project Board (also called Project Steering Committee) is responsible for taking corrective action as needed to ensure the project achieves the desired results. In order to ensure UNDP's ultimate accountability, Project Board decisions should be made in accordance with standards that shall ensure management for development results, best value money, fairness, integrity, transparency and effective international competition.

In case consensus cannot be reached within the Board, the UNDP Resident Representative (or their designate) will mediate to find consensus and, if this cannot be found, will take the final decision to ensure project implementation is not unduly delayed.

Specific responsibilities of the Project Board include:

Provide overall guidance and direction to the project, ensuring it remains within any specified constraints;

Address project issues as raised by the project manager;

Provide guidance on new project risks, and agree on possible mitigation and management actions to address specific risks;

Agree on project manager's tolerances as required, within the parameters set by UNDP-GEF, and provide direction and advice for exceptional situations when the project manager's tolerances are exceeded;

Advise on major and minor amendments to the project within the parameters set by UNDP-GEF;

- Ensure coordination between various donor and government-funded projects and programmes;
- Ensure coordination with various government agencies and their participation in project activities;
- Track and monitor co-financing for this project;
- Review the project progress, assess performance, and approve the Annual Work Plan for the following year.
- Approve the annual project implementation report, including the quality assessment rating report;
- Ensure commitment of human resources to support project implementation, arbitrating any issues within the project;

Review combined delivery reports prior to certification by the Implementing Partner;

Provide direction and recommendations to ensure that the agreed deliverables are produced satisfactorily according to plans;

Address project-level grievances;

Approve the project Inception Report, Mid-term Review and Terminal Evaluation reports and corresponding management responses;

- Review the final project report package during an end-of-project review meeting to discuss lesson learned and opportunities for scaling up.
- Ensure highest levels of transparency and take all measures to avoid any real or perceived conflicts of interest.

The composition of the Project Board must include the following roles:

Project Executive: Is an individual who represents ownership of the project and chairs the Project Board. The Executive is normally the national counterpart for nationally implemented projects. The Project Executive is: Mrs. ***Andrea Meza Murillo, Minister of Environment and Energy.***

Beneficiary Representative(s): Are Individuals or groups representing the interests of those who will ultimately benefit from the project. Their primary function within the board is to ensure the realization of project results from the perspective of project beneficiaries. The Beneficiary representative (s) are representatives from the following institutions:

Institute of Housing and Urbanization, represented by Mr. Tomás Martínez Baldares, Executive President of INVU

- National Institute of Women (INAMU)
- Municipalities (representatives of City Councils)
- Urban CSOs and NGOs

Specific responsibilities of the beneficiary representatives as part of the above responsibilities for the Project Board are:

i. Prioritize and contribute beneficiaries' opinions on Project Board decisions on whether to implement recommendations on proposed changes;

ii. Ensure that the specification of the beneficiary's needs is accurate, complete and unambiguous;

iii. Safeguard that the implementation of activities at all stages is monitored to ensure that they will meet the beneficiary's needs and are progressing towards that target;

iv. Guarantee that the impact of potential changes is evaluated from the beneficiary point of view;

v. Warrant that the risks to the beneficiaries are frequently monitored.

Development Partner(s): Individuals or groups representing the interests of the parties concerned that provide funding and/or technical expertise to the project. The Development Partner(s) are:

Ministry of Finance, represented by the Vice minister of Finance, Mrs. Alejandra Hernández Sánchez, Vice minister of Finance

Ministry of Housing and Human Settlements, represented by Mrs. Irene Campos Gómez, Minister of Housing and Human Settlements

- UNDP, represented by the UNDP Resident Representative in Costa Rica, Mr. Jose Vicente Troya.

Project Assurance: UNDP performs the quality assurance and supports the Project Board and Project Management Unit by carrying out objective and independent project oversight and monitoring functions. This role ensures appropriate project management milestones are managed and completed, and conflict of interest issues are monitored and addressed. The Project Board cannot delegate any of its quality assurance responsibilities to the Project Manager. UNDP provides a three – tier oversight services involving the UNDP Country Offices and UNDP at regional and headquarters levels. Project assurance is totally independent of project execution.

Executive Technical Committee (ETC): While the Organization of Tropic Studies is the Implementing Partner of the project, the technical and strategic decisions regarding project execution lies with the Executive Technical Committee (ETC) of the project. This committee is an inter-institutional multi-level national coordination space responsible to provide feedback and guidance to OTS managerial decisions. It will request updates on project delivery; monitor progress in implementing the acquisition plan; comment on ToRs of acquisitions or services over $50,000 and will review and approve annual work plans before submission to project board and before OTS starts implementation. Its main roles are to:

- Ensure fluid inter-sectoral communication and collaboration within and among the stakeholders.
- Provide technical guidance to the Project Manager and the project unit to support the achievement of the project outcomes.
- Review and pre-approve the annual work plan and its corresponding budget before they are submitted for consideration of the Project Board.
- Appraise and comment the draft PIR before it submitted for consideration of the Project Board.
- Participate in meetings of the Project Board by invitation.
- Only members of the committee can attend committee meetings; however, other individuals and external advisers may be invited to attend.
- Appointments to the committee shall be for a period of up to five (5) years (duration of the project); however, each participation insititution can name/change their designated delegates at their own discretion.
- Will designate sub-committees to discuss specific issues related to the project and promote stakeholder partipation in decisions. The sub-committes will be divided in thematic areas of the project: Transport, Water management, Green areas restoration, Legal & Regulatory reforms, Solid Waste management and Urban Renovation Plan & Urban Indicators.
- Meetings of the committee shall be called by the Project Manager, who will act as Secretary of the committee, at the request of any of its members
- Notice of each committee meeting confirming the venue, date and time, together with an agenda of items to be discussed, shall be forwarded to each member of the committee and any other person required to attend, no later than five (5) working days before the date of the meeting.
- The Project Manager in his/her role of Secretary shall minute the proceedings of all committee meetings, including the names of those present. Minutes of committee meetings shall be circulated in draft form promptly to all committee members.
- The committee shall meet once every three months or when necessary.

The ETC will be composed by formally designated delegates from:

a. Ministry of Public Works and Transportation (Secretariat of Sector Planning, MOPT)
b. National Institute for Housing and Urbanism (INVU) (general director of Urbanism);
c. National Association of Mayors and Intendants (ANAI)
d. Institute of Municipal Promotion and Advisory (IFAM).

e. National System of Conservation Areas (SINAC)
f. Costa Rican Institute of Aqueducts and Sewers (AyA)
g. Local Committee of the Inter-urban Biological Corridor of Torres River (CBTorres)
h. Local Committee of the Inter-urban Biological Corridor of María Aguilar (CBIMA)
i. The Foundation for Sustainability and Equity (Aliarse)
j. Costa Rican Union of Business Chambers (UCCAEP)
k. Multi-level Technical Working Group oriented to transport development in the area of influence of the Train (MTM)
l. National Institute for Women (INAMU)

10. The ETC will be held on a bimonthly basis and will be convened and facilitated by project manager including also the financial director of the OTS and technical advisor of OTS to the project. All meetings will have minutes that will be reported in annual implementation reports.

11. To promote local governments leadership and involvement in project decision-making as well as wider stakeholder participation as defined in the Comprehensive Stakeholder Engagement Plan included in Annex 8, technical sub-committees will be established for the core thematic areas of the Project. The following 7 thematic subcommittees will be led by the following national and municipal institutions:

Thematic Subcommittee		**Lead institution**
1	**Transport**	Ministry of Housing and Human Settlement (MIVAH)
2	**Water and waste water management**	Costa Rican Institute of Aqueducts and Sewers (AyA)
3	**Green areas restoration**	National System of Conservation Areas (SINAC)
4	**Legal and regulatory reforms**	Ministry of Planning and Economic Policy (Project Steering Committee)
5	**Municipal finance**	Institute of Municipal Promotion and Advisory (IFAM)
6	**Solid waste management**	Ministry of Health
7	**Urban renovation plan and urban indicators**	National Institute for Housing and Urbanism (INVU) (general director of Urbanism

All institutions part of the Comprehensive Stakeholder Engagement Plan can provide representatives to the different thematic subcommittees formed by government officials, municipal officials, private sector, representatives of city councils, local communities, and NGOs. In the subcommittees all the technical and participatory consultations will take place. The lead institution of each sub-committee will be supported by a technical specialist part of PMU hired by the project (draft ToRs of project team are included in Annex 7).

Subcommittees will meet periodically to consult stakeholders and to draft the technical recommendations for project implementation. The proposals and work plans delivered by the Subcommittees will be reviewed and approved by the Executive Technical Committee before OTS implement activities. The objectives of this arrangement (ETC and thematic subcommittees) are to provide technical and political guidance to OTS for executing the project activities guaranteeing national ownership. It will also allow wider stakeholder participation and empowerment of municipal institutions and local organizations.

The OTS will sign cooperation agreements with the ETC and with the additional lead institutions of subcommittees, which are not part of the ETC. These agreements will define roles, responsibilities, timelines, focal points and specific commitments of each organization in the implementation of the project.

12. The core objective of the project is to influence and improve national environmental policy with the validation of demonstrative activities and socio-economic analysis undertaken by the project. These multilevel interdisciplinary platforms of participation are expected to facilitate collaboration not only between city authorities and departments but also with stakeholders beyond the urban boundaries. With a robust communication and knowledge management strategy supported by digital platforms for communication the project will facilitate and promote this collaboration beyond the GAM.

Project extensions: The UNDP Resident Representative and the UNDP-GEF Executive Coordinator must approve all project extension requests. Note that all extensions incur costs and the GEF project budget cannot be increased. A single extension may be granted on an exceptional basis and only if the following conditions are met: one extension only for a project for a maximum of six months; the project management costs during the extension period must remain within the originally approved amount, and any increase in PMC costs will be covered by non-GEF resources; the UNDP Country Office oversight costs in excess of the CO's Agency fee specified in the DOA during the extension period must be covered by non-GEF resources.

IX. FINANCIAL PLANNING AND MANAGEMENT

13. The total cost of the project is USD 109,449,464. This is financed through a GEF grant of USD 10,317,970 administered by UNDP, no cash co-financing to be administered by UNDP and additional support of USD 99,131,494. UNDP, as the GEF Implementing Agency, is responsible for the oversight of the GEF resources and the cash co-financing transferred to UNDP bank account only.

Confirmed Co-financing: The actual realization of project co-financing will be monitored during the mid-term review and terminal evaluation process and will be reported to the GEF. Note that all project activities included in the project results framework that will be delivered by co-financing partners (even if the funds do not pass through UNDP accounts) must comply with UNDP's social and environmental standards. Co-financing will be used for the following project activities/outputs:

Co-financing source	Co-financing type	Co-financing amount	Planned Co-financing Activities/Outputs	Risks	Risk Mitigation Measures
Ministry of the Environment and Energy (MINAE)	In-kind	250,000	Technical support to all project components, office space, vehicles, and monitoring and evaluation	Low	The UNDP Country Office will monitor the co-financing contributions to the project
National Institute of Aqueducts and Sewers (AyA)	Public Investment	28,000,000	Improving water sanitation facilities in the GAM (Component 3)	Low	The UNDP Country Office will monitor the co-financing contributions to the project
Municipality San Jose	Public Investment	52,657,601	Consolidation of urban biological corridors (Component 2)	Medium – Dependent on annual budgeting and effective allocation of funds to the institution	The UNDP Country Office will monitor the co-financing contributions to the project
UNDP-BIOFIN	Grant	900,000	Biodiversity conservation financing (Component 2)	Low	The UNDP Country Office

					will monitor the co-financing contributions to the project
UNDP-NDC Support	Grant	1,000,000	Climate change mitigation (Component 2 and Component 3)	Low	The UNDP Country Office will monitor the co-financing contributions to the project
Costa Rican Railroad Institute (INCOFER)	Public Investment	14,140,893	Sustainable mobility including the electric train (Component1 and Component 3)	Medium – Dependent on annual budgeting and effective allocation of funds to the institution	The UNDP Country Office will monitor the co-financing contributions to the project
Organization of Tropical Studies (OTS)	Grant	2,183,000	Components 1, 2, 3, and 4 and PMC	Medium – Dependent on annual budgeting and effective allocation of funds to the institution	The UNDP Country Office will monitor the co-financing contributions to the project

Budget Revision and Tolerance: As per UNDP requirements outlined in the UNDP POPP, the project board will agree on a budget tolerance level for each plan under the overall annual work plan allowing the project manager to expend up to the tolerance level beyond the approved project budget amount for the year without requiring a revision from the Project Board.

Should the following deviations occur, the Project Manager/Technical Advisory Committee (TAC) and UNDP Country Office will seek the approval of the BPPS/GEF team to ensure accurate reporting to the GEF:

a) Budget re-allocations among components in the project budget with amounts involving 10% of the total project grant or more;

b) Introduction of new budget items that exceed 5% of original GEF allocation.

Any over expenditure incurred beyond the available GEF grant amount will be absorbed by non-GEF resources (e.g. UNDP TRAC or cash co-financing).

Audit: The project will be audited as per UNDP Financial Regulations and Rules and applicable audit policies. Audit cycle and process must be discussed during the Inception workshop.

Project Closure: Project closure will be conducted as per UNDP requirements outlined in the UNDP POPP. All costs incurred to close the project must be included in the project closure budget and reported as final project commitments presented to the Project Board during the final project review. The only costs a project may incur following the final project review are those included in the project closure budget.

Operational completion: The project will be operationally completed when the last UNDP-financed inputs have been provided and the related activities have been completed. This includes the final clearance of the Terminal Evaluation Report (that will be available in English) and the corresponding management response, and the end-of-project review Project Board meeting. **Operational closure must happen at the end date calculated by the approved duration after the Project Document signature or at the revised operational closure date as approved in the**

project extension. Any expected activity after the operational date requires project extension approval. The Implementing Partner through a Project Board decision will notify the UNDP Country Office when operational closure has been completed. At this time, the relevant parties will have already agreed and confirmed in writing on the arrangements for the disposal of any equipment that is still the property of UNDP.

Transfer or disposal of assets: In consultation with the Implementing Partner and other parties of the project, UNDP is responsible for deciding on the transfer or other disposal of assets. Transfer or disposal of assets is recommended to be reviewed and endorsed by the project board following UNDP rules and regulations. Assets may be transferred to the government for project activities managed by a national institution at any time during the life of a project. In all cases of transfer, a transfer document must be prepared and kept on file[35]. The transfer should be done before the Project Management Unit completes their assignments.

Financial completion (closure): The project will be financially closed when the following conditions have been met: a) the project is operationally completed or has been cancelled; b) the Implementing Partner has reported all financial transactions to UNDP; c) UNDP has closed the accounts for the project; d) UNDP and the Implementing Partner have certified a final Combined Delivery Report (which serves as final budget revision).

The project will be financially completed **within 6 months of operational closure or after the date of cancellation**. Between operational and financial closure, the implementing partner will identify and settle all financial obligations and prepare a final expenditure report. The UNDP Country Office will send the final signed closure documents including confirmation of final cumulative expenditure and unspent balance to the BPPS/GEF Unit for confirmation before the project will be financially closed in Atlas by the UNDP Country Office.

Refund to GEF: Should a refund of unspent funds to the GEF be necessary, this will be managed directly by the BPPS/GEF Directorate in New York. No action is required by the UNDP Country Office on the actual refund from UNDP project to the GEF Trustee.

[35] See https://popp.undp.org/_layouts/15/WopiFrame.aspx?sourcedoc=/UNDP_POPP_DOCUMENT_LIBRARY/Public/PPM_Project%20Management_Closing.docx&action=default.

X. TOTAL BUDGET AND WORK PLAN

Total Budget and Work Plan			
Atlas Award ID:	00127219	Atlas Output Project ID:	00121145
Atlas Proposal or Award Title:	Transitioning to an urban green economy		
Atlas Business Unit	CRI10		
Atlas Primary Output Project Title	Transitioning to green economy		
UNDP-GEF PIMS No.	6270		
Implementing Partner	Organization for Tropical Studies (OTS)		

Atlas Activity (GEF Component)	Atlas Implementing Agent (Responsible Party, IP, or UNDP)	Atlas Fund ID	Donor Name	Atlas Budgetary Account Code	ATLAS Budget Account Description	Amount Year 1 (USD)	Amount Year 2 (USD)	Amount Year 3 (USD)	Amount Year 4 (USD)	Amount Year 5 (USD)	Total (USD)	See Budget Note:
COMPONENT 1: Evidence-based policy reform for a green economy and sustainable integrated urban planning	**OTS**	**62000**	**GEF Trustee**	71300	Local Consultants	223,327	275,115	275,115	275,115	223,328	**1,272,000**	*1*
				71600	Travel	1,864	1,864	1,864	1,864	1,864	**9,320**	*2*
				72100	Contractual services - Companies	232,748	435,834	435,834	110,219	100,056	**1,314,691**	*3*
				72800	Information Technology Equipmt	5,534					**5,534**	*4*
				74200	Audio Visual & Print Prod Costs	9,320	23,300	25,630	25,630	9,320	**93,200**	*5*
				75700	Training, workshop, conference	6,990	6,990	10,485	6,990	6,990	**38,445**	*6*
					Total Outcome 1	**479,783**	**743,103**	**748,928**	**419,818**	**341,558**	**2,733,190**	
COMPONENT 2:Sustainable integrated low-carbon, resilient, conservation, and land	**OTS**	**62000**	**GEF Trustee**	71300	Local Consultants	181,600	181,600	181,600	181,600	181,600	**908,000**	*7*
				71600	Travel	1,864	1,864	1,864	1,864	1,864	**9,320**	*8*
				72100	Contractual services - Companies	314,678	378,183	316,843	282,204	282,204	**1,574,112**	*9*
				72300	Materials & Goods	74,560	298,240	316,880	260,960	27,960	**978,600**	*10*
				72400	Communic & Audio Visual Equip	4,116	2,237	2,237	2,237	2,237	**13,064**	*11*
				73400	Rental & Maint of Other Equip	3,356	3,355	3,355	3,355	3,355	**16,776**	*12*

restoration investments				72600	Grants		75,000	75,000	75,000		**225,000**	*13*
				72800	Information Technology Equipmt	49,016				25,934	**74,950**	*14*
				74200	Audio Visual & Print Prod Costs	3,728	3,728	3,728	3,728	3,728	**18,640**	*15*
				75700	Training, workshop, conference	6,012	8,109	6,710	6,710	6,011	**33,552**	*16*
					Total Outcome 2	**638,930**	**952,316**	**908,217**	**817,658**	**534,893**	**3,852,014**	
COMPONENT 3: Innovative financing and scaling-up	**OTS**	**62000**	**GEF Trustee**	71300	Local Consultants	125,520	125,520	125,520	125,520	125,520	**627,600**	*17*
				71600	Travel	3,075	3,076	3,075	3,076	3,076	**15,378**	*18*
				72100	Contractual services - Companies	157,773	520,603	574,018	225,347	206,659	**1,684,400**	*19*
				72800	Information Technology Equipmt	7,269					**7,269**	*20*
				74200	Audio Visual&Print Prod Costs	3,957	3,957	3,957	3,957	3,956	**19,784**	*21*
				75700	Training, workshop, conference	5,592	9,786	9,786	6,990	4,194	**36,348**	*22*
					Total Outcome 3	**303,186**	**662,942**	**716,356**	**364,890**	**343,405**	**2,390,779**	
COMPONENT 4: Advocacy, Knowledge Exchange, Capacity Building and Partnerships	**OTS**	**62000**	**GEF Trustee**	71300	Local Consultants	57,297	91,814	60,749	43,491	43,491	**296,842**	*23*
				71600	Travel	46,600	46,600	46,600	46,600	46,600	**233,000**	*24*
				72100	Contractual services - Companies	46,657					**46,657**	*25*
				74200	Audio Visual & Print Prod Costs	4,640	4,640	4,640	4,640	4,640	**23,200**	*26*
				75700	Training, workshop, conference	22,462	8,481	8,481	8,481	3,821	**51,726**	*27*
					Total Outcome 4	**177,656**	**151,535**	**120,470**	**103,212**	**98,552**	**651,425**	
COMPONENT 5: Monitoring and Evaluation (M&E)	**OTS**	**62000**	**GEF Trustee**	71200	International Consultants			28,092		66,839	**94,931**	*28*
				71300	Local Consultants	6,631	6,632	26,674	6,632	31,961	**78,530**	*29*
				71600	Travel	778	777	6,221	778	10,225	**18,779**	*30*
				75700	Training, workshop, conference	4,660		932		1,398	**6,990**	*31*
					Total Outcome 5	**12,069**	**7,409**	**61,919**	**7,410**	**110,423**	**199,230**	
Project MANAGEMENT UNIT	**OTS**	**62000**	**GEF Trustee**	71300	Local Consultants	91,680	91,680	91,680	91,680	91,680	**458,400**	*32*
				72200	Equipment and Furniture	2,799					**2,799**	*33*
				72500	Supplies	615	615	615	615	615	**3,075**	*34*
				72800	Information Technology equipment	3,758					**3,758**	*35*
				74100	Professional Services	4,660	4,660	4,660	4,660	4,660	**23,300**	*36*
					Total Management	**103,512**	**96,955**	**96,955**	**96,955**	**96,955**	**491,332**	
					PROJECT TOTAL	**1,715,136**	**2,614,260**	**2,652,845**	**1,809,943**	**1,525,786**	**10,317,970**	

Summary of Funds						
	Amount Year 1	Amount Year 2	Amount Year 3	Amount Year 4	Amount Year 5	Total
GEF grant administered by UNDP	1,715,136	2,614,260	2,652,845	1,809,943	1,525,786	**10,317,970**
Ministry of the Environment and Energy (MINAE)	50,000	50,000	50,000	50,000	50,000	**250,000**
National Institute of Aqueducts and Sewers (AyA)	5,600,000	5,600,000	5,600,000	5,600,000	5,600,000	**28,000,000**
Municipality San Jose	10,531,520	10,531,520	10,531,520	10,531,520	10,531,521	**52,657,601**
UNDP-BIOFIN	450,000	450,000				**900,000**
UNDP-NDC Support	500,000	500,000				**1,000,000**
Costa Rican Railroad Institute (INCOFER)	7,070,447	7,070,446				**14,140,893**
Organization of Tropical Studies (OTS)	436,600	436,600	436,600	436,600	436,600	**2,183,000**
TOTAL	**26,353,703**	**27,252,826**	**19,270,965**	**18,428,063**	**18,143,907**	**109,449,464**

Budget note number

Comments

Component 1. Evidence-based policy reform for a green economy and sustainable integrated urban planning

1 [36]

71300 Local Consultants

USD 1,272,000

• Leading advisor for political dialogue. Leads dialogue processes with political parties, the Legislative Assembly, the Executive Branch, and municipalities to assess the political feasibility of legal and institutional reforms. Total cost: USD 264,000; USD 5,500/month, for 48 months. Outputs 1.1.1, 1.1.4, and 1.1.5.

• Professional in economics, with knowledge and experience in fiscal policy. Leads the preparation of draft laws, analysis of social and economic impacts of tax reforms, municipal and national financial instruments, and cost/benefit studies. Part-time. Total cost: USD 111, 840; USD 3,728/month, 30 months during 5 years. Outputs 1.1.1, 1.1.4, 1.1.5, and 1.1.6.

• Professional specialized in Urban Planning. Participates in the technical processes of the multilevel dialogue platforms, as well as in the definition of urban renewal areas, together with the municipalities, INVU, and other institutions involved. Part-time. Total cost: USD 186,000; USD 3,100/month, 60 months during 5 years. Outputs 1.1.1, 1.1.2, 1.1.3, 1.1.4, 1.1.7, 1.1.8

• Law professional, with experience in environmental law and preparation of legal regulations. Development of proposals for law reforms, institutional and regulatory reforms, and supports legal processes that develop platforms for dialogue. Total cost: USD 111,8400; USD 3,728/month, 30 months during 5 years. Outputs 1.1.1, 1.1.2, 1.1.5, 1.1.6, and 1.1.7.

• GIS and Remote Sensing Expert. Manages the different digital tools that allow the planning and execution of Component 1 activities. Total cost: USD 86,676; USD 2,796/month; 31 months during 5 years. Outputs 1.1.1, 1.1.3, 1.1.7 and Outputs of Component 3 that require his/her services.

[36] See Annex 7 for more details on local consultancies, such as the proposed rate and level of effort.

• Expert in business processes. Promotes the analysis and generation of proposals for institutional reforms aligned to achieve the transition to a green and decarbonized economy. Total cost: USD 134,208; USD 3,728/month; 36 months during 3 years (years 2, 3 and 4). Output 1.1.6.

• Professional in Social Sciences. Facilitates multi-stakeholder dialogue and promotes the participation of diverse sectors. Total cost: USD 86,676; USD 2,796/month, for 31 months during 5 years. Outputs 1.1.1 to 1.1.8.

• Professional in Communication Sciences. Establishes the conditions to develop a communication strategy and supervises its implementation. Total cost: USD 170,000, USD 3,400/month; 50 months during 5 years. Outputs 1.1.1 to 1.1.8.

• Multistakeholder facilitator. Supports the project coordinator and different project specialists on the management of relationships with project partners and advises on development of participation methodologies. Total cost: 120,760; 3,019/month, 40 Months during 5 years. Outputs 1.1.1 to 1.1.8.

2

71600 Travel
USD 9,320

• In-country travel costs. Total cost: USD 9,320; USD 1,864/year for 5 years. Outputs 1.1.1 to 1.1.7.

3

72100 Contractual services – Companies
USD **1,314,691**
• Development of technical instruments, organization and support to processes of fostering transit-oriented development and the management for basins, for MTM and CCRGT. Total cost: USD 186,400; USD 37,280/year, for 5 years. Output 1.1.1.
• Development and operation of a digital platform for better coordination and evidence based planning. Total cost: USD 44,736; USD 22,368 during year 1 and USD 5,592/year for years 2 to 5. (Output 1.1.1).
• Process of building a roadmap towards a decarbonized economy. Total cost: USD 42,512 during years 2 and 3. Output 1.1.2.
• Regional Urban Renovation Plan that includes urban renewal in the 20 cantons of the Great Metropolitan Area (GAM) and actions for implementation. Total cost: USD 615,120 during years 2 and 3. Output 1.1.3.
• Surveys on legislative/institutional reforms (1000 interviews/10-15 questions/3% margin of error). Total cost: USD 30,196; USD 7,549/study for 4 studies during years 2, 3 and 4. Output 1.1.4.
• Implementation of the political communication strategy. Total cost: USD 114,637 during year 1. Output 1.1.4.
• Implementation of the municipal and institutional training program (local, national, public, private, and organizations) with a gender perspective. Total cost: USD 281,090; USD 56,218 /year for 5 years. Output 1.1.7.

4

72800 Information Technology Equipment
USD 5,534
• Computers (2) and software license. Total cost: USD 4,454; USD 2,227/unit during year 1. Outputs 1.1.1 to 1.1.8.
• Video projector (1): Total cost: USD 1080 during year 1. Outputs 1.1.1 to 1.1.8.
5

74200 Audio Visual&Print Prod Costs
USD 93,200
• Publications and videos supporting legal, political and institutional reforms. Materials for dialogue platforms, roadmap building and training program. Advertising guidelines and special programs for the implementation of the political communication strategy in radio, TV, social media, buses, etc. Total cost: USD 93,200 over for 5 years. Outputs 1.1.1, 1.1.2, 1.1.4, 1.1.5, and 1.1.7.
6

75700 Training, workshop, conference
USD 38,445
• Workshops/trainings for MTM and CCRGT. Total cost: USD 6,990; USD 1,398/year for 5 years (USD 699/workshop for 10 workshops). Output 1.1.1.
• Workshops to prepare the Roadmap. Total cost: USD 6,990; USD 1,398/year for 5 years (USD 699/workshop for 10 workshops; 2 sectoral, 4 municipal, 1 women, 1 institutional, 1 private sector, 1

environmental sector and 2 socialization and validation workshops) Output 1.1.2.
• Workshops linked to the results of the Regional Urban Renovation Plan. Total cost: USD 15,378; USD 3,075/year for 5 years (USD 699/workshop for 22 workshops, 20 cantons and 2 regional workshops). Output 1.1.3.
• Workshops/seminars for the presentation of draft bills and institutional reforms with sectors. Total cost: USD 9,087; USD 1,817.40/year for 5 years (USD 699/workshop for 13 workshops) Outputs 1.1.5 and 1.1.6.

Component 2. Sustainable integrated low-carbon, resilient, conservation, and land restoration investments
7 [37]

71300 Local Consultants
USD 908,000
• Expert biologist, in forestry or related fields. Leads the restoration of critical areas in the 20 municipalities of GAM. Total cost: USD 223,680, USD 3,728/month for 60 months. Outputs 2.1.1 and 2.1.2.
• Urban Planning Specialist in Mobility/ Transport. Analyzes and defines the investments in sustainable mobility to be implemented in the cantons and includes the GAM regional vision in the solutions, combines restoration actions with the transit-oriented development (TOD), generating local investments that benefit sustainable mobility. Total cost: USD 148,800. USD 3,100/month for 48 months in 5 years. Output 2.1.3.
• Professional in economics with a specialty in environmental economics. Responsible for cost/benefit valuation studies, of ecosystem services at a spatial level, applying ROAM, INVEST and other analytical and digital tools; analysis of restoration options. Total cost: USD 111,840 USD 3,728/month for 30 months in 5 years. Outputs 2.1.1 and 2.1.2.
• Expert for the facilitation of participatory multi-stakeholder dialogues. Establishes local partnerships and planning processes for green cities, and provides technical support for the design/adjustment of cantonal restoration plans and processes for the management and control of wastewater and solid waste discharges. Total cost: USD 223,680, USD 3,728/month, for 60 months in 5 years. Outputs 2.1.1, 2.1.2, and 2.1.4.
• GIS expert. Manages the different spatial digital tools for the modeling of ecosystem services, contributes to the spatial prioritization of restoration, green infrastructure baseline mapping, green grid, solid waste discharge and water discharge mapping, cantonal management plans; he contributes to the spatial analyses required by the Project (urban mobility plans). USD 90,000; USD 3,000/month; 30 months during 5 years. Outputs 2.1.1, 2.1.2, and 2.1.4.
• Expert in political negotiations. Support to negotiations with high level decision makers at national and international level, supports the revision of cooperation agreements with implementing partners for Component 2, positioning and dissemination of project results in integrated sustainable low carbon resilient, conservation and restoration investments in urban settings. Total cost: USD 110,000; USD 5,000/month, for 22 months in 5 years. Outputs 2.1.1 to 2.1.4.
8

71600 Travel
USD 9,320
• In-country travel costs. Total cost: USD 9,320; USD 1,864/year for 5 years. Outputs 2.1.1, 2.1.2 and 2.1.4.
9

72100 Contractual services – Companies
USD 1,574,112
• Specialized organization, which provides technical assistance in the field, environmental education (awareness), support in urban restoration, urban agriculture, and nurseries. It is required to provide 3 permanent forestry technicians. Total cost: USD 184,536; USD 36,907.20/year for 5 years. Output 2.1.1.
• Establishment of an interactive platform for registration, monitoring of restoration actions and publicizing the benefits of the green urban areas "Trama Verde Cantonal" Management plans through a public access viewer (e.g. SNIT). Total cost: USD 13,980 during year 2. Outputs 2.1.1, and 2.1.2.
• Training for bird watchers (Training 2 times in the year, 15 days each training) 60 people. Total cost: USD 13,980 during year 2. Output 2.1.2
• Investments in sustainable mobility: pedestrian and biking bridges, bicycle paths, crosswalks, shared use routes, pedestrian routes with green areas, with a regional GAM vision and interconnecting landscapes and municipalities. Total cost: USD 1,188,582; USD 237,716.40 per year for 5 years. Output 2.1.3.
• Legal advice to support actions for compliance with regulations related to the discharge of wastewater and illegal solid waste. Total cost: USD 13,980; USD 466/day, for 30 days during years 2 and

[37] See Annex 7 for more details on local consultancies, such as the proposed rate and level of effort.

3. Output 2.1.4.
• Company to provide technical assistance and training to communities in improving water quality and sustainable management of wastewater and solid waste, and supervision of the quality of works and investments. Total cost: USD 57,000 during years 2 and 3. Output 2.1.4.
• Water quality sampling, information processing, quality control, data interpretation, in support of AyA and other responsible institutions. Total cost: USD 39,144; USD 7,828.80 per year for 5 years. Output 2.1.4.
• Clean rivers strategy: control of illegal dumping of domestic and industrial wastewater and improvement of solid waste management to the storm sewers. Total cost: USD 62,910; USD 31,455/year during years 1 and 2. Output 2.1.4.
10

72300 Materials & Goods
USD 978,600
• 5 community nurseries in order to have material available to supply local restoration processes and community gardens. Total cost: USD 139,800; USD 27,960/ nursery during years 2 and 3. Output 2.1.1.
• Plant material (trees-bushes) for restoration, material for establishment (shovels, picks, hydrokeeper, organic fertilizer), maintenance (pruning and land clearing tools). Total cost: USD 838,800; USD 167,760/year for 5 years (cost per hectare USD 419.40, for a total of 2,000 has). Output 2.1.1.
11

72400 Communic & Audio Visual Equip
USD 13,064
• 5 GPS. Total cost: USD 1,880; USD 376/unit during year 1. Output 2.1.1 and 2.1.4.
• Telephone services/communication. Total cost: USD 11,184. USD 186.40/month for 60 months. Outputs 2.1.1, 2.1.2 and 2.1.4.
12

73400 Rental & Maint of Other Equip
USD 16,776
• Maintenance and operation of transport/construction equipment to support "Mi barrio se conecta". Total cost: USD 16,776; USD 3,355.20/year for 5 years. Outputs 2.1.1, 2.1.2 and 2.1.4
13

72600 Grants
USD 225,000
• “Mi barrio se conecta" (in English: "My Neighborhood Connects"): 150 connections to the sanitary sewer system. Total cost: USD 225,000; USD 75,000/year during years 2, 3 and 4 (cost per home installation USD 1,500/connection; 60% of the unit cost is invested and the remaining 40% by user. Output 2.1.4. Grants will follow UNDP policy on Low-Value Grants.
14

72800 Information Technology Equipment
USD 74,950
• 5 computers with software licenses. Total cost: USD 11,950 USD 2,390/unit during year 1. Outputs 2.1.1, 2.1.2 and 2.1.4.
• High capacity computer for satellite image reading, processing and final cartography generation (USD 10,000) and ArcGis Esri Intermediate licenses (USD 3,000). Total cost: USD 13,000 during year 1. Outputs 2.1.1 to 2.1.4.
• Satellite images of the GAM (World View) at the beginning and end of the project Total cost: USD 50,000; USD 25,000/purchase during years 1 and 5. Outputs 2.1.1 to 2.1.4..
15

74200 Audio Visual&Print Prod Costs
USD 18,640
• Technical design of communication materials on restoration, urban gardens, solid waste and wastewater management, maintenance of restoration processes, for public awareness/local stakeholders. Total cost: USD 18,640; USD 3,728/year for 5 years. Outputs 2.1.1, 2.1.2, and 2.1.4.
16

75700 Training, workshop, conference
USD 33,552
• Public awareness workshops for the restoration of critical areas, as well as monitoring and maintenance of the restored areas, two for each of the 7 IUBCs. Total cost: USD 9,786; USD 1957.20/year for 5 years (USD 699/workshop for 14 workshops). Output 2.1.1.
• Workshops to promote biodiversity monitoring. Total cost: USD 1,398; USD 699/workshop for 2 workshops during year 2. Output 2.1.1.
• Workshops for the preparation of Municipal Restoration Plans (1 for each canton and 1 regional). Total cost: USD 14,679; USD 2,935.80/year for 5 years (USD 699/workshop for 21 workshops). Output 2.1.2.
• Workshops/seminars for the definition of sustainable urban mobility works. Total cost: USD 5,592; USD 1,118.40/year for 5 years (USD 699/workshop for 8 workshops). Output 2.1.3.
• Community training "My Neighborhood Connects" ("Mi barrio se conecta"). Total cost: USD 2,097; USD 699/workshop for 3 workshops during years 2, 3 and 4. Output 2.1.4

Component 3. Innovative financing and scaling-up

17 [38]

71300 Local Consultants
USD 627,600
• Professional in economics, specializing in environmental financing and tax mechanisms. Responsible for directing, developing and inspecting economic studies for circular economy business models, analyzing diverse business models. Adjusts each of the municipal financial instruments according to the selection processes carried out by each of the 20 municipalities. Advises on the development and implementation of bio-business processes. Total cost: USD 279,600; USD 4,660/month, for 60 months. Outputs 3.1.1, 3.1.2, and 3.1.3.
• Professional in business administration, with experience in business management. Carries out the feasibility analysis of bio-businesses, as well as their development and project management. Total cost: USD 198,000; USD 3,300/month for 60 months. Outputs 3.1.3, 3.1.4.
• Circular Economy Specialist. Provide technical support in upcycling and material transformation to local governments, community organizations and NGOs and advise to project initiatives related to circular economy and solid waste management, etc. Total cost: 150,000; USD 5,000/month for 30 months. Outputs 3.1.1, 3.1.2, 3.1.3, and 3.1.4.
18

71600 Travel
USD 15,378
• In-country travel costs. Total cost: USD 15,378; USD 3,075.60/year for 5 years. Outputs 3.1.2, 3.1.3, and 3.1.4.
19

72100 Contractual services – Companies
USD 1,684,400
• Company specialized in environmental impact modeling; cost benefit analysis of environmental, economic and social instruments design; cost benefit analysis of economic instruments, design and implementation of mechanisms aimed at restoring ecosystem services. Total cost: USD 153,600 during year 2. Output 3.1.1.
• Company with experience in policies for the promotion of circular economy. Total cost: USD 90,970 during year 1. Output 3.1.1.
• Company with experience in municipal legislation and municipal tax administration. Legal analysis of current and new economic and financial instruments, municipal regulatory framework and evaluation of financing sources. Total cost: USD 56,200; USD 562/day, for 100 days during years 2, 3 and 4. Output 3.1.2.
• Company for the development of circular economy business models, with emphasis on inclusion. Total cost: USD 67,177 during year 1. Output 3.1.1 and 3.1.3.
• Structuring of 4 bio-businesses: development of business plans, market studies, promotion of initiatives, entrepreneurial development, bio-businesses (equipment with the appropriate characteristics to guarantee coherence between the different elements (administrative costs and financial management of the contract are included). Total cost: USD 695,000 during years 2 and 3. Output 3.1.3.
• Implementation and monitoring of pilot projects, prioritized bio-business "seed" capital, facilitates access to markets and facilitates replicability at scale. Total cost: USD 621,453 during years 3, 4 and 5. Output 3.1.4.
20

[38] See Annex 7 for more details on local consultancies, such as the proposed rate and level of effort.

72800 Information Technology Equipmt
USD 7,269
• 3 computers and software license. Total cost: USD 7,269; USD 2,423/unit during year 1. Outputs 3.1.1 to 3.1.4.

21

74200 Audio Visual&Print Prod Costs
USD 19,784
• Production of materials that promote circular economy processes and the establishment of bio-businesses, as well as publications and videos that facilitate the understanding and adoption of the use of municipal financial instruments. Total cost: USD 19,784 USD 3,956.80/year for 5 years. Output 3.1.2.

22

75700 Training, workshop, conference
USD 36,348
• Workshops with municipal technicians to analyze and review proposals for financial instruments for decarbonization, ecological restoration and generation of environmental benefits. Discussions with local authorities (mayors and governors). 20 workshops (1 per canton) with technicians, 5 sub-regional workshops with technicians and 5 with local authorities. Total cost: USD 17,475 over 5 years (USD 699/workshop/25 workshops). Output 3.1.2.
• Public awareness days on green economy and the importance of bio-business. Total cost: USD 10,485 over 5 years (USD 699/workshop/15 workshops). Outputs 3.1.1 and 3.1.3.
• Meetings, seminars, and workshops for the restructuring of the 4 proposed bio-businesses. Total cost: USD 8,388 over 5 years (USD 699/workshop for a total of 12 workshops). Outputs 3.1.3 and 3.1.4

Component 4. Advocacy, Knowledge Exchange, Capacity Building, and Partnerships
23 [39]

71300 Local Consultants
USD 296,842
• Specialist in communication / knowledge management. Communication and documentation activities and systematization of lessons learned and best practices in the project. Coordination with the SCIP Global Platform. Total cost: USD 55,920; USD 3,728/month, 15 months for 5 years. All Outputs in the component.
• Specialist in Gender and Participation. Support and monitoring of gender mainstreaming (Gender Action Plan), including in the performance of the dialogue platforms supported by the project (Component 1). Total cost: USD 100,656; USD 3,355.20/month, 30 months for 5 years. Output 4.1.3.
• Specialist in environmental and social safeguards. Implementation and monitoring of the ESMF/IPPF; monitoring of the IPP, ESMP, ESIAs, SESA, and Biodiversity Action Plan, as required. Total cost: USD 48,930; USD 3,262/month, 15 months for 5 years. Output 4.1.3.
• Indigenous Peoples Safeguards Expert. Development of the Project's IPP, including FPIC. Total cost: Total cost: USD 32,620; USD 3,262/month for 10 months during years 2 and 3. Output 4.1.3.
• Environmental and social safeguards Expert. Development of the ESIA/ESMP and Biodiversity Action Plan. Total cost: USD 26,096; USD 3,262/month for 8 months during years 1 and 2. Output 4.1.3.
• Environmental and social safeguards Expert. Development of the SESA. Total cost: USD 32,620; USD 3,262/month for 10 months during year 2. Output 4.1.3.

24

71600 Travel
USD 233,000
• Travel expenses to participate in SCIP GP events. Total cost: USD 233,000; USD 46,600/year for 5 years. Output 4.1.2.

25

72100 Contractual services – Companies
USD 46,657

[39] See Annex 7 for more details on local consultancies, such as the proposed rate and level of effort.

• Design of the national platform for information exchange on issues related to sustainable cities, biodiversity conservation and climate change mitigation in urban landscapes; implementation of a public campaign to publicize the platform and development of the user guide. Total cost: USD 46,657 during year 1. Output 4.1.1.

26

74200 Audio Visual&Print Prod Costs
USD 23,200
• Knowledge management and communications products and materials. Total cost: USD 9,700; USD 1,940/year for 5 years. Outputs 4.1.1 and 4.1.2.
• Communications products and materials related to the Gender Action Plan and Comprehensive Stakeholder Engagement Plan. Total cost: USD 13,500; USD 2,700/year for 5 years. Output 4.1.3.

27

75700 Training, workshop, conference
USD 51,726
• Training for the PMU and institutional partners on social and environmental safeguards, implementation at the central and local levels in the preparation, implementation, and monitoring of specific social and environmental management plans/measures. Total cost: USD 4,660 during year 1. Output 4.1.3.
• Training for the PMU, centralized institutional partners, and partners in the project landscape (e.g., local governments, NGOs) around the following themes: (i) legal framework of indigenous peoples' rights; (ii) ancestral knowledge and indigenous worldview and the relationship of indigenous peoples with their natural heritage; and (iii) identification of opportunities to reduce inequalities based on gender and age. Total cost: USD 4,660 during year 1. Output 4.1.3.
• Grievance mechanism socialization and training. Total cost: USD 4,660 during year 1. Output 4.1.3.
• Local workshops with community groups and municipal officials in the municipalities to promote stakeholder participation. Total cost: USD 9,786 during 5 years. Output 4.1.3.
• Childcare support for women participation in project related workshops and training. Total cost: USD 9,320 during 5 years. Output 4.1.3.
• Training workshops on gender mainstreaming and related indicators. Total cost: USD 18,640 during 4 years. Output 4.1.3.

Component 5. Monitoring and Evaluation (M&E)

28[40]

71200 International Consultants
USD 94,931
• Monitoring and Evaluation Expert: mid-term review of the project. Total cost: USD 31,806 during year 3 (Includes reports in Spanish-English). Output 5.1.1
• Monitoring and Evaluation Expert (2): Final evaluation of the project. Total cost: USD 63,125 during year 5 (Includes reports in Spanish-English). Output 5.1.1

29[41]

71300 Local Consultants
USD 78,530
• Monitoring and Evaluation Specialist: Update at mid-term and at the end of the project the GEF 7 core indicators and other necessary monitoring tools (UNDP Capacity Development Scorecard). Total cost: USD 18,640; USD 4,660/month for 4 months in years 3 and 5. Output 5.1.1.
• Monitoring and Evaluation Expert: mid-term review of the project Total cost: USD 10,960 during year 3. Output 5.1.1.
• Monitoring and Evaluation Expert: Final evaluation of the project. Total cost: USD 16,310 during year 5. Output 5.1.1.
• Monitoring and Evaluation Specialist: coordinates and conducts project monitoring and evaluation activities in accordance with government, UNDP Country Office, and UNDP-GEF requirements, including updating indicators in the project results framework and monitoring of cofinancing. Total cost: USD 32,620; USD 3,262/month for 10 months during 5 years. Output 5.1.1.

30

71600 Travel
USD 18,779

[40] See Annex 7 for more details on local consultancies, such as the proposed rate and level of effort.

[41] See Annex 7 for more details on local consultancies, such as the proposed rate and level of effort.

- Travel expenses for the mid-term review of the project. Total cost: USD 6,524 during year 3. Output 5.1.1.
- Travel expenses for the final evaluation of the project. Total cost: USD 11,323 during year 5. Output 5.1.1.

• Travel expenses for project monitoring activities. Total cost: USD 932 for 5 years. Output 5.1.1.

31

75700 Training, workshop, conference
USD 6,990

- Project Inception Workshop. Total cost: USD 4,660 during year 1. Output 5.1.1.
- Workshops related to the mid-term review of the project. Total cost: USD 932 during year 3. Output 5.1.1.

• Workshops related to the final evaluation of the project. Total cost: USD 1,398 during year 5. Output 5.1.1.

PROJECT MANAGEMENT UNIT

32[42]

71300 Local Consultants

USD 458,400

• Project Manager: project planning, daily management of project activities, project reporting, maintenance of key stakeholder relationships. Total cost: USD 307,560; USD 5,126/month for 5 years.

• Financial / Administrative Assistant: financial management of the project, purchases and reports. Total cost: USD 117,432; USD 1,957.2/ month for 5 years.

• Procurement Specialist. Develop, implement, and manage procurement strategies and processes. Total USD 33,408; 1,392/month for 24 months.

33

72200 Equipment and Furniture
USD 2,799

• Office furniture. Total cost: USD 2,799 during year 1.

34

72500 Supplies
USD 3,075

• Office and computer supplies. Total cost: USD 3,075; USD 615 / year for 5 years.

35

72800 Information Technology Equipment
USD 3,758

- Computers (2). Total cost: USD 2,796; USD 1,398/unit during year 1.
- Printer (1). Total cost: USD 496 during year 1

• Video projector (1). Total cost: USD 466 during year 1.

36

74100 Professional Services
USD 23,300

• Project audit costs. Total cost: USD 23,300; USD 4,660/year for 5 years.

[42] See Annex 7 for more details on local consultancies, such as the proposed rate and level of effort.

XI. LEGAL CONTEXT

This project document shall be the instrument referred to as such in Article 1 of the Standard Basic Assistance Agreement (SBAA) between the Government of Costa Rica and UNDP, signed on May 21st, 1992. All references in the SBAA to "Executing Agency" shall be deemed to refer to "Implementing Partner."

This project will be implemented by the Organization for Tropical Studies (OTS) ("Implementing Partner") in accordance with its financial regulations, rules, practices and procedures only to the extent that they do not contravene the principles of the Financial Regulations and Rules of UNDP. Where the financial governance of an Implementing Partner does not provide the required guidance to ensure best value for money, fairness, integrity, transparency, and effective international competition, the financial governance of UNDP shall apply.

The designations employed and the presentation of material on this map do not imply the expression of any opinion whatsoever on the part of the Secretariat of the United Nations or UNDP concerning the legal status of any country, territory, city or area or its authorities, or concerning the delimitation of its frontiers or boundaries.

XII. RISK MANAGEMENT

14. Consistent with the Article III of the SBAA *[or the Supplemental Provisions to the Project Document]*, the responsibility for the safety and security of the Implementing Partner and its personnel and property, and of UNDP's property in the Implementing Partner's custody, rests with the Implementing Partner. To this end, the Implementing Partner shall:

a) Put in place an appropriate security plan and maintain the security plan, taking into account the security situation in the country where the project is being carried;

b) Assume all risks and liabilities related to the Implementing Partner's security, and the full implementation of the security plan.

15. UNDP reserves the right to verify whether such a plan is in place, and to suggest modifications to the plan when necessary. Failure to maintain and implement an appropriate security plan as required hereunder shall be deemed a breach of the Implementing Partner's obligations under this Project Document and the Project Cooperation Agreement between UNDP and the Implementing Partner[43].

16. The Implementing Partner agrees to undertake all reasonable efforts to ensure that no UNDP funds received pursuant to the Project Document are used to provide support to individuals or entities associated with terrorism and that the recipients of any amounts provided by UNDP hereunder do not appear on the list maintained by the Security Council Committee established pursuant to resolution 1267 (1999). The list can be accessed via http://www.un.org/sc/committees/1267/aq_sanctions_list.shtml.

17. The Implementing Partner acknowledges and agrees that UNDP will not tolerate sexual harassment and sexual exploitation and abuse of anyone by the Implementing Partner, and each of its responsible parties, their respective sub-recipients and other entities involved in Project implementation, either as contractors or subcontractors and their personnel, and any individuals performing services for them under the Project Document.

(a) In the implementation of the activities under this Project Document, the Implementing Partner, and each of its sub-parties referred to above, shall comply with the standards of conduct set forth in the Secretary General's Bulletin ST/SGB/2003/13 of 9 October 2003, concerning "Special measures for protection from sexual exploitation and sexual abuse" ("SEA").

(b) Moreover, and without limitation to the application of other regulations, rules, policies and procedures bearing upon the performance of the activities under this Project Document, in the implementation of activities, the Implementing Partner, and each of its sub-parties referred to above, shall not engage in any form of sexual

[43] Use bracketed text only when IP is an NGO/IGO

harassment ("SH"). SH is defined as any unwelcome conduct of a sexual nature that might reasonably be expected or be perceived to cause offense or humiliation, when such conduct interferes with work, is made a condition of employment or creates an intimidating, hostile or offensive work environment.

170. a) In the performance of the activities under this Project Document, the Implementing Partner shall (with respect to its own activities), require from its sub-parties referred to in paragraph 167 (with respect to their activities) that they, have minimum standards and procedures in place, or a plan to develop and/or improve such standards and procedures in order to be able to take effective preventive and investigative action. These should include: policies on sexual harassment and sexual exploitation and abuse; policies on whistleblowing/protection against retaliation; and complaints, disciplinary and investigative mechanisms. In line with this, the Implementing Partner will, and will require that such sub-parties will take all appropriate measures to:

i. Prevent its employees, agents or any other persons engaged to perform any services under this Project Document, from engaging in SH or SEA;

ii. Offer employees and associated personnel training on prevention and response to SH and SEA, where the Implementing Partner and its sub-parties referred to in paragraph 167, have not put in place its own training regarding the prevention of SH and SEA, the Implementing Partner and such sub-parties may use the training material available at UNDP;

iii. Report and monitor allegations of SH and SEA of which the Implementing Partner and its sub-parties referred to in paragraph 167 have been informed or have otherwise become aware, and status thereof;

iv. Refer victims/survivors of SH and SEA to safe and confidential victim assistance; and

v. Promptly and confidentially record and investigate any allegations credible enough to warrant an investigation of SH or SEA. The Implementing Partner shall advise UNDP of any such allegations received and investigations being conducted by itself or any of its sub-parties referred to in paragraph 167 with respect to their activities under the Project Document, and shall keep UNDP informed during the investigation by it or any of such sub-parties, to the extent that such notification (i) does not jeopardize the conduct of the investigation, including but not limited to the safety or security of persons, and/or (ii) is not in contravention of any laws applicable to it. Following the investigation, the Implementing Partner shall advise UNDP of any actions taken by it or any of the other entities further to the investigation.

b) The Implementing Partner shall establish that it has complied with the foregoing, to the satisfaction of UNDP, when requested by UNDP or any party acting on its behalf to provide such confirmation. Failure of the Implementing Partner, and each of its sub-parties referred to in paragraph 4, to comply of the foregoing, as determined by UNDP, shall be considered grounds for suspension or termination of the Project.

171. Social and environmental sustainability will be enhanced through application of the UNDP Social and Environmental Standards (http://www.undp.org/ses) and related Accountability Mechanism (http://www.undp.org/secu-srm).

172. The Implementing Partner shall: (a) conduct project and programme-related activities in a manner consistent with the UNDP Social and Environmental Standards, (b) implement any management or mitigation plan prepared for the project or programme to comply with such standards, and (c) engage in a constructive and timely manner to address any concerns and complaints raised through the Accountability Mechanism. UNDP will seek to ensure that communities and other project stakeholders are informed of and have access to the Accountability Mechanism.

173. All signatories to the Project Document shall cooperate in good faith with any exercise to evaluate any programme or project-related commitments or compliance with the UNDP Social and Environmental Standards. This includes providing access to project sites, relevant personnel, information, and documentation.

174. The Implementing Partner will take appropriate steps to prevent misuse of funds, fraud or corruption, by its officials, consultants, responsible parties, subcontractors and sub-recipients in implementing the project or using the UNDP funds. The Implementing Partner will ensure that its financial management, anti-corruption and anti-fraud policies are in place and enforced for all funding received from or through UNDP.

175. The requirements of the following documents, then in force at the time of signature of the Project Document, apply to the Implementing Partner: (a) UNDP Policy on Fraud and other Corrupt Practices and (b) UNDP Office of Audit and Investigations Investigation Guidelines. The Implementing Partner agrees to the requirements of the above documents, which are an integral part of this Project Document and are available online at www.undp.org.

176. In the event that an investigation is required, UNDP has the obligation to conduct investigations relating to any aspect of UNDP programmes and projects in accordance with UNDP regulations, rules, policies and procedures. The Implementing Partner shall provide its full cooperation, including making available personnel, relevant documentation, and granting access to the Implementing Partner's (and its consultants', responsible parties', subcontractors' and sub-recipients') premises, for such purposes at reasonable times and on reasonable conditions as may be required for the purpose of an investigation. Should there be a limitation in meeting this obligation, UNDP shall consult with the Implementing Partner to find a solution.

177. The Implementing Partner will promptly inform UNDP in case of any incidence of inappropriate use of funds, or credible allegation of fraud or corruption with due confidentiality. Where the Implementing Partner becomes aware that a UNDP project or activity, in whole or in part, is the focus of investigation for alleged fraud/corruption, the Implementing Partner will inform the UNDP Resident Representative/Head of Office, who will promptly inform UNDP's Office of Audit and Investigations (OAI). The Implementing Partner shall provide regular updates to the head of UNDP in the country and OAI of the status of, and actions relating to, such investigation.

178. UNDP shall be entitled to a refund from the Implementing Partner of any funds provided that have been used inappropriately, including through fraud or corruption, or otherwise paid other than in accordance with the terms and conditions of this Project Document. Such amount may be deducted by UNDP from any payment due to the Implementing Partner under this or any other agreement. Recovery of such amount by UNDP shall not diminish or curtail the Implementing Partner's obligations under this Project Document.

179. Where such funds have not been refunded to UNDP, the Implementing Partner agrees that donors to UNDP (including the Government) whose funding is the source, in whole or in part, of the funds for the activities under this Project Document, may seek recourse to the Implementing Partner for the recovery of any funds determined by UNDP to have been used inappropriately, including through fraud or corruption, or otherwise paid other than in accordance with the terms and conditions of the Project Document.

> *Note:* The term "Project Document" as used in this clause shall be deemed to include any relevant subsidiary agreement further to the Project Document, including those with the Implementing Partner, responsible parties, subcontractors and sub-recipients.

180. Each contract issued by the Implementing Partner in connection with this Project Document shall include a provision representing that no fees, gratuities, rebates, gifts, commissions or other payments, other than those shown in the proposal, have been given, received, or promised in connection with the selection process or in contract execution, and that the recipient of funds from the Implementing Partner shall cooperate with any and all investigations and post-payment audits.

181. Should UNDP refer to the relevant national authorities for appropriate legal action any alleged wrongdoing relating to the project, the Government will ensure that the relevant national authorities shall actively investigate the same and take appropriate legal action against all individuals found to have participated in the wrongdoing, recover and return any recovered funds to UNDP.

182. The Implementing Partner shall ensure that all of its obligations set forth under this section entitled "Risk Management Standard Clauses" are passed on to each responsible party, subcontractor and sub-recipient and that all the clauses under this section entitled "Risk Management" are included, *mutatis mutandis*, in all sub-contracts or sub-agreements entered into further to this Project Document.

XIII. ANNEXES

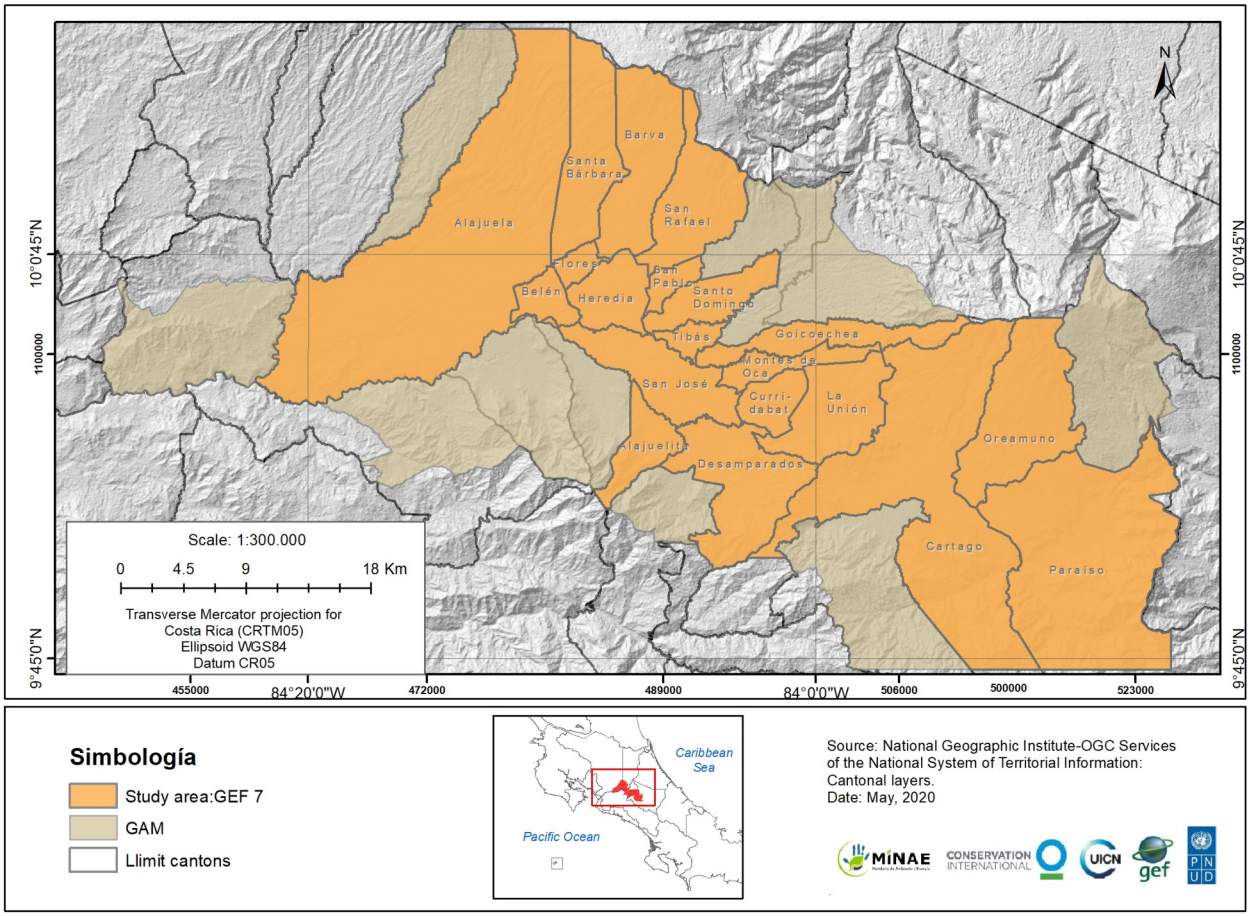
GEF Budget Template (available from BPPS NCE-VF)
Project Map and geospatial coordinates of the project area
Multiyear Workplan
Monitoring Plan
Social and Environmental Screening Procedure (SESP)
UNDP Atlas Risk Register
Overview of technical consultancies/subcontracts
Stakeholder Engagement Plan
Environmental Social Management Framework (ESMF)
Gender Analysis and Gender Action Plan
Procurement Plan – for first year of implementation especially
GEF focal area specific annexes
Additional agreements
GEF Core indicators
GEF Taxonomy
Partners Capacity Assessment Tool and HACT assessment
UNDP Project Quality Assurance Report (to be completed in UNDP online corporate planning system)

Annex 1: GEF Budget Template

Attached separately

Annex 2: Project map and Geospatial Coordinates of project sites

GEF 7 study area: Metropolitan Area (GAM) of Costa Rica



Annex 3: Multi Year Work Plan

	Outcomes	Outputs	Year 1				Year 2				Year 3				Year 4				Year 5			
			Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4
Component 1 Evidence-based policy reform for a green economy and sustainable integrated urban planning	1.1 Local and national governments have strengthened institutions, processes, and capacities to undertake evidence-based policy reform and for sustainable integrated planning in the GAM	1.1.1 Technical and political dialogue platforms, including the Multilevel Technical Roundtable for Transportation-Oriented Development for the Metropolitan Electric Train ((MTR-MET) and the Comprehensive Management Commission of the Río Grande de Tárcoles Watershed (CMCRGT), expanded and strengthened with plans and decision-making mechanisms to transition to an inclusive green economy, sustainable and integrated urban planning, decarbonization, and to coordinate actions with other related platforms and supported by a digital platform to better coordinate and support evidence based planning.																				
		1.1.2 Coordinated and participatory roadmap for the transition to an inclusive green economy and sustainable and integrated urban planning, including decarbonization and greening, is defined based on an analysis of legal, political, institutional, technical, and fiscal barriers, and approved by the government through public policy																				

		1.1.3 Sustainable and integrated regional urban renovation plan for the GAM defined																				
		1.1.4 National awareness-raising and communication strategy implemented builds awareness among the public and decision-makers about the objectives and desired effects of a reform in fiscal legislation that will make progress towards a green legislation, comply with the National Decarbonization Plan, and generate global environmental benefits																				
		1.1.5 Legal proposal for green taxation drafted through consultation, presented and promoted for approval in the Legislative Assembly of Costa Rica																				
		1.1.6 Proposal for reforms/institutional adjustments of the environment, land use, and transportation sectors defined and aligned with the transition to a green economy and the National Decarbonization Plan, analyzed and discussed with the Executive Branch and promoted for implementation																				
		1.1.7 Municipal and institutional training program implemented with a gender perspective benefits 1,200 people (managers, technicians and local decision-makers, legislative advisors, officials of public institutions linked																				

		to urban development, environmental management, and land use planning																					
		1.1.8 Proposals for urban indicators to the PRONAMEC/ SINAC adopted, along with the design of protocols for decision-making by local governments and IUBCs																					
Component 2 Sustainable integrated low-carbon, resilient, conservation, and land restoration investments	2.1: Local and national governments have undertaken sustainable integrated low-carbon, resilient, conservation, and land restoration investments	2.1.1. Critical urban areas restored that build resilience of vulnerable urban populations and contributes to the mitigation of climate change including the following: a) identification of intervention zones and prioritization of areas to restore with native species; b) strategic alliances with stakeholders that allow the incorporation of public and private areas into the restoration and conservation process; and c) consolidation of green public spaces, green urban areas, and IUBCs																					
		2.1.2. Participatory plans for the management of green urban spaces by municipality, with a gender approach contribute to the conservation of the existing urban green spaces, the reduction of GHG emissions, and the implementation of the management plans of the IUBCs, to improve the impact of the restoration carried out, and to facilitate the development of an																					

		integrated urban green strategy for the GAM under Component 1 (Output 1.1.3).																					
		2.1.3. Investments in sustainable mobility such as bike-friendly bridges, cycle paths, shared-use paths, pedestrian routes with green areas, and improvements in green sidewalks implemented, reduce GHG emissions and are integrated into a GAM regional vision that facilitates the interconnection of neighborhoods, municipalities, urban-natural landscapes, and an improved quality of life for their inhabitants.																			
		2.1.4. Pilot experience to improve water quality in the upper portion of two polluted urban watersheds within the GAM (Torres and Ma. Aguilar rivers) implemented, based on the "Clean Rivers: National Strategy for the Recovery of Urban Watersheds 2020-2030," includes the restoration of river protection areas and the control of irregular wastewater and solid waste discharges and promotes connectivity to the sanitary sewer system.																			
Component 3 Innovative financing and scaling-up	3.1 Local and national governments initiate innovative financing and	3.1.1 Economic analyses performed facilitate the development of business models under different innovative business and financing schemes to achieve decarbonization and the																			

	business models for scaling-up sustainable urban solutions	delivery of global environmental benefits in the GAM, including an analysis of the Business-as-Usual Scenario versus the project's reformed scenario for the management of solid waste (e.g., plastics and organic waste), sewage, fecal sludge, and active mobility																					
		3.1.2 Improved efficiency of current economic instruments and new municipal financing instruments (assessment of property value, improved mechanisms for charging for parking, adjustments for public works in the real estate tax, financing options for solid waste and wastewater management, charging for vehicular congestion, special contributions for investing in urban renovation and issuing green bonds) implemented with gender awareness																					
		3.1.3 At least three bio-business models formed from PPPs, micro and small businesses, and associations at the community level with a gender focus established within the GAM support inclusive investments: maintenance of urban ecosystem services and the restoration of IUBCs, the best management of solid waste (identified as part of the Waste NAMA) and wastewater,																					

		fecal sludge, and active mobility linked to the Electric Train																					
		3.1.4 Implemented technical assistance program for companies that work in bio-businesses facilitates access to markets and replicability at scale																					
Component 4 Advocacy, Knowledge Exchange, Capacity Building, and Partnerships	4.1: Solutions and best practices shared with the SCIP Global Platform and other global events and communities of practice (e.g., Natural Neighbors, URBES project, ICLEI initiatives) and initiatives from Latin America (e.g., Integrated Management of biodiversity and ecosystem services action Plan of Medellin, and its "biodiversity roundtable" and others)	4.1.1 Information and knowledge exchange platform established at the national level increases awareness about sustainable integrated urban planning, transitioning to an urban green economy, and gender aspects, among other topics																					
		4.1.2 A learning and communication strategy between cities implemented through the SCIP GP and other existing global networks, to disseminate international methods and lessons learned regarding sustainable cities																					
		4.1.3 Project Gender Action Plan, Stakeholder Engagement Plan, and other management plans related to the social and environmental safeguards implemented																					

Component 5 Monitoring and Evaluation (M&E)	Outcome 5.1: M&E assesses project impact and guides adaptive management	5.1.1 M&E plan implemented.																					

Annex 4: Monitoring Plan

This Monitoring Plan and the M&E Plan and Budget in Section VI of this project document will both guide monitoring and evaluation at the project level for the duration of project implementation.

Monitoring	Indicators	Targets	Description of indicators and targets	Data source/Collection Methods [44]	Frequency	Responsible for data collection	Means of verification	Risks/Assumptions
Project Objective: To achieve decarbonization in the Great Metropolitan Area (GAM) through fiscal and policy reform and sustainable integrated urban planning	**Indicator 1 (GEF Core Indicator 11):** # direct project beneficiaries disaggregated by gender (individual people)	Midpoint: 921,342 (460,671 women, 460,671 men) Final: 2,134,932 (1,067,466 women, 1,067,466 men)	Direct beneficiaries are defined as individual people who measurably benefit from the existence of the project, or who use the specific resources that the project maintains or enhances. Direct beneficiaries must be aware that they are receiving this project support. Based on this definition and considering the different activities to be implemented by the project, an assessment was conducted to estimate the direct beneficiaries per	People residing in 20 municipalities prioritized by the Project who belong to the GAM [urban and rural], population projection based on of the National Institute of Statistics and Censuses [INEC] for 2018	Annually	M&E and Knowledge Management Specialist	Results of surveys / interviews with producers and other stakeholders Updated Gender Action Plan	<u>Risks</u> The project team and the executing agency fail to involve all the project partners <u>Assumptions</u> Willingness of decision makers, the private sector, producers and civil society to achieve decarbonization in the GAM

[44] Data collection methods should outline specific tools used to collect data and additional information as necessary to support monitoring. The Relevant Stakeholders cannot be used as a source of verification.

			participating municipality and agency in the project.					
	Indicator 2 (GEF Core Indicator 3): Area of land restored (hectares - ha)	Midpoint: 840 ha Final: 2,000 ha	The selection of landscape-scale sites was made based on a geospatial analysis that included the following criteria: 1) consolidation of the green urban areas in the city, 2) increase in structural connectivity from restoration on connectivity routes, 3) support for the implementation of ongoing restoration initiatives. This activity includes a new baseline determination extending the spatial analysis from high-resolution images (World View 3) to be performed in Component 1 and includes the participatory selection of restoration techniques.	Geospatial analysis of the area of the 20 cantons using high-resolution images	Midpoint and end of the project	Implementing agency for component 2	Difference between baseline and end of project coverage. Record of restoration activities carried out.	<u>Risks</u> The project team and the executing agency are not able to involve all the municipalities to develop the restoration actions <u>Assumptions</u> Active participation of municipalities and partners in the areas to be restored in the implementation of activities.
	Indicator 3 (GEF Core Indicator 4): Area of landscapes under improved	Midpoint: 8,700 ha Final: 17,402 ha	Improved practices include investments in urban restoration, actions so that in peri-urban areas,	The estimate of the area covered by IUBC in GAM is 58,006 hectares,	Midpoint and end of the project	Project M&E Specialist	Results of surveys / interviews with producers and	<u>Risks</u> It is not possible to engage all the actors involved to develop the actions of

	practices (ha)		land that shows potential can be reforested, areas of water recharge and maintaining forest areas linked to production as well as the use of sustainable agricultural practices.	of which it is considered that with diverse project actions it will be possible to impact 20% of them, by engaging institutions, municipalities, the private sector and organizations.			other stakeholders Use of satellite images.	restoration, sustainable mobility, water quality, and solid waste management. Assumptions Active participation of municipalities and stakeholders. Incentives are available. Environmental variability within normal ranges.
	Indicator 4 (GEF Core Indicator 6): Greenhouse Gas Emissions Mitigated (metric tons of CO2e)	Midpoint: Direct emissions: 20,557 metric tons of CO_2e; a) transport development and sustainable mobility): 3,387 tCO_2e; and b) carbon sequestration as a result of restoration activities: 17,170 tCO_2e) Final: Direct Emissions: 1,747,539 metric tons of CO2e: a) Transport sector (transport development and sustainable mobility): 193,500 tCO2e; and b)	See Annex 12 (estimates)	Updated calculations following the methods used in Annex 12	Midpoint and end of the project	Project Manager	Reports of mitigated GHG emissions calculations	Risks Not all activities can be implemented Assumptions Sampling efforts are optimal Environmental variability within normal ranges

		carbon sequestration as a result of restoration activities: 605,046 tCO2e c) waste management: 948,992 tCO2e (Indirect emissions over 20 years: 200,000 tCO_2e)						
Component 1 Evidence-based policy reform for a green economy and sustainable integrated urban planning	**Indicator 5:** Number of multi-sectoral and inter-institutional agreements for transitioning to a green economy and sustainable and integrated urban planning, including decarbonization, as a result of the project	Midpoint: 5 Final: 5	a. Multisectoral collaborative action agreement between AyA, Ministry of Health, ESPH and municipalities, for the sanitation of GAM waters to improve water quality in the tributaries of the Tárcoles River b. Agreements between municipalities, MOPT, INVU and the private sector for collaborative action to promote sustainable mobility within the GAM. c. Agreements between municipalities, INVU and the private sector for collaborative action to promote	From the existing agreements that will serve as a reference point and support for the work of the project, such as the Pact for the María Aguilar, AIRMA; Strategy of Clean Rivers, Ko-Múnitas, Multilevel Technical Committee, among others, that will lead to the signing of the agreements promoted by the project.	Midpoint and end of the project	Implementing unit	Signing agreements or memoranda of understanding Meeting minutes	<u>Risks</u> Lack of trust between the interested parties does not allow the signing of agreements. The project team and the executing agency are not able to generate agreements between the different institutions and municipalities <u>Assumptions</u> There is a willingness on the part of government, the private sector, and civil society to transition to a green economy and sustainable, integrated urban planning. There is institutional willingness to generate multisectoral and inter-institutional agreements that

			integrated regional sustainable urban planning for the GAM. d. Agreement between the Ministry of Finance and municipalities, for an adequate programming of investments for sustainable mobility using fuel tax resources e. Agreements between municipalities, SINAC and the private sector, for the development and implementation of management plans for biological corridors for the supply of ecosystem services f) Agreements between MINAE SINAC, municipalities, IUBC committees, and local community groups to develop an urban green strategy to restore and conserve public and private green spaces for the provision of ecosystem services in the GAM.					facilitate the vision and actions from the regional level for sustainable and integrated urban planning.

	Indicator 6: Number of legislative reforms to reduce emissions and loss of biodiversity in urban landscapes, as a result of the project	Midpoint: 7 projects submitted to the Legislative Assembly Final: 5 projects approved by the Legislative Assembly	Projects approved by the Legislative Assembly among these: a. Plastic taxes to reduce pollution and incentive mechanisms to promote use of plastic waste in the production process. b. Elimination of exemptions for contaminating with chemical inputs, through the amendment to paragraph 3 of article 11 of the Value Added Tax Law. c. Gradual elimination of sources of fiscal revenue from hydrocarbon use: change to the Tax Simplification and Efficiency Law No. 8114. d. Reforms to the Vehicle Property Tax. e. Development of a "polluter pays" principle in Solid Waste Management Law No. 8839 and Discharge and Reuse Wastewater Law No. 33601, and introduction of incentives for the	From the texts of the following existing laws: a. There is no legislation. b. Value Added Tax Law. Number 3 of Article #11. c. Law No. 8114. Tax Simplification and Efficiency Law, Article #1. d. Law No. 7088. Tax Adjustment Law of November 30, 1987. Article #9. e. Law No. 8839. Law on Integral Waste Management Article #2 and #5. f. Law No. 7447. Law of Rational Use of Energy. Article #14 and #10.	Midpoint and end of the project	Implementing unit	Approval of the texts of the reforms by the Legislative Assembly and their effectiveness as of the publication in the Official Gazette.	<u>Risks</u> The current economic and fiscal crisis, together with the social and economic situation resulting from the COVID-19, will make it more difficult to push for reforms. The processing / approval time is too long. Not backed by decision-makers and social, private and political pressure groups for the promotion and approval of political reforms. <u>Assumptions</u> Willingness by the government for an economic and social restoration aimed at a green recovery. Willingness of the government to promote reforms that will allow an increase in tax revenue in the short term.

			transition to a circular economy and the use of waste in the production process. f. Reform of the Law for the Regulation of the Rational Use of Energy, to improve the collection of surcharges for inefficient energy consumption goods and encourage the transition to clean energy in companies. g. Reform of the Law for the Creation of ICAA, to allow charging for the sale of by-products of wastewater and fecal sludge management; Law No. 2726 Constitutive Law of AyA					
	Indicator 7: Change in institutional capacity to implement structural environmental and financial policy reforms, sustainable integrated urban planning, and the delivery of GEBs (measured through the	Midpoint: Central Government: 28/48 (58%) to 29/48 (60%) Municipalities: from 34/54 (63%) to 35/54 (65%) Final: Central Government: from 28/48 (58%) to 31/48 (65%) Municipalities: from 34/54 (63%) to	Total development indicator score: 1: Capacity to make commitments; 2: Capacity to generate, access and use information and knowledge; 3: Capacity to develop strategies, policies and legislation: 4: Management and implementation capacity; 5: Capacity to monitor and	UNDP Capacity Development Scorecard Central Government: MIVAH: from 54% to 60% MINAE: from 52% to 58% INVU: from 58% to 63% MOPT: from 50% to 60% AYA: from 56% to 62%	Midpoint and end of the project	M&E and Knowledge Management Specialist	Results of the application of the UNDP Capacity Development Scorecard.	Risks The central government and municipalities do not evidence a substantial change in their capacities. Assumptions: Willingness on the part of the central government and municipalities to increase their capacities to

	score of UNDP's Capacity Development Scorecard).	39/54 (72%)	evaluate	DCC: 73% to 78% SINAC: from 67% to 72% <u>Municipalities:</u> San José: from 83% to 88% Goicoechea: from 44% to 64% Tibas: from 78% to 83% Alajuelita: from 35% to 63% Desamparados: from 78% to 83% Montes de Oca: from 78% to 83% Curridabat: from 76% to 81% Alajuela: from 89% to 94% Cartago: from 65% to 70% Paraíso: from 59% to 68% Oreamuno from 57% to 68% La Unión: from 63% to 68% Heredia: from 56% to 61% Belén: from 65% to 72% Flores: from 65% to 70% Santo Domingo: from 44% to				implement policy, environmental and financial structural reforms. Existence of institutional and municipal efforts that potentiate and complement the changes in the capacities that drive the project.

				63% San Pablo: from 54% to 62% Barva: from 52% to 65% Santa Bárbara: from 44% to 63% San Rafael: 56% to 64%				
Component 2 Sustainable integrated low-carbon, resilient, conservation, and land restoration investments	**Indicator 8:** Condition of urban biodiversity and green urban spaces, measured through: a) Rate of change in the bird diversity index in the GAM b) Total of green urban spaces [45] (ha) in the project area	Midpoint: a) Bird diversity index for the GAM: 1.609 decits/individual. b) Total of green urban spaces in the project area: 4,545 ha (adds to 60% of the total to be restored to the "*trama verde*" or green urban area) Final: a) Bird diversity index for the GAM: 1.609 decits/individual. b) Total of green urban spaces in the project area: 5,585 ha (adds up to 100% of the area to be restored in green urban area)	Two indicators are used to measure the state of biodiversity. The first is to identify changes in the diversity of bird species in the project's cantons, where it is assumed that at least the same bird diversity will remain by project end. The second one is to measure the change in tree cover in the project's cantons across the total green urban area, where an increase in coverage is expected.	The methods are different for each indicator: a) Rate of change in Shannon Diversity Index (H; Evenness is then = 0.372) for the bird group (the baseline will be verified by the project team in the first year); b) Total green urban area in the project intervention territory (from the analysis of high resolution images (Component 1). The baseline shows a total of 3,585 ha (PAs, headwaters and	Midpoint and end of the project	Implementing agency of Component 2 and GIS managers of Component 1	Results of bird monitoring and spatial analysis of green urban area	<u>Risks</u> The project team and the implementing agency were not able to involve all the municipalities in the development of the restoration actions. The bird watchers workshop is not enough to guarantee data quality. <u>Assumptions</u> Active participation of municipalities and stakeholders in the areas to be restored in the implementation of restoration activities and bird monitoring.

[45] Areas made up of urban parks; green zones; tree-lined streets, avenues, and railway lines; and forests rivers banks and other protected wild areas (or *trama verde*, Decree No. 40043-MINAE, 2017).

				rivers 2,933 ha, railroad line 483 (ha) urban parks 168 ha)				
	Indicator 9: Habitat quality for the aquatic biodiversity of the upper part of the Rio Torres and María Aguilar micro-watersheds measured through: a) Water quality biological index measured through the diversity of benthic macro invertebrates (BMWP-CR, according to decree 33903 - MINAE) b. Dutch water quality index (according to decree 33903 MINAE	**Biological index** ***Rio Torres (sampling stations)*** A. Asahar Street Bridge: Class 1 B. Colegio de Biologos Bridge: Class 2 C. Aranjuez Sports Center: Class 3 D. San José Palace Bridge: Class 4 E. Upstream of Los Tajos: Class 5 F. Downstream Los Tajos: Class 5 ***Maria Aguilar River (sampling stations)*** A. Psychiatric Hospital Farm 1 B. Bosques y fresales Bridge: Class 2 **Dutch index** ***Torres River (sampling stations)*** A. Asahar Street Bridge: Class 3 B. Colegio de Biologos Bridge: Class 3 C. Aranjuez Sports Center: Class 4 ***Maria Aguilar River (sampling stations)*** A. Psychiatric Hospital Farm 1 B. Bosques y fresales Bridge: Class 2 C. La Periférica Curridabat: Class 3	It is expected that at least one level will be improved at the sites located in the upper basin of both rivers at the end of the project. The indicator allows for the evaluation of changes in water quality based on a) the composition of aquatic macroinvertebrate communities and b) the physicochemical water parameters of the rivers and streams in the cantons of the project. A change in the indicators is not expected at mid-term, but they are maintained.	Baseline generated by AyA, March 2020 (the baseline will be verified during the first year of project implementation)	Annually	Implementing Agency / AyA	Measurement of biological index of water quality according to Decree No 33903-MINAE-S (Regulation for the Evaluation and Classification of the Quality of Surface Water Bodies).	<u>Risks</u> The project team and the implementing agency fail to involve all municipalities and private actors in the implementation of water quality improvement actions <u>Assumptions</u> Adequate involvement of the private sector, municipalities and other key stakeholders in the process of reducing discharges and wastewater in the upper parts of the basin.
	<u>Indicator 10</u>.	Midpoint:	The indicator	Measurement	Midpoint	Project	Field reports	<u>Risks</u>

	Total length (km) of mobility solutions as a result of the project	Cycle paths: 3 km; shared roads and pedestrian routes: 1 km; sidewalks with improved access and green sidewalks: 8 km. Final: Cycle paths: 8 km; shared roads and pedestrian routes: 3 km; sidewalks with improved access and green sidewalks: 20 km.	measures the impact of the project in investments in sustainable mobility solutions.	od linear improvement/construction of cycle paths, shared roads/pedestrian routes, and sidewalks with improved access and green sidewalks in selected areas in the GAM.	and end of the project	Monitoring and Evaluation Expert		Financial resources not available in a timely manner Assumptions Willingness of municipalities to invest in mobility solutions despite reduced revenues from fuel taxes that have resulted because of COVID 19.
	Indicator 11: Investments (USD) to promote integrated sustainable low-carbon management, biodiversity conservation and restoration in the GAM as a result of the project (financed with the resources obtained with the financial-municipal instruments of Component 3)	Midpoint: USD 660,435 Final: USD 1,651,088	The resources budgeted by the municipality of San José in support of interurban biological corridors, the maintenance and reconstruction of its urban parks, and spending on environmental management services were used as a reference to make a projection of what the 20 municipalities are spending, and it was estimated that there would be a 25% growth in these resources for the entire group of these municipalities.	Budgets presented by the Municipality of San José, in a disaggregated way, for the line items of environmental management services, management of biological corridors, maintenance and reconstruction of parks, and services of valuable materials. The size of the budget of the municipality of San José was compared	Annually	Project Implementing Unit	Budgetary execution reports submitted by the municipalities to the General Comptroller of the Republic.	Risks: Current environmental investments by municipalities are financed by revenues that have been negatively affected by the COVID 19 crisis, such as the collections on commercial patents. This would affect the level of future investment in these areas. As part of the measures to address the current crisis in Costa Rica, the national government proposed to make adjustments in some taxes, which caused a very strong social reaction against it. The

				within the group of 20 municipalities, in order to forecast the investments of the group of 20.				political environment for the introduction of new financing instruments is uncertain. Assumptions The levels of investment in the items indicated in the indicator will be made in 2020 and can be sustained in the following years, despite the situation of COVID 19.
	Indicator 12. Investment (USD) in sustainable mobility.	Midpoint: USD 8,000,000 Final: USD 20,000,000	10% of municipal investment in mobility derived from fuel taxes	Budgets presented by the participating municipalities	Annually	Project Implementing Unit	Budgetary execution reports submitted by the municipalities to the General Comptroller of the Republic.	Risks Financial resources not available in a timely manner Assumptions Willingness of municipalities to invest in mobility solutions despite reduced revenues from fuel taxes that have resulted because of COVID 19.
Component 3 Innovative financing and scaling-up	**Indicator 13:** Financing (USD / year) for the fulfillment of the goals of the National Decarbonization Plan, obtained from the implementation of the reforms	Midpoint: USD 50.27 million Final: USD 167.58 million	It is expected that a 10% increase in municipal income will be achieved, as a result of the implementation of the municipal financing mechanisms of component 3, which, in the case of the 20	Analysis of the contents of documents: a) Reports on the budgetary execution of the General Comptroller of the Republic, for what corresponds to	Midpoint and end of the project.	Project Implementing Unit	Reports on the income received in the different income line items, both at municipal and central government level.	Risks The country's fiscal situation would make it difficult to carry out the necessary reforms to obtain the resources to comply with the National Decarbonization Plan. The fiscal problems

	proposed in Component 1 and the municipal financing mechanisms of Component 3		cantons of the project, would be a growth over the income received during the year 2019. In the case of component 1 reforms, they are expected to allow for 1.5 percent growth in total central government tax revenues, mainly as a result of reforms to the single fuel tax and vehicle ownership tax.	municipal income; b) Reports on income, expenditure and financing of the central government, issued by the Ministry of Finance.				caused by the attention of COVID 19, as well as the difficulties that previously existed in this area, would lead to prioritizing other types of tax reforms and postponing adjustments in local governments. <u>Assumptions</u> Since 2021, municipalities apply the financing mechanisms provided for in municipal legislation. The reforms of component 1 are approved in 2022 and start to be fully implemented starting 2023.
	Indicator 14: Number of new green jobs with gender equality in the GAM that result from innovative financing and business models for scaling-up sustainable urban solutions.	Midpoint: 250 (50% women; 50% men) Final: 500 (50% women; 50% men)	The new activities developed under component 3, in terms of promoting innovative models of financing for bio-businesses and the pilot projects to be supported, will generate 500 direct jobs by the end of the project.	Goal established in the project´s concept note.	Midpoint and end of the project	Project Implementing Unit	Direct follow-up with related activities. The information can also be contrasted with data obtained from the continuous employment survey of the National Institute of	<u>Risks</u> The activities being promoted could have a high level of automation, which would reduce the potential for job creation. Companies may not achieve significant scale, due to market situations or the context of the crisis, which would reduce

							Statistics and Census.	the potential for job creation. The COVID-19 crisis could discourage entrepreneurs from starting a business in this area. <u>Assumptions</u> The problems affecting the rest of the businesses in the Costa Rican economy as a result of the COVID 19 pandemic will not impact the bio-businesses that are being promoted.
	<u>Indicator 15</u>: <u>Number of innovative financial mechanisms and/or business models for scaling-up sustainable urban solutions</u>	Midpoint: a) Circular economy business models and/or industrial symbiosis: One (1) b) Bio-business models: At least one (1) Final: a) Circular economy business models and/or industrial symbiosis: Three (3) b) Bio-business models: At least three (3)	Indicator measures project impact to engage the private sector and other stakeholders to implement sustainable urban solutions	Document content analysis Surveys/ interviews with key stakeholders	Midpoint and end of the project	Project Team Project Monitoring and Evaluation Expert	Agreements Contracts Financial reports	<u>Risks</u> Slow economic recovery due to the COVID-19 pandemic <u>Assumptions:</u> Willingness of the private sector and other key stakeholders to participate in sustainable urban solutions for the GAM
Component 4 Advocacy, Knowledge Exchange, Capacity	**Indicator 16:** Number of knowledge products (e.g., publications, in-city knowledge	Midpoint: At least two (2) Final: At least four (4)	Videos, webinars, teleconferences, etc.	Depending on the type of product to be developed	Midpoint and end of the project	Expert in communication / knowledge management of the project	Finished knowledge products	<u>Risks</u> The benefits of the project are limited <u>Assumptions</u> Timely availability of products

Building, and Partnerships	exchanges) about the green economy and urban sustainability with a gender and social inclusion perspective made available locally, nationally, and regionally, including the SCIP web platform, for the replication and scaling-up of successful experiences in other urban landscapes.					Project Monitoring and Evaluation Expert		Sampling efforts are optimal
	Indicator 17: Number of urban professionals in Costa Rica, and municipal technicians and local decision-makers, among others, who use the knowledge acquired from the training or materials from the Sustainable Cities Impact Program (SCIP) GP (gender disaggregated).	Midpoint: 175 (50% women, 50% men) Final: 500 (50% women, 50% men)	Professionals who participate in activities to promote sustainable cities and who know about the project or participate in its learning and knowledge exchange activities	Surveys	Midpoint and end of the project	Expert in communication / knowledge management of the project Project Monitoring and Evaluation Expert	Event Attendance sheets. Project reports	Risks: Actors other than the project´s do not adopt the lessons learned from the project Assumptions: Broad and timely dissemination

Component 5 Monitoring and Evaluation (M&E)	**Indicator 18**: Progress in M&E Plan implementation	Midpoint: 50% Final: 100%	Indicator measures the progress in the implementation od M&E as describe in the Monitoring and Evaluation Plan and Budget included in Section VII of this ProDoc.	Document content analysis	Annually	Project Monitoring and Evaluation Expert	Project reports/databases MTR and TE reports	Risks: The project team and the executing agency fails to involve all project partners Assumptions: Project implemented according to schedule

Annex 5: UNDP Social and Environmental Screening Procedure (SESP)

Social and Environmental Screening Template (2021 SESP Template, Version 1)

Project Information

Project Information	
1. Project Title	Transitioning to an urban green economy and delivering global environmental benefits (Child Project CEO Endorsement)
2. Project Number (i.e. Atlas project ID, PIMS+)	PIMS 6270; GEF ID 10391
3. Location (Global/Region/Country)	Costa Rica
4. Project stage (Design or Implementation)	ProDoc
5. Date	11 May 2021

Part A. Integrating Programming Principles to Strengthen Social and Environmental Sustainability

QUESTION 1: How Does the Project Integrate the Programming Principles in Order to Strengthen Social and Environmental Sustainability?

Briefly describe in the space below how the project mainstreams the human rights-based approach

The project's objectives are clearly focused on promoting the right to a healthy and balanced environment through environmental restoration, sustainable urban development and fiscal policy reforms with a green perspective. The project will be part of the activities to achieve decarbonization in the Great Metropolitan Area (GAM, adopting a human-rights-based approach in the implementation of its activities in 20 municipalities including measures to increase the inclusion of potentially marginalized individuals, persons with disabilities, gender diversity in decision-making processes that may impact them (consistent with the non-discrimination and equality human rights principle).

The project will respect the human rights of all project participants regardless of their race, color, sex, gender, language, religion, political or other opinion, national or social origin, property, birth, or other status. Compliance with the labor rights of those who work in the activities related to and promoted by the project will constitute a central concern during implementation. The right to health will have particular consideration in case of pandemics and infection risks, for which mitigation measures have been established in all project activities as defined in the Environmental and Social Management Framework (ESMF) developed during the PPG.

There are eight indigenous peoples in Costa Rica (Cabecar, Bribri, Ngäbe, Bröran, Brunca, Huetar, Maleku, and Chorotega) living in 24 different territories. Although none of these territories is in the project area, which is restricted to the GAM, policy reforms for a green economy and sustainable integrated urban planning to be proposed by the project (Component 1) and which are of national scope could have an impact on their rights, especially concerning land and natural resources management. For this reason, an Indigenous Peoples Plan Framework (IPPF) has been prepared to ensure that the requirement for consultation and / or Free, Prior and Informed Consent (FPIC) will be analyzed for each policy reform proposed.

Briefly describe in the space below how the project is likely to improve gender equality and women's empowerment

The project will encourage gender equality and women's empowerment by promoting their equal representation and by making them active participants in decision-making processes and in the implementation of actions for achieve decarbonization in the GAM and for transitioning to a urban green economy and sustainable and integrated urban

planning, while providing opportunities for women to improve their well-being and of their families.
The project will contribute towards generating new job opportunities for women from innovative financing and business models for scaling-up sustainable urban solutions. Women will also be empowered through their participation in a municipal training program to build the capacity needed to implement structural environmental and financial policy reforms, sustainable integrated urban planning, and the delivery of global environmental benefits (GEBs), and through knowledge management activities directed to share project-related information nationally and internationally.
The project will incorporate gender considerations into all phases of its life cycle; a Project Gender Action Plan was developed as part of the PPG phase, informed by a gender analysis for the 20 municipalities of the GAM that will benefit from the project, specifically to ensure that the concerns and experiences of women (as well as men) are an integral part of the development, implementation, and M&E of the project. The Project Gender Action Plan outlines activities and includes indicators to ensure gender participation and gender equality. In addition, the project's Comprehensive Stakeholder Engagement Plan also identifies women and women's groups in the GAM that will be directly involved in project implementation.
Prevention of gender-based violence and the special needs of women will be a central input for the design of all urban facilities included in the project.
The gender plan has ethnically and culturally sensitive approach to ensure the participation of indigenous and culturally diverse women, immigrants and Afro-descendants, among others.

Briefly describe in the space below how the project mainstreams sustainability and resilience

The project will include the development of a policy reform for a green economy and sustainable integrated urban planning, investments for achieving sustainable integrated low-carbon, building resiliency to climate change, biodiversity conservation, and land restoration in the GAM, and developing innovative financing and business models for scaling-up sustainable urban solutions. The project will also promote urban biodiversity conservation, will improve connectivity and ecosystem and services within urban landscapes, and will deliver GEBs. Through Component 2, the project will allow the restoration of critical urban areas including reforestation of riverbanks, consolidation of green public spaces and green urban areas, consolidation of interurban biological corridors (IUBCs), and improvement of the water quality of rivers and streams that flow through the GAM into key biodiversity areas (KBAs). These actions will improve habitat for biodiversity of global importance. Sustainable mobility plans to support alternative modes of urban transportation will reduce GHG emissions and build resiliency to climate change in the GAM. The global environmental benefits of the project include: i) the restoration of 2,000 ha, ii) 17,402 ha of landscapes under improved practices, iii) 1,947,539 tCO2-eq mitigated in 20 years, iv) Improved quality of habitat for endemic and threatened urban species.

All project components and activities are aimed at improving the quality of the environment for living in society. The involvement of government and civil society stakeholders in the design, implementation and maintenance of project interventions (e.g. restored areas, spatial connectivity, and urban mobility) ensures ownership, legitimacy and sustainability. The resilience of infrastructures and restored areas will be a key criterion when designing specific interventions, but also the community resilience that can be achieved through commitments to the participation of civil society and the State.

Briefly describe in the space below how the project strengthens accountability to stakeholders

The project will support meaningful participation and the inclusion of all stakeholders in the GAM. During the design phase (PPG), stakeholders were identified and an analysis was conducted to assess their level of influence and importance regarding the different project components and activities; a Comprehensive Stakeholder Engagement Plan was developed with the objectives of: i) clearly identifying the basic roles and responsibilities of the main participants in the project; ii) ensuring full knowledge of those involved concerning the progress and obstacles of project development and taking advantage of the experience and skills of the participants to enhance project activities; and iii) identifying key instances in the project cycle where stakeholder involvement will occur. The project also promotes accountability and will address grievances through UNDP's mechanism for addressing complaints, grievances, and suggestions.

Part B. Identifying and Managing Social and Environmental Risks

QUESTION 2: What are the Potential Social and Environmental Risks? *Note: Complete SESP Attachment 1 before responding to Question 2.*	**QUESTION 3: What is the level of significance of the potential social and environmental risks?** *Note: Respond to Questions 4 and 5 below before proceeding to Question 6.*			**QUESTION 6: Describe the assessment and management measures for each risk rated Moderate, Substantial or High.**
Risk Description ***(broken down by event, cause, impact)***	***Impact and Likelihood (1-5)***	***Significance*** ***(Low, Moderate Substantial, High)***	***Comments (optional)***	***Description of assessment and management measures for risks rated as Moderate, Substantial or High***
Risk 1: As a partial result of limited capacities in the municipalities, poorly execution of project activities could damage critical or sensitive habitats, including within and adjacent to protected areas and KBAs and through the introduction of invasive alien species during forest restoration activities. Standard 1: q1.1, q1.2, q1.6, q1.7, q.1.8	I = 3 L =4	**Moderate**		Component 1 of the project will implement a municipal training program to enhance the capacity needed to implement environmental and sustainable integrated urban planning in the project area. In addition, through Component 4, the project will implement knowledge management activities directed to share project-related information that will also contribute to increase the capacity of municipalities to implement project activities according to environmental risk assessment. For this risk, a Biodiversity Action Plan will be prepared, based on the ESIAs, as part of or supplementing the ESMPs. Restoration activities, including reforestation, will only include native species. Capacity development needs were assessed as part of the PPG using UNDP's Capacity Development Scorecard and a baseline score and targets were determined. Sustainable integrated urban planning includes the development and implementation of a coordinated and participatory roadmap, and a sustainable and integrated regional urban renovation plan for the GAM that will also

				contribute to manage this risk.
Risk 2: Policy proposals could have unintended negative social and/or environmental impacts if social and cultural aspects are not considered and in consequence, design and execution will have no social legitimacy and sustainability will be compromised. Standard 1: q1.2, q1.3; Standard 2: q2.3; Standard 3: q3.1, q3.6; Standard 5: q5.2, q5.4; Standard 6: q6.3.	I = 4 L = 3	**Substantial**		During the PPG, a feasibility assessment of the legislative reform to reduce emissions and loss of biodiversity in urban landscapes was conducted, including consultations with stakeholders that may be impacted. A SESA will be required for the upstream activities as detailed in the ESMF and noted in the specific activities (in the ProDoc, Output 1.1.5).
Risk 3:Political conflicts could arise from the new policy and tax regulations, from the private sector and other stakeholders. Human Rights: P12. Principle Accountability: P13, P14. Standard 5: q5.2, q5.4; Standard 7: q7.1, q7.6; Standard 8: q8.2, q8.4	I = 3 L =5	**Substantial**	Private sector representatives could consider tax regulations and norms related to pollution control as harmful for economic development of their enterprises and could carry out advocacy actions against the bills of law in the Congress and the media.	To mitigate this risk, a process of communication and permanent dialogue with the private sector will be necessary, including information on the evidence of the economic benefits of proposed legislation. It will be included in the SESA for activities in Component 1 (Outputs, 1.1.4 and 1.1.5) It will be necessary to evaluate the need for transition measures (subsidies, compensation, incentives for technological change, for example) to encourage companies to move towards a green economy. The project will also establish a project-level Grievance Redress Mechanism (GRM) at the start of implementation.
Risk 4: Risk of illegal disposal of polluting waste, both solid and liquid, by other entities (not the project itself) as a result of new regulations related to the green economy. Standard 8: q8.2, q8.4, q8.5	I=4 L=3	**Substantial**		This risk will be mitigated by establishing in the proposed laws, policy actions aimed at offering incentives to companies to transform their waste disposal methods and also promoting education on the subject, both for companies and for the population that could be affected. It will be included in the SESA for Output 1.1.5.
Risk 5: Changes in land values as a result of project interventions could increase land taxes beyond the reach of the lower income	I= 4	**Substantial**		This risk will be mitigated by including in the law proposals, specific actions to protect the socioeconomically vulnerable population from its negative impacts. It will be included in the

population. Principle Human rights: P4, P5 Standard 5: q.5.2	L=4			SESA for Output 1.1.5.
Risk 6: There could be adverse impacts to gender equality and limited access to opportunities and benefits by women. Principle Human rights: P4; Principle Gender equality and women's empowerment: P9, P10, P11, P12.	I = 3 L =2	**Moderate**		This risk will be managed through the Gender Action Plan also developed as part of the PPG and which includes specific activities for gender mainstreaming and gender-based indicators. In addition, the PRF includes gender-based indicators. The SESAs and ESIAs will also consider gender risks and further measures will be updated/incorporated as needed.
Risk 7: Project activities and outcomes on the ground (urban land and IUBC restoration, improved landscapes, investments in sustainable mobility) will be vulnerable to the potential impacts of climate change and other natural or anthropic risks. Standard 2: q2.1, q2.2, q2.3; Standard 3: q3.1, q3.6;	I = 3 L =3	**Moderate**		The restoration of degraded areas will contribute to reducing the risk of flooding and flash floods of rivers. As restoration areas have not yet been defined, this risk has been covered in the ESMF; it will be evaluated in the course of the ESIA, and included in the ESMP as determined necessary. In addition, the project will coordinate actions with the National Risk Prevention System of the National Commission for Risk Prevention and Emergency Management (CNE). The project will also improve ecosystem connectivity between mountain ranges surrounding the GAM and downstream KBAs; this will be achieved by strengthening IUBCs and improving the resilience of urban biodiversity through increasing species' mobility and providing refuge against climate variability. In addition, sustainable mobility plans to support alternative modes of urban transportation will reduce GHG emissions and build resiliency to climate change in the GAM. All activities involving modifications to the natural environment will be subject to an ESIA/ESMP and will be designed taking into account risk prevention and

				infrastructure resilience criteria.
Risk 8: The design of biological corridors, urban green areas and mobility zones may not consider the needs of people with disabilities, women and the most vulnerable age groups. Principle Human rights: P4, P5, P6. Principle Gender equality and women's empowerment: P9, P10, P12 Principle Accountability: P13.	I=4 L=2	**Moderate**		To mitigate this risk, per the ESMF, an ESIA will be prepared for each sub-project when its characteristics and location are defined, considering national legislation on accessibility (Law 7600 for example), the SES requirements, and the risks ascribed to gender and age.
Risk 9: The Project poses potential health risks to individuals handling waste, including plastics, which may contain hazardous or dangerous materials such as chemicals. The Project may lead to the production of hazardous and non-hazardous waste; there will be a risk of management of significant volumes of solid waste and wastewater, including plastics that must be handled and disposed. Project activities may result in exposure of staff and stakeholders to COVID-19. Standard 3: q3.5, q3.6; Standard 8: q8.2, q8.3, q8.4, q8.5.	I=3 L=4	**Moderate**		The project activities include the adoption of international hazard guidelines regarding the management of solid waste and wastewater management, including best practice guidance for waste-plastic management and such as those of the International Labour Organization of the United National and UN Water for wastewater management to reduce this risk. This risk has been covered in the ESMF; it will be evaluated in the course of the ESIA, and included in the ESMP as determined necessary. To manage the risk of exposure to pandemic situations (COVID-19, for example), activities in the field will be rescheduled to be carried out remotely, as feasible (telephone communications, forums, online/Website, network exchanges, etc.) and taking into account related government and UN DSS guidance health regulations. In addition UNDP corporate tools for COVID-19 risk management, including UNDP's response offer on green recovery will be applied. Also, GEF Guidelines regarding Project Design and Review Considerations in Response to the COVID-19 Crisis and the Mitigation of Future Pandemics have been considered..

Risk 10: Policy changes aimed at the control and treatment of solid waste could lead to negative responses from the private sector, which could carry out counter-advocacy actions in Congress and influence other stakeholders in civil society. Standard 3: q3.5, q3.6; Standard 8: q8.2, q8.3, q8.4, q8.5.	I=3 L=4	**Moderate**		The upstream aspect of this risk will be covered by the SESA (Output 1.1.5), the Stakeholder Engagement Plan, and the forthcoming GRM.
Risk 11: The Project may result in economic displacement (e.g. loss of assets or access restrictions) due to field activities (IUBC, restoration, for example) along ecological sensitive areas such as riverbanks and forested buffer zones in the GAM. Standard 5: q5.2, q5.4.	I=3 L=3	**Moderate**		This risk will be evaluated in the course of the ESIA, and included in the ESMP as determined necessary.
Risk 12: Policy and legal reforms to be proposed under Component 1 may affect the human rights, lands, natural resources, territories and traditional livelihoods of indigenous peoples. Principle Human Rights: P2, P4 Standard 6: q6.1, q6.3, q6.4, q6.5, q6.6, q6.7, q6.8, q6.9.	I=3 L=3	**Moderate**	Field activities of this project don't affect indigenous territories and communities. The only potential impact on indigenous peoples is the possibility that the bills of law can affect their rights to self-determination in their territorial and natural resources management**.**	During the PPG, a preliminary assessment of these potential impacts was carried out; based on that assessment it was determined that the project's activities under Component 1 require an IPPF, which has been prepared. The project will establish an Indigenous Peoples Consultative Commission (IPCC) that will evaluate legislative and normative proposals according to SES requirements and international standards of indigenous rights in order to assess whether consultation and / or FPIC is required. The IPCC will be established and will operate as described in the IPPF as part of the risk mitigation strategy, including a grievance mechanism in line with Standard 6 requirements. The planned SESAs will also serve to address this risk.
Risk 13: The proposed Project's field activities might potentially adversely impact sites, structures, or objects with historical, cultural, artistic, traditional or religious	I=3 L=2	**Moderate**		To avoid this risk and to establish the necessary measures for the management/protection of the heritage, the risk will be covered by the ESIAs/ESMPs.

values within the GAM. Standard 4: q4.1, q4.2, q4.3, q4.4				
Risk 14: During the project implementation process (ecosystem restoration, biological corridors, sustainable mobility…), workers' rights may not be respected. Standard 7: q7.1, q7.2, q7.3, q7.5, q7.6	I=2 L=4	**Moderate**	Municipalities and government agencies involved respect national laws and ILO conventions related to worker's rights. However, private companies contracted for work related to component 2, may not be able to do so, notably in reference to migrant workers and child labor.	All contracts signed in the context of the project execution will contain clauses related to the respect of labour laws and worker's rights and written labor management procedures will be established in line with Standard 7, as noted in the ESMF. The project will coordinate a permanent inspection mechanism with the Ministry of Labor. This risk will be further assessed and managed through the ESIAs/ESMPs.
Risk 15: Activities stemming from Project cofinancing may not comply with the UNDP SES.	I=4 L=2	**Moderate**	All co-financing (USD 99,131,494) fall under category 1.b: Co-financing not administered by UNDP but included in UNDP project, of the categories for co-financing and UNDP accountability.	During first year of project execution the project Specialist in Environmental and Social Safeguards, in coordination with the Project Manager, will review all project-related activities (including those directly supported by partners/co-financing) to ensure that potential social and environmental risks of those activities do not compromise the outcomes and outputs of UNDP-supported activities. Management/oversight measures will be proposed as needed and risks will be revised and updated annually. This risk has been included in the ESMF. The ESIA/ESMPs and SESAs will consider the co-financing activities as part of the project's context during the course of those assessments, as required by the SES and as noted in the ESMF.
	QUESTION 4: What is the overall project risk categorization?			
			Low Risk	☐
			Moderate Risk	☐
			Substantial Risk	**X**

This project includes the elaboration of public policy proposals, some of them relate to fiscal issue, which may

			be politically sensitive and could generate rejection from some interest groups. Therefore, the capacity developed for dialogue and communication will be essential to mitigate this risk. The field activities of the project have not been fully designed and therefore require further screening, assessment and management. For this reason, it is considered to have a substantial risk level. This is a substantial risk project, some of whose not defined activities will require more extensive assessment and management measures.	
	High Risk	☐			
	QUESTION 5: Based on the identified risks and risk categorization, what requirements of the SES are triggered? (check all that apply)				
	Question only required for Moderate, Substantial and High Risk projects.				
	Is assessment required? (check if "yes")	**X**			***Status? (completed, planned)***
	if yes, indicate overall type and status		**X**	Targeted assessment(s)	Completed during PPG: stakeholder analysis, gender analysis
			X	ESIA (Environmental and Social Impact Assessment)	Planned for implementation
			X	SESA (Strategic Environmental and Social Assessment)	Planned for implementation
	Are management plans required? (check if "yes)	**X**			

	If yes, indicate overall type		X	Targeted management plans (e.g. Indigenous Peoples Plan, Resettlement Action Plan, others)	Completed during PPG: stakeholder engagement plan, gender action plan, IPPF
			X	ESMP (Environmental and Social Management Plan)	Planned for implementation
			X	ESMF (Environmental and Social Management Framework)	ESMF Completed during PPG
	Based on identified <u>risks</u>, which Principles/Project-level Standards triggered?		**Comments (not required)**		
	Overarching Principle: Leave No One Behind				
	Human Rights	X			
	Gender Equality and Women's Empowerment	X			
	Accountability	X			
	1. Biodiversity Conservation and Sustainable Natural Resource Management	X			
	2. Climate Change and Disaster Risks	X			
	3. Community Health, Safety and Security	X			
	4. Cultural Heritage	X			
	5. Displacement and Resettlement	X			
	6. Indigenous Peoples	X			
	7. Labour and Working Conditions	X			

	8. Pollution Prevention and Resource Efficiency	**X**	

Final Sign Off

Final Screening at the design-stage is not complete until the following signatures are included.

Signature	*Date*	*Description*
QA Assessor		UNDP staff member responsible for the project, typically a UNDP Programme Officer. Final signature confirms they have "checked" to ensure that the SESP is adequately conducted.
QA Approver		UNDP senior manager, typically the UNDP Deputy Country Director (DCD), Country Director (CD), Deputy Resident Representative (DRR), or Resident Representative (RR). The QA Approver cannot also be the QA Assessor. Final signature confirms they have "cleared" the SESP prior to submittal to the PAC.
PAC Chair		UNDP chair of the PAC. In some cases PAC Chair may also be the QA Approver. Final signature confirms that the SESP was considered as part of the project appraisal and considered in recommendations of the PAC.

SESP Attachment 1. Social and Environmental Risk Screening Checklist

Checklist Potential Social and Environmental Risks		
INSTRUCTIONS: The risk screening checklist will assist in answering Questions 2-6 of the Screening Template. Answers to the checklist questions help to (1) identify potential risks, (2) determine the overall risk categorization of the project, and (3) determine required level of assessment and management measures. Refer to the SES toolkit for further guidance on addressing screening questions.		
Overarching Principle: Leave No One Behind		**Answer (Yes/No)**
Human Rights		
P.1	Have local communities or individuals raised human rights concerns regarding the project (e.g. during the stakeholder engagement process, grievance processes, public statements)?	NO
P.2	Is there a risk that duty-bearers (e.g. government agencies) do not have the capacity to meet their obligations in the project?	YES
P.3	Is there a risk that rights-holders (e.g. project-affected persons) do not have the capacity to claim their rights?	NO
Would the project potentially involve or lead to:		
P.4	adverse impacts on enjoyment of the human rights (civil, political, economic, social or cultural) of the affected population and particularly of marginalized groups?	YES
P.5	inequitable or discriminatory impacts on affected populations, particularly people living in poverty or marginalized or excluded individuals or groups, including persons with disabilities? [46]	YES
P.6	restrictions in availability, quality of and/or access to resources or basic services, in particular to marginalized individuals or groups, including persons with disabilities?	YES
P.7	exacerbation of conflicts among and/or the risk of violence to project-affected communities and individuals?	YES
Gender Equality and Women's Empowerment		
P.8	Have women's groups/leaders raised gender equality concerns regarding the project (e.g. during the stakeholder engagement process, grievance processes, public statements)?	NO
Would the project potentially involve or lead to:		
P.9	adverse impacts on gender equality and/or the situation of women and girls?	YES
P.10	reproducing discriminations against women based on gender, especially regarding participation in design	YES

[46] Prohibited grounds of discrimination include race, ethnicity, sex, age, language, disability, sexual orientation, gender identity, religion, political or other opinion, national or social or geographical origin, property, birth or other status including as an indigenous person or as a member of a minority. References to "women and men" or similar is understood to include women and men, boys and girls, and other groups discriminated against based on their gender identities, such as transgender and transsexual people.

	and implementation or access to opportunities and benefits?	
P.11	limitations on women's ability to use, develop and protect natural resources, taking into account different roles and positions of women and men in accessing environmental goods and services? For example, activities that could lead to natural resources degradation or depletion in communities who depend on these resources for their livelihoods and well being	YES
P.12	exacerbation of risks of gender-based violence? *For example, through the influx of workers to a community, changes in community and household power dynamics, increased exposure to unsafe public places and/or transport, etc.*	YES
Sustainability and Resilience: Screening questions regarding risks associated with sustainability and resilience are encompassed by the Standard-specific questions below		
Accountability		
Would the project potentially involve or lead to:		
P.13	exclusion of any potentially affected stakeholders, in particular marginalized groups and excluded individuals (including persons with disabilities), from fully participating in decisions that may affect them?	YES
P.14	grievances or objections from potentially affected stakeholders?	YES
P.15	risks of retaliation or reprisals against stakeholders who express concerns or grievances, or who seek to participate in or to obtain information on the project?	NO
Project-Level Standards		
Standard 1: Biodiversity Conservation and Sustainable Natural Resource Management		
Would the project potentially involve or lead to:		
1.1	adverse impacts to habitats (e.g. modified, natural, and critical habitats) and/or ecosystems and ecosystem services? *For example, through habitat loss, conversion or degradation, fragmentation, hydrological changes*	YES
1.2	activities within or adjacent to critical habitats and/or environmentally sensitive areas, including (but not limited to) legally protected areas (e.g. nature reserve, national park), areas proposed for protection, or recognized as such by authoritative sources and/or indigenous peoples or local communities?	YES
1.3	changes to the use of lands and resources that may have adverse impacts on habitats, ecosystems, and/or livelihoods? (Note: if restrictions and/or limitations of access to lands would apply, refer to Standard 5)	YES
1.4	risks to endangered species (e.g. reduction, encroachment on habitat)?	NO
1.5	exacerbation of illegal wildlife trade?	NO
1.6	introduction of invasive alien species?	YES
1.7	adverse impacts on soils?	YES

1.8	harvesting of natural forests, plantation development, or reforestation?	YES
1. 9	significant agricultural production?	NO
1. 10	animal husbandry or harvesting of fish populations or other aquatic species?	NO
1.11	significant extraction, diversion or containment of surface or ground water? *For example, construction of dams, reservoirs, river basin developments, groundwater extraction*	YES
1.12	handling or utilization of genetically modified organisms/living modified organisms?[47]	NO
1.13	utilization of genetic resources? (e.g. collection and/or harvesting, commercial development)[48]	NO
1.14	adverse transboundary or global environmental concerns?	NO
Standard 2: Climate Change and Disaster Risks		
Would the potentially involve or lead to:		
2.1	areas subject to hazards such as earthquakes, floods, landslides, severe winds, storm surges, tsunami or volcanic eruptions?	YES
2.2	outputs and outcomes sensitive or vulnerable to potential impacts of climate change? *For example, through increased precipitation, drought, temperature, salinity, extreme events*	YES
2.3	direct or indirect increase in vulnerability to climate change impacts or disasters now or in the future (also known as maladaptive practices)? *For example, changes to land use planning may encourage further development of floodplains, potentially increasing the population's vulnerability to climate change, specifically flooding*	YES
2.4	increases of greenhouse gas emissions, black carbon emissions or other drivers of climate change?	NO
Standard 3: Community Health, Safety and Security		
3.1	construction and/or infrastructure development (e.g. roads, buildings, dams)? (Note: the GEF does not finance projects that would involve the construction or rehabilitation of large or complex dams)	YES
3.2	air pollution, noise, vibration, traffic, injuries, physical hazards, poor surface water quality due to runoff, erosion, sanitation?	NO
3.3	harm or losses due to failure of structural elements of the project (e.g. collapse of buildings or infrastructure)?	NO
3.4	risks of water-borne or other vector-borne diseases (e.g. temporary breeding habitats), communicable and non-communicable diseases, nutritional disorders, mental health?	NO

[47] See the Convention on Biological Diversity and its Cartagena Protocol on Biosafety.

[48] See the Convention on Biological Diversity and its Nagoya Protocol on access and benefit sharing from use of genetic resources.

3.5	transport, storage, and use and/or disposal of hazardous or dangerous materials (e.g. explosives, fuel and other chemicals during construction and operation)?	YES
3.6	adverse impacts on ecosystems and ecosystem services relevant to communities' health (e.g. food, surface water purification, natural buffers from flooding)?	YES
3.7	influx of project workers to project areas?	NO
3.8	engagement of security personnel to and property, or to support project activities?	NO
Standard 4: Cultural Heritage		
Would the project potentially involve or lead to:		---
4.1	activities adjacent to or within a Cultural Heritage site?	YES
4.2	significant excavations, demolitions, movement of earth, flooding or other environmental changes?	YES
4.3	adverse impacts to sites, structures, or objects with historical, cultural, artistic, traditional or religious values or intangible forms of culture (e.g. knowledge, innovations, practices)? (Note: projects intended to protect and conserve Cultural Heritage may also have inadvertent adverse impacts)	YES
4.4	alterations to landscapes and natural features with cultural significance?	YES
4.5	utilization of tangible and/or intangible forms (e.g. practices, traditional knowledge) of Cultural Heritage for commercial or other purposes?	NO
Standard 5: Displacement and Resettlement		
Would the project potentially involve or lead to:		
5.1	temporary or permanent and full or partial physical displacement (including people without legally recognizable claims to land)?	NO
5.2	economic displacement (e.g. loss of assets or access to resources due to land acquisition or access restrictions – even in the absence of physical relocation)?	YES
5.3	risk of forced evictions?[49]	NO
5.4	impacts on or changes to land tenure arrangements and/or community based property rights/customary rights to land, territories and/or resources?	YES
Standard 6: Indigenous Peoples		
Would the project potentially involve or lead to:		
6.1	areas where indigenous peoples are present (including project area of influence)?	YES
6.2	activities located on lands and territories claimed by indigenous peoples?	NO

[49] Forced eviction is defined here as the permanent or temporary removal against their will of individuals, families or communities from the homes and/or land which they occupy, without the provision of, and access to, appropriate forms of legal or other protection. Forced evictions constitute gross violations of a range of internationally recognized human rights.

6.3	impacts (positive or negative) to the human rights, lands, natural resources, territories, and traditional livelihoods of indigenous peoples (regardless of whether indigenous peoples possess the legal titles to such areas, whether the project is located within or outside of the lands and territories inhabited by the affected peoples, or whether the indigenous peoples are recognized as indigenous peoples by the country in question)? *If the answer to screening question 6.3 is "yes", then the potential risk impacts are considered significant and the project would be categorized as either Substantial Risk or High Risk*	YES
6.4	the absence of culturally appropriate consultations carried out with the objective of achieving FPIC on matters that may affect the rights and interests, lands, resources, territories and traditional livelihoods of the indigenous peoples concerned?	YES
6.5	the utilization and/or commercial development of natural resources on lands and territories claimed by indigenous peoples?	YES
6.6	forced eviction or the whole or partial physical or economic displacement of indigenous peoples, including through access restrictions to lands, territories, and resources? *Consider, and where appropriate ensure, consistency with the answers under Standard 5 above.*	YES
6.7	adverse impacts on the development priorities of indigenous peoples as defined by them?	YES
6.8	risks to the physical and cultural survival of indigenous peoples?	YES
6.9	impacts on the Cultural Heritage of indigenous peoples, including through the commercialization or use of their traditional knowledge and practices? *Consider, and where appropriate ensure, consistency with the answers under Standard 4 above.*	YES
Standard 7: Labour and Working Conditions		
Would the project potentially involve or lead to: (note: applies to project and contractor workers)		
7.1	working conditions that do not meet national labour laws and international commitments?	YES
7.2	working conditions that may deny freedom of association and collective bargaining?	YES
7.3	use of child labour?	YES
7.4	use of forced labour?	NO
7.5	discriminatory working conditions and/or lack of equal opportunity?	YES
7.6	occupational health and safety risks due to physical, chemical, biological and psychosocial hazards (including violence and harassment) throughout the project life-cycle?	YES
Standard 8: Pollution Prevention and Resource Efficiency		
Would the project potentially involve or lead to:		---
8.1	the release of pollutants to the environment due to routine or non-routine circumstances with the potential for adverse local, regional, and/or transboundary impacts?	YES

8.2	the generation of waste (both hazardous and non-hazardous)?	YES
8.3	the manufacture, trade, release, and/or use of hazardous materials and/or chemicals?	NO
8.4	the use of chemicals or materials subject to international bans or phase-outs? *For example, DDT, PCBs and other chemicals listed in international conventions such as the Montreal Protocol, Minamata Convention, Basel Convention, Rotterdam Convention, Stockholm Convention*	YES
8.5	the application of pesticides that may have a negative effect on the environment or human health?	YES
8.6	significant consumption of raw materials, energy, and/or water?	YES

Annex 6: UNDP Risk Register

#	Description	Risk Category	Impact & Probability	Risk Treatment / Management Measures	Risk Owner
1	**SESP Risk 1:** As a partial result of limited capacities in the municipalities, poorly execution of project activities could damage critical or sensitive habitats, including within and adjacent to protected areas and KBAs and through the introduction of invasive alien species during forest restoration activities.	Moderate Operational Strategic Environmental	Currently there is limited capacity of municipal governments to enforce protection zones (i.e., buffer areas surrounding water springs and along rivers and streams within private lands, and in preventing urbanization along riverbanks, generates problems such as pollution and solid waste dumping. This type of problem crosses the political-administrative borders of the municipalities, which lack mechanisms for effective coordination for environmental management. The project targets to restore 2,000 ha of forest areas with native species, including green urban spaces, urban riverbanks, and IUBCs in the GAM. L = 4 I = 3	Component 1 of the project will implement a municipal training program to enhance the capacity needed to implement environmental and sustainable integrated urban planning in the project area. In addition, through Component 4, the project will implement knowledge management activities directed to share project-related information that will also contribute to increase the capacity of municipalities to implement project activities according to environmental risk assessment. For this risk, a Biodiversity Action Plan will be prepared. Restoration activities, including reforestation, will only include native species. Capacity development needs were assessed as part of the PPG using UNDP's Capacity Development Scorecard and a baseline score and targets were determined. Sustainable integrated urban planning includes the development and implementation of a coordinated and participatory roadmap, and a sustainable and integrated regional urban renovation plan for the GAM that will also contribute to manage this risk. Restoration will be done only using native species.	MINAE OTS
2	**SESP Risk 2**: Policy proposals could have unintended	Substantial] Political	The project will support a legislative reform that eliminates perverse incentives promoting emissions and loss of biodiversity in urban landscapes, which	During the PPG, a feasibility assessment of the legislative reform to reduce emissions and loss of biodiversity in	MINAE OTS

	negative social and/or environmental impacts if social and cultural aspects are not considered and in consequence, design and execution will have no social legitimacy and sustainability will be compromised.	Regulatory	may result in unintended negative social and/or environmental impacts. L = 3 I = 4	urban landscapes was conducted, including consultations with stakeholders that may be impacted. A SESA will be required for the policy-level activities as detailed in the ESMF and noted in the specific activities (in the ProDoc, Output 1.1.5).	
3	**SESP Risk 3**: Political conflicts could arise from the new policy and tax regulations, from the private sector and other stakeholders. .	Substantial Political Regulatory	The project will support a legislative reform that introduces new taxes for innovative urban financing. Private sector representatives could consider tax regulations and norms related to pollution control as harmful for economic development of their enterprises and could carry out advocacy actions against the bills of law in the Congress and the media. L = 5 I = 3	To mitigate this risk, a process of communication and permanent dialogue with the private sector will be necessary, including information on the evidence of the economic benefits of proposed legislation. It will be included in the SESA for activities in Component 1 (Outputs, 1.1.4 and 1.1.5) It will be necessary to evaluate the need for transition measures (subsidies, compensation, incentives for technological change, for example) to encourage companies to move towards a green economy.	MINAE OTS
4	**SESP Risk 4:** Risk of illegal disposal of polluting waste, both solid and liquid, as a result of new regulations related to the green economy.	Substantial Regulatory Environmental	The project will support a legislative reform that eliminates perverse incentives promoting emissions and loss of biodiversity in urban landscapes, which may result in unintended negative social and/or environmental impacts. L = 3 I = 4	This risk will be mitigated by establishing in the proposed laws, policy actions aimed at offering incentives to companies to transform their waste disposal methods and also promoting education on the subject, both for companies and for the population that could be affected. It will be included in the SESA for Output 1.1.5.	MINAE OTS
5	**SESP Risk 5**:	Substantial	The project will support a legislative reform that	This risk will be mitigated by including in	MINAE

	Changes in land values as a result of project interventions could increase land taxes beyond the reach of the lower income population.	Regulatory Social	eliminates perverse incentives promoting emissions and loss of biodiversity in urban landscapes, which may result in unintended negative social and/or environmental impacts. L = 4 I = 4	the law proposals, specific actions to protect the socioeconomically vulnerable population from its negative impacts. It will be included in the SESA for Output 1.1.5.	OTS
6	**SESP Risk 6**: There could be adverse impacts to gender equality and limited access to opportunities and benefits by women.	Moderate Social Operational Strategic	Costa Rica has made great progress in empowering women and achieving gender equality in the past few decades. However, women still face lower participation rates, higher rates of unemployment, underemployment and informal work, and lower-than-average wages than men. The GAM concentrates the largest number of women in situations of vulnerability (immigrants, heads of household, inhabitants in risk-prone areas, for example). L = 2 I = 3	This risk will be managed through the Gender Action Plan also developed as part of the PPG and which will include specific activities for gender mainstreaming and gender-based indicators. In addition, the PRF includes gender-based indicators.	MINAE OTS
7	**SESP Risk 7**: Project activities and outcomes (urban land and IUBC restoration, improved landscapes, investments in sustainable mobility) will be vulnerable to the potential impacts of climate change and other natural or anthropic risks.	Moderate Social and Environmental Strategic	Costa Rica's central valley and its surrounding mountain ranges are susceptible to climate change, and changes in temperature and precipitation may occur. In particular more frequent and intense rainfall may affect degraded areas L = 3 I = 3	The restoration of degraded will contribute to reducing the risk of flooding and flash floods of rivers. As restoration areas have not yet been defined, this risk has been covered in the ESMF; it will be evaluated in the course of the ESIA, and included in the ESMP as determined necessary. In addition the project will coordinate actions with the National Risk Prevention System of the National Commission for Risk Prevention and Emergency Management (CNE). The project will also improve ecosystem connectivity between mountain ranges surrounding the GAM and downstream KBAs; this will be achieved by strengthening IUBCs improving the	MINAE OTS

				resilience of urban biodiversity through increasing species' mobility and providing refuge against climate variability. In addition, sustainable mobility plans to support alternative modes of urban transportation will reduce GHG emissions and build resiliency to climate change in the GAM. All activities involving modifications to the natural environment will be subject to an ESIA and will be designed taking into account risk prevention and infrastructure resilience criteria.	
8	**SESP Risk** 8: The design of biological corridors, urban green areas and mobility zones may not consider the needs of people with disabilities, women and the most vulnerable age groups.	Moderate Social Operational Strategic	Poor design of conservation and urban mobility solutions may exclude vulnerable urban populations. L = 4 I = 2	To mitigate this risk, an ESIA will be prepared for each project when its characteristics and location are defined, considering national legislation on accessibility (Law 7600 for example) and the risks ascribed to gender and age.	MINAE OTS
9	**SESP Risk 9**: The Project poses potential health risks to individuals handling waste, including plastics, which may contain hazardous or dangerous materials such as chemicals. Project activities may result in exposure of staff and stakeholders to	Social Operational Strategic	The project includes activities to promote the sound management and reuse of solid waste management, fecal sludge, and wastewater. The COVID-19 pandemic may still not be under control by the time the project is implemented L = 4 I = 3	The design of project activities project will include the adoption of international hazard guidelines regarding the management of solid waste and wastewater management, including best practice guidance for waste-plastic management and such as those of the International Labour Organization of the United National and UN Water for wastewater management to reduce this risk. This risk has been covered in the ESMF; it will be evaluated in the course of the ESIA, and included in the ESMP as determined necessary.	MINAE OTS

	COVID-19.			To manage the risk of exposure to pandemic situations (COVID-19, for example),, activities in the field will be rescheduled and carried out remotely, as feasible (telephone communications, forums, online/Website, network exchanges, etc.) and taking into account related government and UN DSS guidance health regulations. In addition UNDP corporate tools for COVID-19 risk management, including UNDP's response offer on green recovery will be applied. Also, GEF Guidelines regarding Project Design and Review Considerations in Response to the COVID-19 Crisis and the Mitigation of Future Pandemics have been considered.	
10	**SESP Risk 10**: Policy changes aimed at the control and treatment of solid waste could lead to negative responses from the private sector, which could carry out counter-advocacy actions in Congress and influence other stakeholders in civil society.	Moderate Regulatory Social	The project will support a legislative reform that eliminates perverse incentives promoting emissions and loss of biodiversity in urban landscapes, which may result in unintended negative social and/or environmental impacts. L=4 I=3	The upstream aspect of this risk will be covered by the SESA (Output 1.1.5).	MINAE OTS
11	**SESP Risk 11**: The Project may result in economic displacement (e.g. loss of assets	Moderate Social Strategic	The project will develop sustainable and integrated urban plan for the GAM that will allow consolidating spatial planning green public spaces, green urban areas, IUBCs, and restoring urban riverbanks.	This risk will be evaluated in the course of the ESIA, and included in the ESMP as determined necessary..	MINAE OTS

	or access restrictions) due to field activities (IUBC, restoration, for example) along ecological sensitive areas such as riverbanks and forested buffer zones in the GAM.		L = 4 I = 3		
12	**SESP Risk 12**: Policy and legal reforms proposed under Component 1, may affect the human rights, lands, natural resources, territories and traditional livelihoods of indigenous peoples.	Moderate Social and Environmental Political Regulatory Strategic	Some legal reforms that the project will propose may have an impact on indigenous peoples, their livelihoods and territories. In particular, their rights to self-determination and management of their territories and natural resources could be affected. L = 3 I = 3	During the PPG, a preliminary assessment of these potential impacts was carried out; based on that assessment it was determined that the project's activities under Component 1 require an IPPF, which. The project will establish an Indigenous Peoples Consultative Commission (IPCC) that will evaluate legislative and normative proposals SES according to SES requirements and international standards of indigenous rights in order to assess whether consultation and / or FPIC is required. The IPCC will be established in the IPPF as part of the risk mitigation strategy, including a grievance mechanism in line with Standard 6 requirements.	MINAE OTS
13	**SESP Risk 13**: the proposed Project may result in interventions that would potentially adversely impact sites, structures, or objects with historical,	Moderate Social Cultural Strategic	The project will promote sustainable mobility in the municipalities of the GAM connected by the electric train; site or structures of cultural value may be present along the route of the electric train L = 2 I = 3	To avoid this risk and to establish the necessary measures for the protection of the heritage, the design of sustainable mobility facilities, biological corridors, restoration areas and landscape improvement will consider the cultural heritage respect and conservation.	MINAE OTS

	cultural, artistic, traditional or religious values within the GAM.				
14	**SESP Risk 14**: During the project implementation process (ecosystem restoration, biological corridors, sustainable mobility…), workers' rights may not be respected.	Moderate Social Operational Strategic	L = 2 I = 3	All contracts signed in the context of the project execution will contain clauses related to the respect of labour laws and worker's rights. The project will coordinate a permanent inspection mechanism with the Ministry of Labor.	MINAE OTS
15	**SESP Risk 15**: Activities stemming from Project cofinancing may not comply with the UNDP SES.	Moderate Social Environmental Strategic	All co-financing (USD 99,131,494) fall under category 1.b: Co-financing not administered by UNDP but included in UNDP project, of the categories for co-financing and UNDP accountability.. L=2 I=4	During first year of project execution the project Specialist in Environmental and Social Safeguards, in coordination with the Project Manager, will review all project-related activities (including those directly supported by partners/co-financing) to ensure that potential social and environmental risks of those activities do not compromise the outcomes and outputs of UNDP-supported activities. Mitigation measures will be proposed as needed and risks will be revised and updated annually. This risk has been included in the ESMF.	UNDP OTS
16	Other Risks 1: the financial incentives that will be made available by the project may not be enough to promote the	Moderate Financial Political Strategic	Municipalities finance most of their spending obligations with their own resources, although in some cases they receive funds from the national government. The transition to an urban green economy will require additional resources to support certain activities from local governments. However, due to the dire fiscal situation of the country caused by the COVID-19 crisis, there is no real financing from	To mitigate this risk, the project will work very closely with the 20 prioritized municipalities to ensure that new municipal financing instruments (assessment of property value, improved mechanisms for charging for parking, adjustments for public works in the real estate tax, financing options for solid	MINAE OTS

	transition to a green economy and private sector investments may be limited.		the national government to local governments, so local financing mechanisms will need to be created L = 2 I = 4	waste and wastewater management, charging for vehicular congestion, special contributions for investing in urban renovation and issuing green bonds) develop and implement them. In case the policy reforms proposed by the project are no approve, the project will take advantage of the existing opportunities in Costa Rican legislation to direct more resources for sustainable urban solutions.	
17	Other Risks 2: Lack of political will limits the development of legal reforms and financial instruments to support the transition to a green economy	Moderate Political Strategic	Lack of agreement on a legal and policy reform will prevent the transitioning to a green economy, the decarbonization in the GAM, and the delivery of GEBs. L = 3 I = 4	During the project design wide political support to achieve the project's objective was achieved. This includes support from the Minister of the Environment and Energy (MINAE) and the Office of the First Lady/Presidential House, and the participation of representatives from other government agencies (e.g., Ministry of Finance, MOPT, MIVAH, SINAC, MIDEPLAN, INCOFER, and AyA) as well of municipalities in the GAM in the design of the project. During the implementation political dialogue will continue to build further support to the project, including for the proposed legal and policy reform. A national awareness-raising and communication strategy will be implemented to build awareness among the public and decision-makers (including the Legislative Assembly and the candidates for president and deputies during the campaign for the elections for the constitutional period 2022-2026) about the importance of legal and institutional reform for a green economy and its associated benefits.	MINAE OTS
18	Due to the	Substantial	Initial arrangements and inter-institutional	To mitigate this risk and taking into	MINAE

	COVID-19 pandemic, there may be delays in the execution of some project activities, particularly in the field, and low budget execution in the early stages of project implementation.	Environmental Social Operational	coordination with government partners at the national and municipal level may be delayed. At the field level, activities could be postponed and even come to a halt due to restrictions in movement and curfews at the municipal level. L = 3 I = 3	account the government regulations, meetings with partners (Project Board, Technical Committee, etc.) at the central and municipal level will be held through virtual platforms. If it is not possible to work in the field, activities will be rescheduled and carried out remotely, as feasible (telephone communications, forums, online/Website, network exchanges, etc.). The planned activities will be evaluated quarterly with the project partners; adaptive management will be used, as needed. Apply UNDP corporate tools for COVID-19 risk management, including UNDP's response offer on green recovery and pathway beyond recovery towards 2030. GEF Guidelines regarding Project Design and Review Considerations in Response to the COVID-19 Crisis and the Mitigation of Future Pandemics have been considered	OTS
19	Climate change may affect project activities and outcomes	Substantial Climate	Costa Rica is substantially vulnerable to climate change. In the GAM more intense precipitation and extreme events such as storms and floods are expected. On other hand, Costa Rica has made an international commitment to become carbon neutral. L = 3 I = 3	The project will increase connectivity and strengthen ecosystem services in the GAM, in particular in IUBCs, which build resilience to climate change. In addition, the project will promote adjustments to the governmental institutions including the Climate Change Directorate (CCD/MINAE), for mainstreaming and expanding its actions with other governmental institutions in such a way that the actions related to climate change	MINAE OTS

				are a matter of national development and permeate from different institutional sectors such as agriculture, economic, urban, science and technology. In additional the project will implement a municipal and institutional training program focusing on land and urban green space management in response to climate change. Finally, Costa Rica has a nationwide network of meteorological monitoring stations administered by the by the National Meteorological Institute that support risk management; the project will make use of information for the GAM to monitor climate change related risks.	

Annex 7: Overview of Project Staff and Technical Consultancies

Consultant

Time Input

Tasks, Inputs and Outputs

For Project Management

Local / National contracting

Project Manager

Rate: USD 5,126/month

60 months

The Project Manager (PM) will be responsible for the overall management of the project, including the mobilization of all project inputs, supervision over project staff, consultants and sub-contractors.

Duties and Responsibilities

Manage the overall conduct of the project.

Plan the activities of the project and monitor progress against the approved workplan.

Execute activities by managing personnel, goods and services, training and low-value grants, including drafting terms of reference and work specifications, and overseeing all contractors' work.

Monitor events as determined in the project monitoring plan, and update the plan as required.

Provide support for completion of assessments required by UNDP, spot checks and audits.

Manage requests for the provision of UNDP financial resources through funding advances, direct payments or reimbursement using the FACE form.

Monitor financial resources and accounting to ensure the accuracy and reliability of financial reports.

Monitor progress, watch for plan deviations and make course corrections when needed within project board-agreed tolerances to achieve results.

Ensure that changes are controlled and problems addressed.

Perform regular progress reporting to the project board as agreed with the board, including measures to address challenges and opportunities.

Prepare and submit financial reports to UNDP on a quarterly basis.

Manage and monitor the project risks – including social and environmental risks - initially identified and submit new risks to the Project Board for consideration and decision on possible actions if required; update the status of these risks by maintaining the project risks log;

Capture lessons learned during project implementation.

Prepare revisions to the multi-year workplan, as needed, as well as annual and quarterly plans if required.

- Prepare the inception report no later than one month after the inception workshop.

- Ensure that the indicators included in the project results framework are monitored annually in advance of the GEF PIR submission deadline so that progress can be reported in the GEF PIR.
- Prepare the GEF PIR;

Assess major and minor amendments to the project within the parameters set by UNDP-GEF;

Monitor implementation plans including the gender action plan, stakeholder engagement plan, and any environmental and social management plans;

Monitor and track progress against the GEF Core indicators.

Support the Mid-term review and Terminal Evaluation process.

Ensure technical quality, both in terms of TORs and deliverables of activities

Facilitate access to UNDP, in its oversight role, of TORS and deliverables of key activities, both in terms of ad hoc requests and standard processes, e.g., PIRs

Financial / Administrative Assistant

Rate: USD 1,957 /month

60 months

Duties and Responsibilities

Under the guidance and supervision of the Project Manager, the Financial / Administrative Assistant will carry out the following tasks:

- Keep records of project funds and expenditures, and ensure all project-related financial documentation are well maintained and readily available when required by the Project Manager;
- Review project expenditures and ensure that project funds are used in compliance with the Project Document and financial rules and procedures;
- Validate and certify FACE forms before submission to UNDP;
- Provide necessary financial information as and when required for project management decisions;
- Provide necessary financial information during project audit(s);
- Review annual budgets and project expenditure reports, and notify the Project Manager if there are any discrepancies or issues;
- Consolidate financial progress reports submitted by the responsible parties for implementation of project activities;
- Liaise and follow up with the responsible parties for implementation of project activities in matters related to project funds and financial progress reports.
- Assist the Project Manager in day-to-day management and oversight of project activities;
- Assist the M&E officer in matters related to M&E and knowledge resources management;
- Assist in the preparation of progress reports;
- Ensure all project documentation (progress reports, consulting and other technical reports, minutes of meetings, etc.) are properly maintained in hard and electronic copies in an efficient and readily accessible filing system, for when required by Project Board, UNDP, project consultants and other PMU staff;
- Provide PMU-related administrative and logistical assistance.
- Ensure technical quality, both in terms of TORs and deliverables of activities
- Facilitate access to UNDP, in its oversight role, of TORS and deliverables of key activities, both in terms of ad hoc requests and standard processes, e.g., PIRs

Procurement Specialist

Rate: USD 1,392/month
24 months

Duties and Responsibilities

Under the guidance and supervision of the Project Manager, the Senior Facilitator of Multi-stakeholder collaboration for system change will carry out the following tasks

- Development and Implementation of procurement strategies
- Management of procurement processes
- Implementation of sourcing strategy and e-procurement tools
- Facilitation of knowledge building and knowledge sharing
- Team Management

For Technical Assistance

Component 1

Local / National contracting

Lead Political Dialogue Advisor

Rate: USD 5,500/month

48 months

Duties and Responsibilities

Under the guidance and supervision of the Project Manager, the Financial / Administrative Assistant will carry out the following tasks:

- He/she leads the dialogue processes with political parties, the Legislative Assembly, the Executive Power, and the Municipalities.
- Conceptualizes the processes of the component within the national context and the agreements that are being built.
- Supports the specialist in urban planning in the political strengthening of the multilevel dialogue platforms.
- Together with the Project Manager, maintains a permanent relationship with MINAE as the project's implementing entity to monitor the progress of the reforms and make the necessary adjustments.
- Participates in the construction of the Political Communication Strategy and in assessing the results
- Participate in de development of surveys for the feasibility of the proposed legislative/institutional reforms and in assessing the results.
- Review and makes recommendations to the draft of proposals for law reforms, and to institutional and regulatory reforms.

Ensure technical quality, both in terms of TORs and deliverables of activities

- Facilitate access to UNDP, in its oversight role, of TORS and deliverables of key activities, both in terms of ad hoc requests and standard processes, e.g., PIRs

Economist

Rate: USD 3,728/month

30 months

Duties and Responsibilities

- Leads the preparation of draft laws, analysis of social and economic impacts (with a gender perspective) of fiscal reforms, municipal and national financial instruments, cost/benefit studies.
- Supports the strengthening of dialogue platforms with economic contributions.
- Collaborates with the definition of objectives and methodologies of the municipal training modules that include economic issues

Ensure technical quality, both in terms of TORs and deliverables of activities

- Facilitate access to UNDP, in its oversight role, of TORS and deliverables of key activities, both in terms of ad hoc requests and standard processes, e.g., PIRs

Urban Planning Specialist

Rate: USD 3,100/month

60 months

Duties and Responsibilities

- Participates in the technical processes of the multilevel dialogue platforms, as well as in the definition of urban renewal areas together with the municipalities, INVU and other institutions involved.
- Supports the development of the roadmap that will be built to achieve the transition to an inclusive green economy and sustainable urban planning
- Promotes the engagement of municipal technicians from the urban area in training processes.

Ensure technical quality, both in terms of TORs and deliverables of activities

- Facilitate access to UNDP, in its oversight role, of TORS and deliverables of key activities, both in terms of ad hoc requests and standard processes, e.g., PIRs

Law professional

Rate: USD 3,728/month

30 months

Duties and Responsibilities

- Participates in the construction of the proposals of law reforms, institutional and regulatory reforms.
- Supports legal processes that develop the dialogue platforms identified for the purpose of regulatory improvements.
- Supports the institutional expert in the legal assessment of the proposed reforms.
- Reviews the objectives, methodologies and development of the municipal and institutional training modules

Ensure technical quality, both in terms of TORs and deliverables of activities

- Facilitate access to UNDP, in its oversight role, of TORS and deliverables of key activities, both in terms of ad hoc requests and standard processes, e.g., PIRs

GIS and Remote Sensing Expert

Rate: USD 2,796/month

31 months

Duties and Responsibilities

- Manages the different digital tools that allow the planning and execution of activities.
- Prepares maps and develops digital tools.
- Technically supports MTM and CGCRT in the generation of cartographic products. Technical support in the design of the urban renovation plans of the 20 cantons.
- Develops trainings around urban planning, land management, digital tools.
- Facilitate access to UNDP, in its oversight role, of TORS and deliverables of key activities, both in terms of ad hoc requests and standard processes, e.g., PIRs

Business Process Expert

Rate: USD 3,728//month

36 months

Duties and Responsibilities

- Promotes the analysis and generation of proposals for aligned institutional reforms to achieve the transition to a green and decarbonized economy.
- Participates in the discussions of the reform proposals, making them broad and incorporating the contributions.
- Analyzes the political, economic and legal feasibility of the reforms.
- Makes the consultations and manages the different aspects so that they are implemented.
- Facilitate access to UNDP, in its oversight role, of TORS and deliverables of key activities, both in terms of ad hoc requests and standard processes, e.g., PIRs

Social Sciences Professional

Rate: USD 2,796/month

31 months

Duties and Responsibilities

- Promotes participatory consultation processes for all political, legal, and institutional reform processes.
- Works with municipalities to raise their needs in the processes towards a decarbonized economy and they are reflected in the roadmap that is proposed.
- Facilitate access to UNDP, in its oversight role, of TORS and deliverables of key activities, both in terms of ad hoc requests and standard processes, e.g., PIRs

Communication Sciences Professional

Rate: USD 3,400/month

50 months

Duties and Responsibilities

- Prepares conditions to develop the communication strategy and supervises its implementation.
- Prepares and reviews awareness and communication campaigns, coordinates with companies contracted for communication products.
- Looks for spaces of collaboration for the campaigns.

- Responsible for awareness-raising, contributes to training at the municipal level and other actors for the restoration, mobility and waste management, supports with communication for the other components.
- Facilitate access to UNDP, in its oversight role, of TORS and deliverables of key activities, both in terms of ad hoc requests and standard processes, e.g., PIRs

Facilitator of Multi-stakeholder collaboration in the built environment

Rate: USD 3,019/month

40 months

Duties and Responsibilities

Under the guidance and supervision of the Project Manager, the Senior Facilitator of Multi-stakeholder collaboration for system change will carry out the following tasks:

- He/she facilitates trust building among project stakeholders by designing events and workshops that employ a methodology of awareness-based systems change.
- Reviews and advices on the methodology of all the events, workshops and meetings to ensure the principles of collective action for systemic change are incorporated.
- Supports the project coordinator and different project specialists on the management of relationships with project partners.
- Moderates board and technical committee and sub technical committee meetings.
- Helps stakeholders systematize lessons learned throughout project implementation.

Component 2

Local / National contracting

Expert in biology, forestry or related

Rate: USD 3,728/month

60 months

Duties and Responsibilities

- Leading restoration processes in GAM in critical areas.
- Conduct assessments, in coordination with the municipalities, to identify/prioritize areas for urban and peri-urban green restoration and conservation in IUBCs
- Participates in the development of indicators and protocols to for monitoring urban green area and IUBCs
- Provides support and information to the professional in economics with a specialty in environmental economics for assessing the environmental and social benefits of restoration and conservation actions using the ROAM, INVESt, and STAR tools.

Urban Planning Specialist in Mobility/ Transport

Rate: USD 3,100/month

48 months

Duties and Responsibilities

- Analyzes and defines the investments in sustainable mobility to be implemented in the cantons.
- Combines restorative processes with transit- oriented development (TOD), generating local investments that benefit sustainable mobility.
- Facilitate access to UNDP, in its oversight role, of TORS and deliverables of key activities, both in terms of ad hoc requests and standard processes, e.g., PIRs

Professional in economics

Rate: USD 3,728/month

48 months

Duties and Responsibilities

- Responsible for cost/benefit valuation studies of ecosystem services at the spatial level, applying ROAM, INVEST and other analytical and digital tools.
- Analysis of restoration options.
- Generates information for dissemination to actors (other components).
- Generates publications and materials of high scientific and technical level for awareness at different levels.
- Facilitate access to UNDP, in its oversight role, of TORS and deliverables of key activities, both in terms of ad hoc requests and standard processes, e.g., PIRs

Expert in multi-stakeholder participatory dialogue facilitation

Rate: USD 3,728/month

60 months

Duties and Responsibilities

- Participates in the prioritization of sites in the GAM to be restored by involving key stakeholders and considering other ongoing initiatives.
- Establish local partnerships and support planning processes for the participatory management of the green urban spaces by municipality, including municipal governments, IUBC Local Committees, women groups, among others
- Provides technical support for the design/adjustment of cantonal restoration plans and processes for the management and control of wastewater and solid waste discharges.

GIS Expert

Rate: USD 3,000/month

30 months

Duties and Responsibilities

- Management of the different spatial digital tools for modeling ecosystem services.
- Contributes to the spatial prioritization of restoration, green infrastructure baseline mapping, green urban spaces, solid waste discharge and water discharge mapping, cantonal management plans; contributes to the spatial analyses required by the Project (urban mobility plans).
- Establishes and manages the digital mobility platform.
- Prepares maps and develops digital tools.

Expert in political negotiations

Rate: USD 5,000/month

22 months

Duties and Responsibilities

- Support to negotiations with high level decision makers at national and international levels.
- Supports the review of cooperation agreements with implementing partners for Component 2
- Contributes to the positioning and dissemination of project results in integrated sustainable low carbon, resilient, conservation and restoration investments in urban settings.
- Facilitate access to UNDP, in its oversight role, of TORS and deliverables of key activities, both in terms of ad hoc requests and standard processes, e.g., PIRs
- Community engagement in urban forestry restoration activities

Component 3

Local / National contracting

Professional in economics

Rate: USD 4,660/month

60 months

Duties and Responsibilities

- Responsible for directing, developing and inspecting economic studies for circular economy business models, analyzing various business models
- Development of studies, integration of inputs on international policies and methodologies.
- Adjusts each of the municipal financial instruments according to the selection processes carried out by each of the 20 municipalities.
- Supports and advises on the development and implementation of bio-business processes.
- Facilitate access to UNDP, in its oversight role, of TORS and deliverables of key activities, both in terms of ad hoc requests and standard processes, e.g., PIRs

Business Administration Specialist

Rate: USD 3,300/month

60 months

Duties and Responsibilities

- Carries out the feasibility analysis of bio-businesses, as well as their development and project management
- Provides administrative support for the effectiveness of resources given as donations and follows up on them.

Circular economy expert

Rate: USD 5,000/month

30 months

Duties and Responsibilities

Under the guidance and supervision of the Project Manager, the Senior Facilitator of Multi-stakeholder collaboration for system change will carry out the following tasks:

- Provide technical support in upcycling and material transformation to local governments, community organizations and NGOs.

- Technical advisory to project initiatives related to circular economy and solid waste management.
- Support project quality system and quality control of product and process design of the innovation challenge and project grants.
- Assess the impact of circular economy innovations on the ecosystem, implementing and promoting policies for environmental protection, energy saving and health and safety policies at workplace.
- Take part in capacity building processes on how circular economy contributes to sustainable development.
- Contribute to optimize processes, products and services with regard to their potential for circularity of project partners.
- Evaluate industrial processes and products in relation to their life cycle in order to reduce their environmental impact.
- Identify opportunities related to the re-design of products to increase their sustainability.

Component 4

Local / National contracting

Specialist in communication / knowledge management

Rate: USD 3,728/month

15 months

Duties and Responsibilities

- Implement /oversee communication and documentation activities;
- Develop communications and knowledge management products;
- Systematization of lessons learned and best practices in the project;
- Coordination actions with the SCIP Global Platform.

Specialist in Gender and Participation

Rate: USD 3,355.20/month

30 months

Duties and Responsibilities

- Monitor progress in implementation of the project Gender Action Plan ensuring that targets are fully met and the reporting requirements are fulfilled;
- Oversee/develop/coordinate implementation of all gender-related work;
- Review the Gender Action Plan annually, and update and revise corresponding management plans as necessary;
- Monitor progress in implementation of the implementation of the Comprehensive Stakeholder Engagement Plan;
- Review the Comprehensive Stakeholder Engagement Plan annually, and update and revise corresponding management plans as necessary
- Work with the M&E officer and Safeguards Officer to ensure reporting, monitoring and evaluation fully address the gender issues of the project.

Specialist in environmental and social safeguards

Rate: USD 3,262/month

15 months

Duties and Responsibilities

- Monitor progress in development/implementation of the project ESMF ensuring that UNDP's SES policy is fully met and the reporting requirements are fulfilled;

- Oversee/develop/coordinate implementation of all safeguard related plans;
- Train the PMU and key stakeholders on UNDP SES/social and environmental safeguards requirements.
- Ensure social and environmental grievances are managed effectively and transparently;
- Screen activities stemming from Project cofinancing to ensure that these comply to with the UNDP SES, and proposed mitigation measures as needed;
- Review the SESP annually, including activities stemming from Project cofinancing, and update and revise corresponding risk log; develop additional mitigation/management plans as necessary;
- Ensure full disclosure with concerned stakeholders;
- Ensure environmental and social risks are identified, avoided, mitigated and managed throughout project implementation;
- Work with the M&E Specialist and Communication / Knowledge Management Specialist to ensure reporting, monitoring and evaluation fully address the safeguard issues of the project.

Indigenous Peoples Safeguards Expert

Rate: USD 3,262/month

10 months

Duties and Responsibilities

- Develop guidelines and ensure FPIC;
- Develop the IPP.

Environmental and social safeguards Expert

Rate: USD 3,262/month

8 months

Duties and Responsibilities

- Develop the ESIA/ESMP;
- Develop a Livelihood Action Plan as part of the ESMP and any other additional stand-alone plan as determined necessary for SES compliance by the ESIA;
- Develop the Biodiversity Action Plan;
- Coordinate with the project Environmental and Social Safeguard Specialist to ensure SES compliance.

Environmental and social safeguards Expert

Rate: USD 3,262/month

10 months

Duties and Responsibilities

- Develop the SESA, including an action matrix that summarizes policy, institutional, and governance recommendations, including measures to address adverse social and environmental effects associated with the project.
- Coordinate with the project Environmental and Social Safeguard Specialist to ensure SES compliance.

Component 5

Local / National contracting

Monitoring and Evaluation National Specialist

Rate: USD 4,660/month

4 months

Duties and Responsibilities

- Periodic appraisal of the Project's Theory of Change, PRF, and GEF core indicators with reference to actual and potential project progress and results.

Monitoring and Evaluation National Expert

Rate: USD 2,740 /week

4 weeks

Duties and Responsibilities

- Project mid-term evaluation;
- Mid-term evaluation report.

Monitoring and Evaluation Expert

Rate: USD 3,262 /week

5 weeks

Duties and Responsibilities

- Project final evaluation;
- Final evaluation report.

Monitoring and Evaluation Specialist

Rate: USD 3,262/month

10 months

Duties and Responsibilities

- Monitor project progress and participate in the production of progress reports ensuring that they meet the necessary reporting requirements and standards;
- Ensure project's M&E meets the requirements of the Government, the UNDP Country Office, and UNDP-GEF; develop project-specific M&E tools as necessary;
- Oversee and guide the design of surveys/ assessments commissioned for monitoring and evaluating project results;
- Facilitate mid-term and terminal evaluations of the project; including management responses;
- Support project site M&E and learning missions;
- Visit project sites as and when required to appraise project progress on the ground and validate written progress reports.

International contracting

Monitoring and Evaluation Lead Expert

Rate: USD 7,951.50 /week

4 weeks

Duties and Responsibilities

- Project mid-term evaluation;
- Mid-term evaluation report (Spanish and English).

Monitoring and Evaluation Lead Expert

Rate: USD 7,025 /week

5 weeks

Duties and Responsibilities

- Project final evaluation;
- Final evaluation report (Spanish and English).

Monitoring and Evaluation Expert

Rate: USD 7,000 /week

4 weeks

Duties and Responsibilities

- Project final evaluation;

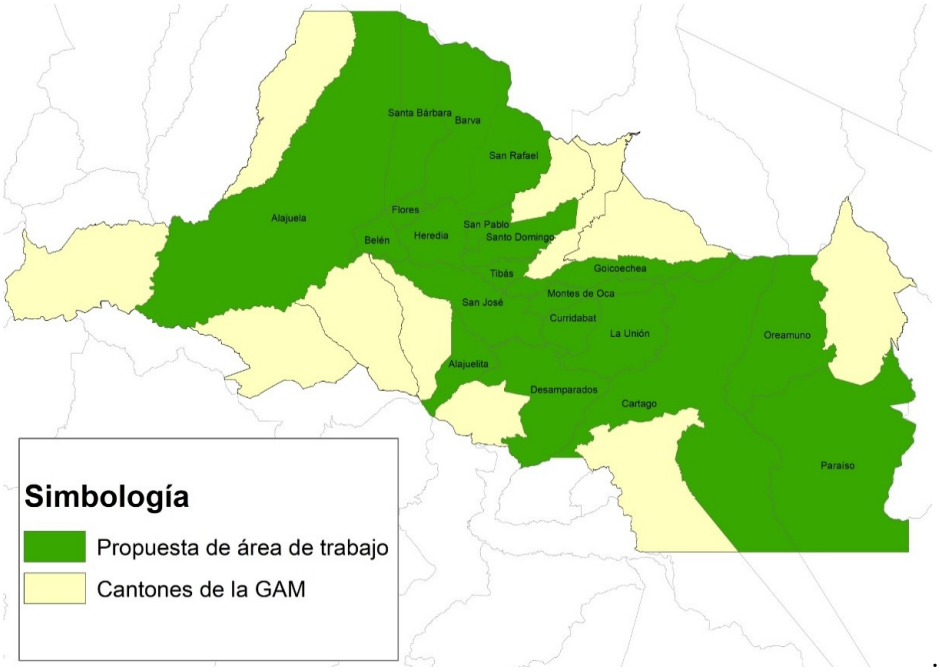
Annex 8: Comprehensive Stakeholder Engagement Plan

1. Introduction

The project objective is to achieve decarbonization in the GAM through fiscal and policy reform and sustainable integrated urban planning. To achieve the project objective five interrelated components have been defined that will allow evidence-based policy reform for a green economy and sustainable integrated urban planning, that will serve as the basis for sustainable integrated low-carbon, resilient, conservation, and land restoration investments and Innovative financing and scaling-up in the GAM. Solutions, best practices, and lessons learned that will result from this strategy will be systematized and shared in order to promote knowledge exchange, capacity development, and partnerships in Costa Rica and globally.

An analysis of the sociodemographic, environmental, and economic conditions of the population and the territory was developed, as well as the capacities of the local governments of the 20 municipalities of the GAM where the project will be implemented (see Figure 3). This analysis included a review of official statistics and academic institutions, as well as consultation with representatives of local and national institutions and organized groups. An inclusive approach with a gender perspective was used to ensure that the conditions of women and vulnerable groups were made visible; this is the case of community representatives of the municipalities who are affected in terms of their well-being and economically by the restrictions imposed by the government during the Covid-19 pandemic.

Figure 3: Twenty municipalities selected by the Project.



A Gender Action Plan was developed, as well as guidelines for the Safeguard Plans. The geographical area of the project does not include any indigenous territory; therefore, the project's activities do not interfere with indigenous rights. However, the proposals for legal reform contemplated by the Project could eventually affect territorial governance if regulations restrict self-determination and self-management of natural resources within the territories. In these situations, mechanisms for consultation and Free, Prior, and Informed Consent (FPIC) are envisaged within the Indigenous Peoples Plan (IPP).

This Comprehensive Stakeholder Participation Plan was developed as part of the PPG phase of the project (i.e., the preparatory phase). This document summarizes the main consultation activities that were carried out during the preparation phase of the project, which was performed from February to July 2020. The consultations made to the stakeholders allowed the mapping of stakeholders; the analysis was used to develop this plan.

The stakeholder analysis identified the 48 key stakeholders for the project classified into seven categories. This Comprehensive Stakeholder Participation Plan was carried out following the parameters established for the UNDP SESPs. This plan is linked to the project activities and defines the steps that involve the stakeholders in the implementation, participation mechanisms, communication mechanisms, budget, and schedule. Monitoring will be carried out in a decentralized manner and will be integrated into the general monitoring plan. This plan is also linked to the IPP and the Gender Action Plan (developed following UNDP SESP parameters). Finally, the PPG team was consulted to incorporate inputs and recommendations according to their areas of expertise.

2. Regulations and Requirements

This Comprehensive Stakeholder Participation Plan is framed within Costa Rican legislation, which is governed under the Constitution of Costa Rica. In particular, the project plan is aligned with international commitments that the country has in sustainable development and the agreements that the country has ratified. Specifically, the legal instruments within which this Comprehensive Stakeholder Participation Plan is framed are the following:

Framework Convention on Climate Change (1992, Paris Agreement, 2015)

Basel Convention on the Control of Transboundary Movements of Hazardous Wastes and their Disposal (1995)

Convention on Biological Diversity (1994)

Stockholm Convention on Persistent Organic Pollutants (2007)

Convention on the Elimination of All Forms of Discrimination Against Women (1986)

Inter-American Convention to Prevent, Punish, and Eradicate Violence against Women (1995)

Beijing Declaration and Platform for Action (1995)

Quito Consensus (2007)

Brasilia Consensus (2010)

Inter-American Convention Against All Forms of Discrimination and Intolerance (2013)

Convention on the Elimination of all Forms of Discrimination against Women (CEDAW, 1984)

International Convention on the Elimination of All Forms of Racial Discrimination (1966)

Convention on the Rights of Persons with Disabilities (2008)

Sustainable Development Goals, United Nations

Regional Agreement on Access to Information, Public Participation and Access to Justice in Environmental Matters in Latin America and the Caribbean (Escazú Agreement)

At the national level, the regulatory framework that provides the context for the project can be found mainly in the following list of legal instruments:

Constitution of the Republic of Costa Rica (1949): Right to a healthy and ecologically balanced environment (Article 50).

National Decarbonization Plan of Costa Rica 2018-2050 (2019): Access to information and transparency (consolidation of the National System of Climate Change Metrics), Education.

Organic Environmental Law (No. 7554) (last reform 2010): Active transparency (Article 2), Report on the State of the Environment (Article 78 h, to be managed by the National Environmental Council), Right to participate (Article 6, to be managed by the State and Municipalities), Participation in activities and projects (Articles 22 to 24, to be managed by the National Environmental Technical Secretariat), Participation in plans, programs and policies (Articles 7, 8 to and 78, to be managed by the Regional Environmental Councils and the National Environmental Council), Participation in plans, programs, and policies / Cities (Article 29 d, territorial ordering), Right to appeal (Article 87 and Chapter XXI, creates the Administrative Environmental Tribunal, Certification (Article 74, certification of organic products), Environmental education (Articles 12 and 14, to be managed by the State, Municipalities and public and private institutions).

Law for Comprehensive Waste Management (No. 8839) (2010): Right to information, active transparency (Articles 5, 17 and 18, to be managed by the Ministry of Health with the support of INEC), Right to participate (Articles 5 and 23, to be managed by the Ministry of Health and Municipalities), Participation in plans, programs and policies (Articles 9, 10, 12, 13,, to be managed by the Ministry of Health and Municipalities and sectors), Environmental education (Article 19, to be managed by the Higher Council of Education), Liability for environmental damage (Article 57).

National Policy for Adaptation to Climate Change (Decree No. 41091-MINAE) (2018): Right to information (Section 5.2), Active transparency (Axis 1), Right to participate (Section 5.2) / Gender, Participation in plans, programs and policies (Section 5.3 and Axis 1) / Gender, Gender (Section 5.3), Indigenous peoples (Section 5.3).

Waters Law N° 276 (latest revision, 2017)

Biodiversity Law (No. 7788): Promote the active participation of all social sectors in the conservation and ecologically sustainable use of biodiversity, to ensure social, economic, and cultural sustainability (Article 10).

Law to Combat Plastic Contamination and Protect the Environment (N° 9786) (2019).

National Policy for Sustainable Production and Consumption (Decree No. 41032-PLAN-MINAE-RE): Gradually adopt sustainable production and consumption patterns that contribute to the well-being of the population in general and of future generations, through the articulation of the instruments of national planning within a framework of inter-institutional and intersectoral coordination.

GAM Plan 2013-2030 (update of GAM 82, Decree No. 25902). This plan incorporates two areas (agro-production and protection), and two sub-areas (urban recovery and urban expansion control), in addition to the basic structural concept of the Comprehensive Dense Centralities Plan (CDI), which describes the urban development model.

National Urban Development Policy 2018-2030 and Action Plan 2018-2022 (Decree No. 41136-MIVAH-PLAN-MINAE-MOPT) (2018).

Urban Planning Law No. 4240 (1968). This law empowers state institutions to set and collect valuation fees associated with the construction of urban infrastructure (Articles 70 and 71).

Municipal Code: The municipality has the political, administrative, and financial autonomy conferred by the Political Constitution. It must promote participatory and inclusive local development, which takes into account the diversity of the needs and interests of the population (Article 4). Municipalities are authorized to collect an amount for the improvements produced thanks to the construction of urban infrastructure (Article 77).

Real Estate Tax Law No. 7509 (1995 and reforms): Creation of the Technical Standardization Body to guarantee greater precision and homogeneity when determining the values of real estate throughout the national territory; in addition, optimization of the administration of the tax (Article 12).

National Planning Law (Law No. 5525): Managed by MIDEPLAN to ensure the application of Government priorities in budget allocation, public investment, and international cooperation.

National Development and Public Investment Plan (2019-2022).

National Policy for Effective Equality between Women and Men in Costa Rica (2018-2030).

National Policy for Equality between Women and Men in Training, Employment, and Enjoyment of Science, Technology, Telecommunications, and Innovation Products (2018-2027) of the Ministry of Science, Technology and Telecommunications (MICITT)

Mechanism for consultation with indigenous peoples (Decree No. 40932-MP-MJP)

3. Summary of Previous Stakeholder Engagement Activities

As part of the preparatory phase, in-depth interviews, focus groups, workshops, and surveys were carried out with different national and local stakeholders, government, institutional, and community groups. Additionally, members of the project formulation team held individual meetings with key stakeholders in each of their areas of expertise.

Table 1 summarizes the activities carried out to involve the stakeholders during the Project preparation phase.

Table 1: Principal activities carried out to involve stakeholders during the PPG phase.

Methodology	Activity/Theme	Date
Kickoff workshop and PPG team coordination meetings	Kickoff workshop for the preparatory phase (PPG) to communicate about the project and initiate contacts that will allow the project to identify key stakeholders and their actions in the project territories, as well as elements to outline a baseline.	February 21
	PPG work team meetings. Coordination for the identification and consultation of stakeholders, as well as the exchange of information and appreciation of the interactions with the stakeholders for the interest of the Project.	Every 2 weeks from February to July
In-depth interviews, focus groups (mainly through **virtual platforms** due to the restrictions imposed by the pandemic) and surveys (online)	Focus groups with technical personnel from municipalities. The project was presented, and interest, involvement, risks, and related projects were researched. After the consultations, the material with information about the project was shared with them. 17 municipalities were represented.	May 4, 6, and 18 (5 groups)
	Online surveys conducted with community groups and women's organizations residing in the municipalities of interest to present the project, and inquire about interest, risks, and recommendations. 169 people interviewed, 17 municipalities represented.	June 1 to 21
	In-depth interviews with representatives of technical and political institutions (including mayors who were sent formal informative correspondence about the project) in the environmental, transportation, and urban planning areas (29 interviews with 47 participants).	May to July
	Presentation before the Multilevel Technical Roundtable with representatives of institutions related to transport and urban planning, other related projects, and 15 municipalities (44 attendees).	May 20
	In-depth interviews with representatives of other related projects (UNGL, GIZ, others).	April and May
Bilateral meetings	Work meetings with representatives of 20 municipalities and 14 institutions to assess capacities using the UNDP capacity development scorecard.	May 27 to June 23
	President’s Residence (First Lady)	June 12

Methodology	Activity/Theme	Date
	MINAE (Minister and Consultant Coordinator of the PPG)	Every 2 weeks from February to July
Results Framework Workshop	Results framework and project activities workshop to agree upon and validate the outputs, activities, results, and baselines of the Results Framework under preparation with key project stakeholders (103 participants).	July 21 and 22
Focus groups, surveys (online) and in-depth interviews on specific topics	In-depth interviews with specialists and authorities in biodiversity (MINAE, SINAC, CBI, UCR, IUCN, GIZ, CATIE, others)	May to July
	In-depth interviews with specialists and authorities in water and sanitation (AYA)	May to July
	In-depth interviews with specialists and authorities in local financing (Fundecor, ONT, Ministry of Finance, other Mutuals)	May to July
	In-depth interviews with mobility specialists and authorities (MOPT)	May to July
	In-depth interviews with specialists and authorities in urban renewal (MIVAH, INVU, IFAM)	May to July
	In-depth interviews with gender specialists and government institutions (INAMU, UNDP, REDD+, international RED, Costa Rican Women's Alliance, Ministry of Labor, RECCOM, GIZ). Thirteen were consulted.	March and April
	Focus groups with municipalities with offices for women and social affairs. The project was presented, and interest, involvement, risks, and related projects were investigated. After the consultations, the material with information about the project was shared with them. Seven municipalities were represented (those with the highest concentration of urban population).	May 22 and 24
	Online surveys with groups of women residing in the municipalities of interest to present the project, and investigations about interest, risks, and recommendations. 59 people interviewed, 16 municipalities represented.	June 1 to 21

Note: All of the activities were carried out in the GAM.

4. Project Stakeholders

The stakeholder analysis is the process by which the key stakeholders are identified, as well as their interest in the project, and provides the basis for the development of the Comprehensive Stakeholder Participation Plan. The methodology to identify them responds to the procedures established in the UNDP SESP, which includes three steps: mapping the stakeholders, identifying their interests, and prioritizing their involvement and importance. Table 2 summarizes the number of consultations made.

Table 2: Number of participants by type of methodological approach to dissemination and consultation.

Methodology	Quantity	Number of Participants	Proportion of Women
Kickoff Workshop	1	106	56%
In-depth Interview	41	59 (47 for presentation and Stakeholder Plan, 23 for Gender Plan)	56% (43% Stakeholder Plan, 100% Gender Plan)
Focal Groups	7 (5 municipal technical staff, 2	45 (34 technical staff, 11 office of women)	71% (57% technical staff related to themes of urbanism, mobility, and

	office of women)		the environment; 100% technical staff on gender themes)
Online Survey (1)		228	74% (65% community groups, 100% women's groups)
Presentation of the project in the MTM forum	1	44	41%
Specialist Interview	52	110	45%
Results Framework Workshop	2	103	52%
Total number of people informed and consulted about the project through virtual or face-to-face presentations for the development of this product.		589	60%

(1) From the online survey with 360 responses from residents in the 20 municipalities of interest, 132 cases that did not belong to organized community groups or organized women's groups were eliminated, although these people also learned about the project that way.

The 48 stakeholders selected were classified into seven categories: a) Coordination and leadership entities, b) Central government and decentralized institutions, c) Local and associated governments, d) Allies, e) Others, f) Women, and g) Indigenous groups. Table 3 presents the stakeholders according to their level of importance and influence in achieving the project's objectives.

Table 3. Project Transition towards an urban green economy: identification of key stakeholders, their interests, importance, and influence for the project

	Stakeholders		Project Stakeholder Interests	Project's Effect on the Interests (+ 0 –)	Importance of Stakeholder for Success of Project (1)	Degree of Influence of Stakeholder over Project (2)
	a) Coordination and management entities					
1	Ministry of Energy and the Environment	MINAE	Responsible for the project before the GEF. The ministry is responsible for promoting the management, conservation, and sustainability of the country's natural and environmental resources. MINAE, from the Office of the Ministry and Vice Ministers, will lead the political and technical support to develop and implement a conducive and financially feasible environment to move towards a green economy. Its System for National Conservation Areas will play a role as leader of the thematic subcommittee dealing with green area forest restoration	+	5	5
2	UNDP Programme	UNDP	GEF Agency that has led the preparatory phase, consultations, and Project Document (ProDoc) and will be responsible for executing Component 1, which involves the technical and political coordination of entities that operate in national areas of action.	+	5	5
3	Ministry of Housing and Human Settlements (MIVAH)	M. Housing	These officials determine the laws related to taxes through the Technical Normalization Body in determining mechanisms for the valuation of real estate, optimizing the administration of the tax, and improving the management, inspection, and valuation processes. As current coordinator of the Multi-level platform for urban development and establishment of an electric train, will serve as lead institution in the thematic subcommittee dealing with transport issues.	+/-	5	5
4	Climate Change Division – MINAE	CCD	Ally in the development of studies and liaison with other related projects. All components.	+	4	3

	Stakeholders		Project Stakeholder Interests	Project's Effect on the Interests (+ 0 –)	Importance of Stakeholder for Success of Project (1)	Degree of Influence of Stakeholder over Project (2)
5	National Institute of Housing and Urbanism	INVU	Responsible for executing the territorial development plans policies in the country. Designs, coordinates, and promotes a housing program and plays an important role in terms of environmental regulations and protection zones in the GAM. It is the entity upon which the permits for regulatory and urban renovation plans depend. Part of the Steering Committee. Will lead the thematic subcommittee dealing with urban development plans.	+/-	5	5
6	Ministry of Health (solid wastes)	Min Salud	Authorizes solid waste managers who are decision-makers for the stimulation of the circular economy that the project seeks to promote. The Ministry will play a key role as leader of the	+	5	5
7	Ministry of Planning and Economic Policy	MIDEPLAN	Authority in charge of ensuring the application of government priorities in budget allocation, public investment, and international cooperation.	+/-	5	5
8	National System of Conservation Areas, MINAE. Biological Corridors	SINAC-Biological Corridors	Entity in charge of approving biological corridors and their monitoring. The local committees can contribute favorably to the actions of the project. Will play a role as leader of the thematic subcommittee dealing with green area forest restoration.	+	5	5
9	Costa Rican Institute of Aqueducts and Sewers	AyA	Stewardship of the sustainable provision of drinking water and sanitation services. Important to achieving eventual public-private alliances such as with the Los Tajos project (concession). Institutionally AyA is a great stakeholder.	+	5	5
10	Municipal Development and Advisory Institute	IFAM	Provides training and advice to municipalities. Potential ally in training.	+	5	5
11	Ministry of Housing and Human Settlements	MIVAH	Issues and manages guidelines, directives, and policies on land use, urban planning, human settlements, and adequate housing. Authorities of this ministry have been	+	5	5

	Stakeholders		Project Stakeholder Interests	Project's Effect on the Interests (+ 0 –)	Importance of Stakeholder for Success of Project (1)	Degree of Influence of Stakeholder over Project (2)
			allies and key in the consolidation of the MTM; however, their role depends on the appointed hierarchies.			
	b) Central government and decentralized institutions					
12	National System of Conservation Areas, MINAE. Conservation Areas	SINAC-Conservation Areas	Entity in charge of approving conservation areas and dealing with complaints.	+/-	3	4
13	MINAE. Division of Water	DA	Manages the water resources at the national level and oversees the domain, control, exploitation, and use of bodies of water and channels.	+	2	2
14	Public Transportation Council. MOPT	PTC	Leading and governing entity that plans, designs, optimizes, regulates, supervises, and coordinates public land transportation services. Determines the mobility issues of the project.	+/-	5	5
15	Delegates of the Legislative Assembly	Delegates	Fundamentals for the approval of laws promoted by the project.	+/-	5	5
16	Comptroller General of the Republic	CGR	Assesses the financial feasibility of public projects.	+	4	5
17	Attorney General	PGR	Assesses the legal feasibility of public projects.	+	2	3
18	National Environmental Technical Secretariat	SETENA	Institution responsible for managing the environmental impact assessment process and harmonizing the environmental impact with the production processes.	+/-	2	3
19	Regulatory Authority of Public Services	ARESEP	Regulatory authority for public services, including telecommunications, drinking water, fuels, wastewater, irrigation, and drainage. In charge of ensuring that the needs of users and the provision of services are guaranteed in terms of equity, access, cost, environmental sustainability, and quality.	+	2	3
20	Costa Rican Railway Institute	INCOFER	Executing entity of the Electric Train.	+	5	3

	Stakeholders		Project Stakeholder Interests	Project's Effect on the Interests (+ 0 –)	Importance of Stakeholder for Success of Project (1)	Degree of Influence of Stakeholder over Project (2)
21	Ministry of Public Works and Transport. Vice Ministry of Transport	MOPT	Governing body for the regulation and control of transportation, and the creation of infrastructure for safe and efficient transportation.	+/-	5	5
22	National Institute of Women - INAMU	INAMU	Institute dedicated to making visible and promoting the conditions of women in the communities and potential allies in the organization of technical advice and training activities.	+	4	2
23	Ministry of Labor	M. Labor	Indirect beneficiaries of the project for the creation of employment.	+	1	1
	c) Local and associated government					
24	Municipalities (mayors)		Local development. Mayors: key leading figures of local governments. The municipalities they lead are in charge of guiding, implementing, and managing all the prioritized activities in the territories, such as urban planning and the provision of services (such as drinking water, wastewater, and waste management).	+/-	5	5
25	Technical staff from municipalities (including women's and social affairs departments)		Key technical figures in local governments to support and promote the execution of the project actions, in part, also beneficiaries (for example, of training). The technical staff includes the departments that deal with women's and social issues as, from the consultation with stakeholders, it was evident that when considering that department separately, the gender issue cannot be mainstreamed into other technical issues (environmental, urban planning and mobility) that serves the municipality.	+	5	5
26	Municipal councils		They can act for or against the project; however, their conviction depends largely on the work of the mayor.	+/-	3	3
27	4 Federations of		They group local governments of interest.	+	1	1

	Stakeholders		Project Stakeholder Interests	Project's Effect on the Interests (+ 0 –)	Importance of Stakeholder for Success of Project (1)	Degree of Influence of Stakeholder over Project (2)
	Municipalities (of each region)					
28	National Union of Local Governments National Association of Mayoral Offices	UNGL ANAI	Coordinator of municipalities around the M*UEVE* project, some of whose objectives are consistent with those of the project and can add scope. Association that is directly related to some municipalities other than the UNGL.	+	2	4
29	Local residents (represented by community groups)	Community Groups	These groups transmit concerns and local experiences for effective implementation in the territories. They will benefit from the interventions in their localities and also from the trainings. They can act for or against the project. The community is the main beneficiary, but it must be incorporated into the project from the beginning.	+/-	5	2
	d) Allies					
30	Multilevel Technical Roundtable for Transportation-Oriented Development	MTM	Coordinates municipalities around the Train project and brings together technical representatives from 15 of the 20 municipalities of the project, the MOPT, Office of the First Lady, INVU, INCOFER, among other institutions of interest. It is proposed as the platform for technical and political dialogue.	+	4	2
31	GIZ (Implementer of complementary projects such as MiTransporte)	GIZ	As donors to the project, they have the possibility to define and demand conditions.	+	3	3
32	First Lady's Office, Presidential Residence		The office has been an ally in decarbonization policies.	+	2	4
33	Other urban collectives of the GAM as potential partners (Rutas Naturbanas, Carpe Chepe, Chepecletas,	Other urban collectives	Potential partners for creating awareness and sensitization about the objectives of the project components. In particular, the experience of Rutas Naturbanas has been	+	3	2

	Stakeholders		Project Stakeholder Interests	Project's Effect on the Interests (+ 0 –)	Importance of Stakeholder for Success of Project (1)	Degree of Influence of Stakeholder over Project (2)
	others).		successful in its management in the territories of interest of the project and with similar objectives in connectivity between communities and mobility over the length of rivers or neighboring areas.			
34	Other projects CBI	CBI	Opportunity to provide experience.	+	2	2
35	Local feminist organizations. Representatives of the women of the community.		Make visible and promote the conditions of women in the communities.	+	4	1
36	Women's NGOs (RED International, RECCOM, CEFEMINA)		Make visible and promote the conditions of women in the communities and potential allies in the organization of activities.	+	1	1
37	Chambers of commerce and private companies (micro, small, medium, and large)		Opportunity to participate in the green, circular economy and employability for some (e.g., Chamber of Industries), but possible adverse influence in other cases, especially in terms of taxes (e.g., UCCAEP).	+/-	2	5
38	Universities/academia		Social action and research on issues related to the project, advice and technical support.	+	2	2
39	Intermunicipal Agency of the María Aguilar River sub-basin	AIRMA	They coincide with the objectives of the project.	+	1	1
40	Foundation for the Development of the Central Volcanic Mountain Range	FUNDECOR	Water Fund Architecture of the GAM (part of Agua Tica). Contributes by defining priority areas.	+	2	2
41	Commission for the Comprehensive Management of the Río Grande de Tárcoles Basin		Coincides with the objectives of the project.	+	1	1
	e) Other					

	Stakeholders		Project Stakeholder Interests	Project's Effect on the Interests (+ 0 –)	Importance of Stakeholder for Success of Project (1)	Degree of Influence of Stakeholder over Project (2)
42	Communication methods		Dissemination of project objectives and favorable positioning.	+/-	2	5
43	National Banking System (regulated and unregulated entities)		Potential allies to meet objectives for transitioning towards a green economy.	+	1	1
44	National Forest Financing Fund	FONAFIFO	Potential allies to meet objectives for transitioning towards a green economy.	+	2	2
45	**f) Women**		Gender equity and empowerment of women through a Gender Plan.	+	5	2
46	**g) Indigenous Groups**		Implementation of a plan for indigenous groups as necessary.	+/-	5	1

(1) 1=Little/No Importance 2=Some Importance 3=Moderate Importance 4=Very Important 5=Critical player

(2) 1=Little/No Influence 2=Some influence 3=Moderate Influence 4=Significant Influence 5=Very Influential

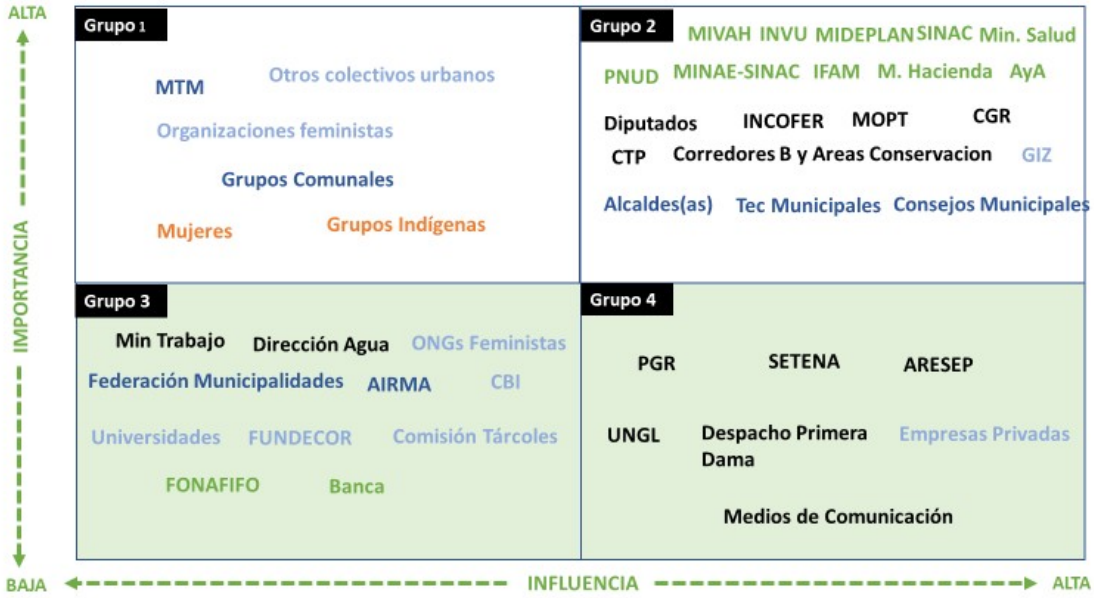
The project components consider actions that would have a national impact (such as Component 1), and others with a local impact, in the GAM, directly in the 20 selected municipalities, but could also indirectly have an impact on neighboring municipalities. It became clear from Output 2 that the development of the municipalities may have effects that are not limited locally, both due to the mobility of the population between municipalities to access labor markets, as well as to proximity of the environmental resources that some share. Additionally, several of the actions considered by the project depend on national regulations and strategic plans. These situations mean that numerous national guardianship institutions such as MOPT, INVU, SINAC, and AyA, among others, have been included in the mapping of stakeholders.

The diversity of the areas of action of the different stakeholders is due to the fact that the project also covers multiple sectors, such as: environmental restoration, waste management, mobility, urban planning, production, and employment.

The classification of the stakeholders according to the effects they may have on the interests of the project (column 5 of the table) leads to the conclusion that most of the stakeholders will have positive effects on the project and that 13 of the 48 identified could have positive or negative effects. The direction of these effects will depend on the position that the group takes, the degree to which expectations about the project are positive, and that the expected results do not conflict or are considered a risk for the group they represent. The position that the group takes can be determined by the way in which the project engages with these stakeholders from the beginning. In the stakeholder plan that is developed as the second part of this output, emphasis will be placed on approaching these stakeholders, specifically the INVU, SINAC, CPT-MOPT, MIDEPLAN, and Representatives of the Legislative Assembly, of the group of regulators; with the Ministry of Finance, the Vice Ministry of Transport, mayors, municipal councils and community groups, of the group of partners and beneficiaries; and the chambers of commerce and private companies, the media, and the group of potential allies.

The importance of the stakeholders for the project is summarized in Figure 1, which groups the stakeholders into four segments.

Figure 1. Project Transition towards an urban green economy: matrix of importance and influence of the stakeholders related to the project.



Notes: **Green**=Groups for managing and coordination, **Black**=Central government and decentralized institutions, **Blue**=Local and associated governments, **Light Blue**=Allies, **Gray**=Others, **Orange**=Women and indigenous groups.

Stakeholder **Group 1** is very important for the success of the project activities, but has little influence on the process. For example, INAMU will be instrumental for the project by providing technical advice and support in complying with the gender mainstreaming that it seeks to promote, but it does not influence its execution. Something similar happens with organized groups, it is important that they are convinced of the positive effects that the project has on the community to ensure their participation both to enhance the benefits and to generate a sustainable socioeconomic change. The stakeholders in this group require special attention to ensure that they are involved in the project and that their voices are heard.

In **Group 2**, the stakeholders are central in the planning of the process not only because they are important, but because they are also influential in the success of the actions. These are stakeholders whose alliances must be built and maintained during the project. For example, it depends on the representatives of the Legislative Assembly, as well as the Ministry of Finance, to process and approve laws that the project wishes to promote, otherwise this will not be possible. At the local level, they depend on the technical staff of the municipalities (in the environmental, mobility and gender offices) that the actions are carried out in the territory, the areas to be restored are defined, and that the gender perspective is included in the actions, among others.

In **Group 3**, the stakeholders are not central to the actions of the project and have little influence on its success or failure. They are unlikely to play a significant role during the project. For example, with regard to the Ministry of Labor, its management is related to the objectives of the project, but it is not an active participant nor would it be directly involved in implementation actions; however, it could indirectly benefit and be informed of the project's progress.

In **Group 4**, the stakeholders are not very important for the execution of the actions of the project, but they can exert a considerable influence on its success. For example, the Office of the First Lady leads the promotion of decarbonization plans and inter-institutional coordination in matters of the Electric Train; therefore, it has the possibility and capacity to guide actions that favor the support of the project and speed up coordination and planning of the actors involved. Although they do not manage directly, communication and coordination with this entity is key to obtaining support from other stakeholders. In this group it is particularly important to maintain adequate communication and in some cases coordination to avoid risks and promote the project's progress.

5. Stakeholder Engagement Program

The stakeholder involvement approach is based on the principles defined in Table 4.

Table 4: Principles that guide stakeholder participation in the project to transition towards an urban green economy, 2020.

Principle	Stakeholder participation will:
Adding Value	Be an essential means of adding value to the project.
Inclusivity	Include all relevant stakeholders.
Accessibility and Access	Be accessible and promote access to the process.
Transparency	Be based on transparency and fair access to information.
Fairness	Ensure that all stakeholders are treated in a fair and unbiased way.
Accountability	Be based on a commitment to accountability by all stakeholders.
Constructive	Seek to manage conflict and promote the public interest.
Redressing	Seek to redress inequity and injustice.
Capacitating	Seek to develop the capacity of all stakeholders.

Needs-Based	Be based on the needs of all stakeholders.
Flexible	Be designed and implemented in a flexible manner.
Rational and Coordinated	Be rationally planned and coordinated, rather than ad hoc.
Excellence	Be subject to ongoing reflection and improvement.

Stakeholder participation is directly linked to the project components, its results, and their actions as indicated in Table 5. Several of the stakeholders would be involved in more than one component, particularly those whose actions are located in the 20 municipalities that were selected.

The estimated period for project execution is from March 2021 to December 2026 (5 years), at which time it is estimated that the results would be evaluated. A preliminary evaluation would be carried out at the end of 2023, in which intermediate progress goals are established. Table 8 defines the participation periods of each of the stakeholders according to the actions.

Table 5: Stakeholders linked to each component of the Project to Transition towards an urban green economy and their results, 2020

Component	**Outputs**	**Key Stakeholders**	**Actions**	**Duration**
Project Objective: To achieve decarbonization in the Great Metropolitan Area (GAM) through fiscal and policy reform and sustainable integrated urban planning		Office of the Ministry and Vice-ministries MINAE. Climate Change Directorate	Lead the political and technical support to develop and implement an environment conducive to the project. Coordinate the implementing units.	5 years
		OTS	Implement the components, coordination with the person in charge of the project before the GEF (MINAE and with technical and political entities). Maintain fluid communication with its beneficiaries and with its strategic partners, as well as with the other two implementing agencies.	5 years
1. Evidence-based policy reform for a green economy and sustainable integrated urban planning	1.1.1 Technical and political dialogue platforms, including the Multilevel Technical Roundtable for Transportation-Oriented Development for the Metropolitan Electric Train ((MTR-MET) and the Comprehensive Management Commission of the Río Grande de Tárcoles Watershed (CMCRGT), expanded and strengthened with plans and decision-making mechanisms to transition to an inclusive green economy, sustainable and integrated urban planning, decarbonization, and to coordinate actions with other related platforms.	Office of the First Lady, Presidential Residence	Support decarbonization policies following the key role it has played in representing the train project before the representatives in the Legislative Assembly.	2 years
		MTM with municipalities, MIVAH, MOPT, Office of the First Lady, MOPT, INVU, INCOFER, UNGL, Commission for the Comprehensive Management of the Río Grande de Tárcoles Basin	Serve as a platform for dialogue and coordination between municipalities and institutions. Expanded to include more than just the 15 municipalities of the train project and sustainability, social, and gender actions.	5 years
	1.1.2 Coordinated and participatory roadmap for the transition to an inclusive green economy and sustainable and integrated urban planning, including decarbonization and greening, is defined	OTS	Coordinate analysis of political, institutional, technical, and fiscal barriers on the path to the transition to an inclusive green economy and sustainable and integrated urban planning, including	3 years

Component	**Outputs**	**Key Stakeholders**	**Actions**	**Duration**
			decarbonization. Prepare a public policy proposal. Ensure the participation of stakeholders in the discussion of the proposed public policy.	
		Municipalities, community groups, local private sector, Natural/Urban Routes, IFAM, MOPT, MINAE	Participate in discussion and build awareness among the population.	3 years
	based on an analysis of legal, political, institutional, technical, and fiscal barriers, and approved by the government through public policy	OTS with the participation of: a) AyA, Ministry of Health, ESPH and municipalities (for GAM's Water Sanitation to improve water quality), b) municipalities, MOPT, INVU and private sector (for collaborative action to promote sustainable mobility), c) municipalities, INVU and the private sector (for collaborative action to promote urban planning), d) Ministry of Finance and municipalities (for the programming of investments aimed at achieving sustainable mobility with the resources of the fuel tax), and e) biological corridors and the private sector (for the development and implementation of management plans that favor the provision of ecosystem services).	Manage 5 multisectoral and inter-institutional agreements for the transition towards a green economy and sustainable and integrated urban planning, including decarbonization (with a social and gender perspective).	3 years
		Central government (promoted by MINAE)	Approve public policy for the transition to an inclusive green economy and sustainable and integrated urban planning, including decarbonization.	3 years
	1.1.3 Sustainable and integrated regional urban renovation plan for the GAM defined, includes: a) Development of a Sustainable Regional Urban Renovation	Municipalities, INVU, MOPT, SETENA, Biological Corridors, *MUEVE* project, community groups	Develop at least 20 municipal urban renovation plans designed to consolidate the planning of public green spaces, urban green areas, IUBCs, and sustainable	5 years

Component	**Outputs**	**Key Stakeholders**	**Actions**	**Duration**
	Plan that covers the 20 prioritized municipalities, 15 of them joined together by MET and 5 within its area of influence, designed to consolidate green public spaces, green urban areas, IUBCs, and sustainable mobility (by the different modalities), integrated into the Municipal Regulatory Plans; b) Development of an urban green strategy to restore and conserve public and private green spaces for the provision of ecosystem services in the GAM, which considers citizen security and inclusion, and Urban Natural Parks (PANU) as a new management category proposed by MINAE		mobility in the municipalities of the GAM connected by the electric train. Define an urban green strategy developed to restore and conserve public and private green spaces for the provision of ecosystem services in the GAM.	
	1.1.4 National awareness-raising and communication strategy implemented builds awareness among the public and decision-makers about the objectives and desired effects of a reform in fiscal legislation that will make progress towards a green legislation, comply with the National Decarbonization Plan, and generate global environmental benefits	OTS, project communications team	Develop communication campaigns with key and differentiated messages according to population segments in which environmental and social benefits are explained on the desired effects of the legislative reforms.	4 years
		Office of the First Lady, Presidential Residence	Support decarbonization policies following the key role it has played in representing the train project before the representatives in the Legislative Assembly.	
		Community groups, municipalities, representatives of the Legislative Assembly, CGR, PGR, Nature/Urban Routes	Participate in workshops, meetings, and presentations. Build public awareness.	
	1.1.5 Legal proposal for green taxation drafted through consultation, presented and promoted for approval in the Legislative Assembly of Costa Rica	OTS, MINAE, Office of the First Lady, Presidential Residency, representatives of the Legislative Assembly, PGR	Provide technical support for the drafting of bills. Publicize the proposed bills. Present the Bills of Law in the Legislative	2 years

Component	**Outputs**	**Key Stakeholders**	**Actions**	**Duration**
			Assembly. Assess the legal feasibility of the bills.	
	1.1.6 Proposal for reforms/institutional adjustments of the environment, land use, and transportation sectors defined and aligned with the transition to a green economy and the National Decarbonization Plan, analyzed and discussed with the Executive Branch and promoted for implementation	OTS, MINAE, Office of the First Lady, Presidential Residency, representatives of the Legislative Assembly, PGR	Develop strategies and differentiated training material according to the capacities required by the institution and municipality. Promote the participation of technicians from municipalities and community groups representative of the socio-demographic diversity of the canton. Carry out training (including municipalities, community groups, municipal technical personnel, local private company, MIVAH, MINAE, INVU, MOPT, AyA, DCC, SINAC).	5 years (first year dedicated to the development of strategies)
	1.1.7 Municipal and institutional training program implemented with a gender perspective benefits 1,200 people (managers, technicians and local decision-makers, legislative advisors, officials of public institutions linked to urban development, environmental management, and land use planning	OTS, Municipalities, IFAM, Academia, private businesses, ONT	Develop strategies and differentiated training materials according to the capacities required by the institution and municipality. Promote the participation of technicians from municipalities and community groups representative of the socio-demographic diversity of the canton. Carry out training (including municipalities, community groups, municipal technical personnel, local private company, MIVAH, MINAE, INVU, MOPT, AyA, DCC, SINAC).	5 years (first year dedicated to the development of strategies)
	1.1.8 Proposals for urban indicators to the National Ecological Monitoring Program (PRONAMEC) of the National System of Conservation Areas (SINAC) adopted, along with the design of protocols for decision-making by local governments and IUBCs	OTS, municipalities, CBI integrated with PRONAMEC	Define the indicators and protocols to include within PRONAMEC to include urban monitoring.	Third year
2. Sustainable	2.1.1. Critical urban areas restored that	Municipalities, local residents, community	Analyze the vulnerability of critical urban	5 years

Component	Outputs	Key Stakeholders	Actions	Duration
	build resilience of vulnerable urban populations and contributes to the mitigation of climate change, including the following: a) identification of intervention zones and prioritization of areas to restore with native species; b) strategic alliances with stakeholders that allow the incorporation of public and private areas into the restoration and conservation process; and c) consolidation of green public spaces, green urban areas, and IUBCs	groups, private businesses, SINAC, Nature/Urban routes	areas. Identify areas of intervention and prioritize areas to be reforested, consolidating public green spaces, urban green areas, and IUBCs to create resilience of vulnerable urban populations. Create coalitions made up of public and private stakeholders that allow private areas to be incorporated into the restoration and conservation process.	
integrated low-carbon, resilient, conservation, and land restoration investments	2.1.2. Participatory plans for the management of green urban spaces by municipality, with a gender approach contribute to the conservation of the existing urban green spaces, the reduction of GHG emissions, and the implementation of the management plans of the IUBCs, to improve the impact of the restoration carried out, and to facilitate the development of an integrated urban green strategy for the GAM under Component 1 (Output 1.1.3).	Municipalities, community groups, private companies, SINAC	Prepare specific green fabric management plans per canton for the conservation and restoration of the urban green fabric, to improve connectivity, and to contribute to the definition of the GAM strategy for Component 1.	5 years
	2.1.3. Investments in sustainable mobility such as bike-friendly bridges, cycle paths, shared-use paths, pedestrian routes with green areas, and improvements in green sidewalks implemented, reduce GHG emissions and are integrated into a GAM regional vision that facilitates the interconnection of neighborhoods, municipalities, urban-natural landscapes, and an improved quality of life for their inhabitants.	Municipalities, community groups, Nature/Urban Routes, private companies	Define areas where to initiate prioritized sustainable mobility investments linked to the restoration processes of the green fabric and the definition of conservation and restoration priorities for each canton (Output 2.1.2, Component 2).	3 years

Component	**Outputs**	**Key Stakeholders**	**Actions**	**Duration**
	2.1.4. Pilot experience to improve water quality in the upper portion of two polluted urban watersheds within the GAM (Torres and Ma. Aguilar rivers) implemented, based on the "Clean Rivers: National Strategy for the Recovery of Urban Watersheds 2020-2030," includes the restoration of river protection areas and the control of irregular wastewater and solid waste discharges and promotes connectivity to the sanitary sewer system	CBI Río Torres and others, Clean Rivers, SINAC	Design and implement a pilot for improved water quality, based on the Clean Rivers strategy of the GAM.	5 years
3. Innovative financing and scaling-up	3.1.1 Economic analyses performed facilitate the development of business models under different innovative business and financing schemes to achieve decarbonization and the delivery of global environmental benefits in the GAM, including an analysis of the Business-as-Usual Scenario versus the project's reformed scenario for the management of solid waste (e.g., plastics and organic waste), sewage, fecal sludge, and active mobility	Gender specialists, municipalities, local businesses	Recruit technical specialists and develop analysis of usual business scenarios (Business-as-Usual Scenario) versus reformed scenarios for solid waste management and promotion of a circular economy that includes actions to increase the employment rates of women in the sector. Identify critical points of ecosystems of the GAM for investment in ecosystem assets and economic valuation in line with the System of Environmental and Economic Accounts (SEEA).	5 years
	3.1.2 Improved efficiency of current economic instruments and new municipal financing instruments (assessment of property value, improved mechanisms for charging for parking, adjustments for public works in the real estate tax, financing options for solid waste and wastewater management, charging for vehicular congestion, special contributions for investing in urban renovation and issuing green bonds)	Community groups, municipalities, local businesses, CGR, PGR, UNGL, MTM, municipal councils	Develop cost-benefit analysis of the new municipal financial instruments, including a legal analysis, an economic valuation study of the improvements in environmental quality generated, and social benefits with a gender perspective. Design and support the implementation of new inclusive municipal financial instruments.	5 years

Component	**Outputs**	**Key Stakeholders**	**Actions**	**Duration**
	implemented with gender awareness, promotes the following: a) Maintenance and restoration of urban ecosystem services (e.g., groundwater recharge, restoration of connectivity in IUBCs, reduced heat island effect, food provision, pollination, and reduced water runoff); b) Circular economy business models and/or industrial symbiosis with a gender focus for sound solid waste management, fecal sludge management and wastewater, management and reuse, includes financing through the banking system under favorable conditions (favorable payment terms, grace periods, lower interest rates); c) New ventures that favor micro- and small businesses, as well as community associative arrangements, for the use and transformation of solid (plastic and organic) and liquid waste, as well as sustainable mobility.			
	3.1.3 At least three bio-business models formed from public-private partnerships (PPPs), micro and small businesses, and associations at the community level with a gender focus established within the GAM support inclusive investments: maintenance of urban ecosystem services and the restoration of IUBCs, the best management of solid waste (identified as part of the Waste Nationally Appropriate Mitigation Action [NAMA]) and wastewater, fecal sludge, and active	Community groups, municipalities, private businesses, Nature/Urban routes	Coordinate the development of at least three PPPs that follow commercial circular economy and/or industrial symbiosis with a gender approach for solid waste management, management of fecal sludge and wastewater, management and reuse, and the achievement of decarbonization. Support inclusive investments for the maintenance of urban ecosystem services and the restoration of CBI, the good management of solid waste, fecal sludge and wastewater, and the reduction of	3 years

Component	**Outputs**	**Key Stakeholders**	**Actions**	**Duration**
	mobility linked to the Electric Train		emissions.	
	3.1.4 Implemented technical assistance program for companies that work in bio-businesses facilitates access to markets and replicability at scale.	Community groups, municipalities, private businesses	Participate/benefit from the technical assistance program	2 years
4. Advocacy, Knowledge Exchange, Capacity Building, and Partnerships	4.1.1 Information and knowledge exchange platform established at the national level increases awareness about sustainable integrated urban planning, transitioning to an urban green economy, and gender aspects, among other topics	OTS, Sustainable Cities Impact Program (SCIP)	Promote participation in professional platforms and knowledge networks for the exchange of information.	5 years (programming the first year)
	4.1.2 A learning and communication strategy between cities implemented through the SCIP GP and other existing global networks, to disseminate international methods and lessons learned regarding sustainable cities	OTS, professionals, technicians and professionals, municipal councils, municipalities, private companies, local decision-makers, academia	Promote the systematization of information, documentation, and monitoring of project progress. Develop strategies for disseminating materials, documenting experiences, and training.	5 years
	4.1.3 Project Gender Action Plan, Stakeholder Engagement Plan, and other management plans related to the social and environmental safeguards implemented	OTS, municipalities, women's and social affairs offices of the municipalities, INAMU, community groups, organized women's groups, gender specialists	Implement and follow up on the Gender Action Plan Follow up on the Stakeholder Action Plan.	5 years
5. Monitoring and Evaluation (M&E)	5.1.1 Monitoring and Evaluation (M&E) plan implemented.	PMU, Consultants	Socialize the project's Monitoring and Evaluation plan. Implement the project's Monitoring and Evaluation plan.	5 years (with emphasis on monitoring at the end of 2023 and the end of 2026)

Communication

The project will develop a communication strategy as part of this Comprehensive Stakeholder Engagement Plan. This strategy will be adapted to the project implementation needs and will consider feedback from the stakeholders and the grievance mechanism. Given the diversity of the project stakeholders, due to the multiple objectives and expected impact plans (national and local, in 20 different municipalities), the communications strategy will use informational formats that are appropriate in each case. The objective of the diversification and segmentation of the strategies is to contribute to the understanding and optimal appropriation of the aims of the project by the stakeholders. Table 6 presents the different communication formats and strategies by stakeholder in order according to the degree of focus of the communication medium and the sophistication of the message.

Communication should pay particular attention to the messages for stakeholders that were identified in the mapping that could have positive or negative effects on the development of the project. The stakeholders identified in this situation were the following: INVU, SINAC, CPT-MOPT, MIDEPLAN, and Representatives of the Legislative Assembly in the group of regulators; in the group of partners and beneficiaries to the Ministry of Finance, the Vice Ministry of Transport, mayors, Municipal Councils and community groups; and in the group of potential allies to business chambers and private companies, and the media. The type of influence that these stakeholders would have on the project could be determined according to its expectations and perception. Therefore, the communication strategy should be focused to offer precise and clear information on the benefits of the project and should promote permanent dialogue.

Communication with stakeholders (with the exception of representatives and the media) has been taking place since the project design stage (PPG), mainly through workshops, presentations, and surveys, which has opened up spaces for coordination. For example, some of the PPG consultants already have a standing invitation to each session of the MTM.

The communication channels initiated during the PPG should be used to provide continuity, as well as facilitate and expedite the exchange of information once the project is implemented. After the first contacts it is important to keep the interest current.

Table 6: Formats for communication with the stakeholders

Communication that is less directed, using simpler and shortened language				**More directed, technical, and political communication**			
Stakeholder/Communication Format	**Mass communication through traditional means (Radio, TV, newspapers)**	**Project website and social networks**	**Printed and digital materials designed in the form of newsletters or short announcements to circulate directly with stakeholders**	**Group presentations and workshops**	**Technical documents and proposals with indicators**	**Progress reports and monitoring**	**Meetings and personal communications**
a) Coordination and management groups							
MINAE				X	X	X	X
OTS				X	X	X	X
M. Finance		X		X	X	X	X
DCC		X		X	X		X
b) Central government and decentralized institutions							
INVU		X	X	X	X		X
SINAC-Biological Corridors		X	X	X	X		X
SINAC-Conservation Areas		X	X	X	X		X
MINAE. Water Division		X	X	X	X		X
CTP. MOPT		X	X	X	X	X	X
Representatives	X	X	X	X	X		X
Ministry of Health (solid waste)		X	X	X	X		X
CGR				X	X	X	X
PGR				X	X	X	X
SETENA				X	X	X	X
ARESEP		X			X		
MIDEPLAN	X	X	X	X	X		X
INCOFER		X		X	X		X
MOPT		X		X	X		X

Communication that is less directed, using simpler and shortened language				More directed, technical, and political communication			
Stakeholder/Communication Format	**Mass communication through traditional means (Radio, TV, newspapers)**	**Project website and social networks**	**Printed and digital materials designed in the form of newsletters or short announcements to circulate directly with stakeholders**	**Group presentations and workshops**	**Technical documents and proposals with indicators**	**Progress reports and monitoring**	**Meetings and personal communications**
MIVAH		X		X	X		X
AyA		X		X	X		X
INAMU		X	X	X	X		X
M. Labor	X	X					
c) Local and associated governments							
Municipalities (mayors)	X	X	X	X	X	X	X
Municipal technical staff	X	X	X	X	X	X	X
Municipal councils	X	X	X	X			
Federation of Municipalities (of each region)	X	X					
UNGL and ANAI		X		X	X		X
IFAM				X	X		
Residents	X	X	X	X			
d) Allies							
MTM		X	X	X	X	X	X
GIZ		X		X	X		X
First Lady's Office				X	X	X	X
Other urban collectives (Nature/Urban Routes)				X	X	X	X
Other CBI projects				X	X		X
Feminist organizations	X	X	X	X	X		
Women's NGOs	X	X	X	X	X		

Communication that is less directed, using simpler and shortened language					More directed, technical, and political communication		
Stakeholder/Communication Format	**Mass communication through traditional means (Radio, TV, newspapers)**	**Project website and social networks**	**Printed and digital materials designed in the form of newsletters or short announcements to circulate directly with stakeholders**	**Group presentations and workshops**	**Technical documents and proposals with indicators**	**Progress reports and monitoring**	**Meetings and personal communications**
Business chambers and private companies (micro, small, medium and large)	X	X	X	X	X		X
Universities/Academia		X		X	X	X	X
AIRMA	X	X					
FUNDECOR	X	X		X			
Commission for the Comprehensive Management of the Río Grande de Tárcoles Basin	X	X					
e) Others							
Communication methods	X	X	X	X			
National banking system	X	X		X			
FONAFIFO	X	X		X			
f) Women	X	X	X	X			X
g) Indigenous Groups				X	X		X

Methods to involve the stakeholders

The process of consultation and creation of agreements with the stakeholders took place actively during the PPG process, and will be continued throughout the project cycle. To achieve this, it is considered appropriate to use various mechanisms depending on the degree of involvement required of the stakeholders and their role in the project. These mechanisms are described below, arranged according to those that are of a more consultative and informative nature and others that are more participatory. These methods may be converted into virtual sessions, depending on how the COVID 19 pandemic evolves:

General Workshops: These workshops include project inception and general workshops, which will be held to present the official project document and serve as the direct contact for the stakeholders and the public. The inception workshop is the official project kickoff and presents the project work plan to the stakeholders. This workshop is the demonstration of commitment with the project before the stakeholders begin their activities set forth in the Comprehensive Stakeholder Participation Plan.

Interviews: Interviews allow consultations and more direct dialogues with specific stakeholders to receive feedback on specific aspects of the project. These can be done informally or following semi-structured guides with clear objectives, by phone, video calls, or in person. This mechanism is agile to receive feedback and monitor progress in the implementation of the Stakeholder Plan. The analysis of information derived from the interviews is necessarily qualitative; in the case of requiring the quantification of responses, it will be more convenient to use surveys with structured questions.

Strategic Meetings: Strategic meetings are held with key stakeholders and on more complex issues such as: making decisions, receiving official or expert technical criteria, acquiring commitments, and defining collaboration agreements. In this type of meeting, the participants are carefully selected, for example: representatives and decision-makers of ministries, local governments, public or private entities, and technical specialists. This type of meeting is recommended for the development of inter-institutional and multisectoral agreements, discussion of Bills of Law, and others such as those that must be carried out in Components 1 and 3.

Consultation with Experts: Consultations with experts are useful to address specific needs. They can be done through interviews, focus groups, or workshops. This type of consultation includes issues of sustainability, urban planning, green financing, circular economy, mobility, but also local economic reactivation in the face of the Covid-19 crisis, the incorporation of a gender perspective into project actions. They also allow optimization of the use of resources to favor the conditions of vulnerable social groups or mitigate possible adverse effects.

Specific Workshops: The specific workshops focus on topics and are limited in the type of participants; this is used especially for the creation of capacities and specific technical support.

Field Visits: Field visits are obvious for components such as Component 2, which is related to the definition and intervention of public spaces. Actions that involve urban design, mobility, and business options to promote a public space are also key in defining the green economy, and the incorporation of local companies and people from the community to ensure social inclusion.

Exchange of experiences and socialization processes: This method is valuable for Component 4, but also for other components for which the exchange of experiences will favor implementation as experience accumulates.

Table 7: Methods of involvement and consultation with stakeholders

More consultative and informative methods ←				**More participatory methods for contribution to the project→**			
Stakeholder/ Method of Involvement	**General Workshops**	**Interviews**	**Strategic Meetings**	**Consultations with Experts**	**Specific Workshops (work groups and plenary sessions)**	**Field Visits**	**Information Exchanges**
a) Coordination and management groups							
MINAE		X	X	X	X		
OTS	X	X	X	X	X	X	X

More consultative and informative methods ←				More participatory methods for contribution to the project→			
Stakeholder/ Method of Involvement	**General Workshops**	**Interviews**	**Strategic Meetings**	**Consultations with Experts**	**Specific Workshops (work groups and plenary sessions)**	**Field Visits**	**Information Exchanges**
M. Finance		X	X	X			
MIDEPLAN	X		X	X	X	X	X
IFAM	X		X	X	X	X	X
MIVAH	X		X	X	X	X	X
INVU	X		X	X	X	X	X
AyA	X		X	X	X	X	X
SINAC	X		X	X	X	X	X
b) Central government and decentralized institutions							
INVU		X	X	X			
DCC		X	X	X			
SINAC-Biological Corridors		X	X	X			
SINAC-Conservation Areas		X	X	X			
MINAE. Water Division		X	X	X			
CTP. MOPT		X	X	X			
Representatives			X				
Ministry of Health (solid waste)		X	X	X			
CGR			X	X			
PGR			X	X			
SETENA			X	X			
ARESEP				X			
INCOFER		X	X	X			
MOPT		X	X	X			
AyA		X	X	X			
INAMU			X	X			X
M. Labor		X					
c) Local and associated governments							
Municipalities (mayors)			X				
Municipal technical staff	X	X	X	X	X	X	X
Municipal councils			X			X	X
Federation of Municipalities (of each region)							X
UNGL and ANAI			X		X		
IFAM	X		X	X	X		X
Residents and community groups					X	X	X
d) Allies							

More consultative and informative methods ←				More participatory methods for contribution to the project→			
Stakeholder/ Method of Involvement	**General Workshops**	**Interviews**	**Strategic Meetings**	**Consultations with Experts**	**Specific Workshops (work groups and plenary sessions)**	**Field Visits**	**Information Exchanges**
MTM			X		X		X
GIZ	X	X	X	X	X		X
First Lady's Office			X	X			
Other urban collectives			X				X
Other IUBC projects		X					
Feminist organizations	X	X	X	X	X	X	X
Women's NGOs		X		X			X
Business chambers and private companies		X	X				X
Universities/Academia				X			
AIRMA		X		X			
FUNDECOR		X		X			
Commission for the Comprehensive Management of the Río Grande de Tárcoles Basin		X		X			
e) Others							
Communication methods			X				X
National banking system			X				X
FONAFIFO		X		X			
f) Women	X	X	X	X	X	X	X
g) Indigenous Groups			X	X	X		

The Project Coordination Unit (PCU) will be in charge of internal governance and general coordination, as well as monitoring the implementation of the project. The project has three implementing agencies, which, depending on the component for which it is responsible, must implement the Comprehensive Stakeholders Plan, the Indigenous Peoples Plan and the Gender Action Plan, as well as the guidelines of the Safeguard and Risk Mitigation Plans. The Project Director will receive feedback from the Project Advisory Committee, will promote the participation of stakeholders, and will mediate conflicts that may arise between them.

Other mechanisms to coordinate and involve project stakeholders will be the following:

Thematic Management Subcommittee

A technical committee will be established to support the management decisions of the OTS. This committee, as described in the management arrangements section, will be subdivided into thematic subcommittees. Each will be led by a public sector institution with the relevant mandate with participation from key stakeholders engaged with specific outputs as described in Table 8 below. Through bimonthly meetings, the subcommittees will help ensure direct government involvement of project management decisions by OTS and ensure alignment of actions with relevant policies and strategies.

Table 8. Thematic Subcommittees.

Thematic Subcommittee	Lead institution	Participants	Related Outputs

Transport	Ministry of Housing and Human Settlement (MIVAH),	MOPT, Office of the First Lady, MOPT, INVU, INCOFER, UNGL, Commission for the Comprehensive Management of the Río Grande de Tárcoles Basin	1.1.1, 2.1.3
Water and waste water management	Costa Rican Institute of Aqueducts and Sewers (AyA))	MINAE, Aliarse, ANAI,	1.1.1, 2.1.4
Green areas restoration	SINAC – MINAE	Interurban Biological Corridors of Maria Aguilar, Rio Torres, Comprehensive Management of the Río Grande de Tárcoles Basin, FUNDECOR	1.1.8, 2.1.1, 2.1.2
Legal & Regulatory reforms	Ministry of Planning and Economic Policy (Steering Committee)	Representatives from the Legislative Assembly from different political parties, Ministry of Finance, MINAE, ANAI, AyA, UCCAEP	1.1.6, 1.1.4, 1.1.5, 3.1.1
Municipal Finance	Institute of Municipal Promotion and Advisory (IFAM).	ANAI, IFAM, Ministry of Finance, Ministry of Health, MINAE	1.1.2
Solid Waste management	Ministry of Health	MINAE, Aliarse, Interurban Biological Corridors of Maria Aguilar, Rio Torres, Comprehensive Management of the Río Grande de Tárcoles Basin, Ministry of Education, CONARE, RED-Reciclaje, IFAM, IFAM, UNGL	3.1.2, 3.1.3
Urban renovation Plan and urban indicators	National Institute for Housing and Urbanism (INVU) (general director of Urbanism	MIVAH, ANAI, National Federated College of Architects and Engineers, Universities (Schools and Architecture and urbanism)	1.1.3, 1.1.7, 1.1.8

Information management: Information management will require the development of a communication plan with stakeholders. This mechanism will be led by a professional communications person who must ensure the integration of the gender perspective into all the communication materials produced. Fluid and transparent communication between implementing agencies, the PCU, and the stakeholders will be promoted through this mechanism.

Multi-stakeholder platforms: The project will promote the strengthening of the technical and political dialogue platform created for the Train project, MTM, which brings together 15 municipalities (through which the train passes), and all relevant stakeholders for the project related to decarbonization and mobility (public institutions such as INCOFER, MOPT, MIVAH, INVU, UNGL, among others). The platform will be expanded so that five municipalities of the project through which the train does not pass may be included, as well as stakeholders from the environmental and green economy area that integrate the gender perspective (with MINAE, Women's and Social Affairs Offices, among others). This will become a space for dialogue, collaboration, and coordination of inter-institutional and intersectoral actions.

Gender action plan: This mechanism will help reduce gender gaps. It will include specific actions focused on counteracting inequality and inequality, with a specific budget dedicated to providing the conditions so that men and women, as well as young people, can effectively participate in the actions of the project, taking into account

their conditions, knowledge, and particular contexts. The gender plan will propose the integration of the gender approach into all activities.

Grievance mechanism: This will be established so that the stakeholders have knowledge of its existence and may use it as they need to. The Project Manager will be in charge of documenting and managing grievances. The mechanism will be located in a place that is easy for different people to access and will be disseminated so that the stakeholders are aware about it and can make use of it.

IPP: The Indigenous Participation Plan (IPP) consists of the creation of an Indigenous Consultative Commission (CCPI), which, together with the UTCI, will evaluate the proposed draft laws prepared within the framework of the project to determine if the mechanism of consultation and Free, Prior, and Informed Consent (FPIC) is required to be applied. If required, the existing regulations in the country will be used.

SESP tools and risk mitigation plans: The risk assessment carried out as part of the project development defined the mechanisms for risk reduction. The project is considered to be of moderate risk as all the risks can be avoided or mitigated if the measures provided for in the SESP are considered. This will be updated during the implementation of the project and the risks will be monitored periodically by the project manager.

Decentralized M&E: This process will include the participation of all the stakeholders involved in the project, including women, indigenous peoples, and other vulnerable groups. The UNDP and GEF guidelines will be used to guide the M&E process; the stakeholders will participate fully and effectively in reporting on the basic GEF-7 indicators established for the project.

Participation of women and other vulnerable social groups

The consideration of the gender perspective in all project activities seeks to promote the reduction of the identified gaps. Specific activities contained in the Gender Action Plan will promote the equitable distribution of benefits and the full and effective participation of women in the project. Additionally, the plan seeks to create capacities to respond to situations of inequity in which men and women live together. Strategic allies to promote women's participation at both the local and national levels will be the Women's Offices (and Social Affairs Offices) of the 20 municipalities and the National Institute for Women (INAMU). The former act locally and in these areas little coordination has been identified with other municipal management areas (such as those that work on environmental issues, urban planning, and mobility). This is why the project provides a valuable opportunity to promote an inclusive and coordinated organizational culture within local governments to improve the capacities to mainstream the gender perspective into this and other projects. INAMU, for its part, provides important links with women's organizations and women's offices in public institutions, and provides experience and technical advice in relation to the inclusion of the gender perspective. Additionally, INAMU is a leading stakeholder at the national level on the subject.

Given the context in which the project will be developed, during a period still undergoing effects of the Covid-19 pandemic that is causing economic, social, and health crises at the national and local levels, as well as consequences that are still not known in terms of their magnitude, the Gender Action Plan must be periodically reviewed. This review should incorporate the stakeholders, integrating the points of view of women and other vulnerable groups. The consultations should be coordinated with local governments and representatives of community groups. In the Gender Action Plan, the results of the first consultations carried out at the beginning of the pandemic were documented; thus, they were already incorporating the particularities of this unprecedented context.

The conflict resolution mechanisms (Item 8.9 of this section) will be key to channeling the opinions of the stakeholders as to the way in which participation is strengthened (or weakened) so that women and vulnerable groups are duly represented and considered in the project activities. Additionally, the participation of young people and the elderly in the processes will be sought.

Activities that require FPIC

In the event that FPIC and consultation with indigenous peoples is required, Costa Rican standards for such a purpose will be used. In 2018, the General Mechanism for Consultation with Indigenous Peoples was enacted through Executive Decree No. 40932-MP-MJP. This mechanism establishes the creation of a Technical Unit for Indigenous

Consultation (UTCI) attached to the Ministry of Justice and Peace, which is in charge of the technical and financial management of the consultation processes and the constitution of Territorial Authorities of Indigenous Consultation.

The geographical area of the project does not include any indigenous territory or any community that defines itself as such; therefore, its activities do not interfere with indigenous territorial rights or lands claimed by their peoples. However, the proposals for legal reform contemplated by the project could eventually affect territorial governance rights if regulations restrict self-determination and proper management of natural resources within the territories. Additionally, regulations on land use and urban planning could reach indigenous territories and communities. In these situations, consultation and FPIC would be carried out. Those responsible for evaluating the need to activate the consultation mechanisms will be the UTCI and the CCPI after reviewing the characteristics of the proposed laws promoted by the project. The project will be in charge of convening the CCPI and the UTCI each time. The CCPI will be made up of a group of notable indigenous people with experience and knowledge about indigenous rights and environmental and legal issues.

As bills have not yet been drafted, it is not possible to anticipate their impact on indigenous peoples, territories, and communities; however, in the analysis of the actions contemplated by the project, the emergence of negative impacts was considered unlikely.

6. Schedule

Table 9 presents the schedule for the Comprehensive Stakeholder Plan by semester during the 5 years of project implementation and monitoring beginning in March 2021.

Table 9: Schedule of the Comprehensive Stakeholder Plan by Semester (5 years+1 preparatory)

Year/Semester	**2020**		**2021**		**2022**		**2023**		**2024**		**2025**		**2026**
	Preparatory		**March**										**March**
Activity	**1**	**2**	**3 Trim.**	**4**	**5**	**6**	**7**	**8**	**9**	**10**	**11**	**12**	**13 Trim.**
Inception workshop	X												
Technical studies	X	X											
Stakeholder consultations	X	X											
ProDoc development		X											
Validation workshop including the Communication Strategy and the Comprehensive Stakeholder Participation Plan		X											
Submission of final results		X											
Implementation of conflict resolution mechanisms			X										
Multisectoral and inter-institutional agreements (Comp. 1)			X	X	X	X	X	X					
Design of proposals and legislative reforms (Comp. 1)			X	X	X	X	X	X					
Strengthening of municipal and institutional capacities (Comp. 1)			X	X	X	X	X	X	X	X	X	X	X
Identification of green urban areas for restoration (Comp. 2)			X										
Restoration of green urban areas (Comp. 2)				X	X	X	X	X	X	X	X	X	X
Implementation of the pilot for monitoring and control of irregular wastewater discharges (Comp. 2)				X	X	X	X	X	X	X	X	X	X

Year/Semester	2020 Preparatory		2021 March			2022		2023		2024		2025	2026 March
Activity	**1**	**2**	**3 Trim.**	**4**	**5**	**6**	**7**	**8**	**9**	**10**	**11**	**12**	**13 Trim.**
Development of economic analysis to drive innovative business models (Comp. 3)			X	X	X	X	X	X	X	X	X	X	X
Implementation of new municipal financial instruments (Comp. 3)				X	X	X	X	X	X	X	X	X	X
Establishment of four public-private partnerships with a gender focus in the municipalities (Comp. 3)			X	X	X	X	X	X					
Information exchange and training of urban professionals in Costa Rica, as well as municipal technicians and local decision-makers, among others (Comp. 4)				X	X	X	X	X	X	X	X	X	X
Supervision of the SESP				X		X		X		X		X	X
Supervision of the Gender Plan				X		X		X		X		X	X
Monitoring of project results with stakeholder participation				X		X		X		X		X	X
Systematization and documentation of the information about the project including, testimonies and perceptions of the stakeholders (Comp. 4)		X		X		X		X		X		X	X
Comprehensive Stakeholder Plan Monitoring			X	X	X	X	X	X	X	X	X	X	X

Note: The first semester will actually be a quarter because the project begins its implementation in March 2021; the same will occur in 2026 (closing in March).

7. Resources and Responsibilities

The project manager will be responsible for monitoring the implementation of the Comprehensive Stakeholder Plan and for achieving the plan's objectives. This person will coordinate with the implementing teams of the plan's activities, direct the conflict resolution mechanisms, monitor progress, and prevent and manage possible risks for the satisfactory progress of the objectives. The team responsible for the implementation of the plan will include people with the following functions:

Project direction

Technical officials (2)

Specialist in monitoring and evaluation and information management

Specialist in governance

Financial/administrative assistant

The estimated budget for some of the activities of the Comprehensive Stakeholder Plan will be included in project Component 4. These are technical assistance, capacity building, information management, communication activities and reports, among others. However, specific activities of the Comprehensive Stakeholder Plan that should be considered are those specified in Table 10.

Table 10: Comprehensive Stakeholder Plan Budget

Item	Cost US$
Inception workshop	Covered under the M&E Plan
Communication and socialization materials	9,500
Local workshops with community groups and municipal officials in the municipalities	9,786
CCPI and UTCI meetings	Covered under the ESMF/IPPF
Implementation of conflict resolution mechanisms	2,330
Systematization and documentation of lessons learned	Covered by the salary of the Environmental and Social Safeguard Specialist of the Project (Component 4
TOTAL	**21,616**

8. Grievance Mechanism

In line with the Environmental and Social Management Framework (ESMF), a mechanism to address and resolve complaints or grievances that arise during the project implementation phase will also be made available.

Interested stakeholders may raise a grievance at any time to the Project Management Office, the Executing Agency, the Implementing Agency (UNDP) or the GEF. A Unit responsible for the review of Social and Environmental Compliance will be created to respond to eventual complaints about non-compliance of the Project with the applicable environmental and social policies. The mechanism will be available to all stakeholders. The Unit will investigate concerns about non-compliance with UNDP Social and Environmental Standards and Assessment Procedure and recommend measures to address and resolve complaints. The response mechanism will aim to jointly address complaints and disputes among those involved.

Finally, the affected or injured party will have the option to file the complaint using UNDP's Stakeholder Response Mechanism (SRM; www.undp.org/srm). Access to UNDP's Social and Environmental Compliance Unit ("SECU") is also available (www.undp.org/secu), or the complainant may also use another national or international mechanism.

9. Monitoring and Reporting

The activities around stakeholder engagement will be integrated into the general monitoring and evaluation plan of the project, which will be under the purview of an M&E specialist, who will in turn coordinate with the Project Manager. The progress made on the Comprehensive Stakeholder Participation Plan will be reported in the official project M&E reports.

Project stakeholders (including direct beneficiaries and potential affected people) will be included in the participatory monitoring and evaluation processes. The project manager and the specialist in governance and conflict resolution will receive feedback on the progress of the Comprehensive Stakeholder Plan. The results of the plan's activities will be shared among the stakeholders through newsletters and informative notes that will be posted on the project's website, as well as through local links to community groups.

Annex 9: Environmental Social Management Framework (ESMF)

Included as a separate document.

Annex 10: Gender Analysis and Gender Action Plan

1. Introduction

The objective of the Gender Action Plan (GAP) is to establish the necessary considerations for incorporating the gender perspective into project development. These considerations are based on an analysis of the context, which includes the regulatory framework and the characteristics of the situation of women in the prioritized territory. The analysis provides the inputs to develop a GAP with specific indicators on how the project contributes to the equity and empowerment of women.

This GAP has been prepared at a time during which two notable aspects are occurring: The first is that inclusion of the gender perspective in policies and projects that have environmental, sustainable transport, and urban renewal objectives in Costa Rica has been gaining importance, after historically this approach was virtually ignored (MINAE, SINAC, CONAGEBIO, FONAFIFO, 2018; MiTransporte, 2019; Moves, 2020).

The second is that the presence of the COVID-19 pandemic in Costa Rica since March 2020 is causing unprecedented health and socioeconomic effects on the country, which is similar to the crisis of the 1980s when a quarantine decreed so that the population would avoid infection and the consequent interruption of productive activities. Recognizing that women in Costa Rica were already at a social and economic disadvantage, it is possible to estimate that the economic and labor impact of the crisis will be particularly severe on this sector of the population. The reasons that justify this expectation are the following: prior to the pandemic, the participation of women in the labor market was relatively low, as they dedicated up to almost three times more of their time to family and home responsibilities compared to men; a high percentage of women who worked, especially those with a lower educational level, did so in the sectors most affected by COVID-19 (such as retail trade, hotels, restaurants, tourism-related activities and cleaning and domestic care services paid); women were overrepresented among workers in informal activities without social protection or insurance; and women were more likely to live in poverty and in households with dependent people (children and the elderly) than men (ENAHO, 2019; IDB, 2020; OECD, 2020). These disadvantages include complications that could be extended in times of COVID-19, such as domestic violence and teenage girls dropping out of school when facing difficulties in continuing their education virtually.

In the Costa Rican labor market, there is evidence that since March women have proportionally reduced their participation more than men and are facing more unemployment. Additionally, the low banking status of working women has complicated their management of the subsidy granted by the Ministry of Labor and Social Security to help people affected by job loss, reduced working hours, or suspension of employment contract or independent work, to a greater extent than men.

The moment in which this PPG and the GAP are being developed enables the project to serve as an opportunity to contribute to social transformation and the strengthening of women's role in the urban economy under new conditions both at the municipality and national levels.

The gender analysis during the preparatory phase of the project (PPG) was conducted based on information and indicators available at the country, regional, and municipality levels made available through surveys and publications and through qualitative and quantitative consultations. During the PPG, the stakeholders contacted included women's organizations in the municipalities, leaders of community groups, gender specialists, representatives of the women's offices of the municipalities, the National Institute of Women (INAMU), related government institutions, municipal representatives of urban planning and environment, private companies, and representatives of other projects that include the gender perspective, to provide support to the project strategy in a way that is gender-responsive.

In Costa Rica, women face important challenges in implementing the principles of gender and equality in the thematic and territorial areas in which the project will be implemented. The Gender Development Index (GDI) of Costa Rica in 2018 was 0.977 (which is the relationship between the values of the Human Development Index of women and men, 0.78 and 0.88 respectively). In Costa Rica, women hold 45.6% of the seats in parliament, and their participation in the labor market prior to the pandemic was 44.6% compared to 71.7% for men, despite the fact that their average educational level is higher. 43% of adult women have completed secondary education, compared to 40% for men, and women accumulate more years of education (ENAHO, 2019 and UNDP, 2019). The sexual division

of labor has been an argument to justify the differentiation of roles imposed for men and women in society, creating segmented spheres of action.

Costa Rican society, like other societies, has mainly assigned to women the tasks of caring for the home and family (the private sphere and work inside the home). In Costa Rica men are mainly charged with the tasks that define the destiny of the community, having roles in decision-making about public spaces, politics, production, and the economy (the public sphere and work outside the home). Recognizing the inequalities that are generated by the disadvantaged role of women, the GEF projects aim to achieve global environmental benefits by integrating gender equity and social inclusion objectives to ensure equitable sharing of the benefits from the project's interventions.

2. Key gender concepts for the project

Gender is defined as a set of social, cultural, political, psychological, legal, and economic characteristics assigned to people differentially according to their sex. This definition highlights the differences and inequities between men and women due to social and cultural reasons. The differences are manifested through roles (reproductive, productive, and community management) that make each person, according to their gender, play a role in society with different responsibilities, needs, and priorities, as well as access to management, use, and control of differentiated resources. Gender characteristics have varied throughout history and refer to behaviors and what the culture has treated as female or male attributes (GEF, 2017).

Gender analysis is a critical assessment of how differences in gender norms, roles, power structures, activities, needs, opportunities, and rights affect men and women in a given situation or context. It includes the collection and analysis of sex-disaggregated data to understand differences and gaps, determine gender-differentiated impacts and risks, identify measures to avoid adverse impacts, and discover and act upon opportunities to address relevant gaps and inequalities based on the activities that form the project. Gender equity means equal rights, responsibilities, and opportunities for women and men. For its part, gender mainstreaming means the process of assessing the implications for women and men of any planned action, including legislation, policies, or programs. It is a way of making the concerns and experiences of women and men an integral dimension of the design, implementation, monitoring, and evaluation of policies and programs so that women and men benefit equally, and inequalities are not perpetuated.

With regard to the urban green economy to which the project refers, this includes actions that are related to the environment, urban planning, sustainable transport, and the circular economy. The **green economy** refers to an economy that leads to the improved well-being of people and the reduction of inequalities in the long term, while avoiding exposing future generations to significant environmental risks and ecological shortages (UN-DESA, UNEP, UNCTAD, 2011). The **circular economy** is a system for resource use that seeks to minimize production to the bare minimum, putting stake in the reuse of elements that, due to their properties, cannot return to the environment without damaging it. The circular economy advocates using as much biodegradable materials as possible in the manufacture of consumer goods, so that they can return to nature without causing environmental damage by exhausting their useful life (Rodríguez, 2020).

3. Gender operational framework

International context

Gender in general

The main international instrument that frames the gender perspective is the Universal Declaration of Human Rights established in 1948 and ratified by the United Nations system and by the signatory countries. However, the declaration on the inalienable rights of women and girls was made explicit in 1993. In 1979, the Convention on the Elimination of all forms of Discrimination against Women was created, which reinforces the importance of implementing "affirmative actions" to promote changes that accelerate equal opportunities between men and women. In addition, starting in the 21st century, a series of global objectives to eradicate poverty, protect the environment, and ensure the prosperity of the population, shapes the sustainable development agenda adopted in September 2015 with 17 Sustainable Development Goals (SDGs), which looked towards gender equality. Gender equity is considered a goal in itself and its role is strengthened to achieve the other 16 goals.

Gender and the environment

Specifically in the environmental area, the main international agreements that incorporate the gender perspective are as follows:

Beijing Platform for Action, 1995

United Nations Framework Convention on Climate Change (UNFCCC), after 2009

Lima Work Program on Gender adopted in 2014

2016 Paris Agreement, demanded adaptation actions with a gender perspective. Other conventions with specific mandates on gender include the Gender Action Plan of the Convention on Biodiversity (CBD) and Resolution 2005/31 of the United Nations Economic and Social Council (ECOSOC) (GEF, 2016)

The GEF Council approved a new Policy on Gender Equality in order to guarantee gender equality and promote the empowerment of women in its operations in 2017

Despite the existence of these agreements, the incorporation of the gender perspective into middle-income and developing countries is relatively low and recent.

Gender, urban planning, waste management, and transportation

Cities are incubators for social change and have the ability to drive improvements in gender equity. By addressing elements of the built environment that socially and economically exclude women, girls, and gender minorities, there is opportunity to accelerate changes in gender equity in various areas of development. A city that works well for everyone of different ages and abilities supports their economic and social inclusion. This occurs when the city is: a) accessible; everyone can access the public space freely, easily, and comfortably to use the spaces and services offered; b) connected; everyone can move around the city safely, easily, and affordably to access key opportunities and services; c) safe; all people are free from real and perceived dangers, both in public and in private; d) healthy; all people have the opportunity to lead an active lifestyle, free of risks to environmental health; e) weather resistant; everyone has the tools and social networks to successfully prepare for, respond to, and cope with climate disasters; and f) safe; all people obtain or access safe homes and land to live, work, and generate wealth and autonomy (WBG, 2020).

Transportation systems have often been defined by patterns of travel that generally fail to consider the complex needs of caregivers and workers. In Latin America and the Caribbean, more than 50% of public transport users are women. Women often spend more time traveling and pay more for transportation due to the complexity of their travel needs and safety concerns (ILO [UN], 2017).

Finally, streets are the great connectors of neighborhoods and cities, and in many places they constitute the largest supply of open public spaces available. Additional spaces are related to the design of urban landscapes that depend on zoning and the environment of the streets. The streets can be places of restlessness, stress, and fear if they are designed in a way that is not inclusive for all genders, ages, abilities, and needs. Urban landscape design with an eye on these needs are essential to adapt to safe everyday patterns (WBG, 2020).

Gender and employment

The ILO (UN) brings together governments, employers, and workers from 187 member states to set labor standards, formulate policies, and develop programs promoting decent work for women and men. The ILO mandate on gender equality is to promote equal opportunities and treatment for men and women in the work environment and is based on international labor conventions with particular relevance to equality between men and women. The four key equality conventions are 1) the Discrimination (Employment and Occupation) Convention, 1958 (No. 111); 2) No. 100, 3) the Workers with Family Responsibilities Convention, 1981 (No. 156), and 4) the Convention on Maternity Protection, 2000 (No. 183). The mandate also encompasses resolutions adopted by the International Labor Conference (the ILO's highest-level policy-making body) in 1975, 1985, and 1991, and the Resolution of June 2004 on equality between men and women.

Context for Costa Rica

Regulatory Framework

Costa Rica has adopted a series of international instruments to close gender gaps on multiple fronts, ratifying the following:

Universal Declaration of Human Rights, Convention on the Political Rights of Women (1952)

International Convention on the Elimination of all forms of Discrimination against Women (CEDAW) (1985)

Beijing Declaration and Platform for Action (1995)

Convention 169 of the International Labor Organization (ILO) on Indigenous and Tribal Peoples in Independent Countries (1993)

Inter-American Convention to Prevent, Punish, and Eradicate Violence against Women (OAS Belem Do Pará Convention (1994)

2030 Agenda for Sustainable Development and the 17 Sustainable Development Goals (2015)

Montevideo Strategy for the Implementation of the Regional Gender Agenda within the Sustainable Development Framework by 2030

Additionally, in the past 30 years the Costa Rican government has promoted the approval of regulatory frameworks with the following:

Law for the Promotion of Social Equality of Women (1990)

Law for the Promotion of Breastfeeding (1994)

Law against Sexual Harassment in Employment and Teaching (1995)

Electoral Code of 1996, which establishes a minimum quota of 40% of participation of women in party opportunities and on general election ballots

Labor Code in 1995 (rights during the maternity period)

Municipal Code and the General Health Law to reverse institutionalized discrimination

National Policy on Effective Equality between Men and Women (PIEG, 2007-2017) and (PIEG, 2018-2030)

In the PIEG action plan (2018-2030), there are guidelines for capacity building and institutional strengthening to drive a cultural change towards equality, articulation of care services, promotion of a strategy for social co-responsibility of care, access to services, and resources (direct insurance, social protection, and technical, technological, and scientific education), quality of employment and closing of labor gaps, empowerment of women and strengthening of political and social organizations, parity in popularly elected positions and comprehensive health (sexual and reproductive).

National and local mechanisms for gender equality

Costa Rica has the National Institute for Women (INAMU), an autonomous and decentralized entity, whose executive presidency has the rank of Minister of the Status of Women. INAMU's mission is to “[promote] and protect [r] women's human rights, through its training, counseling, and psychosocial and legal care services, as well as the coordination and monitoring of national policy for gender equality and equity, in order to contribute to the construction of a just and equal society that guarantees gender equity.” At the level of the ministries, INAMU has a network of gender units in the different public institutions created since 1998, and at the local level, there are Offices for Women (OFIM) in the municipalities.

Gender and the environment

The Forest Law, the Environment Law, and the Biodiversity Law of Costa Rica did not have a gender focus; however, in the last decade, policies and plans proposed, such as the National Plan for Forestry Development 2011-2020 (2011), National Biodiversity Policy (2015), National Biodiversity Strategy (2016), National REDD+ Strategy (2018), and Decarbonization Policy 2018-2030 (2018) take this focus into account. Some strategies touch on it, as in the case of the Strategy and Action Plan for the Adaptation of the Biodiversity Sector of Costa Rica to Climate Change 2015-2025 (2015). Reports such as the Sixth Biodiversity Convention establish the urgency of ensuring the integration of the gender perspective within institutions, such as the National Conservation Areas System. To fill this gap, in 2019, the Ministry of Environment and Energy (MINAE) issued a guideline to reduce gender gaps in the biodiversity sector, which includes water, protected areas, and forests.

At the institutional level, women have gained opportunities in which they have a voice to represent other women in the policies and actions that are mandated for the environment in the country. However, there is a significant barrier to training with a gender perspective; not all personnel working in this area are trained or educated on the gender perspective at both the national and local levels.

Gender, urban planning, waste management, and transportation

Urban planning in Costa Rica has traditionally lacked a gender perspective in the definition of policies and plans. In the National Policy for Territorial Planning 2012 to 2040 (2012), the importance of including the gender approach is briefly mentioned. In addition, the need to include sociodemographic variables is mentioned (which includes gender) in the Regulatory Planning Guidance as an Instrument for Territorial Planning of the INVU (2017). Some specific initiatives seek to correct imbalances in women's access to resources, as is the case of the financial option created by INVU and MIVAH for working women to purchase housing (Crece Mujer, 2020).

In other areas of interest for the project, such as waste management, the gender perspective has been made visible through the Ministry of Health's National Plan for Integrated Waste Management (2016-2021) and in the National Strategy for Waste Separation, Recovery, and Evaluation (ENSRVR) 2016-2021 (2016). Additionally, there are other related projects in the GAM, such as the Decarbonization Policy 2018-2030 (2018) mentioned above that consider this focus, as well as projects that are recently developed, such as GIZ's MiTransporte and the Electric Train of passengers from INCOFER GAM and UNGL - European Union - ANAI's MUEVE project.

Gender and employment

In terms of gender and work, in 2000 the Gender Equity Unit was created within the Ministry of Labor and Social Security (MTSS) as an advisory body that is responsible for strategic actions to achieve cultural changes in the management of MTSS or other external agents with which it interacts. Additionally, since 2002, INAMU has been working on developing policies and actions for gender equality and closing the gaps between working women and men in public and private organizations in the country.

Before the Covid-19 pandemic, Costa Rica was characterized by having a low participation of women in the labor market (44.6% in 2019), which is much lower than the average for Latin American countries (52%) and countries in the OECD (59.4%). Men's participation reached 71.7% and they face lower unemployment rates than women (7.8% and 11%, respectively). In 2014, the National Child Care and Development Network - REDCUDI was created through the National Child Care and Development Network Law. Until 2020, the requirement to use this service was dependent upon the mother's level of poverty, which was reduced once they studied and got a job that led to them losing the subsidy. These dynamics undermined the promotion of women entering the labor market. In 2020, the requirements were modified to address this contradiction.

40% of the economically active population (EAP) are women; however, only 33% of household micro-businesses or startups are run by women, and 56% of these businesses began out of necessity (vs 41% in the case of men) (ENAMEH, 2019). In 2020, MINAE, UNDP, and the Office of the First Vice-President of the Republic launched a financial program for women who, through enterprises or research, protect natural resources in the forests within rural areas— "+Mujeres+Natura."

Gender institutional context

This section summarizes the analysis performed of the institutional context under which the project will operate with regard to gender issues. Prioritized stakeholders are indicated for project implementation who meet the criteria identified for their incorporation into the project's gender focus.

Table 1. Stakeholders of the Gender Action Plan

Stakeholder	Brief description of their importance for the project	Do they have a gender plan?	Do they have a specific budget for gender?	Contribution towards gender equity
MINAE	Represents the Government of Costa Rica and will serve as Project Executive in the Project Board. The ministry is responsible for promoting the management, conservation, and sustainability of the country's natural and environmental resources.	No	No	The MINAE has the REDD+ strategy and gender. Additionally, in 2020, MINAE issued a guideline (by Decree) to reduce gender gaps in the biodiversity sector and participates in Mujer NATURA for providing financial support to women.
OTS	Implementing Partner (GEF Executing Entity):	TBD	TBD	TBD
UNDP	Project Implementation Agency.	Yes	Yes	UNDP has its Gender Equality Strategy (2018-2021). Its objectives are to strengthen interventions that address structural changes to accelerate gender equality and women's empowerment; strengthen the integration of gender equality in environment, energy, and crisis response and recovery; and develop institutional mechanisms for gender mainstreaming.
OFIM and Social Welfare Offices	These are the key offices for mainstreaming the gender perspective into urban planning (Component 1), socialization and consultation, as well as in coordinating actions with women in the communities (Components 2 and 3).	Some	Some	They have a municipal presence within the municipal structures for the inter-institutional and intersectoral support of information services, guidance, and attention to women with an emphasis on problems of gender violence, family violence, and dissemination of rights.
INAMU	Institute dedicated to making women visible and promoting their conditions in communities. Potential allies in organizing technical advice and training activities. All components.	Yes	Yes	They define actions and are responsible for the National Policy for Effective Equality between Men and Women (PIEG).
Local feminist organizations, community representatives for women	Key organizations for coordinating actions in the communities (Components 2 and 3).	Yes	Yes	They make visible women's conditions in the communities and promote local actions.
Women NGOs (RED International, RECCOM, CEFEMINA)	Potential allies in coordination of activities. All components.	Yes	Yes	They make visible women's conditions in the communities and promote local actions.
Private businesses (micro, small, medium, and large)	Opportunity to participate in the green, circular, employability economy. Components 2 and 3.	--	--	Contribute through providing quality employment to women.
Universities / Academia / INA	Potential allies in training and coordination of activities. Components 2, 3, and 4.	--	--	This sector documents and analyzes information on the condition of women in Costa Rica, as well as the training of women in higher education (universities). They provide technical training for women

Stakeholder	Brief description of their importance for the project	Do they have a gender plan?	Do they have a specific budget for gender?	Contribution towards gender equity
				(INA).
CEDUDI	Potential allies for childcare while carrying out the components. Components 2 and 3.	--	--	Offers childcare services to women in vulnerable conditions.
IFAM	Potential partner in training and coordination of activities with the municipalities. Components 2,3,4.	No	No	Promote the effective participation of women in strategic municipal positions for the formulation, management and execution of projects that affect the lives of women
UNGL	Coordinator of municipalities around the MUEVE project, which objectives are consistent with those of the project and can add scope. Components 2, 3, and 4.	No	Yes, within the activities for social promotion	Channels efforts and concerns of the municipalities and federations of municipalities before public or private entities, seeking effective compliance and attention to the demands of the municipal governments. They coordinate with institutions (such as the U.S. Embassy, the European Union, PANI, OFIMs, among others) to carry out actions that favor gender equality in the territories through local governments.
GIZ (Implementer of complementary projects such as MiTransporte)	Project donors with the possibility of defining and selecting conditions. Component 2.	Yes	Yes	The GIZ has incorporated gender mainstreaming into their projects in Costa Rica (for example, in MiTransporte).
MTM	Platform for incorporating the gender perspective into urban planning. MTM is proposed as the platform for technical and political dialogue for Component 1.	--	--	MTM coordinates municipalities around the Train project and brings together technical representatives from 15 of the 20 municipalities of the project, the MOPT, the Office of the First Lady, INVU, INCOFER, among other institutions of interest.
Municipal Women's Networks	Agile coordination platform between OFIMs prioritized by the project. All components.	--	--	Coordinate actions and communication between OFIMs.
Ministry of Health (solid waste)	Responsible for authorizing solid waste managers and determinants for stimulating the circular economy that the project seeks to promote. Component 3.	Yes	Yes	The Ministry of Health has an Institutional Commission for Gender Equality and the Prevention of Violence Against Women. With regard to solid waste management, the ministry is responsible for the National Plan for Comprehensive Waste Management and the National Strategy for Waste Separation, Recovery, and Evaluation, which incorporate a gender perspective.
INVU	Responsible for executing the territorial development plans and policies in the country. Designs, coordinates, and promotes housing and environmental regulatory programs and protection zones in the GAM. Entity that determines the permits for regulatory and urban renovation plans. Component 1.	No	No	Provides special credits for housing for women.

Source: Stakeholder consultations.

The municipalities prioritized by the project are also key stakeholders. Fourteen (14) of the 20 municipalities selected have OFIM, from those seven have offices that deal with gender issues along with other social issues; one of the municipalities does not have a specific department that addresses gender. However, currently only 13 have an approved municipal gender policy, and their budgets vary as shown in Table 2.

Table 2. Project Transition towards an urban green economy: Gender offices in the local governments of the prioritized municipalities.

Province	Municipality	Has a gender office?	Has its own gender policy?	Has a specific budget for gender?
San José	San José	Yes	Yes	Yes
	Desamparados	Yes, and social issues. *Casa de derechos*. Directorate of human, social and economic development	Yes	Yes, it shares it with other socioeconomic development issues
	Goicoechea	Yes	Yes	Yes
	Alajuelita	Yes	Yes	Yes
	Tibás	Yes	Yes	Yes
	Montes de Oca	Social development office that addresses gender issues.	Yes, pending approval	Shares it with other socioeconomic development issues; the 2020 resources were suspended
	Curridabat	Yes	Yes	Yes, for administrative functions, and is requested per project
Alajuela	Alajuela	Yes	Yes	Yes
Cartago	Cartago	Yes	Yes	Yes
	Paraíso	Yes	No	Yes, for administrative functions, but not intended for specific projects
	La Unión	Office of socioeconomic development that addresses gender.	No	Shares it with other socioeconomic development issues
	Oreamuno	Yes	No	No
Heredia	Heredia	Yes	Yes	Yes
	Barva	Yes	No	Yes
	Santo Domingo	Yes	Yes	Yes
	Santa Bárbara	No	No	No
	San Rafael	Yes	No	Yes
	Belén	Yes	Yes	Yes
	Flores	Community Management and Women's Office	No	No
	San Pablo	Inclusive Social Development	No	Yes

Source: Consultation with the municipalities' OFIMs.

Within the stakeholder analysis, indicators that were available during the GAP are presented which show the effects that the pandemic has had on the country, especially the vulnerability of women during this time. Projections on the effects on the sociodemographic conditions of the population are also included, as the crisis continues and its final effects (and indicators) as well as the duration are still uncertain.

Within the municipalities, gender mainstreaming perspective was sought in the Urban Planning and Environment departments , specifically in the areas of interest of the project. In general, municipalities have consolidated processes of citizen participation on the initiatives they develop, but rarely they include a gender perspective in these consultations. Only four of the 20 municipalities prioritized by the project report information differentiated by

gender in the environmental and urban actions they perform. Less than half have multidisciplinary staff specializing in gender equality in areas related to green economy and sustainable integrated urban planning or have recently developed projects which incorporate perspective. Finally, there are shortcomings in developing indicators or methodologies with a gender perspective to evaluate urban and environmental projects, so that the benefits and impacts differentiated between men and women can be made visible.

4. Gender Analysis

National Level

As in other countries, the condition of women in Costa Rica is determined by social, political, economic, and cultural models that reproduce inequalities that maintain the roles assigned to men and women. Table 3 shows key gender indicators for the country **prior to the pandemic**; those available at the GAM level are also included.

Table 3. The situation of women in Costa Rica, prior to the pandemic.

Area	Variable	**National Indicator** (and in the GAM when disaggregation available or relevant)
Human Development	Gender Development Index (GDI) (relation between the HDI scores for women and men)	0.977 *0.976 in OCDE countries*
	Gender Inequality Index (GII) (composite measure that reflects inequality in performance between women and men in three dimensions: reproductive health, empowerment, and the labor market).	0.285 *0.182 in OCDE countries*
Economy and Labor Market	Estimated per capita gross national income, women (2011 PPP $)	10.565 *31.015 in OCDE countries*
	Estimated gross national income per capita, men (2011 PPP $)	19.016 *50.531 in OCDE countries*
	Women's participation in the labor market (15 years or more) (%)	44.6 (72.0 men), 49.0 (72.0 men) in the GAM *52 women in Latin America and 59.4 in OCDE countries*
	Average weekly hours dedicated to Paid Work (TR), 15 years or more	10.8 (25.7 hombres) *Costa Rica is the lowest in Latin America for women*
	Proportion of adults (25-64) who work in relation to the total population by gender (%)	52 (85 men), 58 (85 men) in the GAM *62 in Latin America (90 men)*
	Total unemployment rate (ratio of women to men)	1.51, 1.27 in the GAM *1.08 in OCDE countries*
	Proportion of women self-employed workers or micro-entrepreneurs among economically active women (%)	14 (19 men)
	Women with a bank account (% of the female population aged 15 years and older)	60.9 *86.3 in OCDE countries*
	Proportion of employed women working in the informal sector (%)	39 (36 men)
	Proportion of women who work by economic sector (%)	In the GAM: Employed in households 94, Teaching 68, Health 67, Hotels and Restaurants 57, Public Administration 48, Financial Sector 45, Professionals 43, Commerce 36, Services 36, Manufacturing 34, Transportation and Storage 17, Agriculture and Cattle Ranching 13, Construction 4.
	Proportion of women heads of household (%)	33 (52 men), 44 in the GAM (56 men)
	Compulsory paid maternity leave (days)	120 *114 in OCDE countries*

Area	Variable	**National Indicator** (and in the GAM when disaggregation available or relevant)
	Proportion of female directors	40, 44 in the GAM
Domestic Work	Average weekly hours dedicated to unpaid work, and (TNR) vs paid (TR) (15 years or more)	39.6 hours or TNR (17.5 men). 2.3 times more than men *3 times more in Latin American Countries*
	Proportion doing unpaid work at home	87 (60) in the GAM
	Proportion of women aged 18-24 who neither study nor work (%)	31 (17 men), 22 (14 men) in the GAM *16.4 in OCDE countries*
Poverty	Proportion of employed women living in poverty despite being employed. Poverty is defined using the poverty line (%)	11.7 (12.9 men), 8.9 in the GAM (9.7 men)
	Proportion of female-headed households that are poor (%)	25 (18 if they are men), 19.5 in the GAM (14,5 if they are)
	Proportion of women living in poor households	25 (23 men), 20 in the GAM (18 men)
Access to Technology	Proportion of women who used the Internet in the last 3 months (5 years or more) (%)	82 (80 men), 85 (86) in the GAM
	Proportion of women who used a cell phone in the last 3 months (5 years or more) (%)	88 (87 men), 90 (91 men) in the GAM
Education	Proportion of women ages 13-18 who attend secondary or higher education (%)	84.1 (82.8 men), 85.8 (83.4) in the GAM
	Proportion of women aged 18 and over who have completed high school (%)	42 (40 men), 49 (49 men) in the GAM
	Proportion of women with tertiary education (24 years or older) (%)	24 (22 men), 30.2 (29.8 men) in the GAM
	Proportion of graduates of science, technology, engineering, and mathematics programs in tertiary education who are female (%)	33.4 (66.6 men) *32.6 in OCDE countries (64.4 men)*
Political Decision-Making Roles	Parliamentary seats held by women	45.6 (26 of 57)
	Women in ministerial cabinets, last presidential term available (%)	55.2 *28.5 in Latin America*
	Female participation in political decision-making roles in municipalities	Underrepresented in 9 of the 20 municipalities selected by the project. Less than 25% of the Municipal Councils elected in 2020 have female representatives, and the number of mayors decreased from 12 to 9.
Vulnerability	Violence against women experienced at some point, intimate partner (% of female population aged 15 and over)	35.9 *23.8 in Latin America and the Caribbean*
	Femicide or femicides per 100,000 women	24
	Adolescent birth rate (births per 1,000 women ages 15-19)	53.5
	Child marriage, proportion of women married before age 18 (% of women ages 20-24 who are married or in union)	21 (15 in the GAM)

Note: Uses the most current and comparable data available. The GAM data correspond to the central urban region, which is used as a *proxy*.
Sources: Human Development Report (2020), OIT (2020), OCDE (2018), ENAHO (2019).

As in the rest of Latin America, Costa Rican women focus on jobs related to caring for others (paid or unpaid); that is, health, education, home employment, and hotel and restaurant activities. Business models based on a green and

decarbonized socially responsible economy must take into account the possibilities offered by telework, flexible forms of work, the strengthening of care options outside the home, as well as refresher job training to achieve quality job opportunities for men and women.

The latest indicators on the evolution of employment (ECE, II Quarter-2020, moving quarter March, April and May, INEC) reported that the unemployment rate 3 months after the pandemic reached the historic level of 20.1%; that is, 468,000 unemployed (190,000 more than the same quarter last year). This rate was higher among women (26%) than among men (16.3%). Also, there was a reduction of people who decided to participate in the workforce (46.7%), so the female participation rate, which was already low, was reduced to 34.1% (compared to 59.2% for men).

The percentage of people who are out of the labor force (population aged 15 and older) increased. This rate for men was 29.3% and 54.0% for women. To alleviate the situation of those affected by job loss, reduced working hours, or suspension of employment contracts or independent work, the Ministry of Labor and Social Security grants bonuses. However, less financial banking among women applicants compared to men (15% more banked) complicated their distribution (53% of women had received the bonus, compared to 58% men, with more working women having requested it).

The transportation sector is dominated by men in the public system (an approximate ratio of 90:10 in bus and taxi concessions in favor of men), in the labor market (a ratio of 85:15 in the transportation and storage sector), and in the private system (ratio of 70:30 in favor of men in possession of driver's licenses) (Cob, 2018; ENAHO, 2019). Women use public transportation more than men, 61% vs 47% of men; bicycles are used more by men (34% vs 19%). In the national survey from which these data are obtained, those who did not use public transport were consulted about the reasons; more women than men alluded to insecurity (Lentini, 2017).

Finally, in terms of urban planning, there are not enough data to diagnose the situation; however, the data on the participation of women in related sectors show their under-representation in the national labor market, specifically in the construction sector, at a ratio of 96:4 in favor of men; in the real estate sector, 73:27; and in water supply and evaluation a ratio of 78:22 (ENAHO, 2019).

At the Level of GAM and Municipalities of Interest to the Project

Women represent 50% of the population of the area where the project will be implemented; therefore, gender mainstreaming will be key, as well as an adequate identification of the project's beneficiaries. At the level of the municipalities where the project will be implemented, official information is scarce since it is generally updated with each population census. The last census available is from 2011 and the next will be carried out in 2021, precisely the year the project will begin. However, Table 3 shows that the situation of women (and the population in general) is more favorable in the GAM than in the rest of the country; in particular, the difference in terms of poverty level and educational level is notable. The participation of women in the labor market in this area is higher, but it is still relatively low compared to other Latin American countries. Working women are clearly located in specific sectors (the same trend as in other countries), such as domestic employment, teaching, health, and hotels and restaurants.

Despite having better conditions than in the rest of the country, women residing in the 31 GAM municipalities have very asymmetric conditions. Within the project’s area of interest, the collective area of the 20 municipalities (2,079.5 km^2 representing 4.1% of the national territory) is mainly urban and has a population of 2,134,932 (43% of the country's total population) (ENAHO, 2019). There are big differences within this area that can be observed in how local governments manage resources, the challenges faced by those governments, and the way in which they include the gender perspective in their actions, the sociodemographic characteristics of women, households and opportunities in the labor market, and the conditions that women face to take advantage of them (see Table 4).

The GAP (refer to Table 5) indicates the project actions that may influence changing some of these indicators.

Table 4. Indicators per municipalities

Municipality	*Municipality has consolidated processes of citizen participation with a gender perspective*	*Municipality has indicators with a gender perspective to evaluate*	*Electoral turnout (2020)*	*Gender parity in municipal government (2016)*	*Total municipal expenditures per cap. (in thousands of colones)*	*Environmental management index (Nat. Avg. 52.54) (scale 1 to*	*First challenge of the municipality (according to the Comptroller General of the Republic)*	*Number of Women (2018)*	*Access to care networks for the elderly*	*Births by Adolescent Mothers (Nat. Avg. 14.3%*	*Cases of sexual abuse per 100M ha, National Average 56*	*Access to cultural and rec. infra. (National Avg. 33% per 100,000 ha.)*	*% of homes with overcrowding (National Avg. 5.1%)*	*# informal settlements (National Avg. 2.7)*	*Pop. with higher education (%)*	*Women's average level of education(years)*	*Asegurados vs PEA (National Av.: 0.6)*
San José	Yes	Yes	25.4	0.9	205	99	Citizen Participation	171,094	14.5	14.0	153	115.4	6.8	10	*29.5*	9.7	*2.7*
Desamparados	Yes	No	27.3	1	50.6	86.9	Citizen Participation	120,336	10.9	13.7	71	11.8	4.8	3	*21.7*	9.0	*0.3*
Goicoechea	Partial	Partial	27.4	1	67.1	44.9	Cleaning of roads and public places	68,056	13.1	12.4	81	25.7	4.3	4	*28.6*	9.7	*0.8*
Alajuelita	Partial	No	32.1	1	34.8	69.5	Parks and ornamental works	45,959	0.0	15.5	45	6.8	8.4	6	*13.9*	8.2	*0.2*
Tibás	Partial	No	28.8	1	64.9	36.2	Cleaning of roads and public places	41,782	14.8	13.1	70	49.3	3.6	6	*34.7*	10.2	*0.7*
Montes de Oca	Yes	No	31	1	102.1	83.7	Citizen Participation	31,054	15.5	7.6	37	202.3	2	2	*52*	11.8	*2*
Curridabat	Yes	Partial	29.4	0.8	144.3	79.3	Waste disposal and treatment	39,166	0.0	10.1	60	42.3	4.3	4	*40.9*	10.7	*0.7*
Alajuela	Yes	Partial	26.8	0.9	117.8	48.5	Cleaning of roads and public places	153,103	11.3	12.6	84	14.6	4.3	16	*23.3*	8.9	*0.6*
Cartago	No	No	41.6	0.8	136.2	59.8	Waste disposal and treatment	80,864	11.8	10.7	20	21.0	2.9	4	*25.4*	9.1	*0.8*
Paraíso	Partial	No	38.5	1	87.9	56.9	Waste collection	31,004	10.2	11.3	31	17.2	4	1	*16.4*	7.9	*0.4*
La Unión	Partial	No	32	0.9	81.2	72.2	Cleaning of roads and public places	55,097	10.0	11.2	67	11.1	4.7	10	*27.6*	9.5	*0.4*
Oreamuno	No	No	36.4	1	62.2	53.7	Cleaning of roads and public places	24,615	0.0	13.6	55	15.6	4	3	*20.3*	8.4	*0.3*
Heredia	Yes	No	26.9	0.9	139.5	60.9	Waste disposal and treatment	70,066	11.8	10.6	33	41.5	3.9	3	*36.6*	10.4	*1.4*
Barva	Partial	No	37.9	1	52.9	35.3	Parks and ornamental works	22,876	10.8	10.3	33	12.7	2.4	1	*33.9*	10.2	*0.3*
Santo Domingo	Partial	No	35.1	1	111.1	87.6	Parks and ornamental works	24,065	14.6	9.6	34	26.6	2.9	2	*36.5*	10.4	*0.5*
Santa Bárbara	Partial	No	39.9	0.9	51.3	53.9	Cleaning of roads and public places	20,819	0,0	11.0	15	11.5	2.9	0	*23.2*	9.0	*0.3*
San Rafael	No	No	32.4	0.9	82.1	80	Planning	26,951	0.0	11.0	30	6.9	3.1	2	*31.4*	9.8	*0.3*
Belén	Yes	No	42.3	1	308.1	85.3	Road management	13,008	0.0	8.1	19	33.8	2.9	0	*35.8*	10.3	*2.2*
Flores	Partial	No	38.6	1	77.9	83	Citizen Participation	12,158	0.0	6.5	50	39.5	2.4	0	*36.8*	10.5	*0.8*
San Pablo	No	No	36	0.8	89.3	41.4	Cleaning of roads and public places	15,399	11.4	7.9	46	12.6	2.6	1	*42.7*	11.0	*0.5*

GAM Municipalities								1.316.204	Avg. 6.7	Avg. 10.4	Avg. 51.0	Avg. 34.6	3.6	3	*Avg. 29.3*	Avg. 9,6	*Avg. 0.7*

Source: Based on the IPS database (2020), ICC (2020), Comptroller General of the Republic (2020), interviews. Municipal government conditions in gray.

5. Gender Action Plan

Gender-related activity	Indicator	Target	Baseline	Budget	Timeline	Responsibility
Component 1. Evidence-based policy reform for a green economy and sustainable integrated urban planning						
Incorporation of gender equity and social issues mechanisms into the technical and political dialogue platform (MTM and CGICTR) in which the stages, milestones, and governance and decision-making mechanisms for the transition to an inclusive green economy and sustainable and integrated urban planning, including decarbonization, are defined. ***(Output 1.1.1)***	Number of representatives of the municipal women's offices in the technical and political dialogue platforms	MTM: At least 5 representatives CGICTR: At least 5 representatives	0	Included as part of the project component.	Years 1 to 5	OTS Gender specialist Project Manager
Preparation of the roadmap in a coordinated and participatory manner for the transition towards an inclusive green economy and sustainable and integrated urban planning, including decarbonization and verification with a gender perspective. ***(Output 1.1.2)***	Number of consultation workshops with women's groups and care centers	At least 20 workshops (one per prioritized municipality)	0	Included as part of the project component. + $1,250 for child care expenses of participating women and some of their transportation expenses (if required).	Years 1 and 2	OTS Gender specialist Project Manager Specialists in social issues and consultations
Preparation of the GAM Regional Plan for Sustainable Urban Renewal for 20 municipalities, which includes the gender perspective, together with all stakeholders involved and through participatory processes that include social groups of women, youth, people with disabilities, and older adults. ***(Output 1.1.3 a)***	Number of consultation workshops with groups of women and representatives of young people, people with disabilities, and older adults	At least 1 consultation workshop per geographic segment (neighboring municipalities of the 20 that are prioritized by the project)	0	Included as part of the project component. + $1,250 for child care expenses of participating women and some of their transportation expenses (if required).	Years 1 and 2	OTS Gender specialist Project Manager Specialists in social consultations
	Inclusion of sociodemographic variables in the spatial maps of the GAM Regional Plan for Urban Renovation	100% of the maps include sociodemographic variables	0	Included as part of the project component.	Years 1 to 3 (with results of the 2021 Census)	OTS Gender specialist GIS specialist

Gender-related activity	Indicator	Target	Baseline	Budget	Timeline	Responsibility
Development of an urban green strategy to restore and conserve public and private green spaces for the provision of ecosystem services in the GAM, which considers citizen security and inclusion ***(Output 1.1.3 b)***	Percentage of municipalities in which a green strategy is developed in which a population with low social development or in a condition of poverty resides	At least 30% of the prioritized municipalities	0	Included as part of the project component.	Years 1 and 2 of the project	OTS Gender specialist Project Manager
	Percentage of women who lead the teams that develop the strategy	At least 40%	0	Included as part of the project component.	The entire length of the project	
Implementation of the awareness and communication strategy on the objectives and desired effects of a reform of green legislation aimed at the urban sector with a gender and social inclusion perspective (Output ***1.1.4***)	Percentage of the target population in the national territory and productive sectors (including micro-small, associative, cooperatives) that know about the desired effects of a reform of green legislation oriented to the urban sector with a gender and social inclusion perspective	At least 60% of the target population with knowledge and understanding of the issues communicated with a gender perspective (awareness) measured through quantitative research tools (surveys)	0	Included as part of the project component.	Years 1 and 2 of the project	OTS Gender specialist Project Manager Communications Specialist
	Number of inquiries on awareness and communication strategy to be implemented	At least 1 qualitative consultation per target population segment in the GAM (youth, women, productive sectors)	0	Included as part of the project component. + $1,250 for child care expenses for participating women and some of their transportation expenses (if required)		OTS Gender specialist Project Manager Specialist in social issues and consultations
	Percentage of registration and processing of consultations and responses to consultations received	100% of the consultations processed	0	Stakeholder plan	The entire length of the project	Project Manager
Preparation of legislative reform proposals (bills) and submission to the Legislative Assembly (***Output 1.1.5***)	Estimation of the social (with gender perspective) and productive impacts of the changes in production costs introduced by the proposed modifications in the bills	Analysis of the social and productive impact incorporated into documents that accompany the reform proposals	0	Included as part of the project component	Years 1 and 2 of the project	OTS and consultation for analysis Gender specialist

Gender-related activity	Indicator	Target	Baseline	Budget	Timeline	Responsibility
	Number of reviews by the Indigenous Consultation Commission and the Technical Unit for Indigenous Consultation (FPIC), as appropriate	All the necessary activations of the consultation process with the indigenous population and/or FPIC, as appropriate	0	Included as part of the project component and indigenous safeguard	Years 1 and 2 of the project	Project Manager
Propose institutional reforms in the environmental sector aligned with the transition to a green economy with a gender and social inclusion perspective (***Output 1.1.6***)	Number of consultations with various social sectors on the institutional reform proposal	At least 1 workshop per sector identified to ensure social inclusion	0	Included as part of the project component. + $1,250 for child care expenses for participating women and some of their transportation expenses (if required).	Years 1 and 2 of the project	OTS Gender specialist Specialists in social issues and consultations
	Estimation of the social impacts / Social and environmental Assessment (SESA), according to UNDP SES requirements (with a gender perspective) of institutional reforms in the environment sector aligned with the transition towards a green economy	Analysis of social impact incorporated into documents that accompany the reform proposals	0	Included as part of the project component.	Years 1 and 2 of the project	OTS Gender specialist
Programming of institutional and capacity training with a gender perspective for at least 1,200 people (e.g., local technicians and decision-makers, legislators, etc.) to contribute to the objectives of the project. (***1.1.7***)	Percentage of women who benefit from training	At least 30%	0	Included as part of the project component + Specific training workshops on gender perspective and indicators ($4,000 per year) + $1,250 for child care expenses for participating women and some of their transportation expenses (if	Years 1 and 2 of the project	OTS Gender specialist
	Percentage of women who provide training	At least 30%	0			
	Percentage of training dedicated to gender perspective regarding the topic to be addressed	100%				

Gender-related activity	Indicator	Target	Baseline	Budget	Timeline	Responsibility
				required) to the workshop.		
Design of 5 multisectoral and interinstitutional agreements for transition to a green economy and sustainable and integrated urban planning, including decarbonization, as result of the project and with a gender perspective. (***1.2***)	Number of agreements that incorporate gender considerations	5 agreements	0	Included as part of the project component.	Years 1 and 2 of the project	Gender specialist Project Manager
Component 2. Sustainable integrated low-carbon, resilient, conservation, and land restoration investments						
Restoration of critical urban areas: a) identification of intervention zones and prioritization of areas to restore with native species; b) coalition made up of public and private stakeholders that allows incorporating private areas into the restoration and conservation process; c) consolidation of public green spaces, urban green areas, and CBI creates resilience of vulnerable urban populations and contributes to the mitigation of climate change. (***2.1.1***)	Number of representatives of the women's offices of the municipalities participating in the identification and monitoring of areas of intervention	1 representative of the women's offices per committee	0	Included as part of the project component.	Years 1 and 2 Monitoring of the orchards and maintenance through to the completion of the project	Gender specialist Project Manager Specialists in social issues and consultations
	Number of consultation workshops by prioritized geographic segment	At least 1 consultation workshop per segment	0	Included as part of the project component. + $1,250 for child care expenses for participating women and some of their transportation expenses (if required) to the workshop.	Years 1 and 2 of the project	Gender specialist Project Manager Specialists in social issues and consultations
	Percentage of women who participate in training and citizen awareness for silvicultural monitoring and maintenance of the restored areas. (Within Output 1.1.7)	At least 50% per municipality intervened	0	Included as part of the project component.	Years 1 and 2 Monitoring of the orchards and maintenance through to the completion of	Gender specialist Project Manager Specialists in social issues and consultations

Gender-related activity	Indicator	Target	Baseline	Budget	Timeline	Responsibility
					the project	
	Percentage of women who undertake restoration, follow-up, and monitoring tasks (such as nurseries and supply of vegetative material)	At least 40%	0	Included as part of the project component.	The entire length of the project	Gender specialist
Participatory plans for the management of the green urban spaces per municipality with a gender perspective. (***2.1.2***)	Number of participants who support the gender approach in consultation meetings on the green network management plan	At least 1 representative of the women's offices and 1 leader of community groups in the meetings scheduled for consultation in each of the 20 municipalities	0	Included as part of the project component.	The entire length of the project	Project Team
	Number of consultations with social groups specific to strategic alliances (women, youth, and the vulnerable population) in defining roles for restoration actions (Within the workshops of Output 2.1.1)	At least 1 consultation workshop per geographic area of interest in which at least 50% of female residents participate.	0	Included as part of the project component. + $1,250 for child care expenses for participating women and some of their transportation expenses (if required) to the workshop.	Years 1 and 2 Monitoring of the orchards and maintenance through to the completion of the project	Gender specialist Project Manager Specialists in social issues and consultations
Pilot experiences for solid waste management and control of irregular wastewater discharges at the CBI Rio Torres (based on the Clean Rivers strategy of the GAM). (***2.1.3***)	Number of representatives included in the design and monitoring of pilot experiences	At least 1 representative of the women's offices of the pilot municipality	0	Included as part of the project component.	The entire length of the project	Gender specialist Project Manager
Component 3. Innovative financing and scaling-up.						
Economic analysis developed to promote business models under different innovative business and financing figures to achieve decarbonization and the delivery of global environmental benefits in the GAM. This includes analysis of the Business-as-Usual Scenario versus the reformed scenario for management of solid waste (for example, plastics and	Analysis of experiences of affirmative actions around gender issues.	Incorporation of at least 3 experiences of affirmative actions on gender issues in the document relevant to the GAM.	0	Included as part of the project component.	Years 1 and 2	Gender specialist Project Manager Consultant, or business consultant, for developing circular economy business models, with an emphasis on inclusion of female labor.
	Preparation of proposals for the	Definition of at least 2				Gender specialist

Gender-related activity	Indicator	Target	Baseline	Budget	Timeline	Responsibility
organic waste), sewage, fecal sludge, bio businesses in urban areas, and active mobility. This will promote a circular economy and actions to increase equitable employment rates for men and women in the sector and includes an evaluation of the efficiency of the economic instruments currently applied, both by the central government and by local governments. (***3.1.1***)	incorporation of productive models of circular economy.	productive models of circular economy with a gender perspective.				Project Manager Consultant, or business consultant
	Number of consultations on ways to facilitate women's access to the labor market through activities that promote circular economy productive models.	At least 1 consultation workshop per prioritized geographic segment, with a gender perspective.	0	Included as part of the project component. + $1,250 for child care expenses for participating women and some of their transportation expenses (if required) to the workshop.	Years 1 and 2	Gender specialist Project Manager Specialists in social issues and consultations. Consultant with experience in labor issues, as well as experience in gender themes as they apply to labor.
New municipal financing instruments implemented with a gender focus (for example, instruments for capturing value, improved mechanisms for charging for parking, property tax adjustments for public works, financing options for wastewater and solid waste management, charging for vehicular congestion, special contributions for investment in urban renewal and issuance of green bonds), as well as improving the efficiency of implementation of current economic instruments, which promote the following: a) Maintenance and restoration of urban ecosystem services; b) Business models of circular economy and/or industrial symbiosis with a gender approach for the management of solid waste, fecal sludge, and wastewater, the management and reuse and achievement of decarbonization, including possible financing through	Number of jobs created by labor initiatives or undertakings of circular economy production models that, due to their conditions, favor women's access to the labor market in addition to men's.	At least 500 green jobs (50% women; 50% men) generated as a result of innovative financing and business models.	0	Included as part of the project component.	From Year 2 to 5	Gender specialist Project Manager
	Percentage of women who benefit from jobs	50%	0	Included as part of the project component.	The entire length of the project	Gender specialist Project Manager

Gender-related activity	Indicator	Target	Baseline	Budget	Timeline	Responsibility
the banking system under favorable conditions. c) New ventures to take advantage of transformation of solid waste (plastic and organic). (***3.1.2)***						
At least three bio-business models, made up of public-private partnerships (PPPs), micro- and small businesses and associations at the community level with a gender focus established within the GAM to support inclusive investments for the maintenance of urban ecosystem services and the restoration of CBI, good management of solid waste and sewage, fecal sludge, and active mobility linked to the Electric Train. (***3.1.3***)	Number of bio-business models established that have a gender focus	3 bio-business models	0	Included as part of the project component.	From Year 2 to 5	Gender specialist Project Manager
Technical support to companies that work in bio-businesses to boost their market power and demonstrability at-scale for their replicability. (***3.1.4***)	Number of pilot experiences of mechanism implementation	At least 1	0	Included as part of the project component.	From Year 2 to 5	Gender specialist Project Manager
	Percentage of women who participate in the pilot implementation	At least 40%	0	Included as part of the project component.	Entire length of the project	Gender specialist Project Manager
Component 4. Advocacy, Knowledge Exchange, Capacity Building, and Partnerships.						
Information and knowledge exchange actions established at the national level allow the systematization of lessons learned and best practices, and increase awareness about sustainable integrated urban planning, the transition to an urban green economy, and gender aspects, among other issues (***4.1.1***)	Number of knowledge products (such as publications and knowledge exchanges) on green economy and urban sustainability with a gender and social inclusion perspective, available at the local, national, and regional levels, including the SCIP web platform, for replication and scaling of successful experiences in other urban landscapes.	At least 4	0	Included as part of the project component.	From Year 2 to 5	OTS Communication specialist Gender specialist
South-South learning and communication strategy implemented through SCIP and other existing global networks, to disseminate international	Number of urban professionals, municipal technicians, and local decision-makers, among others, who use the knowledge acquired	At least 500	0	Included as part of the project component	From Year 2 to 5	OTS Gender specialist

Gender-related activity	Indicator	Target	Baseline	Budget	Timeline	Responsibility
methods and lessons learned about sustainable cities with a gender perspective (***4.1.2***)	from the training or materials of the Sustainable Cities Impact Program (SCIP)					
	Percentage of women who benefit from the learning and communication strategy	At least 50%	0%			

Budget

The costs of some of the activities in the Gender Action Plan are part of the project's general budget of the project, including the following:

Title	Details	Period (in years)	Amount
Gender Specialist	Full time	5	Paid through Component 5
Specific training workshops on gender perspective and indicators	$4,660 per year (two workshops per year that include the 20 municipalities)	4	$18,640
Child care for Project participants	$1,165 per event	8	$9,320
Communications	$800 per year for the production of materials, videos, and communication materials for workshops and trainings	5	$4,000
		Total	**$31,960**

Annex 11: Procurement Plan for first year of implementation

Budget item		List of Goods and Services required	Budget (US$)	Year	Brief description of anticipated procurement process
No.	Description				
	Staff & Personnel (including Consultants)				
71300	Political dialogue (1.1.1, 1.1.4, 1.1.5)	One advisor to lead dialogue processes with political parties, the Legislative Assembly, the Executive Branch, and municipalities to assess the political feasibility of legal and institutional reforms	52,800	1	Competitive hiring process used by OTS
71300	Fiscal policy (1.1.1, 1.1.4, 1.1.5, 1.1.6)	One professional in economics to lead the preparation of draft laws, analysis of social and economic impacts of tax reforms, municipal and national financial instruments, and cost/benefit studies	22,368	1	Competitive hiring process used by OTS
71300	Urban Planning (1.1.1, 1.1.2, 1.1.3, 1.1.4, 1.1.7, 1.1.8)	One professional specialized in Urban Planning to participate in the technical processes of the multilevel dialogue platforms, as well as in the definition of urban renewal areas, together with the municipalities, INVU and other institutions involved	37,200	1	Competitive hiring process used by OTS
71300	Environmental law and legal regulations (1.1.1, 1.1.2, 1.1.5, 1.1.6, 1.1.7)	One law professional for the development of proposals for law reforms, institutional and regulatory reforms, and to support legal processes that develop platforms for dialogue	22,368	1	Competitive hiring process used by OTS
71300	Spatial analysis (1.1.1, 1.1.3, 1.1.7)	One GIS and Remote Sensing Expert to manage the different digital tools that allow the planning and execution of Component 1 activities	17,335	1	Competitive hiring process used by OTS
71300	Multi-stakeholder dialogue (1.1.1 to 1.1.8)	One professional in social sciences to facilitate multi-stakeholder dialogue and to promote the participation of diverse sectors	17,335	1	Competitive hiring process used by OTS
71300	Communication strategy (1.1.1 to 1.1.8)	One professional in communication sciences to establish the conditions to develop a communication strategy and supervises its implementation	34,000	1	Competitive hiring process used by OTS

71300	Multistakeholder facilitator (1.1.1 to 1.1.8)	Supports the project coordinator and different project specialists on the management of relationships with project partners and advises on development of participation methodologies	24,152	1	Competitive hiring process used by OTS
71300	Restoration of degraded urban areas (2.1.1, 2.1.2)	Expert biologist/forestry to lead the restoration of critical areas in the 20 municipalities of GAM	44,736	1	Competitive hiring process used by OTS
71300	Urban planning/mobility (2.1.3)	One Professional/Urban Planner to analyze and define the investments in sustainable mobility to be implemented in the cantons and includes the GAM regional vision in the solutions, and combines restoration actions with TOD	29,760	1	Competitive hiring process used by OTS
71300	Cost/benefit analysis (2.1.1, 2.1.2)	One professional in environmental economics to conduct cost/benefit valuation studies of ecosystem services at a spatial level, applying ROAM, INVEST and other analytical and digital tools; and analysis of restoration options	22,368	1	Competitive hiring process used by OTS
71300	Participatory multi-stakeholder dialogues (2.1.1, 2.1.2, 2.1.4)	One expert to establish local partnerships and planning processes for green cities, and provide technical support for the design/adjustment of cantonal restoration plans and processes for the management and control of wastewater and solid waste discharges	44,736	1	Competitive hiring process used by OTS
71300	Spatial analysis (2.1.1, 2.1.2, 2.1.4)	One GIS expert to manage the different spatial digital tools for the modeling of ecosystem services, spatial prioritization of restoration, green infrastructure baseline mapping, green grid, solid waste discharge and water discharge mapping, cantonal management plans	18,000	1	Competitive hiring process used by OTS
71300	Political negotiations (2.1.1 to 2.1.4)	One expert to support negotiations with high level decision makers at national and international level, to support the revision of cooperation agreements with implementing partners for Component 2, to position and disseminate project results in integrated sustainable low carbon resilient, conservation and restoration investments in urban	22,000	1	Competitive hiring process used by OTS

		settings			
71300	Environmental financing and tax mechanisms (3.1.1, 3.1.2, and 3.1.3)	One professional in economics for directing, developing and inspecting economic studies for circular economy business models, and analyzing diverse business models. Adjusts each of the municipal financial instruments according to the selection processes carried out by each of the 20 municipalities and advises on the development and implementation of bio-business processes	55,920	1	Competitive hiring process used by OTS
71300	Business management (3.1.3, 3.1.4)	One professional in business administration to carry out the feasibility analysis of bio-businesses, as well as their development and project management	39,600	1	Competitive hiring process used by OTS
71300	Circular Economy (3.1.1, 3.1.2, 3.1.3, and 3.1.4)	One professional in circular economy to provide technical support in upcycling and material transformation to local governments, community organizations and NGOs and advise to project initiatives related to circular economy and solid waste management, etc.	30,000	1	Competitive hiring process used by OTS
71300	Communications and knowledge management (C4)	One specialist in communication / knowledge management to implement communication and documentation activities and systematization of lessons learned and best practices in the project; coordination with the SCIP Global Platform	11,184	1	Competitive hiring process used by OTS
71300	Gender mainstreaming (4.1.3)	Specialist in Gender and Participation. Support and monitoring of gender mainstreaming (Gender Action Plan)	20,131	1	Competitive hiring process used by OTS
71300	Monitoring of environmental and social safeguards (.4.1.3)	Specialist in environmental and social safeguards to implement and monitor the ESMF/IPPF; development and monitoring of the IPP, ESMP, ESIA, and SESA, as required	9,786	1	Competitive hiring process used by OTS
71300	Development of environmental and social safeguards related plans	Environmental and social safeguards Expert to develop the ESIA/ESMP and Biodiversity Action Plan	13,048	1	Competitive hiring process used by OTS

	(4.1.3)				
71300	M&E (5.1.1)	One monitoring and evaluation specialist to coordinate and conduct project M&E activities in accordance with government, UNDP Country Office, and UNDP-GEF requirements, including updating indicators in the project results framework	6,524	1	Competitive hiring process used by OTS
71300	Project Management (PMU)	Project Manager: project planning, daily management of project activities, project reporting, maintenance of key stakeholder relationships	61,512	1	Competitive hiring process used by OTS
71300	Financial management and administration (PMU)	Financial / Administrative Assistant: financial management of the project, purchases and reports	23,486	1	Competitive hiring process used by OTS
71300	Procurement (PMU)	Procurement Specialist. Develop, implement, and manage procurement strategies and processes	6,682	1	Competitive hiring process used by OTS
	Contract Services				
72100	Tools for transit-oriented development and watershed management (1.1.1)	Contract to develop technical instruments, organization and support to processes of fostering transit-oriented development and the management for watersheds, for MTM and CCRGT	37,280	1	Competitive contracting process used by OTS
72100	Digital platform (1.1.1)	Contract for development and operation of a digital platform for better coordination and evidence based planning	22,368	1	Competitive contracting process used by OTS
72100	Political communication strategy (1.1.4)	Contract to implement a political communication strategy	114,637	1	Competitive contracting process used by OTS
72100	Municipal and institutional training program (1.1.7)	Contract to implement the municipal and institutional training program (local, national, public, private, and organizations) with a gender perspective	56,218	1	Competitive contracting process used by OTS
75700	Training (1.1.1)	Services to organize and provide support for workshops/trainings for MTM and CCRGT	1,398	1	Competitive contracting process used by OTS
75700	Develop roadmap towards a decarbonized economy	Services to organize and provide support for workshops to prepare the Roadmap	1,398	1	Competitive contracting process used by OTS

	(1.1.2)				
75700	Develop of the Regional Urban Renovation Plan (1.1.3)	Services to organize and provide support for workshops linked to the results of the Regional Urban Renovation Plan	3,075	1	Competitive contracting process used by OTS
75700	Legal and institutional reforms (1.1.5, 1.1.6)	Services to organize and provide support for workshops/seminars for the presentation of draft bills and institutional reforms with sectors.	1,817	1	Competitive contracting process used by OTS
72100	Field support for environmental education and restoration (2.1.1)	Contract to provide technical assistance in the field, environmental education (awareness), support in urban restoration, urban agriculture, nurseries	36,907	1	Competitive contracting process used by OTS
72100	Investments in sustainable mobility (2.1.3)	Contracts to implement sustainable mobility options: pedestrian and biking bridges, bicycle paths, crosswalks, shared use routes, pedestrian routes with green areas, with regional GAM vision and interconnecting landscapes and municipalities	237,716	1	Competitive contracting process used by OTS
72100	Assessments of surface water quality (2.1.4)	Contract for water quality sampling, information processing, quality control, data interpretation, in support of AyA and other responsible institutions.	7,829	1	Competitive contracting process used by OTS
72100	Clean rivers strategy (2.1.4)	Contract to support the control of illegal dumping of domestic and industrial wastewater and improvement of solid waste management to the storm sewers	31,455	1	Competitive contracting process used by OTS
75700	Public awareness strategy for restoration of critical areas (2.1.1)	Services to organize and provide support for public awareness workshops for the restoration of critical areas, as well as monitoring and maintenance of the restored areas, two for each of the 7 IUBCs	1,957	1	Competitive contracting process used by OTS
75700	Preparation of Municipal Restoration Plans (2.1.2)	Services to organize and provide support for workshops for the preparation of Municipal Restoration Plans	2,936	1	Competitive contracting process used by OTS
75700	Definition of sustainable urban mobility works (2.1.3)	Services to organize and provide support for workshops /seminars for the definition of sustainable urban mobility works	1,118	1	Competitive contracting process used by OTS
72100	Promotion of	Contract to promote a circular	90,970	1	Competitive

	circular economy (3.1.1)	economy			contracting process used by OTS
72100	Development of circular economy business models (3.1.1, 3.1.3)	Contract for the development of circular economy business models, with emphasis on inclusion	67,177	1	Competitive contracting process used by OTS
75700	Development and implementation of financial instruments (3.1.2)	Services to organize and provide support for workshops with municipal technicians to analyze and review proposals for financial instruments and discussions with local authorities (mayors and governors)	3,495	1	Competitive contracting process used by OTS
75700	Implementation of a green economy and bio-businesses (3.1.1, 3.1.3)	Services to organize and provide support for building public awareness on green economy and the importance of bio-business	2,097	1	Competitive contracting process used by OTS
75700	Development and implementation of bio-business models (3.1.3, 3.1.4)	Services to organize and provide support for meetings, seminars, and workshops for the restructuring of the 4 proposed bio-businesses	1,678	1	Competitive contracting process used by OTS
72100	Design and implementation of national platform for information exchange (4.1.1)	Contract to design the national platform for information exchange on issues related to sustainable cities, biodiversity conservation and climate change mitigation in urban landscapes; and for the implementation of a public campaign to publicize the platform and development of the user guide	46,657	1	Competitive contracting process used by OTS
75700	Implementation and monitoring of social and environmental safeguards (4.1.3)	Services to organize and provide support for training for the PMU and institutional partners on social and environmental safeguards	4,660	1	Competitive contracting process used by OTS
75700	Implementation and monitoring of social and environmental safeguards (4.1.3)	Services to organize and provide support for training for the PMU, centralized institutional partners, and partners in the project landscape regarding indigenous peoples and gender issues	4,660	1	Competitive contracting process used by OTS
75700	Implementation and monitoring of social and environmental	Services to organize and provide support for grievance mechanism socialization and training	4,660	1	Competitive contracting process used by OTS

	safeguards (4.1.3)				
75700	Implementation and monitoring of social and environmental safeguards (4.1.3)	Services to organize and provide support for local workshops with community groups and municipal officials in the municipalities to promote stakeholder participation.	1,957	1	Competitive contracting process used by OTS
75700	Childcare support for women (4.1.3)	Services for childcare support for women participation in project related workshops and training	1,864	1	Competitive contracting process used by OTS
75700	Implementation and monitoring of social and environmental safeguards (4.1.3)	Services to organize and provide support for training workshops on gender mainstreaming and related indicators	3,728	1	Competitive contracting process used by OTS
75700	Project Inception Workshop (5.1.1)	Services to organize and provide support to the Project Inception Workshop	4,660	1	Competitive contracting process used by OTS
74100	Professional Services (PMU)	Project audit	4,660	1	Competitive contracting process used by OTS
	Supplies, commodities & materials				
74200	Audio Visual & Print Prod Costs 1.1.1, 1.1.2, 1.1.4, 1.1.5, 1.1.7	Publications and videos supporting legal, political and institutional reforms. Materials for dialogue platforms, roadmap building and training program. Advertising guidelines and special programs for the implementation of the political communication strategy in radio, TV, social media, buses, etc.	9,320	1	Direct purchases
72500	Fuel (2.1.1, 2.1.2, 2.1.4)	Fuel	3,555	1	Direct purchases
74200	Audio Visual & Print Prod Costs (2.1.1, 2.1.2, 2.1.4)	Technical design of communication materials on restoration, urban gardens, solid waste and wastewater management, maintenance of restoration processes, for public awareness/local stakeholders	3,728	1	Direct purchases
74200	Audio Visual & Print Prod Costs (3.1.2)	Production of materials that promote circular economy processes and the establishment of bio-businesses, as	3,957	1	Direct purchases

		well as publications and videos that facilitate the understanding and adoption of the use of municipal financial instruments			
74200	Audio Visual & Print Prod Costs (C4)	Knowledge management and communications products and materials	2,085	1	Direct purchases
74200	Audio Visual & Print Prod Costs (4.1.3)	Communications products and materials related to the Gender Action Plan and Comprehensive Stakeholder Engagement Plan	1,940	1	Direct purchases
72500	Office supplies (PMU)	Office and computer supplies	615	1	Direct purchases
	Equipment, Vehicles & Furniture				
72800	Information Technology Equipment (C1)	Computers (2) and software license	4,454	1	Direct purchases
72800	Information Technology Equipment (C1)	TV	615	1	Direct purchases
72800	Information Technology Equipment (C1)	Video projector	465	1	Direct purchases
72300	Materials & Goods (2.1.1)	Plant material (trees-bushes) for restoration, material for establishment (shovels, picks, hydrokeeper, organic fertilizer), maintenance (pruning and land clearing tools	**74,266**	1	Direct purchases
72400	Communic & Audio Visual Equip (2.1.1, 2.1.2, 2.1.4)	Telephone services/communication	2,236	1	Direct purchases
72800	Information Technology Equipment (2.1.1, 2.1.2, 2.1.4)	GPS (5)	1,880	1	Direct purchases
72800	Information Technology Equipment (2.1.1, 2.1.2, 2.1.4)	Computers with software licenses (5)	11,950	5	Direct purchases
72800	Information Technology Equipment	High capacity computer for satellite image reading, processing and final cartography generation (USD 10,000) and ArcGis Esri Intermediate licenses	13,000	1	Direct purchases

	(2.1.1, 2.1.2, 2.1.4)				
72800	Information Technology Equipment (2.1.1, 2.1.2, 2.1.4)	Satellite images of the GAM (World View)	25,000	1	Direct purchases
72800	Information Technology Equipment (3.1.1 to 3.1.4)	Computer and software license	7,269	1	Direct purchases
72200	Equipment and Furniture (PMU)	Office furniture	2,799	1	Direct purchases
72800	Information Technology Equipment (PMU)	Computers (2)	2,796	1	Direct purchases
72800	Information Technology Equipment (PMU)	Printer	496	1	Direct purchases
72800	Information Technology Equipment (PMU)	Video projector	466	1	Direct purchases
	Travel				
71600	Local travel expenses (C1)	In-country travel costs	1,864	1	Direct purchases
71600	Local travel expenses (2.1.1, 2.1.2, 2.1.4)	In-country travel costs	1,864	1	Direct purchases
71600	Local travel expenses (C3)	In-country travel costs	3,075	1	Direct purchases
71600	Travel (C4)	Travel expenses to participate in SCIP GP events	46,600	1	Direct purchases
71600	Travel (C5)	Travel expenses for project monitoring activities	778	1	Direct purchases
Total procurement Year 1			**1,715,136**		

Annex 12: GEF focal area specific annexes

1. Description of the project area (prioritized landscape)

The GAM is a small territory of 196,700 hectares, which represents approximately 3.84% of the national territory. It includes four provincial centers (San José, the country's capital, Alajuela, Heredia and Cartago), and is administratively comprised of 31 cantons and 164 districts, most of which are urban areas (see Table 1). 2,632,407 people live in this area,[50] about 53% of the country's total population. The population of GAM in 1984 was calculated at 1,288,082 inhabitants[51]. Not all the population of the GAM are beneficiaries; only people residing in 20 municipalities prioritized by the Project that belong to the GAM (urban and rural), population projection based on of the National Institute of Statistics and Censuses (INEC) for 2018, are considered direct project beneficiaries.

Table 1. GAM: cantons that make it up and those prioritized by the Project.

Province	**# of cantons of the GAM**	**Cantons**	**# of prioritized cantons**	**Cantons**
San Jose	13	San José, Escazú, Desamparados, Aserrí, Mora, Goicoechea, Santa Ana, Alajuelita, Coronado, Tibás, Moravia, Montes de Oca and Curridabat.	7	San José, Desamparados, Goicoechea, Alajuelita, Tibás, Montes de Oca and Curridabat
Alajuela	3	Alajuela, Poas, Atenas	1	Alajuela
Cartago	6	Cartago, Paraíso, La Unión, Alvarado, Oreamuno and El Guarco.	4	Cartago, Paraíso, La Union, Oreamuno
Heredia	9	Heredia, Barva, Santo Domingo, Santa Barbara, San Rafael, San Isidro, Belen, Flores, San Pablo.	8	Heredia, Barva, Santo Domingo, Santa Barbara, San Rafael, Belen, Flores, San Pablo.
TOTAL	**31**		**20**	

GAM is the economic heart of the country, concentrating the greatest business opportunities, with the highest income per capita, the vast majority of jobs and industrial, commercial and cultural activities. According to the Directory of Private Companies and Establishments[52], 63% of these are located in cantons within GAM´s territory, and employ 78% of the workers in private companies in the country (not including employer households or public employment). These cantons also concentrate 59% of the micro enterprises, 68% of the small enterprises, 74% of the medium enterprises and 79% of the large enterprises (classification is according to number of employees).

[50] INEC (2020). Population estimates and projections. 2020. Available at: https://www.inec.cr/poblacion/estimaciones-y-proyeCCPIones-de-poblacion.

[51] INEC. Population Census of 1963 and 1984.

[52] INEC (2019). Directory of Companies and Establishments 2018. Year 9. National Institute of Statistics and Census. San José, Costa Rica.

Over the last three decades, different public policies have encouraged the expansion of GAM, which has not only experienced accelerated growth (Figure 1), but also disorganized growth, lacking effective regulation, affecting the provision of services and the quality of life of its inhabitants. By 2018, the growing but discontinuous expansion of GAM's urban area accounted for a total urbanized or constructed area of 34,818 hectares (ha). The increase in the construction area in GAM resulted in a loss of riparian forest buffer zones, ecosystem connectivity, poor water quality, and air and soil pollution[53], as well as serious mobility problems that have had severe economic impacts on the country and its inhabitants.

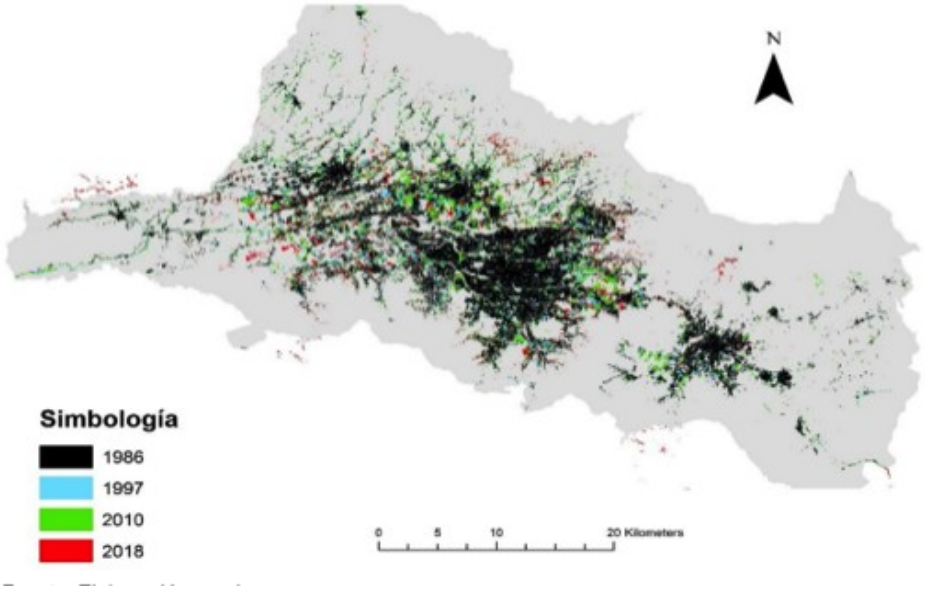


Figure 1. Growth of urban stain of the GAM 1986-2018. Source: State of the Nation Report, (2018).

1. Environmental context

Biodiversity at the landscape and ecosystem levels

Originally the GAM area corresponded to three ecoregions: Costa Rica's Seasonal Rainforest (80%), Talamanca Mountain Forest (13%) and Atlantic Isthmus Rainforest (7%). In the 20 cantons of the project, the seasonal rainforest is the least represented ecoregion, with only 18% of the original area, despite being the one with the greatest original coverage. The remnants are mostly secondary forests and are distributed in small fragments along the riverbanks, which can play a fundamental role in ensuring north-south structural connectivity between the KBAs. On the other hand, it should be noted that the most important continuous patches are preserved in the protective areas of Cerros de la Carpintera and Rio Tiribi, which are part of one of the key biodiversity areas of interest.

The mountain forests of Talamanca and Cordillera Central, a highly diverse and unique eco-region of flora and fauna, in the prioritized cantons within the GAM, retain most of their original distribution (69%), where more than half corresponds to mature forests, preserved mainly in Braulio Carrillo National Park, in the north-eastern sector of the study area, and in the Rio Navarro - Rio Sombrero Protected Zone and Tapantí National Park, in the south-western sector of the project area. The natural remnants of the Atlantic isthmus rainforest cover only 26% of its original coverage and are located mainly in the southwestern sector of the project area.

With regard to the current land cover, according to the most recent official data available from the National Forest Inventory (2014), in the 20 cantons of the project, more than 50% corresponds to the "non-forest" category which in this case includes urban areas and crop zones, followed by the categories of secondary forest, pasture and mature forest (see Table 2).

[53] PEN, 2019.

Table 2. Land cover in the Project's cantons.

Category	Area 2014 (km2)	Percentage (%)	Area 2019 (km2)	Percentage (%)
Forests and forest plantations	316,75	27	565,91	47
Non-forest (crop areas and urban area)	621,54	53	464,90	38
Clouds and shades	54,24	5	1,61	0,1
Pastures	177,72	15	175,96	15

There are four key biodiversity areas (KBAs) adjacent to the project area (Table 3). These are sites that contribute significantly to the persistence of biodiversity, which have been identified and agreed upon on a global scale. These four KBAs group a set of protected wildlife areas (ASP, for its acronym in Spanish), which border or are part of the GAM territory (some KBAs, particularly Cordillera de Talamanca and La Amistad Caribe, exceed the study area).

Table 3. Key areas for biodiversity and protected wildlife areas (ASP, for its acronym in Spanish), adjacent to GAM.

Name	Total area KBA (km2)	# Total ASP in KBA	#ASP adjacent to GEF7 at KBA	Surface of ASP (km2)
Central Volcanic Range (Cordillera Volcánica Central)	1936	14	4	1175
El Rodeo, Cerros de Escazú and La Carpintera	216	4	3	94
Talamanca Mountain Range (Cordillera de Talamanca)	4335	17	3	874
La Amistad Caribe	3628	15	3	874

Within the GAM, biodiversity is mainly conserved in what is defined as “trama verde” which are green urban spaces (areas made up of urban parks, green areas, tree-lined streets and avenues, railway lines, riverbank forests and other or protected wild areas, Decree No. 40043-MINAE, 2017, article No. 5). The interurban biological corridors (IBC) have been defined taking into account these areas defined as “trama verde” or green urban areas; they have then the objective of connecting all the remaining green spaces or those to be restored, in order to increase the structural and functional connectivity in the city (Castro-Álvarez, 2019). There are five interurban biological corridors (IBC) legally established in GAM, and four more in the process of being gazzeted (PNCB 2020) (Figure 2 and Table 4).

Rivers and their protection areas (PA) are essential elements for the connectivity in biological corridors in general, but especially in those constituted under the IUBC modality, where the level of fragmentation of the green urban spaces is extremely high. For this reason, PAs and other spaces defined as green urban spaces (Figure 3), should be addressed in an integral and priority manner as part of the project implementation.

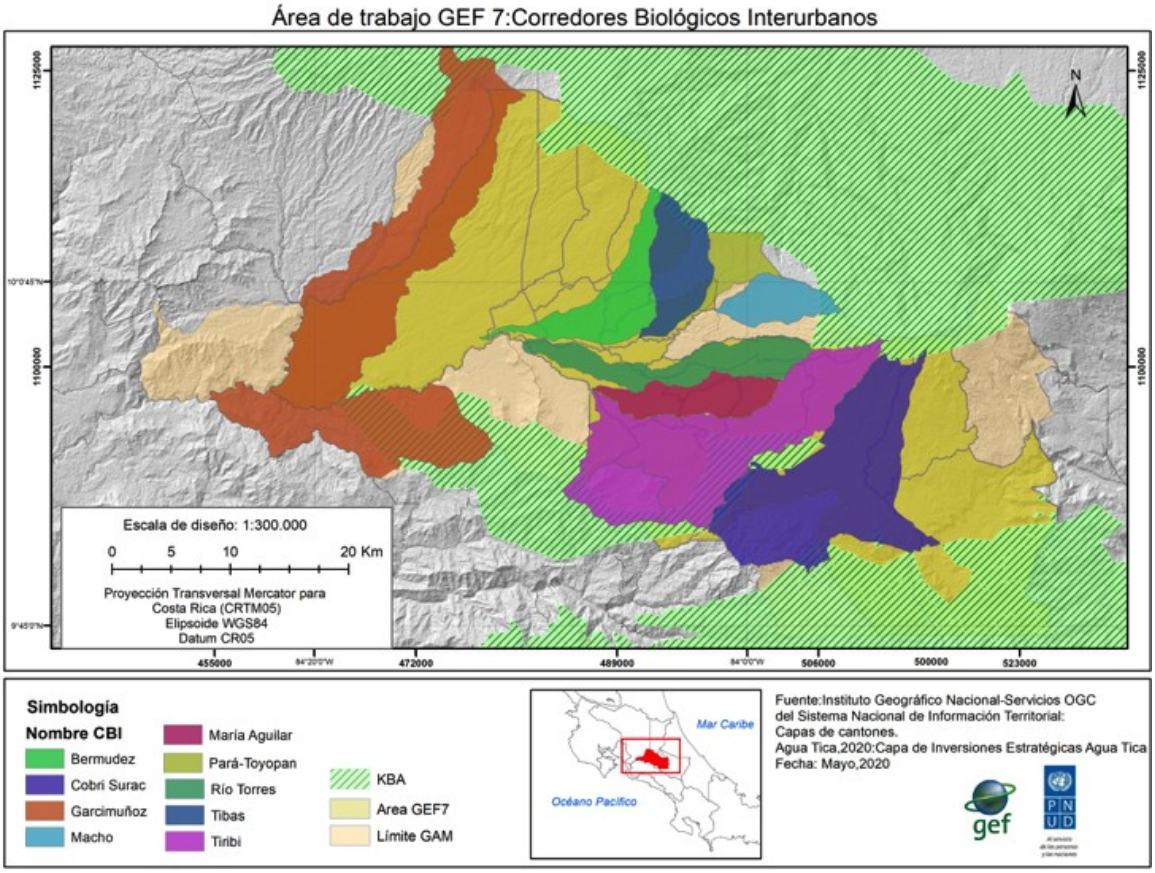


Figure 2. Location of key biodiversity areas (KBA) and biological corridors (IBC) in GAM.

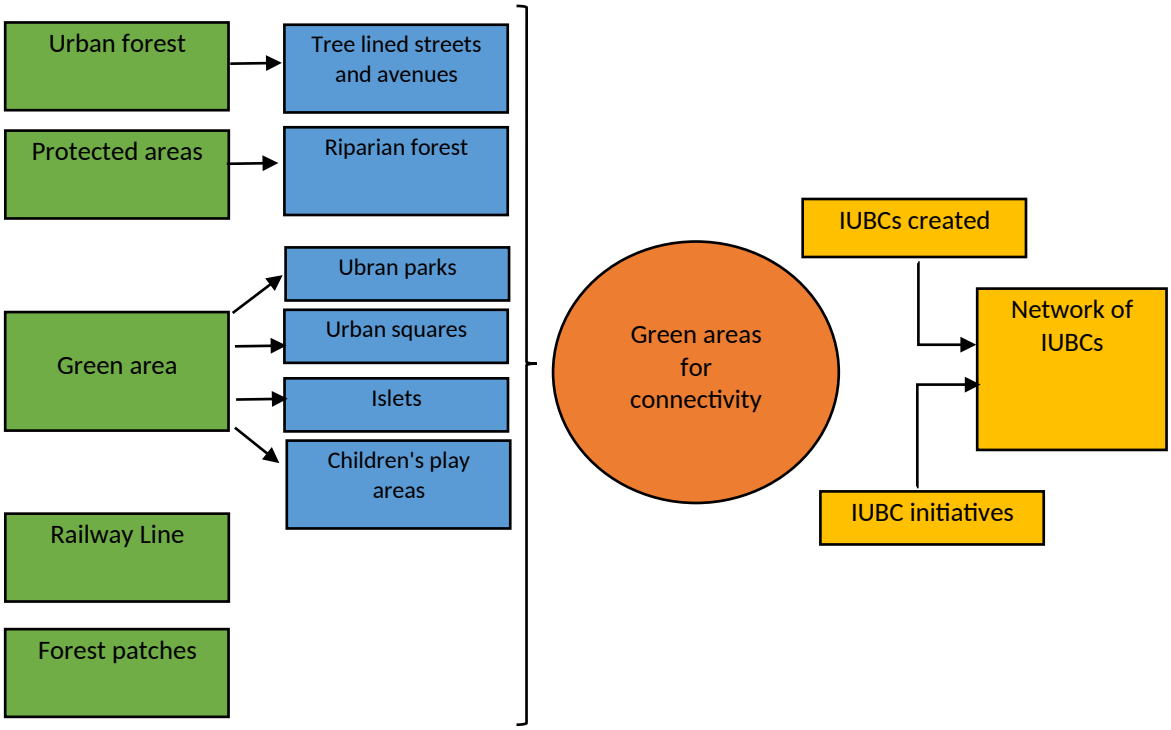
Table 4. Area of key biodiversity areas (KBA) and interurban biological corridors (IBC)

Type	Name	Area (km2)	# ASP that connects in GAM
KBA	Central Volcanic Range	1.936	4
	El Rodeo, Cerros de Escazú and La Carpintera	216	3
	Talamanca Mountain Range	4.335	3
	La Amistad Caribe	3.628	3
	Subtotal	***10.115***	
IBC	Bermudez	51	1
	Cobri Surac (official)	168	4
	Garcimuñoz (official)	298	6
	Macho	28	1
	Maria Aguilar (official)	39	3
	Pará- Toyopán (official)	22	2
	Torres River (official)	54	3
	Tibás	46	1
	Tiribi	174	2

	Subtotal	***879***	

Figure 3. Elements of the green urban space. Source: Modified from the Watershed Program of the Municipality of San José (Sánchez, et al., 2015).

Biodiversity at the species level



With regard to biodiversity at the species level, the occurrence of records for more than 7,099 species in the GAM area has been identified from the records available in the GBIF database, and as part of a study being developed by CATIE for the Biodiver_City Project (GIZ) (5). A specific study for reptiles in the GAM indicates that of the 174 species of snakes reported for the country, it is estimated that 73 are distributed around the territory of the GAM, and although studies at the population level are very scarce, it has been indicated that 54% of them have terrestrial habits, 5% of the species have semi-aquatic habits, living on the banks of rivers and the rest are arboreal species (Quesada-Acuña 2017).

Table 5. Number of species registered for GAM. Source: GIZ - CATIE (unpublished).

Group	Number of records	Number of species	Percentage of the number of species at the national level
Flora	5.5482	5.858	62%
Amphibians	2.777	151	75%
Reptiles	1.681	143	59%
Birds	477.165	787	86%
Mammals	2.322	160	64%

Based on the IUCN Red List database and through the Integrated Biodiversity Assessment Tool (IBAT), there is spatial information on the occurrence of 48 native species in the project area (IUCN 2018). Specifically for the case of the

María Aguilar Interurban Biological Corridor (CBIMA), the presence of 23 sensitive plant species has been reported, either because of their restricted distribution or because they are under some category of international (IUCN) or state protection (Wildlife Law, "*Ley de Vida Silvestre*"), including mostly bromeliads, cacti and orchids. For the group of birds, 1 species is reported as almost threatened, 6 vulnerable and 2 endangered (according to IUCN categories), and 10 species in danger of extinction in the country (MINAE - UNDP - GEF 2019). It should be noted that as products of the inventory of flora carried out by CBIMA, a list of 100 native species of CBIMA was also generated, recommended for reproduction and use in the various rehabilitation projects to be implemented.

Ecosystem Services

Cities constitute ecosystems in themselves, which are highly dependent on external inputs, but also capable of providing ecosystem services, or contributions from nature (IPBES, 2017; IPBES, 2018). Urban ecosystems are especially important for providing services with direct impact on human health and security, such as air purification, noise reduction, urban cooling, and runoff mitigation (Gómez-Baggethun, et al., 2013; IPBES, 2018). Public green spaces and the remaining vegetation in private spaces play an extremely important role as a refuge for the city's biodiversity. However, the abundance and richness of species will depend on the levels of urbanization that exist and the amount of non-native species that have thrived over time (CATIE - Municipality of Curridabat, 2019). The main material contributions of urban ecosystems are the provision of water, food, recreational, cultural and spiritual spaces. Among the main non-material contributions are climate regulation, water purification, pollination, and erosion control.

Some innovative experiences with the maintenance of urban spaces as pollinator habitat are being developed by the Municipality of Curridabat in the GAM, which considers pollinators (as well as other species, besides human) citizens, which are included within its strategic plan (Municipality of Curridabat 2018). Tree and shrub cover in water catchment areas in peri-urban areas has direct effects on the amount of water available. Riparian vegetation in river protection areas also plays a fundamental role in intercepting water during rainy events, the effects of which are increased not only by the greater intensity of rainfall, as a consequence of climate change, but also by the increase in surface runoff that occurs due to the increase in impermeable surfaces in urban areas.

Green infrastructure plays a key role in regulating local temperatures and buffering urban heat islands. A recent study for the canton of Curridabat, in the GAM, shows that temperatures associated with urban heat islands vary within the city, with maximum temperatures in the city center, often without trees and decreasing in tree-rich neighborhoods (CATIE - Municipality of Curridabat 2020, Municipality of Curridabat 2019 a.) Similarly, urban green infrastructure considerably absorbs, diverts and reflects the noise generated by traffic, construction and other human activities in cities. Urban vegetation contributes to mitigating the effects of air pollution produced by transportation and industry, with the consequent impacts on the reduction of respiratory and cardiovascular diseases associated with this type of pollution. Finally, urban green spaces provide fundamental benefits for recreation and leisure, increasing human well-being, and physical and mental health, although this benefit depends highly on accessibility, security, privacy and comfort (Gómez-Baggethun, and others 2013, FAO 2018).

2. Socio-economic context

Costa Rica has achieved an important social and economic development in the last three decades, reaching the point where its per capita income has almost doubled in that period (US$ 12.2 thousand, in 2019). Life expectancy is among the highest in the world and, prior to the Covid-19 pandemic, its poverty levels were relatively low compared to other Latin American countries. In 2019, the Gross Domestic Product (GDP) reached US$61.8 billion, with growth that had averaged 3.3% annually over the past 5 years. The economy is highly dependent on the service sector, which contributes 73% of GDP and is the main generator of jobs. Despite these advances, high rates of inequality measured by the Gini coefficient persist, reaching 0.514 per person and 0.508 per household (2019). Costa Rica stands out for its high Human Development Index of 0.794 in the region, its low Gender Inequality Index of 0.285, its universal health and education coverage, and its solid efforts to protect the environment, use renewable energies, promote ecotourism, and define actions for the decarbonization of the economy.

Sociodemographic characterization of the Central Urban Region (RCU, for its acronym in Spanish) as a proxy for GAM

Costa Rica's RCU, with 2,704,698 inhabitants and 853,747 households, concentrates more than half of the country's population and households (53%). The contribution of this region to the labor force and the economically active population (EAP) is more than proportional. The jobs and those with the best salaries are concentrated there. This situation means that the region attracts population from other parts of the country, concentrating 60% of internal migrants and 58% of foreign migrants, and lower levels of poverty than in the rest of the country (14% live in poor homes, and 5% in extreme poverty, compared to 21% and 9% respectively in the rest of the country). In this region, with a population of greater purchasing power, 60% of households with their own vehicle are also concentrated, which explains the high levels of daily traffic congestion.

Trade and manufacturing account for almost a third of employment in the RCU, followed by administrative services, household employees (mainly low-skilled women), education (mainly high-skilled women), construction and transport (mainly low-skilled men). The RCU concentrates Costa Rica's economic activity and employment, and is in better social conditions than the rest of the country. However, the region faces a complex social and economic situation because it has not been able to be sufficiently dynamic and strategic to reduce persistent socioeconomic gaps and achieve productive linkages with populations outside its territory.

63% of the homes are connected to an aqueduct from the Aqueducts and Sewers Company (AyA), 22% to a municipal aqueduct and 9% to a rural aqueduct. For sewage, 36% use a sewer connection, but, regardless of the region, most households use common septic tanks, 61% in the RCU. This is a concern in the region because of the density of tanks in an area that is relatively small and poses a significant challenge, as well as an opportunity to be considered in urban renewal projects and new constructions.

As for the management of solid waste by households, the habits in the RCU show to be more environmentally responsible than in the rest of the country. The separation of solid waste of different types occurs to a greater extent in households with higher income quintiles, which are also associated with higher educational levels.

Characteristics of the GAM and the 20 prioritized cantons of the Project

The 20 cantons prioritized by the project represent 65% of the cantons and 25% of the country's cantons. The combined area of these 20 cantons covers 2,079.5 km2 (64% of GAM cantons and 4.1% of the national territory). This area, which is mainly urban, is home to 2,134,932 people, 43% of the country's population (and 81% of the cantons in the GAM) (see Table 6)

The GAM cantons concentrate 54% of the economically active population (EAP), which is a relatively similar proportion to the number of people who live there (53%). However, the proportion of workers with direct insurance is higher (70%) than in the rest of the country, especially among those working in the service and industrial sectors (73%). GAM is home to 66% of the employers, 67% of the exporting companies and 60% of the financial institutions, reflecting the importance that the region represents for the national economy. Around 67% of the country's exports are produced in these cantons.

Table 6. Indicators of the 20 cantons selected for the Project.

Canton	Population 2018 (1)	Financial Management Index (2)	Cantons with territory in IBC(3)	With train	Human Developme nt (4)	Province
San Jose	342,188	75.70	X	X	19	San Jose
Desamparados	240,671	84.81			18	
Goicoechea	136,112	72.40	X	X	3	
Alajuelita	91,917	63.77			70	
Tibás	83,564	70.83	X	X	29	
Montes de Oca	62,107	75.70	X	X	15	
Curridabat	78,331	76.16	X	X	31	
Alajuela	306,206	68.75	X	X	66	Alajuela
Cartago	161,727	79.89	X	X	81	Cartago

Paraíso	62,007	77.65	X	X	60	
La Unión	110,194	74.85	X	X	41	
Oreamuno	49,229	66.89		X	16	
Heredia	140,131	83.99	X	X	1	Heredia
Barva	45,751	67.78			23	
Santo Domingo	48,130	74.55	X	X	10	
Santa Barbara	41,637	56.27			22	
San Rafael	53,901	83.10			9	
Belén	26,016	82.06	X	X	16	
Flores	24,315	73.18		X	30	
San Pablo	30,798	71.37		X	8	
TOTAL	**2,134,932**		**12**	**15**		**4**
TOTAL GAM	**2,632,407**			**15**		**4**

(1) In 2011, Census data. In 2018, INEC estimate, 2019.
(2) CCR, 2018.
(3) Project, 2020.
(4) UNDP, 2011.

The cantons prioritized by the Project have less than the national average for water potability and access to improved sanitation. With the exception of the cantons of Cartago, all selected cantons present water stress above the national average and most cantons are vulnerable to natural events such as landslides and heavy rains. In GAM, the condition of rivers is closely related to waste management. Several of the clandestine dumps and official landfills are concentrated in the vicinity of the IBC and biological corridors. Most of the indicators available at the cantonal level related to health and welfare, present the situation of residents in the GAM at an advantage compared to the rest of the country's cantons.

In 2018, the cantons in GAM concentrated almost half of the constructed areas (49%) and 31% of the works in Costa Rica. In the 20 cantons selected for the Project, these percentages reached 36% and 22% of the country, respectively, and these cantons are the most urbanized districts in the country. In the selected cantons, with the exception of Paraíso, Oreamuno, Santa Bárbara, and San Pablo, there are districts whose urbanized area exceeds 60% of the territory.

The cantons have local governments or municipalities that are elected every four years by the residents of each territory. In the last four years, women's participation in political decision-making positions in the municipalities had been underrepresented in 9 of the 20 cantons selected by the Project. The lack of equity in local political participation reduces the possibility of considering gender mainstreaming perspective in the management of the municipal administration.

According to information from the Comptroller General of the Republic (CGR) on the investment made by the municipalities (which includes items such as investment in parks and ornamental works, and attention to services and social works) as a percentage of their total income, the cantons that have a relatively high per capita income and therefore greater economic possibilities (San José, Curridabat, Heredia and Belén are those that proportionally allocate more resources than others to these issues). A similar situation can be observed in the levels of investment in environmental issues (cleaning of roads and public sites, collection, deposit and treatment of waste, as well as the improvement of parks and ornamental works).

2. Methodology used to assess the project's carbon benefits

This annex describes how the project's carbon benefits were estimated. Estimates are reported in tons of carbon dioxide equivalent (CO2e) and were assessed in three ways:

- The GHG emissions directly mitigated by the project during its lifetime (5 years), attributable to the investments during the project's implementation period, totaled over the respective lifetime of the investments.

- Directly mitigated GHG emissions post-project, attributable to investments outside the period of supervised project implementation, but supported by **financial facilities or regulatory interventions** of the project, totaled over the respective life of the investments.

- Indirectly mitigated GHG emissions attributable to the long-term results of project activities that remove barriers such as **capacity building, innovation and catalytic action for replication**.

In order to determine the carbon benefits linked to the Project, the first step was to estimate the country's potential greenhouse gas (GHG) emissions for the period 2021-2040 in a "Business as usual" (BAU) scenario, corresponding to all 32 cantons that make up the Greater Metropolitan Area (GAM), defined as the project's area of influence.

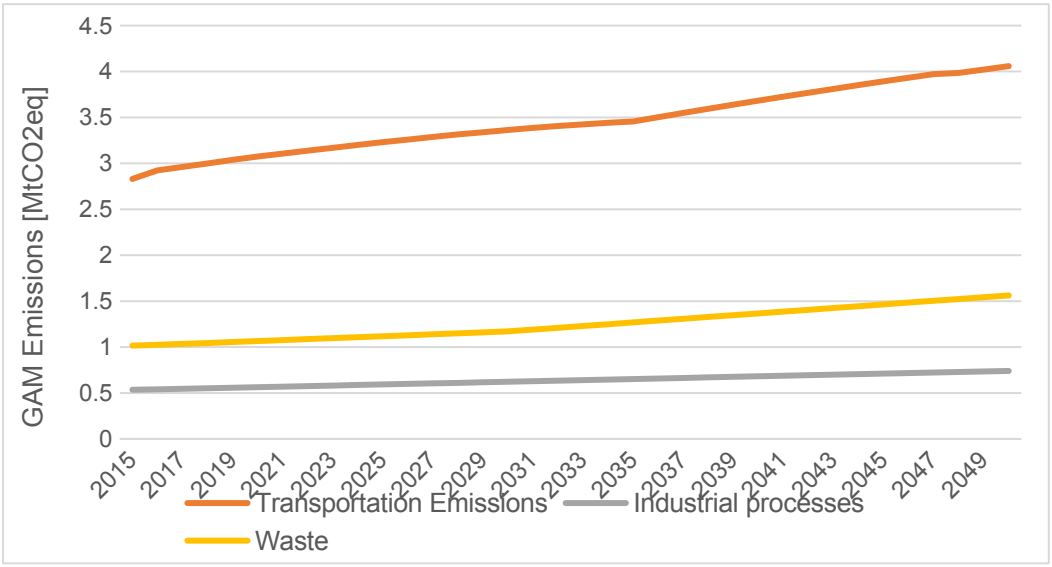
The calculation of total emissions in the country was made for three of the four sectors considered within the National Greenhouse Gas Inventory[54]: i) Transport, ii) Waste and iii) Industrial Processes, although the project does not have direct actions on this last sector. The Agriculture, Forestry and Other Land Use Sector (AFOLU) is not considered, since the tendency of this sector is to be a carbon sink[55] and the actions of the project are aimed at restoring the urban and peri-urban landscape of the GAM, with a priority in the interurban biological corridors.

At the same time, the national population was projected for the next 20 years. With this information, it was possible to make an estimate of per capita emissions for each sector and with the projection of the GAM population, and this way calculate the figure of emissions for this region, in the mentioned period of time (see annex #1).

The results for the period 2021-2040 indicate a cumulative total of **104.03 $MTCO_2e$**[56] emissions for GAM distributed as follows:

- 67.50 $MTCO_2eq$ for the transport sector in the GAM
- 12.51 $MTCO_2eq$ for industrial processes in the GAM
- 24.02 MTCO2eq for the waste sector in the GAM

Figure N°1. Estimate of emissions from the transport, waste and industrial process sectors for GAM in a BAU scenario.



[54] The results of the National Greenhouse Inventory, with the trend of GHG emissions by sector as defined by the Intergovernmental Panel on Climate Change (IPCC) and subsequently descriptions of aggregate results for GHG and carbon dioxide equivalent (CO2e).

[55] The AFOLU sector reported 2197.74, 1727.79 and 179.41 Gg tCO2eq in the years 2010, 2012 and 2015 respectively.

[56] MTCO2e: millions of tons of CO_2e

Source: Directorate of Climate Change. MINAE. November 2020.

The total avoided emissions for the project are calculated from the definition of mitigation actions, with emissions avoided directly from the project, those avoided directly post-project and those avoided indirectly, as mentioned above. In total the project estimates the reduction of about **1.95 MTCO$_2$e**. Out of this grand total, **58,733 tCO$_2$e** come from emissions avoided directly during project execution, **1,688,806 tCO$_2$** are directly attributable to the project but are mitigated in subsequent years (mainly as result of structural policy and regulatory changes). A total of **200,000 tCO$_2$** are expected avoided indirectly (Table N°2).

It should be noted that the various actions promoted by the project Transition to a Green Urban Economy and Global Environmental Benefits with its four components, would be collaborating directly and indirectly with a reduction and capture of about **1.9% of estimated emissions for the GAM during the period of 20 years (2021-2040).**

The methodological breakdown of the calculations is shown later in detail. However, it is important to note that these estimates should be verified during the project implementation phase, since they are based on assumptions that can be adjusted at that stage. For example, the annual distribution of the areas to be restored, since it may be that the sowing of these areas is reached before the last year of the project and a greater number of emissions could be avoided in advance.

Table N°1. Emissions avoided by the project. In tons of CO$_2$e.

	Emissions avoided in 20 years	tCO2e
Directly during project	Transport sector (TOD and sustainable mobility)	9,675
	Carbon sequestration for restoration actions 2000 ha	49,058
	Subtotal	**58.733**
Directly post-project	Transport sector (TOD and sustainable mobility)	183,825
	Carbon sequestration for restoration actions 2000 ha	555,989
	Reduction of emissions related to waste management	948,992
	Subtotal	**1,747,539**
Indirectly	Capacity building, innovation and catalytic action of the project.	200,000
	Subtotal	**200.000**
TOTAL		**1,947,539**

The methodologies used for this calculation are described below:

Reductions of emissions related to the transport sector:

In 2015 Costa Rica had total GHG emissions of 10.9 MtCO$_2$e of which the transport sector contributed 51%[57] . Emissions from the transport sector are expected to increase by 44% by 2050 without mitigation measures[58] . The share of public transport has decreased over the last decade from 64% to 41%, while private car and private transport services have increased. This is also related to an inefficient public transport system. The consequences of this trend are increase air pollution, traffic congestion, and accidents. Traffic congestion costs alone are estimated at 4% of GDP in 2018[59]. **Sustainable mobility and within it, non-motorized transport (NMT)** plays only a marginal role, due to the lack of infrastructure for pedestrians and bicycles and the associated safety problems. Barriers to a new transport system are mainly of a financial nature and limited experience with transport-oriented development (TOD) measures.

The Central American Bank for Economic Integration (CABEI) approved a $550 million credit to finance the construction, equipment, commissioning, operation and maintenance, under the modality of Public Service

[57] Costa Rica 2019: 2nd Biennial Update Report to the United Nations Framework Convention on Climate Change First Edition.

[58] Government of Costa Rica. (2019). *National Decarbonization Plan. 2018-2050.*

[59] State of the Nation-CONARE program. State of the Nation *Report on Sustainable Human Development 2018.*

Concession, of the Rapid Passenger Train System (TRP, for its acronym in Spanish), known as the Metropolitan Electric Train (TEM) of the Greater Metropolitan Area (GAM). To this end, it hired Grütter Consulting (GC)[60] to prepare a $250 million co-financing proposal for the Green Climate Fund (GCF), which includes a $40 million grant.

For this proposal, GC is supporting the technical studies for financing the transformation of transport in the Greater Metropolitan Area (GAM) towards non-motorized transport, where the TEM becomes the main axis and includes the options of the shared use of regular bicycles, electrical bicycles and electric scooters to increase the proportion of zero emission modes and improve the connectivity of TEM with other modes of transport. Similarly, the initial design of TEM projects emphasizes the importance of infrastructure projects to promote sustainable mobility, such as bike lanes, pedestrian bridges, bicycle parking, etc. These latter aspects are considered within the project *Transition towards a green urban economy and generation of global environmental benefits*.

The GC had to determine the impact on greenhouse gases (GHG), including the cost in dollars ($) per ton of CO_2 reduced. The methodological approach to determine the emission reductions from the TEM is based on an approved Clean Development Mechanism methodology developed by GC and has been used to estimate the transport related emissions reductions for this project.

According to these estimates, the impact of GHG reduction is:

a) **Average annual reduction due to TEM:** 148,700 tCO_2e per year for a total of 6.54 $MtCO_2e$ throughout its lifetime (44 years).

b) **Average annual reduction due to Non-Motorized Transport (Sustainable Mobility) [61]:** 15,700 tCO_2e per year, for a total of 691,000 tCO_2e throughout its lifetime.

c) **Average annual reduction due to Transport-Oriented Development (TOD)**: reduces GHG emissions through behavior changes in travel in the short-term and in lifestyle changes in the Long-term[62]. Reductions of 23,000 tCO_2e per year and 1,011,000 tCO_2e are expected over the lifetime of the project.

d) GC estimates that the project has a cumulative average annual GHG reduction of **187,400 tCO_2e and an impact over the lifetime of the project of 8,247,000 tCO_2e.** This is a conservative estimate, since it does not include the indirect effects of the measures, the synergies of an improved public transport system, optimization of connections that increase the number of passengers, among other things.

With this information, it is estimated that for the **period of 20 years,** 3.7 $MtCO_2e$ emissions will have been mitigated (187.400 x20). Considering the same proportion of TOD and non-motorized transport in relation to the overall cumulative emissions of the train used in the feasibility study of GC (ca. 20%) we can assume that **774,000 tCO_2e are attributable to complementary actions that favor sustainable mobility and TOD (b+c) in 20 years.**

The measures proposed by the GEF Project 7 for Costa Rica, although it has the TEM as its backbone, are not dependent of the investments needed to build it. The major part of results are intend to be achieved through

[60] Grütter Consulting (GC) develops sustainable transport projects that include policy development, biofuel implementation, urban and interurban mobility, electric and gas vehicles, cargo and logistics projects. It has implemented several projects in road transport (urban and interurban), rail and maritime with the aim of identifying options to reduce the environmental footprint of transport. In addition, GC performs financial structuring within the framework of its projects.

[61] The methodological approach to determine the impact of GHGs is based on a Global Environment Facility (GEF, 2015) approach based on (i) km of bike lanes (ii) number of additional bicycle trips (iii) trip duration (iv) baseline model (iv) reference mode emission factors.

Parameter values are based on GEF defaults and local monitored data

[62] The methodological approach used was developed by Grutter Consulting in collaboration with MIT / USA for the World Bank and was applied in a large scale TOD project in Nanchang / China. It is based on an approach that compares GHG emissions from transport per BAU resident and in TOD. Important parameters are the number of residents in the area of influence, the estimated mode shift and the change in travel distances and emission factors.

upstream regulatory and policy arrangements which will generate a variety of opportunities to reduce emissions in the GAM:

TOD policy arrangements linked to outputs 1.1.1, 1.1.2 and 1.1.3 that will advance with the activities at the Multilevel Technical Table: promoted TOD measures, roadmap for decarbonization, plans of urban renovation in the 20 cantons of the GAM connected to the TEM, re-definition of traffic routes, design of urban green infrastructure, planning and zoning of the use of the land (driving zones). These measures may be effective during the implementation phase of the project.

Enhancement in the legal framework to favor green taxation (1.1.5), which is estimated to have a great impact on the reduction of emissions from transport.

Promotion of sustainable mobility actions in the GAM linked to the TEM (output 2.1.3), with direct investments in infrastructure to favor sustainable mobility, such as sidewalks, bike lanes, pedestrian bridges, promoting walking and cycling as the main transport modes. This output 2.1.3 will include investments in sustainable mobility with the following targets: a) Cycle paths: 8 km; b) shared roads and pedestrian routes: 3 km; c) sidewalks with improved access and green sidewalks: 20 km.

Private sector strategy that contributes to the expansion of businesses that promote low carbon transport options linked to TEM (Bio business in output 3.1.3.)

These policy and incremental investment measures, aligned with the planned project support for building the TEM, are seen as having a high impact on the decarbonization of GAM. The calculation of avoided emissions attributable to the GEF project was estimated applying a GEF causality factor of 25% to the contribution made by sustainable mobility and TOD according to the emissions estimations of the train (774,000 tCO_2)for the period of 2025 to 2045 (last year of project).

With a GEF causality factor of 25% applied to the TEM estimations for sustainable mobility and TOD (774,000 tCO_2e), the GEF project will generate **193,500 tCO_2e** total emissions reductions for the life time of measures (20years) form transport measures.

This value was reached with a top-down analysis and by consensus of the personnel of the Climate Change Directorate of MINAE. In this way, **9,675 tCO_2e would be directly avoided during the project implementation phase and 183,825 tCO_2e after the project.** This estimate include emission reductions resulting from the implementation of sustainable mobility policies and regulatory measures as well as downstream activities as stated in Output 2.1.3.

Carbon sequestration:

The carbon sequestration estimate is based on the proposed 2,000 ha of restored land within the project. The Child Project approved document considered that in Costa Rica the conditions of reforestation in plantations allow the capture of 12 tCO_2 per hectare per year, considering a reforestation with more than 1000 trees per hectare. Thus, 2,000 ha for 12 tCO_2 per year would be equivalent to 24,000 tCO_2 per year of direct sequestration, or 480,000 tCO_2 during 20 years.

However, during the PPG phase, the analysis revealed that in the GAM it is not possible to have plantation type reforestation conditions, but partial restoration of areas and with different schemes, more adapted to cities and peri-urban areas, within which reforestation of protection areas (PA) of rivers are included. The project includes the development of a variety of projects, such as: streams, creeks and springs[63], agroforestry and silvopastoral systems,

[63] According to current legislation, PAs are: i. Areas bordering permanent springs, defined within a radius of one hundred meters measured horizontally. ii. A strip of fifteen meters in rural areas and ten meters in urban areas, measured horizontally on both sides, on the banks of rivers, streams or creeks, if the land is flat, and fifty meters horizontally, if the land is irregular. iii. A zone of fifty meters measured horizontally on the banks of lakes and natural reservoirs and in artificial lakes or reservoirs built by the State and its institutions. Private artificial lakes and reservoirs are excepted. iv. The recharge areas and the aquifers of the springs, whose limits will be determined by the competent bodies established in the regulations of this law. In addition, according to Article 31 of the Water Law No. 276: "The following are declared as a title reservation agreement in favor of the Nation": i. The lands that surround the sites of drinking water catchment or water supply, in a perimeter of no less than two hundred meters radius; ii. the forest area that protects or must protect the set of lands where the infiltration of drinking water occurs, as well as those that provide a seat to water basins and deposit margins, water fountains or a permanent course of the same waters.

mainly coffee, in the cantons that still have areas with agricultural production, as well as assisted regeneration, private urban gardens and reforestation of connectivity routes. The definition will be made as part of the participatory exercise during the prioritization of the areas to be restored. However, the following table presents an estimate of the possible area for each of the proposed schemes, as a result of the analyses during PPG.

With support from IUCN and using **the EX-ACT tool,** the capture/emission factors were adjusted to the official factors reported in the Costa Rica REDD+ reference levels. This gives a total of 20 years' captured emissions of TCO_2e, with, for example, the restoration of protection areas sequestering the most carbon (451.15 TCO_2e/ha) versus urban gardens, which only sequester 11.7 TCO_2e/ha. Details can be seen in Table 3 and Annex 2 of this document.

Investments in the restoration of urban and peri-urban ecosystems (Outputs 2.1.1. and 2.1.2) will be made in a staggered manner during the 5 years of the project's implementation, but its results in the carbon capture will be achieved gradually as the different systems established are consolidated. The first year of the project is considered necessary for planning of the different areas, through remote sensing instruments and participatory plans for the management of cantonal green urban areas ("*trama verde*" cantonal), as well as the preparation or purchase of genetic material and consolidation of some plant nurseries. Therefore, planting will not begin until the second year, assuming a distribution of 25% per year, so that at the end of year 2 there will be 500 hectares restored. By year 3 there will be 500 more hectares restored reaching 1000 hectares. Year 4 would reach 1500 hectares and year 5 would meet the goal of 2000 hectares. The carbon benefits of the second year are accounted for from the third year onwards, and in this way, by year 6 the 2000 ha are completed. From this year and for 16 additional years (until a 20-year period is reached) the carbon benefits of the entire restored area are counted.

This annual distribution was made respecting the emissions that are sequestered by each one of the restoration schemes proposed. As it is not feasible to establish from now on which ones will be used, a percentage distribution was made to each of the defined systems. However, this calculation should be fine-tuned annually during the implementation of the project, once the restored areas have been established.

Table N°2. CO_2e capture factors, according to the restoration scheme.

Restoration scheme	Area (ha)	TCO_2e/ha in 20 years	TCO_2e/ avoided in 20 years, according to the restored areas (500 ha/year/4 years
Protection areas (rivers and springs)	701	451.15	292.537
Silvopastoral system (dairy - dual purpose)	100	167.53	15.497
Assisted regeneration (in urban parks, private areas)	280	350.40	90.754
Urban private gardens (patios, green areas in condominiums) and public/community gardens	140	11.71	1.516
Agroforestry system in coffee	229	124.97	26.472
Connectivity routes	550	350.41	178.271
TOTAL	**2000**		**605.046**

Source: IUCN. 2020

Reduction of emissions related to waste management

The 2nd Biennial Update Report of Costa Rica to the United Nations Framework Convention on Climate Change, presented in 2019[64], estimates that the relative gas emissions, expressed in terms of CO_2 equivalent, of the solid waste sector (solid waste disposal[65], biological treatment, incineration and open incineration of waste and the treatment and disposal of wastewater) was 2,084.61 Gg[66] (2,084,610 MT) of CO_2e, corresponding to 19.2% of the country's total emissions, this being the second most important source. Of the total gases in this sector, 67% are attributed to solid waste and 33% to wastewater management.

The estimate of GHG emissions in the Waste Sector (solids and wastewater) made by the Directorate of Climate Change for the period 2021-2040 results in **24.02 MTCO$_2$eq** for GAM, if the BAU scenario is maintained.

The biological treatment of solid waste involves composting from household waste. Incineration and open waste incineration include the incineration of waste containing fossil carbon (e.g. plastics) and are important sources of CO2 emissions. Domestic wastewater is treated in different ways, with septic tanks being the main form of treatment. It also includes treated and untreated sanitary sewer systems.

In this sense, the GAM cantons generate 56.5% of the country's daily solid waste (50% being organic waste), which must be transported to landfills and treated. It is expected that the Project will mark a differentiation in the management of domestic solid waste in GAM with the following measures:

- Reform the Law of Integrated Solid Waste Management
- Reform to the Law of Creation of the Costa Rican Institute of Aqueducts and Sewers (ICAA)
- Seeking to reduce the organic waste currently disposed at disposal sites by stimulating commercial opportunities for composting, recycling and reuse and management of septic sludge (Outputs 3.1.1, 3.1.3).
- The same applies to actions to control illegal wastewater discharges, connection to the sanitary sewer service to eliminate septic tanks (Output 2.1.4)

The country is building the Nationally Appropriate Mitigation Action (NAMA) for the solid waste sector, which will allow the project to join efforts in the integrated management of solid waste and be able to take better actions in GHG mitigation. In addition, the project is building on the enforcement recently approved Law (N° 9825, 2020) Reform of the Law for the Integral Management of Waste, Organic Law of the Environment, and the Municipal Code, which dictates that the municipalities will be responsible for the comprehensive management of the waste generated in their canton and enables them to apply sanction for non-compliance, as well as the collection of the corresponding fines. The enforcement of this law will largely contribute to achieving the emissions reductions targets set by the project.

Although these actions will begin in year 2 of the project, they will not have immediate results, since the adoption of the new management schemes as well as the bio-businesses that stimulate the least amount of transported and treated solid waste, as well as a gradual incorporation of the waste waters to the sanitary sewer system and an effective management of sludge, will take several years. Therefore, the analysis showed that during the first 5 years there will be no decrease in emissions (project implementation period), which will begin to occur as of year 6 and up to year 20, according to the following estimate made, the following causality factors:

From year 1 to year 5, emissions remain the same as the BAU scenario.

A 2.5% decrease from the BAU scenario from year 6 to year 10[67]

A 5% decrease from the BAU scenario from year 11 to year 15

A 7.5% decrease from the BAU scenario from year 16 to year 20[68]

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[64] Costa Rica 2019: 2nd Biennial Update Report to the United Nations Framework Convention on Climate Change First Edition.

[65] Solid waste disposal includes managed waste disposal sites (landfills), unmanaged waste disposal sites (dumps) and uncategorized waste disposal sites

[66] (1Gg=1000 tons),

[67] Rates and emissions reductions factors aligned with GIZ´s Indonesia waste management project: https://www.bmz.de/resource/blob/66274/27a8838ee4e56373325c65bbc3ae4960/BMZ_infoblatt%20climate%20change%20mitigation%20in%20cities_en.pdf .

[68] Why cities need to advance to zero waste: https://www.c40knowledgehub.org/s/article/Why-cities-need-to-advance-towards-

At the end of the period there would be a reduction in emissions of about 0.95 $MtCO_2e$, as shown in the table below.

Table N°3. Avoided emissions for the waste sector 2021-2040. In millions of tons

Year	TOTAL EMISSIONS	AVOIDED EMISSIONS
1 (2021)	1,07583025	
2 (2022)	1,086386307	
3 (2023)	1,096940503	
4 (2024)	1,107495587	
5 (2025)	1,118049769	
6 (2026)	1,128604927	0,028215123
7 (2027)	1,139160665	0,028479017
8 (2028)	1,149714515	0,028742863
9 (2029)	1,160269769	0,029006744
10 (2030)	1,170823764	0,029270594
11 (2031)	1,19040056	0,059520028
12 (2032)	1,20997848	0,060498924
13 (2033)	1,229553938	0,061477697
14 (2034)	1,249132858	0,062456643
15 (2035)	1,268707559	0,063435378
16 (2036)	1,288284502	0,096621338
17 (2037)	1,30786123	0,098089592
18 (2038)	1,32743819	0,099557864
19 (2039)	1,347015114	0,101026134
20 (2040)	1,366593181	0,102494489
TOTAL	**24,01824167**	**0,948892427**

Source: Based on data from the Climate Change Directorate, MINAE.2020

Indirect avoided emissions:

These avoided emissions are attributable to the long-term results of project activities that remove barriers, such as **capacity building, innovation and catalytic action for replication.**

In this respect, the Project contemplates in the output 1.7.1 a process of increasing the institutional and municipal capacities to implement structural reforms of environmental and financial policies, sustainable integrated urban planning and the delivery of global environmental benefits. This training program is expected to benefit 1200 people (managers, technicians and local decision makers, legislative advisors, officials of public institutions linked to urban development, environmental management and territorial planning). Likewise, output 4.1.1 mentions the creation of an information and knowledge exchange platform established at the national level that allows the systematization of lessons learned and best practices, and increases awareness on sustainable integrated urban planning, the transition to a green urban economy and gender aspects, among other topics.

It will also be considered that a catalytic action of the project may impact the industrial sector and have reductions in the expected emissions from the project, from the reduction of emissions produced by industrial processes and uses of GHGs in subsectors such as the minerals industry (e.g. cement, lime and glass production), in the use of sulfur

zero-waste?language=en_US).

hexafluoride (SF6) in electrical equipment and the use of substitutes for ozone-depleting products for refrigeration and air conditioning. On the other hand, the incorporation of the "the polluter pays principle" in the policies developed through Component 1 of the project will have an impact on the reduction of emissions in this sector. The total emissions of the industrial sector for 2015 were 1,320,300 tCO_2e. It is estimated that the emissions will reach the order of 12.51 $MTCO_2eq$ (see annex N°1) for industrial processes only within the GAM and during the period of 2021-2040.

The reduction of accumulated indirect emissions during the period 2021-2040, resulting from actions carried out by the project that may impact the GAM, were calculated from the sum of these accumulated efforts during the period, assigning a fixed amount of annual emissions of avoided emissions, as an additional value to direct emissions. Therefore, it was considered that 10,000 tCO2e of annual emissions would be the achievable amount, for a total of 200,000 tCO2 in 20 years.

ANNEX N°1: COSTA RICA: TOTAL EMISSIONS, PER CAPITA AND EMISSIONS FOR THE GAM (in MTCO2eq)

	Total emissions [MtCO2eq]			Emissions per capita [MtCO2eq/person]			GAM emissions [MTCO2eq]		
Year	Transportation Emissions	Industrial processes	Waste	Transportation Emissions	Industrial processes	Waste	Transportation Emissions	Industrial processes	Waste
2015	5,3615657	1,014455	1,924454	1,10954E-06	2,09935E-07	3,98254E-07	2,830737089	0,53560015	1,016050985
2016	5,542089	1,025713333	1,944516	1,13327E-06	2,09741E-07	3,97621E-07	2,922732063	0,540930549	1,025479455
2017	5,6203088	1,036971667	1,964577	1,13599E-06	2,09596E-07	3,97086E-07	2,960487872	0,546223019	1,034837584
2018	5,6997721	1,04823	1,984639	1,13918E-06	2,09504E-07	3,96659E-07	2,998789017	0,55149935	1,044166717
2019	5,7747009	1,059488333	2,0047	1,1417E-06	2,09468E-07	3,96342E-07	3,038209539	0,557422387	1,054721055
2020	5,8433654	1,070746667	2,024761	1,14324E-06	2,09489E-07	3,96139E-07	3,074338229	0,563346152	1,06527677
2021	5,9042352	1,082005	2,044823	1,14356E-06	2,09567E-07	3,9605E-07	3,106359487	0,569268734	1,07583025
2022	5,9659181	1,093263333	2,064884	1,14435E-06	2,09704E-07	3,96075E-07	3,138815979	0,57519268	1,086386307
2023	6,0237764	1,104521667	2,084946	1,14472E-06	2,09896E-07	3,96209E-07	3,169254876	0,58111564	1,096940503
2024	6,08373233	1,11578	2,105007	1,14579E-06	2,10142E-07	3,9645E-07	3,200799959	0,587039072	1,107495587
2025	6,14247254	1,127038333	2,125069	1,14693E-06	2,10441E-07	3,96794E-07	3,231702813	0,592962024	1,118049769
2026	6,19510902	1,138296667	2,14513	1,14722E-06	2,10792E-07	3,97239E-07	3,259397165	0,598885494	1,128604927
2027	6,2486128	1,149555	2,165191	1,14798E-06	2,11193E-07	3,97783E-07	3,287549500	0,604809273	1,139160665
2028	6,30061173	1,160813333	2,185253	1,14875E-06	2,11643E-07	3,98422E-07	3,314904648	0,610732049	1,149714515
2029	6,34604912	1,172071667	2,205314	1,1486E-06	2,12139E-07	3,99151E-07	3,338811658	0,616655571	1,160269769
2030	6,39233691	1,18333	2,225376	1,14889E-06	2,1268E-07	3,99966E-07	3,363162461	0,622578423	1,170823764
2031	6,43698064	1,194588333	2,262585	1,14916E-06	2,13263E-07	4,03927E-07	3,386650834	0,628501747	1,19040056
2032	6,4768799	1,205846667	2,299794	1,14884E-06	2,13888E-07	4,07928E-07	3,407646189	0,634425659	1,209978482
2033	6,50999561	1,217105	2,337004	1,14759E-06	2,14554E-07	4,11972E-07	3,425065621	0,64034828	1,229553938
2034	6,54114625	1,228363333	2,374213	1,14595E-06	2,15198E-07	4,1594E-07	3,441460797	0,646272701	1,24913285

									8
2035	6,5698783	1,239621667	2,411422	1,14416E-06	2,15883E-07	4,19955E-07	3,456571866	0,652194939	1,26870755 9
2036	6,6581765	1,25088	2,448632	1,15297E-06	2,1661E-07	4,2402E-07	3,503028296	0,658118335	1,28828450 2
2037	6,745109	1,262138333	2,485841	1,16171E-06	2,17377E-07	4,28135E-07	3,548765612	0,664041621	1,30786123
2038	6,8308681	1,273396667	2,52305	1,17041E-06	2,18186E-07	4,32304E-07	3,593886202	0,669965024	1,32743819
2039	6,9158855	1,284655	2,560259	1,17917E-06	2,19035E-07	4,36527E-07	3,638616463	0,675888407	1,34701511 4
2040	6,9992733	1,295913333	2,597469	1,18783E-06	2,19926E-07	4,4081E-07	3,682492431	0,681812359	1,36659318 1

Source: Climate Change Directorate. Ministry of Environment and Energy. November 2020.

ANNEX N°2: COSTA RICA: TOTAL EMISSIONS FROM RESTORATION PROCESSES OF 2000 HA, PER YEAR (IN MTCO2eq)

Esquema de restauración	Area estimada de siembra (has)						TCO2e /ha/año	Emisiones secuestradas durante y post proyecto					TCO2e a 20 años
	Área (ha)	Año 1	Año 2	Año 3	Año 4	Año 5		Año 3 de proyecto	Año 4 de proyecto	Año 5 de proyecto	Año 6	Período de 16 años para completar 20	
Áreas de protección (ríos y nacientes)	701,0	0,0	175,3	350,5	525,75	701	22,6	3.953,2	7.906,4	11.859,6	15.812,8	253.004,9	292.537
Sistema silvopastoril (lechero - doble propósito)	100,0	0,0	25,0	50,0	75,0	100,0	8,4	209,4	418,8	628,2	837,7	13.402,4	15.497
Regeneración asistida (en parque urbanos, áreas privadas)	280,0	0,0	70,0	140,0	210,0	280,0	17,5	1.226,4	2.452,8	3.679,2	4.905,6	78.489,6	90.754
Huertos urbanos privados (patios, áreas verdes en condominio) y públicos/comunitarios.	140,0	0,0	35,0	70,0	105,0	140,0	0,6	20,5	41,0	61,5	82,0	1.311,5	1.516
Sistema agroforestal en café	229,0	0,0	57,3	114,5	171,8	229,0	6,2	357,7	715,5	1.073,2	1.430,9	22.894,5	26.472
Rutas de conectividad	550,0	0,0	137,5	275,0	412,5	550,0	17,5	2.409,1	4.818,1	7.227,2	9.636,3	154.180,4	178.271
TOTAL	**2000,0**	**0,0**	**500,0**	**1000,0**	**1500,0**	**2000,0**		**8.176,3**	**16.352,6**	**24.528,9**	**32.705,2**	**523.283,3**	**605.046**
										49.058		**555.988,6**	

Annex 13: Additional agreements

1. Letters of financial commitment

Financial commitment letters are included as follows and translations are provided (the original letters are included as separate files):

Co-financiers	**Amount (USD)**
Ministry of the Environment and Energy (MINAE)	250,000
National Institute of Aqueducts and Sewers (AyA)	28,000,000
Municipality of San Jose	52,657,601
UNDP-BIOFIN	900,000
UNDP-NDC Support	1,000,000
Costa Rican Railroad Institute (INCOFER)	14,140,893
Organization of Tropical Studies (OTS	2,183,000

MINISTRY OF THE ENVIRONMENT AND ENERGY (MINAE)

[Logo:
Republic of Costa Rica
Ministry of Environment and Energy
Office of the Minister]

San José, February 18, 2021
DM-0159-2021

Mr. Jose Vicente Troya
Resident Representative,
UNDP Costa Rica

Dear Sir:

In my capacity as Minister of the Environment and Energy, I am pleased to ratify the co-financing of this institution for the project: "Transition to an Urban Green Economy and Generation of Global Environmental Benefits", implemented between 2021-2016 in association with the United Nations Development Program in Costa Rica (UNDP), using resources from the Global Environment Facility (GEF).

This project is of high interest to the Government of the Republic, as evidenced by the Bicentennial Government Plan 2018-2022, which establishes a national effort for the decarbonization of the economy. This project also coincides with the vision of MINAE regarding the importance of reversing the city model that has been developed so far in the Greater Metropolitan Area (GAM) of the country.

As in-kind co-financing, MINAE estimates a financial equivalent of US$250,000 during the 2022-2026 period, regarding costs for office space to be used by the technical team of the project, as well as the investment of time of officials from the different departments of the Ministry, assigned to tasks related to technical support in the project components, review of materials, monitoring for the execution of the project and the use of other inputs, materials or vehicles of the institution, used by the officials of this Ministry, for the purposes of the tasks they perform, related to this project.

By in-kind co-financing we refer to the monetary equivalent that the institution will invest in the aforementioned period for investments that coincide in effects and terms with the GEF-UNDP Project and the goals of MINAE. Under no circumstances should in-kind co-financing be understood as a transfer of financial resources to the UNDP, but only the coordination of investments for the benefit of common objectives.

Sincerely,

Andrea Meza Murillo
Minister of Environment and Energy of Costa Rica
MHS

C. Enid Chaverri, Directora de Cooperación Internacional, MINAE

Teléfono (506) 2233-4533 o 2257-0922 Ext. 1162 ó 1163 Apdo. Postal: 10104-1000
San José, Costa Rica
Correo electrónico: despachominae@minae.go.cr

MUNICIPALITY OF SAN JOSÉ

September 22, 2020
ALCALDIA-02061-2020

Mr. José Vicente Troya
Resident Representative UNDP - CR
Costa Rica.

Dear Sir:

Through this letter, as representative of the Municipality of the Central Canton of San José, we ratify the co-financing from projects implemented by the member municipalities for the project: Transition to a green and low-carbon economy and generation of global environmental benefits implemented in partnership with the United Nations Development Programme in Costa Rica (UNDP) using resources from the Global Environment Facility (GEF), to be implemented in the period 2021-2026.

This project is greatly important to the Government of the Republic and the Municipality of San José.

As Cash Co-finance, the municipality estimates a financial equivalent of US$ 52,657,601.44 for the period of 2021-2026, regarding acquisitions and services programmed by the municipality for the aforementioned period that contribute to the goals of the GEF-UNDP project.

By Cash Co-finance (public investment, as per GEF definition) we refer to the monetary equivalent that the municipalities will invest in the aforementioned period for actions that coincide with the effects and deadlines of the GEF-UNDP project and the municipality's goals. Under no circumstances should cash co-financing be understood as a transfer of financial resources to the UNDP, but rather only the coordination of investments for the benefit of common objectives.
Sincerely,

((Signature)) Bears the round seal of the Mayor of San José
Eng. Johnny Araya Monge
Mayor of San José

MCX/SST.

Tel:(506) 2547-6000, Apartado: 5102-1000 San José Costa Rica, Avenida I O calles 28 y 36,
https://www .ms j. go.cr / Email: alcaldia@ms j. go.cr

Costa Rican Railroad Institute (INCOFER)

October 22, 2020
Incofer-PE-OF-0758-2020

Mr. Jose Vicente Troya Resident Representative
United Nations Development Programme (UNDP)
Costa Rica

Dear Sir:

In my capacity as Executive President of the Costa Rican Railroad Institute (INCOFER), I am pleased to ratify the co-financing of this institution for the project: "Transition to an Urban Green Economy and Generation of Global Environmental Benefits", implemented in association with the Ministry of Environment and Energy (MINAE) with the United Nations Development Program in Costa Rica (UNDP), using resources from the Global Environment Facility (GEF).

This project is of high interest to the Government of the Republic, as evidenced by the Bicentennial Government Plan 2018-2022, which establishes a national effort for the decarbonization of the economy. This project coincides with that vision and with that of INCOFER, to improve transportation with sustainable and efficient schemes.

As cash co-financing, INCOFER estimates a financial equivalent of US$14,140,893.12 during the aforementioned period, through its multiple investments related to the projects Rapid Passenger Train (TRP, for its acronym in Spanish), Electric Train of Limon (TELCA), Purchase of DMU trains, related to the Environmental Improvement in the Great Metropolitan Area and the Atlantic Sector.

Similarly, from INCOFER we have promoted other initiatives aimed at meeting these objectives such as the oil recycling plan, which has made possible an impact on reducing the carbon footprint of 48 tons of CO2. Likewise, we have promoted the recycling of equipment batteries as an institutional policy and to date 350 batteries have been recycled.

By cash co-financing (public investment, as per GEF definition) we refer to the monetary equivalent that the institution will invest in the aforementioned period for investments that coincide in effects and terms with the GEF-UNDP Project. Under no circumstances should cash co-financing be understood as a transfer of financial resources to the UNDP, but only the coordination of investments for the benefit of common objectives.

Sincerely,

Elizabeth Briceño Jiménez
Executive President
MHS

C. Archive

San José, Calle Central. Avenida 20 y 22, Estación del Pacífico, contiguo al Hospital Nacional de las Mujeres "Adolfo Carit". Tel. (506) 2257-7279 /Apartado 1-1009 / Correo electrónico www.incofer.go.cr

NATIONAL INSTITUTE OF AQUEDUCTS AND SEWERS
San José, Costa Rica
P.O.Box 1097-1200. Telephone 2242-5012 - presidencia@aya.go.cr

September 17, 2020
PRE-2020-01355

Mr.
José Vicente Troya
Resident Representative
UNDP - Costa Rica

Ref: Project: Transition to a Green and Low-Carbon Economy

Dear Sir:

It is a pleasure for me to greet you and to comment that in my capacity as Executive President of the Costa Rican Institute of Aqueducts and Sewerage, I ratify the co-financing of this institution for the project "Transition to a green and low-carbon economy and generation of global environmental benefits".

This initiative will be implemented for the years 2021-2026 in association with the United Nations Development Program, UNDP, in which the resources of the Global Environment Facility, GEF, will be invested.

The estimated cash co-financing of AyA is a financial equivalent of $28,000,000 (twenty-eight million dollars) for this period, referring to the acquisition and services programmed within the framework of the project "Environmental Improvement of the Great Metropolitan Area," which involve actions that coincide with the effects and deadlines of the GEF-UNDP project, and the goals of AyA.

Under no circumstances should this be interpreted as a transfer of financial resources to the UNDP, but only the coordination of investments for the benefit of common objectives.

We reiterate that this project is of great interest to the Alvarado Quesada Administration and is reflected in the National Development Plan of this government, which establishes a national effort for the decarbonization of the economy, an action that coincides with our institutional vision.

Thank you for your attention

Sincerely,

Yamileth Astorga Espeleta
Executive President

ORGANIZATION OF TROPICAL STUDIES (OTS)

San José, September 30, 2021

Mr. José Vicente Troya
Resident Representative UNDP
Costa Rica

Dear Sir:

Through this letter, in my capacity as Director of the Organization of Tropical Studies (OTS), I ratify the co-financing of this institution for the project: **Transition to a green and low-carbon economy and generation of global environmental benefits** implemented in partnership with the United Nations Development Programme in Costa Rica (UNDP) using resources from the Global Environment Facility (GEF).

This project is of high interest and coincides with the strategic objectives of our Organization. As Cash Co-finance, the OTS will invest a financial equivalent of US$ 2,183,000 for the period of 2021-2026, through its multiple investments related to the project *Center for Urban Tropics: Research, Innovation and Practice*.

By Cash Co-finance we refer to the monetary equivalent that the OTS will invest in the aforementioned period for actions that coincide with the effects and deadlines of the GEF-UNDP project. Under no circumstances should cash co-financing be understood as a transfer of financial resources to the UNDP, but rather only the coordination of investments for the benefit of common objectives.

Sincerely,

Miguel Méndez G.
Director

2. Selection of the Implementing Partner (IP)

Evaluación de Cartas de Interés de participar como socio implementador en el proyecto *Transición a una economía verde urbana generando beneficios ambientales globales (GEF ID 10391)*

Participan:
Ana Leonor Herrera, Asociada de Programa, PNUD-Costa Rica
Gerardo Quiros, Especialista Adaptación y Gestión de Riesgos, PNUD-Costa Rica
Jose Daniel Estrada, Monitoreo y Evaluación, PNUD-Costa Rica
Kifah Sasa, Oficial Programa NCE, PNUD-Costa Rica
Ludmilla Diniz, Asesora Técnica Regional-PNUD Centro Regional LAC

Antecedentes:
El proyecto ***Transición a una economía verde urbana generando beneficios ambientales globales*** es un proyecto financiado por el Fondo de Medio de Ambiente Mundial (FMAM) en conjunto con el Programa de Naciones Unidas para el Desarrollo (PNUD), que funge como agencia de implementación del proyecto acreditada ante este donante.

El objetivo del proyecto es lograr la descarbonización en la Gran Área Metropolitana (GAM) a través de la reforma fiscal y de políticas y la planificación urbana integrada sostenible. Esto se logrará a través de cuatro componentes interrelacionados que permitirán una reforma política basada en evidencias para una economía verde y una planificación urbana integrada sostenible, inversiones en conservación y restauración de tierras integradas y sostenibles con bajas emisiones de carbono, resiliencia, conservación y restauración de tierras, financiación innovadora y ampliación. Promoverá el intercambio de conocimientos, la creación de capacidad y las asociaciones de conformidad con el Programa de Impacto de Ciudades Sostenibles del Fondo para el Medio Ambiente Mundial. Esta estrategia reducirá la pérdida de hábitat para la biodiversidad urbana, la contaminación de cuerpos de agua, sedimentación y erosión, y la emisión de gases de efecto invernadero (GEI) en el GAM, generando beneficios ambientales globales que incluyen 2.000 ha de tierra restaurada, 11.400 ha de paisajes urbanos bajo prácticas mejoradas y 1,947,539 tCO2-eq de GEI mitigados en 20 años. Además, beneficiará directamente a 2.134.932 personas (1.067.466 mujeres, 1.067.466 hombres). El proyecto tendrá una duración de 5 años con una inversión total de USD $ 122,016,464, de los cuales USD $ 10,317,970 serán aportados por el FMAM. **(El total de ejecución es de USD $10,317,970).**

PNUD en su rol de agencia de implementación, está valorando la utilización de un socio de implementación (Implementation Partner) para este proyecto, que será la agencia ejecutora junto al GEF. Las responsabilidades del socio de implementación serían ejecución financiera, manejo de recursos humanos, realizar procesos adquisiciones en apego al documento de proyecto, y bajo la supervisión del PNUD.

Se invitó a potenciales socios de implementación a remitir a PNUD una nota de interés y responder a un formulario (las preguntas y puntaje se reproducen en la Tabla 1). En la solicitud se explicó que la/s entidad/es que pase/n esa primera fase del proceso de selección, tendrán que responder un cuestionario de micro evaluación financiera a ser realizado por una firma de auditoría que contratará PNUD. La micro evaluación determina el nivel de riesgo financiero de manejo de fondos del FMAM por la entidad evaluada. Si el resultado de esa micro evaluación es de "bajo riesgo" o "riesgo moderado" se negociaría un acuerdo de implementación para el proyecto descrito. Se dieron 15 días para responder la solicitud de carta de interés con fecha límite antes del 12 de Marzo 2021 a las 2pm hora de Costa Rica.

Procedimiento:

1. Se verificaron las cartas de envío en el plazo correspondiente:

Entidad	Día	Hora
Fundación Parques	12 marzo	**12.42PM**
Fundecooperación	12 marzo	**1.20PM**
FUNDEVI	12 marzo	**1.27PM**
OET	12 marzo	**1.31PM**

2. Se evaluaron las respuestas de las cartas y se obtuvo el siguiente resultado:

Preguntas del Anexo 1 de Solicitud de cartas de interés	**Fundación Parques**	**Funde cooperación**	**Fundevi**	**OET**
1) ¿La entidad demuestra interés en ejecutar el proyecto ***Transición a una economía verde urbana generando beneficios ambientales globales***? Explicación de por qué se considera a la entidad como una opción idónea (300 palabras máximo) Respuesta genera reacción **Muy Satisfactoria** entre equipo evaluador (20pts) Respuesta genera reacción **Satisfactoria** entre equipo evaluador (15pts) Respuesta genera reacción **Neutral** entre equipo evaluador (10pts) Respuesta genera reacción **Insatisfactoria** entre equipo evaluador (5pts) Respuesta genera reacción **Muy Insatisfactoria** entre equipo evaluador (0pts)	**15**	**20**	**15**	**20**
2) ¿La misión y visión de la entidad se relaciona directamente con investigación ambiental, la conservación de recursos y el desarrollo sostenible? Adjunte Misión y Visión Institucional Misión y Visión Coinciden con enunciados de manera **Muy Satisfactoria** (20pts) Misión y Visión Coinciden con enunciados de manera **Satisfactoria** (15pts) Misión y Visión Coinciden con enunciados de manera **Neutral** (10pts) Misión y Visión Coinciden con enunciados de manera **Insatisfactoria** (5pts) Misión y Visión Coinciden con enunciados de manera **Muy Insatisfactoria** (0pts)	**10**	**10**	**15**	**20**

3)	¿La entidad tiene más de veinticinco años de ejecutar proyectos de investigación ambiental, conservación o desarrollo sostenible en Costa Rica? Adjunte Evidencia de fecha de constitución Cumple con 25 años: (10pts) 25-30años: (15 pts) Más de 30 años (20pts)	**20**	**15**	**20**	**20**
4)	¿La entidad está debidamente registrada en Costa Rica? Adjunte Evidencia de registro Cumple (10pts) No cumple (Descalificada)	**10**	**10**	**10**	**10**
5)	¿La entidad cuenta con reconocimientos en Costa Rica relacionados con investigación ambiental, conservación y/o desarrollo sostenible? (Por ejemplo, declaratoria de interés público, premios ambientales, reconocimientos del sector privado). Adjunte Evidencia (5 puntos por reconocimiento, máximo 20 puntos)	**10**	**20**	**10**	**20**
6)	¿La entidad realiza operaciones y/o ejecuta proyectos en otros países demostrando proyección internacional de su trabajo? Adjunte Evidencia Operaciones en CR + 1 País: 10puntos Operaciones en CR + 2 países: 15 puntos Operaciones en CR + 3 o más países: 20puntos	**0**	**20**	**20**	**20**
7)	¿La entidad cuenta con al menos 20 años de experiencia en la administración de recursos externos provenientes de diferentes organizaciones (Donantes privados, fuentes multilaterales o bilaterales)? Adjunte Evidencia Cumple con 20 años: (10pts) 20-25 años: (15 pts) Más de 26 años (20pts)	**20**	**20**	**20**	**15**
8)	¿La entidad ha administrado/ejecutado/implementado al menos 20 proyectos relacionados con la investigación ambiental, conservación o desarrollo sostenible en los últimos 10 años? Adjunte Evidencia Cumple con 20 proyectos: (10pts) 20-25 proyectos: (15 pts)	**20**	**10**	**20**	**15**

Más de 26 proyectos (20pts)				
9) ¿La entidad ha administrado/ejecutado/implementado al menos 7 millones dólares en proyectos relacionados con la investigación ambiental, conservación o desarrollo sostenible en los últimos 5 años? Adjunte Evidencia Cumple con evidencia de 7 millones de dólares: 10pts Cumple con evidencia de 7-9 millones de dólares: 15pts Cumple con 10 millones de dólares o más: 20pts	**0**	**20**	**20**	**15**
10) ¿La entidad cuenta con al menos 15 años de trabajo en coordinación con entidades gubernamentales de Costa Rica y relacionados a la conservación y desarrollo sostenible? Lista de entidades gubernamentales con las que ha trabajado y marco y año de colaboración. Cumple con 15 años: (10pts) 16-20 años: (15 pts) Más de 20 años (20pts)	**20**	**20**	**20**	**20**
11) ¿La entidad cuenta con capacidad comprobada en el establecimiento de equipos técnicos para la investigación ambiental, conservación o desarrollo sostenible? Lista de contrataciones recientes de equipos de consultores nacionales e internacionales. Lista suministrada demuestra capacidad de establecimiento de equipos técnicos de manera **Muy Satisfactoria** (20pts) Lista suministrada demuestra capacidad de establecimiento de equipos técnicos de manera **Satisfactoria** (15pts) Lista suministrada demuestra capacidad de establecimiento de equipos técnicos de manera **Neutral** (10pts) Lista suministrada demuestra capacidad de establecimiento de equipos técnicos de manera **Insatisfactoria** (5pts) Lista suministrada demuestra capacidad de establecimiento de equipos técnicos de manera **Muy Insatisfactoria** (0pts)	**5**	**5**	**20**	**15**

12) ¿La entidad cuenta con capacidad comprobada de administrar de manera separada los fondos que gestiona (sistema contable)? Adjunte Evidencia Evidencia Demuestra sistema contable (20pts) Evidencia no demuestra sistema contable (0pts-Descalaificada)	**0**	**20**	**20**	**20**
13) ¿La entidad está sometida a dos auditorías independientes al año, a nivel nacional o internacional? Adjunte Evidencia Evidencia Demuestra dos auditorías por año (20pts) Evidencia no demuestra auditorías por año (0pts-Descalaificada)	**0**	**20**	**20**	**20**
14) ¿La entidad dispone de espacio físico para albergar a la unidad de gestión del proyecto de al menos diez funcionarios en el Gran Área Metropolitana? Adjunte Evidencia Evidencia demuestra espacio físico y disponibilidad de alojar equipo (20pts) Evidencia no demuestra espacio físico y disponibilidad de alojar equipo (0pts)	**20**	**0**	**20**	**20**
15) ¿Cuál es el costo (fee) de ejecución de su entidad propone para el proyecto ***Transición a una economía verde urbana generando beneficios ambientales globales***? Indique Porcentaje Oferta más baja (30pts) Segunda Oferta más baja (25pts) Tercer Oferta más baja (20pts)	**(7.5%)** **20**	**(8.5%)** **0**	**(7%)** **25**	**(6.8%)** **30**
Total	**170 (descalificada)**	**230**	**275**	**280**

Resultado Final:

Entidad	Puntuación	Posición
OET	280	1º
Fundevi	275	2º
Funde Cooperación	230	3º
Fundacion Parques	170	Descalificada

Recomendación:

Considerando el puntaje el panel de selección recomienda proceder a la segunda fase de análisis (micro-assessment) a la entidad: **OET** . Una vez obtenido el informe de auditores independientes, si el resultado de es de "riesgo bajo", o "riesgo moderado", el panel recomienda proceder a ofrecer la firma de un acuerdo de cooperación con PNUD una vez obtenido el CEO Endorsement del GEF para el referido proyecto.

Ana Leonor Herrera, Asociada de Programa, PNUD-Costa Rica

Gerardo Quirós Cuadra, Especialista Adaptación y Gestión de Riesgos, PNUD-Costa Rica

Jose Daniel Estrada, Monitoreo y Evaluación, PNUD-Costa Rica

Kifah Sasa, Oficial Programa NCE, PNUD-Costa Rica

Ludmilla Diniz, Asesora Técnica Regional-PNUD Centro Regional LAC

12 de Marzo 2021

3. Letter of withdrawal as Responsible Party

UICN

CONSERVACIÓN INTERNACIONAL

6 de mayo del 2021

Señora Andrea Meza
Ministra
Ministerio de Ambiente y Energía de Costa Rica
(MINAE)

Estimada Sra. Ministra:

Reciba un cordial saludo de parte de Conservación Internacional-Costa Rica (CI-CR) y de la Unión Internacional para la Conservación de la Naturaleza/Oficina Regional para México, América Central y el Caribe (UICN/ORMACC), quienes hemos sido parte integral de la construcción del *Project Identification Form* (PIF) y propuesta completa del proyecto GEF-7: *"Transición a una economía verde urbana y entrega de beneficios ambientales globales"*.

Este proyecto es una iniciativa clave para materializar la gran ambición de Costa Rica en materia de economía verde y como medio para contribuir a las metas del Plan Nacional de Descarbonización con soluciones basadas en la naturaleza. El MINAE, como líder de la iniciativa, nos honró al convocar en 2018, a nuestras organizaciones para ser parte de la conceptualización y el diseño de este proyecto tan innovador por su temática y estrategia de integración multisectorial.

Agradecemos profundamente al MINAE por la oportunidad de ser socios en este proyecto y de contribuir al posicionamiento de Costa Rica en temas críticos hacia la construcción de Ciudades Verdes, Restauración de Paisajes y Modelos innovadores de negocios verdes en ámbitos urbanos.

Como es de su conocimiento, desde su concepción inicial y con más fuerza durante todo el año pasado, el personal de nuestras dos agencias ha participado de lleno en el diseño técnico y estratégico de este proyecto, en conjunto con el equipo consultor liderado por el Programa de las Naciones Unidas para el Desarrollo (PNUD) y el MINAE. Ambas organizaciones hemos aportado nuestro extenso conocimiento técnico y en políticas nacionales e internacionales, así como redes de contacto claves, lo cual, consideramos, ha permitido elevar aún más los alcances de este ambicioso proyecto.

Con estos insumos técnicos y científicos, en octubre del 2020 se completó la propuesta y presentamos al PNUD/MINAE los presupuestos asociados. Desde entonces, ambas agencias quedamos atentas al proceso de revisión y a la negociación de los arreglos institucionales para la remisión oportuna al Secretariado del GEF, originalmente planificada para diciembre del 2020.

El pasado 12 de abril, el PNUD nos informó que, por requerimientos del Secretariado del GEF, fue necesario realizar cambios en la estructura de gobernanza, de los componentes y la

modalidad de implementación, la cual ahora incluye una nueva Agencia Ejecutora. Estos cambios han implicado recortar aún más el presupuesto inicial y redistribuirlo y modificar las pautas de funcionamiento con las Partes Responsables (UICN y CI). Considerando los cambios antes señalados, CI y UICN llevaron a cabo una minuciosa evaluación interna para analizar la viabilidad y las implicancias para asumir nuestro rol y responsabilidades asignadas en la implementación del proyecto.

Con toda transparencia y en concordancia con la responsabilidad y seriedad que caracterizan nuestras dos organizaciones (ambas acreditadas ante el GEF), para apoyar con altos estándares de calidad y eficiencia a los países de la Región, lamentamos informarle que no podremos seguir como partes responsables ("*responsible parties*") del proyecto. Los nuevos arreglos de gestión, y en especial los recortes y redistribución del presupuesto, nos impiden contar con los recursos inicialmente propuestos, tanto para asignar el personal y acompañamiento técnico de alta calidad acorde con nuestras normas y regulaciones institucionales, y asegurar una gestión eficiente.

Asimismo, a pesar de esta difícil decisión para nuestras agencias, con nuestro retiro del proyecto, el MINAE podrá adecuar y reorganizar el modelo de ejecución de los componentes acorde con las prioridades institucionales. Diciendo esto, aclaramos que nuestras organizaciones quedan dispuestas a apoyar al Ministerio y socios del Proyecto, en caso de que sea requerido, con el seguimiento sobre herramientas e informaciones que ambas organizaciones han incorporado en la propuesta de proyecto, con el fin de asegurar una transición efectiva para el arranque del proyecto.

De igual forma, cuente con nuestras agencias para explorar nuevas oportunidades de cooperación especializada en función de nuestro valor agregado, y reiterar la voluntad y disposición de nuestras organizaciones de continuar brindando apoyo al MINAE y al gobierno de Costa Rica en sus iniciativas y esfuerzos en pro del cumplimiento de sus metas climáticas y de desarrollo para la recuperación verde y azul.

Atentamente,

Tania Ammour
Gerente Regional de Programa
UICN- ORMACC

Ana Gloria Guzmán M.
Directora Ejecutiva
Conservación Internacional, Costa Rica.

Cc: Sra. Enid Chaverri. Directora Cooperación Internacional, Ministerio de Ambiente y Energía
Sra. Ursula Parrilla, Directora Regional, UICN- ORMACC
Sr. Sebastian Troëng, Executive Vice President, Conservation Partnerships, CI.
Sr. Kifah Sasa, Oficial Programa Naturaleza, Clima y Energía, PNUD- Costa Rica

Annex 14: GEF Core indicators

Core Indicator 1	**Terrestrial protected areas created or under improved management for conservation and sustainable use**						**(Hectares)**
			Hectares (1.1+1.2)				
			Expected		Achieved		
			PIF stage	Endorsement	MTR	TE	
Indicator 1.1	Terrestrial protected areas newly created						
Name of Protected Area	WDPA ID	IUCN category	Hectares				
			Expected		Achieved		
			PIF stage	Endorsement	MTR	TE	
		(select)					
		(select)					
		Sum					
Indicator 1.2	Terrestrial protected areas under improved management effectiveness						
Name of Protected Area	WDPA ID	IUCN category	Hectares	METT Score			
				Baseline		Achieved	
					Endorsement	MTR	TE
		Sum					
Core Indicator 2	**Marine protected areas created or under improved management for conservation and sustainable use**						**(Hectares)**
			Hectares (2.1+2.2)				
			Expected		Achieved		
			PIF stage	Endorsement	MTR	*TE*	
Indicator 2.1	Marine protected areas newly created						
Name of Protected Area	WDPA ID	IUCN category		Hectares			
				Expected		Achieved	
				PIF stage	Endorsement	MTR	TE
		(select)					
		(select)					
		Sum					
Indicator 2.2	Marine protected areas under improved management effectiveness						
Name of Protected Area	WDPA ID	IUCN category	Hectares	METT Score (Scale 1-3)			
				Baseline		Achieved	
				PIF stage	Endorsement	MTR	TE
		(select)					
		(select)					
		Sum					
Core Indicator 3	**Area of land restored**						**(Hectares)**
			Hectares (3.1+3.2+3.3+3.4)				
			Expected		Achieved		
			PIF stage	Endorsement	MTR	TE	
			2,000	*2,000*			
Indicator 3.1	Area of degraded agricultural land restored						
			Hectares				
			Expected		Achieved		
			PIF stage	Endorsement	MTR	TE	
Indicator 3.2	Area of forest and forest land restored						

			Hectares			
			Expected		Achieved	
			PIF stage	Endorsement	MTR	TE
			2,000	*2,000*		
Indicator 3.3	Area of natural grass and shrublands restored					
			Hectares			
			Expected		Achieved	
			PIF stage	Endorsement	MTR	TE
Indicator 3.4	Area of wetlands (including estuaries, mangroves) restored					
			Hectares			
			Expected		Achieved	
			PIF stage	Endorsement	MTR	TE
Core Indicator 4	**Area of landscapes under improved practices (hectares; excluding protected areas)**					***(Hectares)***
			Hectares (4.1+4.2+4.3+4.4)			
			Expected		Expected	
			PIF stage	Endorsement	MTR	TE
			18,541	*17,402*		
Indicator 4.1	Area of landscapes under improved management to benefit biodiversity					
			Hectares			
			Expected		Achieved	
			PIF stage	Endorsement	MTR	TE
			18,541	*17,402*		
Indicator 4.2	Area of landscapes that meet national or international third-party certification that incorporates biodiversity considerations					
Third party certification(s):			Hectares			
			Expected		Achieved	
			PIF stage	Endorsement	MTR	TE
Indicator 4.3	Area of landscapes under sustainable land management in production systems					
			Hectares			
			Expected		Achieved	
			PIF stage	Endorsement	MTR	TE
Indicator 4.4	Area of High Conservation Value Forest (HCVF) loss avoided					
			Hectares			
			Expected		Achieved	
			PIF stage	Endorsement	MTR	TE
Core Indicator 5	**Area of marine habitat under improved practices to benefit biodiversity**					***(Hectares)***
Indicator 5.1	Number of fisheries that meet national or international third-party certification that incorporates biodiversity considerations					
Third party certification(s):			Number			
			Expected		Achieved	
			PIF stage	Endorsement	MTR	TE

Indicator 5.2	Number of large marine ecosystems (LMEs) with reduced pollution and hypoxial					
			Number			
			Expected		Achieved	
			PIF stage	Endorsement	MTR	TE
Core Indicator 6	**Greenhouse gas emission mitigated**					***(Tons)***
			Tons (6.1+6.2)			
			Entered		Entered	
			PIF stage	Endorsement	MTR	TE
	Expected CO2e (direct)		*1,092,640*	*1,747,539*		
	Expected CO2e (indirect)		*233,330*	*200,000*		
Indicator 6.1	Carbon sequestered or emissions avoided in the AFOLU sector					
			Tons			
			Entered		Entered	
			PIF stage	Endorsement	MTR	TE
	Expected CO2e (direct)		*480,000*	*605,047*		
	Expected CO2e (indirect)		*n/a*	*n/a*		
	Anticipated start year of accounting		*2020*	*2021*		
	Duration of accounting		*20 years*	*20 years*		
Indicator 6.2	Emissions avoided					
			Hectares			
			Expected		Achieved	
			PIF stage	Endorsement	MTR	TE
	Expected CO2e (direct)		*612,640*	*1,142,492*		
	Expected CO2e (indirect)		*233,330*	*200,000*		
	Anticipated start year of accounting		*2020*	*2021*		
	Duration of accounting		*20 years*	*20 years*		
Indicator 6.3	Energy saved					
			MJ			
			Expected		Achieved	
			PIF stage	Endorsement	MTR	TE
Indicator 6.4	Increase in installed renewable energy capacity per technology					
		Technology	Capacity (MW)			
			Expected		Achieved	
			PIF stage	Endorsement	MTR	TE
		(select)				
		(select)				
Core Indicator 7	**Number of shared water ecosystems (fresh or marine) under new or improved cooperative management**					***(Number)***
Indicator 7.1	Level of Transboundary Diagnostic Analysis and Strategic Action Program (TDA/SAP) formulation and implementation					
		Shared water ecosystem	Rating (scale 1-4)			
			PIF stage	Endorsement	MTR	TE
Indicator 7.2	Level of Regional Legal Agreements and Regional Management Institutions to support its implementation					
		Shared water ecosystem	Rating (scale 1-4)			
			PIF stage	Endorsement	MTR	TE

Indicator 7.3	Level of National/Local reforms and active participation of Inter-Ministerial Committees					
		Shared water ecosystem	Rating (scale 1-4)			
			PIF stage	Endorsement	MTR	TE
Indicator 7.4	Level of engagement in IWLEARN through participation and delivery of key products					
		Shared water ecosystem	Rating (scale 1-4)			
			Rating		Rating	
			PIF stage	Endorsement	MTR	TE
Core Indicator 8	**Globally over-exploited fisheries Moved to more sustainable levels**					***(Tons)***
			Metric Tons			
			PIF stage	Endorsement	MTR	TE
Core Indicator 9	**Reduction, disposal/destruction, phase out, elimination and avoidance of chemicals of global concern and their waste in the environment and in processes, materials and products**					***(Tons)***
			Metric Tons (9.1+9.2+9.3)			
			Expected		Achieved	
			PIF stage	PIF stage	MTR	TE
Indicator 9.1	Solid and liquid Persistent Organic Pollutants (POPs) and POPs containing materials and products removed or disposed					
POPs type			Metric Tons			
			Expected		Achieved	
			PIF stage	Endorsement	MTR	TE
(select)	(select)	(select)				
(select)	(select)	(select)				
(select)	(select)	(select)				
Indicator 9.2	Quantity of mercury reduced					
			Metric Tons			
			Expected		Achieved	
			PIF stage	Endorsement	MTR	TE
Indicator 9.3	Number of countries with legislation and policy implemented to control chemicals and waste					
			Number of Countries			
			Expected		Achieved	
			PIF stage	Endorsement	MTR	TE
Indicator 9.4	Number of low-chemical/non-chemical systems implemented particularly in food production, manufacturing and cities					
		Technology	Number			
			Expected		Achieved	
			PIF stage	Endorsement	MTR	TE
Core Indicator 10	**Reduction, avoidance of emissions of POPs to air from point and non-point sources**					***(Grams)***
Indicator 10.1	Number of countries with legislation and policy implemented to control emissions of POPs to air					
			Number of Countries			
			Expected		Achieved	
			PIF stage	Endorsement	MTR	TE

Indicator 10.2	Number of emission control technologies/practices implemented					
			Number			
			Expected		Achieved	
			PIF stage	Endorsement	MTR	TE
Indicator 10.3	Number of countries with legislation and policy implemented to control chemicals and waste					
			Number of Countries			
			Expected		Achieved	
			PIF stage	Endorsement	MTR	TE
Core Indicator 11	**Number of direct beneficiaries disaggregated by gender as co-benefit of GEF investment**					***(Number)***
			Expected		Number Achieved	
			PIF stage	Endorsement	MTR	TE
		Female	907,093	*1,067,466*		
		Male	882,046	*1,067,466*		
		Total	***1,789,139***	*2,134,932*		

Annex 15: GEF 7 Taxonomy

Level 1	Level 2	Level 3	Level 4
☒ **Influencing models**			
	☒ **Transform policy and regulatory environments**		
	☒ **Strengthen institutional capacity and decision-making**		
	☒ **Convene multi-stakeholder alliances**		
	☒ **Demonstrate innovative approaches**		
	☒ **Deploy innovative financial instruments**		
☒ **Stakeholders**			
	☒ **Indigenous Peoples**		
	☒ **Private Sector**		
		☒ Capital providers	
		☒ Financial intermediaries and market facilitators	
		☐ Large corporations	
		☒ SMEs	
		☒ Individuals/Entrepreneurs	
		☐ Non-Grant Pilot	
		☐ Project Reflow	
	☒ **Beneficiaries**		
	☒ **Local Communities**		
	☒ **Civil Society**		
		☒ Community Based Organization	
		☒ Non-Governmental Organization	
		☒ Academia	
		☐ Trade Unions and Workers Unions	
	☒ **Type of Engagement**		
		☒ Information Dissemination	
		☒ Partnership	
		☒ Consultation	
		☒ Participation	
	☒ **Communications**		
		☒ Awareness Raising	
		☒ Education	
		☒ Public Campaigns	
		☒ Behavior Change	
☒ **Capacity, Knowledge and Research**			
	☐ **Enabling Activities**		
	☒ **Capacity Development**		
	☒ **Knowledge Generation and**		

	Exchange		
	☐ **Targeted Research**		
	☒ **Learning**		
		☒ Theory of Change	
		☒ Adaptive Management	
		☒ Indicators to Measure Change	
	☒ **Innovation**		
	☒ **Knowledge and Learning**		
		☒ Knowledge Management	
		☒ Innovation	
		☒ Capacity Development	
		☒ Learning	
	☒ **Stakeholder Engagement Plan**		
☒ **Gender Equality**			
	☒ **Gender Mainstreaming**		
		☒ Beneficiaries	
		☒ Women groups	
		☒ Sex-disaggregated indicators	
		☒ Gender-sensitive indicators	
	☒ **Gender results areas**		
		☐ Access and control over natural resources	
		☒ Participation and leadership	
		☒ Access to benefits and services	
		☒ Capacity development	
		☒ Awareness raising	
		☒ Knowledge generation	
☒ **Focal Areas/Theme**			
	☒ **Integrated Programs**		
		☐ Commodity Supply Chains ([69]Good Growth Partnership)	
			☐ Sustainable Commodities Production
			☐ Deforestation-free Sourcing
			☐ Financial Screening Tools
			☐ High Conservation Value Forests
			☐ High Carbon Stocks Forests
			☐ Soybean Supply Chain
			☐ Oil Palm Supply Chain
			☐ Beef Supply Chain
			☐ Smallholder Farmers
			☐ Adaptive Management
		☐ Food Security in Sub-Sahara Africa	
			☐ Resilience (climate and shocks)
			☐ Sustainable Production

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			Systems
			☐ Agroecosystems
			☐ Land and Soil Health
			☐ Diversified Farming
			☐ Integrated Land and Water Management
			☐ Smallholder Farming
			☐ Small and Medium Enterprises
			☐ Crop Genetic Diversity
			☐ Food Value Chains
			☐ Gender Dimensions
			☐ Multi-stakeholder Platforms
		☐ Food Systems, Land Use and Restoration	
			☐ Sustainable Food Systems
			☐ Landscape Restoration
			☐ Sustainable Commodity Production
			☐ Comprehensive Land Use Planning
			☐ Integrated Landscapes
			☐ Food Value Chains
			☐ Deforestation-free Sourcing
			☐ Smallholder Farmers
		☒ Sustainable Cities	
			☒ Integrated urban planning
			☐ Urban sustainability framework
			☒ Transport and Mobility
			☐ Buildings
			☒ Municipal waste management
			☒ Green space
			☒ Urban Biodiversity
			☐ Urban Food Systems
			☒ Energy efficiency
			☒ Municipal Financing
			☒ Global Platform for Sustainable Cities
			☒ Urban Resilience
	☒ **Biodiversity**		
		☐ Protected Areas and Landscapes	
			☐ Terrestrial Protected Areas
			☐ Coastal and Marine Protected Areas
			☐ Productive Landscapes
			☐ Productive Seascapes
			☐ Community Based Natural Resource Management
		☒ Mainstreaming	
			☐ Extractive Industries (oil, gas, mining)
			☐ Forestry (Including HCVF and REDD+)

			☐Tourism
			☐Agriculture & agrobiodiversity
			☐Fisheries
			☒Infrastructure
			☐Certification (National Standards)
			☐Certification (International Standards)
		☒Species	
			☐Illegal Wildlife Trade
			☒Threatened Species
			☐Wildlife for Sustainable Development
			☐Crop Wild Relatives
			☐Plant Genetic Resources
			☐Animal Genetic Resources
			☐Livestock Wild Relatives
			☐Invasive Alien Species (IAS)
		☒Biomes	
			☐Mangroves
			☐Coral Reefs
			☐Sea Grasses
			☐Wetlands
			☒Rivers
			☐Lakes
			☒Tropical Rain Forests
			☐Tropical Dry Forests
			☐Temperate Forests
			☐Grasslands
			☐Paramo
			☐Desert
		☒Financial and Accounting	
			☐Payment for Ecosystem Services
			☐Natural Capital Assessment and Accounting
			☐Conservation Trust Funds
			☒Conservation Finance
		☐Supplementary Protocol to the CBD	
			☐Biosafety
			☐Access to Genetic Resources Benefit Sharing
	☐**Forests**		
		☐Forest and Landscape Restoration	
			☐REDD/REDD+
		☐Forest	
			☐Amazon
			☐Congo
			☐Drylands
	☐**Land Degradation**		
		☐Sustainable Land Management	

			☐Restoration and Rehabilitation of Degraded Lands
			☐Ecosystem Approach
			☐Integrated and Cross-sectoral approach
			☐Community-Based NRM
			☐Sustainable Livelihoods
			☐Income Generating Activities
			☐Sustainable Agriculture
			☐Sustainable Pasture Management
			☐Sustainable Forest/Woodland Management
			☐Improved Soil and Water Management Techniques
			☐Sustainable Fire Management
			☐Drought Mitigation/Early Warning
		☐Land Degradation Neutrality	
			☐Land Productivity
			☐Land Cover and Land cover change
			☐Carbon stocks above or below ground
		☐Food Security	
	☐**International Waters**		
		☐Ship	
		☐Coastal	
		☐Freshwater	
			☐Aquifer
			☐River Basin
			☐Lake Basin
		☐Learning	
		☐Fisheries	
		☐Persistent toxic substances	
		☐SIDS : Small Island Dev States	
		☐Targeted Research	
		☐Pollution	
			☐Persistent toxic substances
			☐Plastics
			☐Nutrient pollution from all sectors except wastewater
			☐Nutrient pollution from Wastewater
		☐Transboundary Diagnostic Analysis and Strategic Action Plan preparation	
		☐Strategic Action Plan Implementation	
		☐Areas Beyond National Jurisdiction	
		☐Large Marine Ecosystems	
		☐Private Sector	
		☐Aquaculture	

		☐ Marine Protected Area	
		☐ Biomes	
			☐ Mangrove
			☐ Coral Reefs
			☐ Seagrasses
			☐ Polar Ecosystems
			☐ Constructed Wetlands
	☐ **Chemicals and Waste**		
		☐ Mercury	
		☐ Artisanal and Scale Gold Mining	
		☐ Coal Fired Power Plants	
		☐ Coal Fired Industrial Boilers	
		☐ Cement	
		☐ Non-Ferrous Metals Production	
		☐ Ozone	
		☐ Persistent Organic Pollutants	
		☐ Unintentional Persistent Organic Pollutants	
		☐ Sound Management of chemicals and Waste	
		☐ Waste Management	
			☐ Hazardous Waste Management
			☐ Industrial Waste
			☐ e-Waste
		☐ Emissions	
		☐ Disposal	
		☐ New Persistent Organic Pollutants	
		☐ Polychlorinated Biphenyls	
		☐ Plastics	
		☐ Eco-Efficiency	
		☐ Pesticides	
		☐ DDT - Vector Management	
		☐ DDT - Other	
		☐ Industrial Emissions	
		☐ Open Burning	
		☐ Best Available Technology / Best Environmental Practices	
		☐ Green Chemistry	
	☒ **Climate Change**		
		☐ **Climate Change Adaptation**	
			☐ Climate Finance
			☐ Least Developed Countries
			☐ Small Island Developing States
			☐ Disaster Risk Management
			☐ Sea-level rise
			☐ Climate Resilience
			☐ Climate information
			☐ Ecosystem-based Adaptation
			☐ Adaptation Tech Transfer
			☐ National Adaptation Programme of Action

			☐National Adaptation Plan
			☐Mainstreaming Adaptation
			☐Private Sector
			☐Innovation
			☐Complementarity
			☐Community-based Adaptation
			☐Livelihoods
		☒**Climate Change Mitigation**	
			☐Agriculture, Forestry, and other Land Use
			☐Energy Efficiency
			☒Sustainable Urban Systems and Transport
			☐Technology Transfer
			☐Renewable Energy
			☒Financing
			☐Enabling Activities
		☐**Technology Transfer**	
			☐Poznan Strategic Programme on Technology Transfer
			☐Climate Technology Centre & Network (CTCN)
			☐Endogenous technology
			☐Technology Needs Assessment
			☐Adaptation Tech Transfer
		☐**United Nations Framework on Climate Change**	
			☐Nationally Determined Contribution

Annex 16: Partners Capacity Assessment Tool and HACT assessment

Included as a separate file.

Annex 17: UNDP Project Quality Assurance Report

Completed in UNDP online corporate planning system.

Annex 18: Terms of Reference Call for Proposals for Grants: "My neighborhood connects"

1. Importance of wastewater management in the GAM.

The rivers, streams and aquifers of the GAM are affected by the lack of treatment of urban wastewater. Untreated sewage and faecal sludge are usually discharged directly into rivers and streams, polluting them with nutrients, pathogens, organic matter, and solids. According to the National Institute of Aqueducts and Sewers (AyA), in 2019 the coverage of the water treatment network was of only 15%, while 70% of the total population of the country had a septic tank, which generally presents construction problems, poor maintenance and poor sludge management.

AyA started the San José Metropolitan Area Environmental Improvement Project a decade ago, which includes investments in rehabilitation, strengthen and expansion of the network of collectors and secondary networks of sanitary sewers in several cantons of the GAM. It entails more than 300 km of pipes, so that about 1,070,000 inhabitants may have access to the sanitary sewer system with treatment. To enhance this treatment, the construction and start-up of the Los Tajos Treatment Plant (WWTP) was initiated. The plant is of primary type (physicochemical), with complete treatment of sludge for an average daily flow of 2.81 m3 / s and daily maximum of 3.45 m3 / s. However, at this moment, the plant is operating at 17% of its capacity due to: i) financial or liquidity of households ii) information; iii) behavioural; iv) bureaucratic/administrative and v) legal constraints.

Even as households are willing to make the home connection, the costs of installation may be unaffordable, particularly for the most vulnerable populations, and in many cases, the current type and location of the infrastructure used for the collection of wastewater is inadequate. Lack of access to credit for this kind of investments is an additional constraint.

Coordination actions are being carried out so that AyA and the Project can support the intra-household connection. This is called "The last mile of the sanitation systems", of some neighbourhoods of the GAM, based on an alliance to partially finance the connections, through of a donation of resources from the project and AYA, as well as from the beneficiary organizations.

2. Grants Programme "My neighbourhood connects"

The project, in coordination with the AyA, the project will make an open call for proposals so that Community Development Associations (ADI), may be granted the necessary investments to connect households with the sewage system. The programme will follow UNDP´s low-value grants policy.

The ADIs were constituted by Law No. 3859 for Community Development (DINADECO), issues in April 1967. The law defines ADIs are the formal grassroots organizations constituted by neighbours who share objectives of economic and social improvement for their community. The ADIs are declared of public interest, have a legal status, experience in the management of financial resources and execution of works for the communal well-being, and represent various neighbourhoods or communities.

As such ADIs are ideal beneficiaries of the project grants so these may help connect households to the sewage system. A guide will be used with their respective evaluation criteria, defined jointly by participating institutions.

Project grants will range from US $ 15,000 to US $ 30,000, depending on the number of homes to be connected to the sewerage system. This funding will be matched by a monetary contribution by AyA through the National Parks Foundation (a similar amount to that assigned by the Project). AyA will also provide technical support to the ADI. Beneficiary ADIs will provide labour and/or construction materials. In this way, the financing of the project will be $ 1: $ 1: $ 1 (Project: AyA: Community).

The grant proposals received will be evaluated by a committee established by UNDP and AYA, in order to ensure that they are in line with the objectives of the project and that they are in line with the goal of connecting GAM homes to the metropolitan sewer system. The project will organize a field visit to the site and find out the conditions of the houses to be intervened and to receive technical advice from AyA if necessary. Subsequently, the proposal must be submitted for technical approval by the Technical Committee of the Project, the Steering Committee of the project will have final role of approval.

3. Objective

Connect drainage systems of household wastewaters to the secondary connectors of the Metropolitan Sewerage system, so that direct water discharges to streams and the indiscriminate use of septic tanks are replaced by the treatment capacity of *Los Tajos* Plant.

4. Geographical scope

Beneficiary neighbourhoods will be located in the cantons covered by the Metropolitan Sewerage and that are part of the Project namely: San José, Desamparados, Goicoechea, Alajuelita, Tibás, Montes de Oca, Curridabat and La Unión.

5. Entities that may participate

Grants will be issued only to households that present a collective connectivity proposal through the ADIs. The resources will be assigned according to the proposal they present and must consider the minimum connection of 25 homes.

Only "last mile" connectivity proposals will be accepted, meaning constructions that allow residential connections or tertiary collectors to discharge into the secondary collectors of the Metropolitan Sewerage.

No resources will be granted to: finance construction of pits or septic tanks, pipes or drains to bodies of water, renovations to houses that are not related to the management of domestic wastewater, communal collectors.

5.1. Number of projects:

An ADI can only send one proposal in this call.

5.2 Implementation deadlines

The minimum implementation period for each project is 10 months and the maximum 20 months.

6. Financing and co-financing

The Project will grant a maximum financing of US $30,000 (twenty thousand US dollars per organization). The minimum financing per project is US $15,000 (fifteen thousand US dollars).

In the event of two ADIs partner to present a project, the maximum amount of financing is US $ 50,000 (fifty thousand US dollars per consortium). The minimum financing per consortium is US $ 30,000 (thirty thousand US dollars). To join, two ADIs must be geographically united.

Every proposal must have co-financing or counterpart from the proponents, allies and / or third parties. Co-financing can come from cash sources, in kind (valued), such as labour.

It is clarified that the proposal must be presented and budgeted in US dollars. However, it should be taken into account that the disbursements for the project will be made in colones, at the official United Nations exchange rate on the date that corresponds to the disbursement.

7. Presentation of proposals

Proposals will be presented to the UNDP office in Costa Rica. Different calls will be opened taking into account the available funds and the number of project proposals received. A formal written response will be provided to each proposal received.

8. Selection criteria

The technical committee and Implementing Partner will use following criteria to select the projects. A specific project proposal template will be developed for the official launch of the process:

I	Link with Project objectives and priorities
1.1	Degree of contribution to project indicators and goals
1.2	Potential to improve the living conditions of the vulnerable population, generate knowledge and strengthen the capacities of local organizations

1.3	Degree of contribution to gender equality
II	**Potential for results and sustainability**
2.1	Proposal includes technical plans for construction
2.2	The projects are in line with Social and Environmental Impact Assessment regulations
2.3	Degree of innovation and / or use of traditional knowledge
III	**Suitability, interest and capacity of proponents**
3.1	Administrative, financial and managerial suitability of proponents
3.2	Local participation in the design, monitoring and implementation of the project
3.3	Proposal is led by a local grassroots organization (ADI)

The best proposals will be selected taking into account the funding limit of this call and the feasibility of achieving its objectives. Field verification visits will be carried out as part of the advanced selection process.

9. Steps for project implementation

The AYA technical team may require minor adjustments to the selected projects, which will be coordinated with the proponents, as a prior step to signing the agreement.

The selected entities must provide a specific bank account for the project, during the two business days after being notified of their selection and provide other administrative documentation.

All selected organizations will be available to receive support from the technical team of the Project, in order to accompany the implementation of the approved project.

Annex 19: Technical Annex on Bio-Businesses (Component 3 / Output 3.1.3)

I Purpose

The purpose of this technical annex is to expand the description of the context, and the potential execution mechanisms for the bio-businesses suggested for Component 3. Specifically with relation to Output 3.1.3: "*At least three bio-business models formed from public-private partnerships (PPPs), micro and small businesses, and associations at the community level with a gender focus established within the GAM support inclusive investments for the maintenance of urban ecosystem services and the restoration of IUBCs, best management of solid waste (identified as part of the Waste Nationally Appropriate Mitigation Action [NAMA]) and wastewater, fecal sludge, and active mobility linked to the Electric Train*".

The Implementation Partner, and the Responsible Party or consultants hired should use this annex to understand the context and problem areas to be addressed by the bio-businesses to be supported, how these should relate to the projects' theory of change, and what are the foreseeable and acceptable execution mechanisms to implement them.

II Context of the Problem: The need of Innovation in bio-businesses in the GAM

The Great Metropolitan Area of Costa Rica is faced with significant sustainability challenges that may be addressed through circular economy approaches. The main sustainability challenges that could be reversed through circular economy approaches include:

1) Insufficient sanitation: Costa Rica has reached 99 % of excreta disposal coverage due to the use of drainages, septic tanks, and latrines. Nevertheless, wastewater has received very little treatment (drainage and collective systems), causing great damage to the rivers within urban areas, particularly in the GAM.
2) Unsound and ineffective urban planning linked to limited alternatives to last mile low emission mobility (micro mobility): Over 46% of GAM population travels every day from one canton to another in cars with few passengers or in highly centralized public transport. This generates transport congestion that costs the economy 3.8% of its GDP every year. The increase in peak-hour travel times grew 40% in the 4 years before the pandemic.
3) Poor solid waste and wastewater management. Most of the city's sewerage discharges untreated water into rivers.
4) The single-use plastic pollution problem has been exacerbated with overuse of plastic containers, bags, and masks with the COVID Pandemic

III Solution: Bio-Businesses

The Project *Transition Towards a Green Urban Economy* will invest USD $650,000 during years 2 and 3 to support bio-businesses that incorporate circular economy approaches to solve some of these problems of the GAM through the establishment of a Bio-Business Innovation Challenge to stimulate circular economy approaches.

Circular economy approaches are systems for resource use that seek to minimize production to the bare minimum, relying on the reuse of elements that, due to their properties, cannot return to the environment without damaging it. The circular economy advocates using as much biodegradable materials as possible in manufacturing consumer goods, so that they can return to nature without causing environmental damage and exhaust their useful life. In cases where it is not possible to use eco-friendly materials, or the material used cannot be returned to nature without problems, the objective will be to facilitate the material's reincorporation into the production cycle, including incorporating another good into the production cycle, in what is known as industrial symbiosis. When it is not possible to incorporate waste products back into the production process, these may be recycled in an environmentally friendly manner.

Bio-businesses or green businesses refer to the activities for the collection, production, processing, and marketing of goods and services derived from biodiversity, under the criteria of environmental, social, and economic sustainability. A bio-business could be executed through a primarily private activity using a model of public-private

partnership (public works concession with service, works concessions, service concessions, interested management, public works trusts, etc.), associative business models, or a public activity. In this case, business models must be developed in accordance with the type of intervention to be carried out.

IV Bio-Businesses to be Supported (through competitive process or through innovation challenges) Will address the following challenges:

1. Management of faecal sludge from the San José sanitary sewer (Los Tajos Plant), through a public-private alliance (public service concession) in which the AyA grants a concession to operate the plant to a company with international experience in these matters, or a local company that may have a "Joint Venture" with an international company. The concession scheme known as infrastructure asset optimization would be the most appropriate model for this case.
2. Sustainable urban mobility through bike-train services with emphasis on the north and south axes of the GAM, through a private operator or in a complementary operation to the MET concession. There is already an operator in Costa Rica that rents bicycles, called Omni. However, its service is not linked to the train because the train does not yet have the proper conditions for that yet. Other innovative solutions for last mile mobility and micro-mobility are envisioned for this challenge.
3. Solid waste management (organic) for municipal/industrial composting and for the construction of private green urban infrastructure such as green roofs and walls and public urban infrastructure (parks, roads, etc.) through private enterprises. For the consolidation of this bio-business all stages of the production chain should be considered including the provision of raw materials, production and marketing.
4. Recovery of plastic (PET/HDPE/PC) for recycling and reuse in consumer goods, or for use in the construction of roofs on boulevards and of public transit stops. This activity would be carried out through the promotion of community initiatives by local governments. The main beverage companies in the country are recycling plastic and reusing it in their production processes.

V. Relation of Bio-Businesses to Projects' Theory of Change and Component 3 Outcomes

Component 3 of the project ***Transition to a Green Urban Economy Generating Global Environmental Benefits*** requires close articulation with the policies and financial modifications to be implemented by participant municipal governments.

The expected outcomes of this component include: (3.1) Local and national governments initiate innovative financing and business models for scaling-up sustainable urban solutions (measured by more than USD 167.58 million increased financing obtained from the implementation of the reforms proposed in Component 1 and the municipal financing mechanisms of Component 3; and through at least 500 new green jobs with gender equality in the GAM that result from innovative financing and business models for scaling-up sustainable urban solutions). In order to achieve these desired effects, the project will invest in, and the Bio-businesses must take advantage of (i) Economic analyses to facilitate the development of business models to achieve decarbonization and the delivery of global environmental benefits in the GAM; and (ii) new or improved current municipal financing instruments implemented with gender awareness.

Therefore, before the bio-businesses are supported, the project team needs to conduct a participatory process to advance the abovementioned studies and -at least- have designs/drafts of the new municipal or improved current financing instruments to be implemented.

VI Potential Execution Mechanisms for Bio Businesses Support

Bio-Businesses may be supported in two ways:

1) Through **competitive selection processes** whereby companies are awarded contracts to implement pilot interventions that provide scalable solutions to the problems described above.

Under this modality the Implementing Partner; following technical guidance from UNDP, the responsible party and technical committee; will conduct a bid for tender process to select the firm that proposes the best designs and/or prototypes for solutions for the above stated problems within the GAM. The best designs and/or prototypes will be

awarded a contract (up to $250,000) to implement the suggested solution as pilot project. The pilot will serve as proof of concept for required business solutions that may be replicated by different municipal governments, and serve as seed investment to establish long term private sector solutions that address the above stated environmental problems in the GAM.

2) Through a **Bio-Business Innovation Challenge.** This means awarding an incremental funding to private sector entities that propose scalable solutions that may not be sources through traditional commercial channels.

The inputs needed to structure the terms of reference for bio- business solutions in the four pre-defined areas will be developed with first stages of project implementation. This will help project partners identify the most innovative approaches, processes and technologies that can be added to already existent technical solutions. The Responsible partner for component 3 would launch a Request for Proposals for the "Bio-Business Innovation Challenge", each focused on one of the following four areas:

1.Management of faecal sludge from the San José sanitary sewer;

2. Sustainable& low emission urban mobility;

3. Solid waste management (organic) for municipal/industrial composting;

4. Recovery of plastic (PET/HDPE/PC) for recycling and reuse in consumer goods, or for use in the construction of roofs on boulevards and of public transit stops)

Concepts passing initial review and meeting the selection criteria will be invited to submit full proposals for further internal and external ("peer") review and consideration. Incremental Financial awards range from 40,000 USD to 100,000 USD and project time frames can range from one to two years. Project proposals must deliver environmental benefits to stakeholders within the 20 cantons where the project *Transition to a Green Urban Economy and be aligned with project´s targets*. All proposals should include a special focus on ensuring gender equity, livelihoods of the poor and poverty eradication.

The proposals received will be evaluated by a committee to be established between implementing partner, UNDP, three representatives from the Project technical committee and the Responsible party for component 3. This committee will verify that proposals are in line with the objectives of the project and that they are in line with the Innovation Challenge goal.

VII Geographical scope for Bio-Business (Contract holders selected through competitive processes and Innovation Challenge awardees)

Public-private partnerships (PPPs), micro and small businesses, and associations at the community level with a gender focused established within the 20 cantons of the Great Metropolitan Area of San José where the Project Transition Towards a Green Urban Economy is being implemented.

VIII Entities that may participate

The project will support public-private partnerships (PPPs), micro and small businesses, and associations at the community level with a gender focus established within the GAM.

IX Financing and co-financing

Where applicable, the design of the mechanism for GEF INV support to bio-business will use a methodology to ensure minimum concessionality of GEF resources. A financial analysis of each submission will be performed to determine value for money, and to check that quoted costs reflect market prices.

Every private sector partner (either contract holders selected through competitive processes and Innovation Challenge awardees) must provide co-financing from cash sources, in kind (valued), such as labour to guarantee incrementality of GEF resources.

X Preliminary Selection criteria

The specific selection criteria for each bio-business will be developed, validated and included into terms of references to be developed in detail during implementation. Bio-Business Innovation Challenge committee will develop templates used to select the projects. The preliminary criteria are indicated in the following table:

I	**Link with Project objectives and priorities**
1.1	Degree of contribution to project indicators and goals
1.2	Potential to improve the living conditions of the vulnerable population, generate knowledge and strengthen the capacities of local organizations
1.3	Degree of contribution to gender equality
II	**Potential for results and sustainability**
2.1	Proposal has the potential to achieve positive results within the timeframe of the project *Transition towards a Green Urban Economy*
2.2	Demonstration, sustainability, replicability and scaling potential
2.3	Degree of innovation and / or use of traditional knowledge
III	**Suitability, interest and capacity of proponents**
4.1	Administrative, financial, and managerial suitability of proponents
4.2	Local and communities participation in the design, monitoring and implementation of the project
4.3	Proposal advances women empowerment and gender equality